Isle of Man
COUNTERING FINANCIAL CRIME
An all-Island approach

# Isle of Man National Risk Assessment

## Money Laundering

MARCH 2026

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# In this assessment...

This third National Risk Assessment of Money Laundering provides an updated understanding of the threats and vulnerabilities facing the Isle of Man between **2020 and 2025**. As a mature international finance centre serving predominantly non-resident customers, the Island remains inherently exposed to cross-border financial crime, increasingly complex global structures, and evolving digital payment channels.

The overall **Money Laundering Risk remains Medium High**, unchanged since 2020. While threats have intensified, national controls have strengthened accordingly, resulting in a stable but increasingly sophisticated risk landscape.

## Key Messages

### 1. The ML threat environment has intensified.

- **Foreign predicate offending,** especially cyber-enabled fraud, investment scams, romance fraud, and large-scale international schemes, remains the principal ML driver.
- **Transnational organised crime,** including Asian and UK-linked organised crime groups, has increased, impacting the online gambling market, immigration systems, and virtual asset activity.
- **Domestic ML threats remain Medium Low,** driven by drug importation, labour exploitation, and low-value fraud.

## 2. Cross-border exposure defines the Island's ML risk.

- Financial flows remain heavily **UK-centric,** but with growing exposure to **South Africa, Asia,** and **South America.**
- Complex corporate structures and non-resident customers continue to present elevated **layering** risks.
- Rapid growth in specific subsectors, such as the Money or Value Transfer Services customer base, has created concentrated areas of Higher risk requiring sustained attention.

## 3. Highest-Risk Sectors

- The sectors with the greatest residual ML risk are Banking, Online Gambling, and Trust and Corporate Service Providers. These sectors combine High materiality, international client bases, complex ownership structures, and significant exposure to Higher-risk jurisdictions.
- Life Insurance, MVTS, Virtual Asset Service Providers, and professional services present more targeted vulnerabilities, particularly where linked to opaque ownership chains or overseas flows.

## 4. National controls have strengthened

- Significant improvements since 2020 include:

- a **robust Beneficial Ownership regime,** with extensive verification and increased Registry and Financial Services Authority oversight;

- enhanced **supervisory capability** within the FSA and the Gambling Supervision Commission, including thematic work, improved data analytics, and sector-specific risk reviews;

- expanded **FIU capacity,** upgraded intelligence tools, and stronger multi-agency coordination; and

- strengthened **border security, immigration controls, and enforcement,** including dedicated units and improved scanning/monitoring.

However, vulnerabilities persist, including:

- gaps in **non-banking financial flow data** (e.g., MVTS, EMIs, overseas ATM use);

- emerging risks from **artificial intelligence-enabled obfuscation, virtual assets,** and alternative payment methods;

- exploitation of **immigration processes** by criminal networks; and

- legislative enhancements still in progress.

The overall **National Vulnerability** rating is **Medium**.

## 5. Technology and new typologies are reshaping ML risk

- Increased use of **virtual assets,** particularly stablecoins such as USDT, for cross-border layering, coupled with **AI-driven identity manipulation** (deepfakes, synthetic documents), undermines traditional customer due diligence processes. Online gambling-related ML typologies have become more sophisticated, leading to targeted inspections, typologies, and the publication of a **National Risk Appetite Statement.**

## 6. Priority Actions Identified

The NRA Highlights a series of national and sectoral actions, including:

- improving the **quality, completeness, and accessibility** of financial and supervisory data;
- enhancing analysis of **Higher-risk jurisdictions** and international financial centres;
- completing priority **legislative reforms,** including updates to the Proceeds of Crime Act;
- strengthening **beneficial ownership accuracy,** verification, and ongoing maintenance;
- expanding **intelligence-sharing pathways**, including border- and visa-related information;
- building capability in **complex, AI-enabled, and virtual asset-related typologies;** and
- ensuring regulated and designated entities integrate findings into Business, **Customer and Technology Risk Assessments.**

# How to Use This Assessment

Government agencies, regulators, law enforcement, and industry should use the 2026 ML NRA to:

- inform **Business, Customer, Sectoral and Technology Risk Assessments;**
- strengthen **onboarding, monitoring, screening, and governance;**
- shape **supervisory engagement** and resource allocation;
- support implementation of the **National Financial Crime Strategy** and the forthcoming **National Action Plan**; and
- maintain compliance with **international standards** and respond to evolving ML methodologies.

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# Ministerial Introduction

I am pleased to present the Isle of Man's third National Risk Assessment of Money Laundering. This report represents the culmination of extensive work by government authorities, regulators, law enforcement, and crucially, the Island's financial services industry and wider private sector. It builds on the foundations laid by the previous NRAs published in 2015 and 2020 and reflects our ongoing commitment to maintaining the Highest standards in the fight against financial crime.



Minister for Justice and Home Affairs
**Hon Jane Poole-Wilson MHK**

This Money Laundering NRA is an overarching assessment for the Isle of Man, providing a comprehensive analysis of the key money laundering risks facing our jurisdiction. It is important to note that this report should be read in conjunction with a suite of other risk assessments, including those on terrorist financing, proliferation financing, non-profit organisations, and the detailed sectoral money laundering reports. The report on legal persons and arrangements offers insights into the risks that can be associated with complex structures and beneficial ownership. Together, these documents provide a holistic view of the threats and vulnerabilities we face and the measures in place to mitigate them.

The Isle of Man is a well-established international finance centre, and as such, we are acutely aware of the evolving nature of money laundering threats, both globally and domestically. The period covered by this assessment has seen significant geopolitical and technological change and the Island has responded proactively to both emerging and existing challenges. We have strengthened our legal and regulatory frameworks, enhanced our supervisory and enforcement capabilities, and invested in new technologies and training. Our approach is risk-based, dynamic, and informed by the latest international standards and best practice.

This NRA would not have been possible without the invaluable contributions of industry. I would like to extend my sincere thanks to all those in the private sector who have engaged so constructively with government and the regulators throughout this process. Your expertise and commitment to upholding the Island's reputation as a responsible and well-regulated jurisdiction are deeply appreciated.

This report is intended as a practical tool for all stakeholders – government, regulators, law enforcement, and industry alike. It should inform Business, Customer, and Technological Risk Assessments, guide resource allocation, and support the development of effective policies and controls. By working together, we can protect the integrity of the Isle of Man's financial system and ensure that our jurisdiction remains a safe and trusted place to do business. ■

> "Your expertise and commitment to upholding the Island's reputation as a responsible and well-regulated jurisdiction are deeply appreciated."

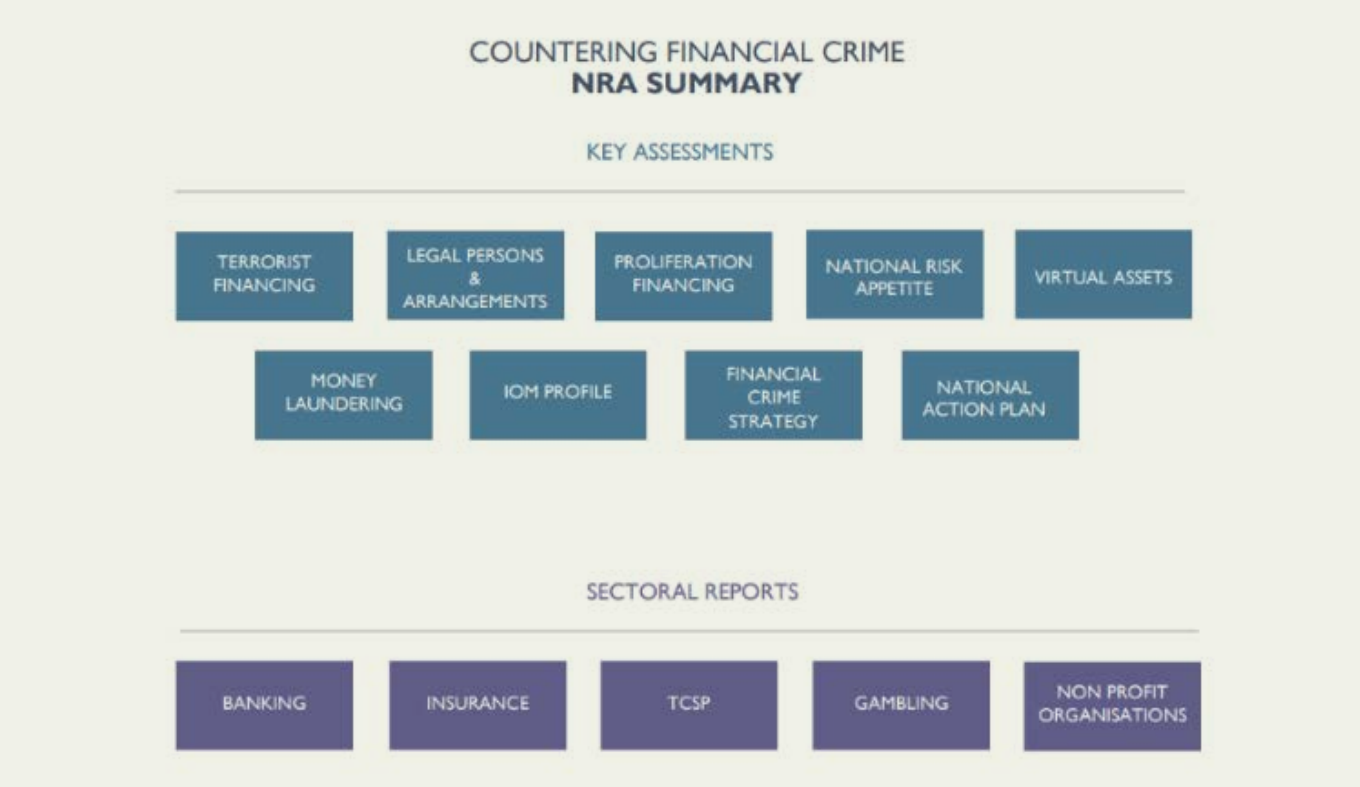
# 2. Executive Summary

## Introduction

**The Isle of Man's third National Risk Assessment (NRA) of Money Laundering (ML) is a central pillar of its ongoing commitment to global anti-financial crime standards. Recommendation 1 of the Financial Action Task Force (FATF) requires countries to identify, assess, and understand their money laundering, terrorist financing (TF), and proliferation financing (PF) risks, forming the foundation for the effective design and implementation of a risk-based regime for combatting ML and countering TF and PF.**

As an established **international finance centre (IFC)**, the Isle of Man (IOM) is inherently exposed to cross-border activity, diverse customer bases, and complex financial structures. These features bring economic opportunity but also increase exposure to international financial crime risks. The 2026 ML NRA serves as a detailed, standalone assessment that reflects both the Island's maturing risk framework and the evolving nature of threats impacting the jurisdiction.

This assessment builds on the previous 2015 and 2020 NRAs but is considerably more comprehensive, benefitting from improved data, enhanced supervisory capability, expanded ›



inter-agency cooperation, and deeper sectoral engagement. It is complemented by NRAs on **Terrorist Financing, Proliferation Financing, Non-Profit Organisations (NPOs) (specifically, their vulnerabilty to TF), Virtual Assets (VAs) and Virtual Asset Service Providers (VASPs), and Legal Persons and Arrangements (LPAs),** as well as standalone sectoral reports on Banking, Insurance, Trust and Corporate Service Providers (TCSPs), and Gambling, creating a comprehensive suite of national risk products. Taken together, these form a holistic understanding of the Island's financial crime exposure.

The ML NRA is intended to guide government agencies, regulators, law enforcement, and industry in assessing their own risk landscapes and to inform a jurisdictional risk appetite statement. It must also be clearly reflected in Business Risk Assessments (BRAs), Customer Risk Assessments (CRAs), and Technology Risk Assessments (TRAs), ensuring alignment across the national system.

## OBJECTIVES OF THE 2026 ML NRA

The overarching aim of this assessment is to set out a clear, evidence-based understanding of the threats and vulnerabilities that underpin the Island's ML risk. Specifically, the NRA seeks to: consolidate and extend the understanding of ML risk from the previous NRAs;

- assess domestic, cross-border, and foreign ML threats as they apply to the Island;
- evaluate vulnerabilities within national systems and across regulated and designated sectors;
- identify progress made since the 2020 NRA and highlight areas requiring further action;
- support the allocation of resources, the shaping of supervision, and policy development on a risk-based approach; and provide clarity and guidance to industry on the patterns and drivers of ML risk relevant to their operations so they can continue to apply an informed, risk-based approach.

The 2026 NRA also supports delivery against the National Financial Crime Strategy (FCS) 2024–2026 and will inform the next National Financial Crime Strategy, ensuring that national objectives are informed by the most current and accurate risk picture available.

# Methodology

The assessment follows the **World Bank ('WB') ML Risk Assessment Tool,** consistent with the approach used in 2015 and 2020. This continuity enables direct comparison over time, ensuring the Island can demonstrate how its risk profile is developing and how its risk mitigation measures are maturing.

The WB model conceptualises ML risk as the product of two primary elements, *threat and vulnerability*, assessed at both national and sectoral levels. The model integrates qualitative and quantitative information, enabling expert judgement where data gaps exist but also encouraging a progressively more data-driven approach.

The analysis follows the five WB steps:

1. **Identification of ML Threats;**
2. **National ML Threat Assessment;**
3. **Sectoral ML Risk Assessment;**
4. **National Vulnerability Assessment; and**
5. **Determination of the Overall National ML Risk Level.**

This NRA draws on a broader and richer evidence base than previous assessments, utilising:

- multiyear supervisory AML/CFT returns;
- detailed financial flow data;
- data gathered from Suspicious Activity Reports (SARs) and other intelligence;
- data on international cooperation and Mutual Legal Assistance (MLA);
- supervisory findings;
- law enforcement casework; and
- sectoral workshops with around 100 firms.

The ML NRA data and analysis period substantially covers five years, the period from January 2020 to December 2024; where appropriate, 2025 data and information is also used. The use of unpublished technical workbooks, cross-agency review sessions, and improved data analytics has significantly enhanced the sophistication of the assessment. ›

# Country Risk Context, 2020–2025

**The period since the last NRA has seen significant global turbulence, including the COVID-19 pandemic, fuelling an increase in cybercrime and cyber-enabled fraud, and human trafficking and exploitation.**

The geopolitical landscape has altered significantly since 2020, notably as a result of the Russian Federation's invasion of Ukraine and the conflict between Israel and Hamas in Gaza. In response to international sanctions, the Financial Intelligence Unit (FIU) led multi-agency reviews of exposure to the Russian Federation, Belarus, and Kazakhstan, with additional actions taken by other agencies to de-register aircraft owned by sanctioned persons and to strengthen the legal framework for sanctions compliance.

Throughout evolving geopolitical concerns, the Island demonstrated the ability to respond at short notice, including through the imposition of financial and trade sanctions in line with international and UK measures. This includes a legal framework enabling efficient introduction of new sanctions and improved communication of updates to sanctions lists.

The rapid growth of transnational organised crime in Southeast Asia, particularly related to scam operations involving cyber-enabled fraud and money laundering, was identified as a significant threat by the United Nations Office on Drugs and Crime (UNODC). Their reporting highlights a concentration of Asian-facing organised crime groups (OCGs) in casino and online-gambling-related businesses.

As this threat emerged, impacting the Isle of Man and numerous other jurisdictions, the Island took specific mitigating action: improved inter-agency cooperation, targeted inspections from the Gambling Supervision Commission (GSC), FIU typology publications, enforcement actions, joint intelligence gathering, outreach, legislative reforms, and expanded information-sharing powers. An urgent review was undertaken on the exposure of the online gambling market, including development of a National Risk Appetite Statement accompanied by Ministerial Statements.

The global growth in alternate payment methods, including the use of virtual assets, has also been a feature since the last NRA. Although only a small number of VASPs operate in the Isle of Man, use of VAs is recognised as increasing globally. There is a separate VA and VASP Risk Assessment covering ML, TF, and PF risks, also to be published in spring 2026.

Domestic crime rates remain the lowest in the British Isles, with the most prevalent proceeds-generating crime being the supply of illegal drugs. United Kingdom (UK)-based organised crime groups continue to target the Island due to higher drug prices. Law enforcement has made considerable progress disrupting this activity, arresting offenders and seizing drugs and criminal cash. The success of operations has resulted in the prison population nearing capacity, with **33%** of inmates linked to organised crime.

Ports security has been an area of focus, with improvements made through better coordination of resources. Vulnerabilities identified during and after the COVID-19 pandemic included exposure to drug trafficking, ML, and more recently, organised immigration crime exploiting the free movement of people and goods between the Isle of Man, UK, and Ireland.

A 2025 independent report ("Isle of Man and UK Immigration Gap Analysis") highlighted significant immigration system abuse by organised criminality, including fraud, illegal entry, modern slavery, salary underpayments, forgery, illegal recruitment fees, public benefit fraud, and creation of sham jobs or synthetic businesses. Two visa routes were closed due to concerns.
Since the 2021 census, the Isle of Man has seen increasing numbers of visa applications from South Africa, the Philippines, China, and India. Nationality on visa applications does not always reflect original citizenship due to dual nationalities or earlier acquired citizenships. Demand for golden passports and visas has risen sharply globally. While investment-based citizenship and residency schemes can be legitimate tools for economic development, they also present risks by enabling concealment of identity, sources of funds, and evasion of sanctions. ›

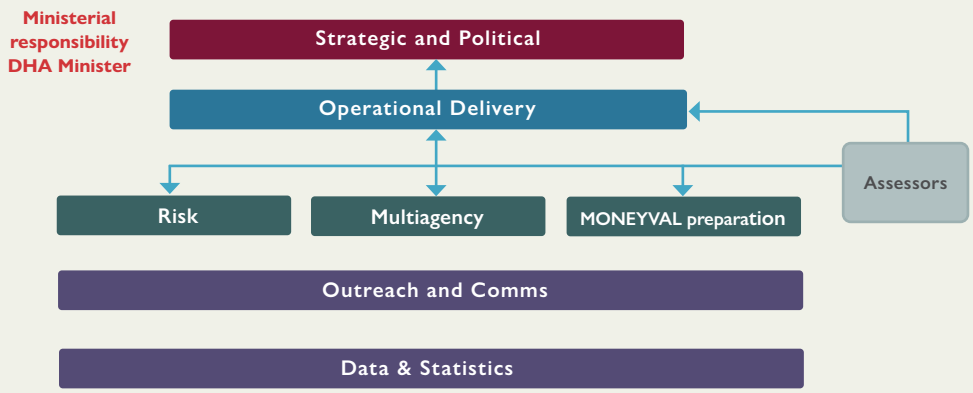
# Progress Since the 2020 NRA

The Isle of Man has strengthened its AML/CFT framework considerably since the 2020 NRA through:

- the creation of a dedicated AML/CFT Division within the Financial Services Authority (FSA), expanding specialist supervisory capacity and improving risk-based supervision and outreach across all regulated sectors;
- enhancements to the GSC's regulatory and enforcement frameworks, including increased thematic work and strengthened controls related to online gambling and associated cross-border risks;
- substantial increases in FIU capacity, analytical capability, and technology investment, enabling more effective SAR handling, intelligence dissemination, and development of complex typologies;
- the establishment of the Pro-Active International Money Laundering Investigation Team (PIMLIT), providing coordinated prioritisation of ML/TF investigations and improving multi-agency operational outcomes;
- significant upgrades to border security arrangements, including increased scanning, joint agency operations, and strengthened detection processes for drug trafficking, immigration abuse, and illicit finance;
- major expansion of immigration compliance functions to address risks identified through intelligence and gap analysis work; and
- the creation of the Financial Crime and Asset Recovery Unit (FCARU), improving the Island's ability to respond jointly to financial crime threats by aligning enforcement, intelligence, and policy functions more closely.

In February 2025, financial crime became the responsibility of the Minister for the Department of Home Affairs (DHA). Allocating this responsibility to the DHA Minister has further increased the importance and specific focus given to financial crime matters; the Financial Crime Strategic Board (FCSB), a multi-agency mechanism of senior agency heads, is Chaired by the Chief Executive of the DHA, who reports to the Minister. ›

## Governance Structure

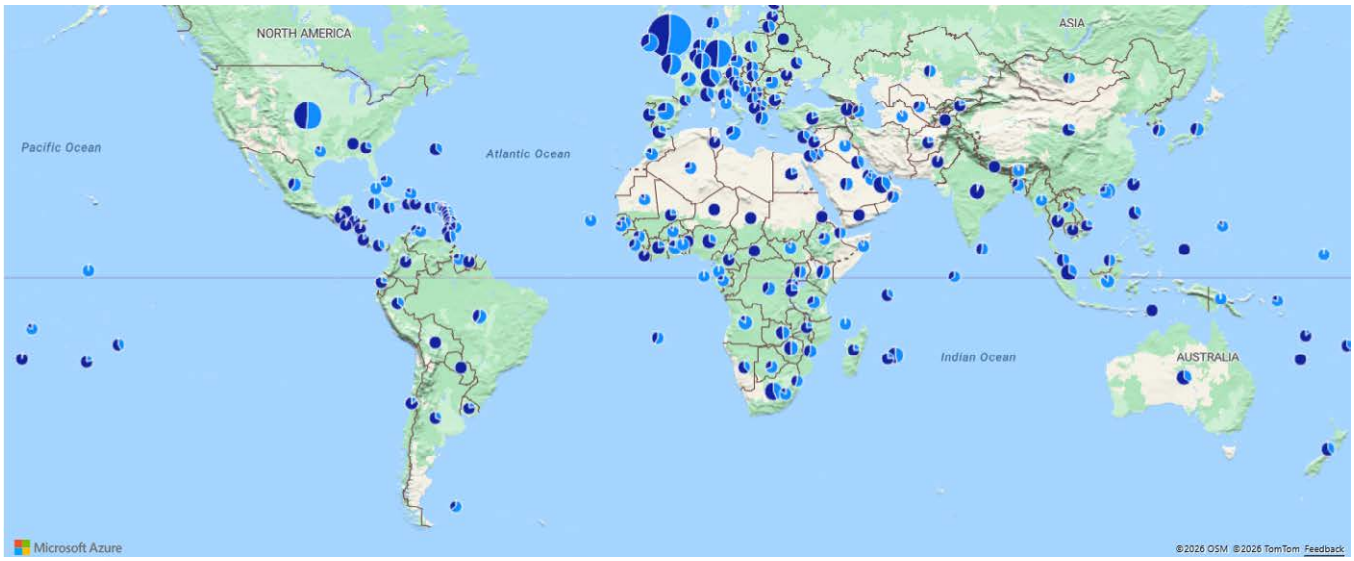


# Geographic Exposure and Higher-Risk Jurisdictions

The Isle of Man's geographic exposure reflects its position as an international financial centre that serves predominantly non-resident customers. Financial flows are heavily concentrated around major advanced economies, principally the UK, United States (US), and Germany, which together account for the majority of inbound and outbound activity. This profile has remained broadly stable since the 2020 NRA, although growth in certain emerging markets has shifted specific sectoral risk dynamics. Notably, increased activity linked to South America, particularly Argentina, has been driven primarily by money or value transfer service (MVTS) expansion and greater use of international payment platforms, requiring strengthened monitoring of flow patterns and source jurisdictions.

**Figure 1** below shows banking financial flows for all jurisdictions in 2024. **46.5%** all outgoing payments and **50.5%** of all outgoing and incoming payments were with the UK.

## Figure 1: Banking Financial Flows for all Jurisdictions 2024




Source: FSA

In parallel, the Island maintains a robust approach to assessing exposure to higher-risk jurisdictions. While South Africa previously featured as the only List B country within the top 10 jurisdictions by financial flow, its removal from the FATF's list of "Jurisidictions Under Increased Monitoring" (the "grey list") in October 2025 resulted in a reduction in overall customer exposure linked to higher-risk jurisdictions, from approximately **5.5%** to around **3%.** Nonetheless, the underlying composition of the higher-risk jurisdictions customer base continues to require careful attention. Risk indicators that have been used for this NRA include residency origins, use of non-natural persons, politically exposed persons (PEPs), use of introducers, and complex beneficial ownership (BO) structures. The Isle of Man's published lists of higher-risk jurisdictions support industry-wide risk assessment and help guide enhanced due diligence (EDD) where exposure is elevated. ›

# Overall National ML Risk

**National ML Risk = Medium High (unchanged since 2020)**
The national ML risk remains **Medium High**, unchanged from 2020, reflecting a stable yet increasingly complex risk environment. While the Island has strengthened its supervisory, intelligence, and enforcement capabilities since the previous assessment, the nature of ML threats has also evolved, with a growing emphasis on cross-border criminality, cyber-enabled offending, and the misuse of international financial services. These developments mean that, while controls have improved, the overall level of threat pressure remains significant and continues to challenge national resources and risk mitigation frameworks.

The **Medium High** threat rating reflects the prominence of transnational organised crime, cyber-enabled fraud, foreign predicate offending, and exploitation of cross-border financial channels. The Island's profile as an international financial centre with large non-resident flows means that exposure to global criminal networks is unavoidable. At the same time, domestic threats, including drug trafficking, immigration crime, and exploitation of ports and travel routes, add to the aggregate threat picture. The assessment concludes that, compared with 2020, threats have become more sophisticated and globally integrated, requiring enhanced intelligence-sharing, improved financial flow analysis, and continued investment in multi-agency capability.

The **Medium** vulnerability rating recognises that, while the Island's controls have strengthened, certain structural vulnerabilities persist. These include the scale and complexity of cross-border activity, challenges associated with complex structures and beneficial ownership verification, and the resource demands of supervising diverse sectors. In addition, rapid technological developments, including virtual assets, alternative payment methods, and AI-enabled obfuscation, are creating emerging areas where controls and understanding are still developing. Improvements in FIU capability, risk-based supervision, and enforcement have helped constrain vulnerabilities, but the overall national ML risk remains **Medium High** due to the combined effect of threat intensity and residual weaknesses.

| Year | National ML Risk | National Threat | National Vulnerability |
|---|---|---|---|
| 2026 | Medium High | Medium High | Medium |
| 2020 | Medium High | Medium High | Medium |

# ML Threat Assessment

The NRA concludes that the overall ML threat level is **Medium High**. While this mirrors the 2020 rating, the *nature* of the threat has evolved: the Island now faces more complex, diversified, and internationally-connected criminal activity.

## FOREIGN PREDICATE OFFENDING

Foreign criminality continues to drive most ML risk. Fraud, including cyber-enabled fraud, investment scams, and romance fraud, remains the dominant predicate, with growing evidence of sophisticated layering using bank accounts, virtual assets, corporate structures, and payment intermediaries.

## CROSS-BORDER THREATS

As an IFC, the Island processes large cross-border flows relative to its size. These flows remain heavily UK-centric but include meaningful linkages to South Africa, the European Union (EU), Asia, and the Americas. These exposures magnify the ML threat, particularly where funds are routed through multiple jurisdictions.

## DOMESTIC THREATS

Although domestic crime levels remain low, drug trafficking and associated cash ML remain significant. Increasing seizures at the border and the rising use of virtual assets by domestic criminals indicate changing patterns of behaviour.

## ORGANISED CRIME

The Island has encountered heightened risks linked to transnational organised crime, particularly in relation to online gambling, virtual assets, immigration abuses, and high-volume fraud schemes originating overseas. ›

# Sectoral ML Risk

Material sectors were assessed using the full WB methodology; the smallest sectors were assessed using regulator judgement, supervisory findings, and the data available. The three sectors most exposed to ML are:

- Banking;
- Online Gambling; and
- TCSPs.

These sectors combine materiality, international customer bases, and exposure to complex structures or transactional activity. ›

## Figure 2: Residual ML Risk (2020 – 2026)

| Sector | 2020 | 2026 |
|---|---|---|
| Financial Institutions | | |
| Banking | Medium | Medium High |
| Credit Union | Medium Low | - |
| Investment Business – Financial Advisors | Low | Low |
| Investment Business – Other | Medium | Medium Low |
| Services to Collective Investment Schemes | Medium | Medium |
| Life Insurance | Medium | Medium |
| Non-Life Insurance | Medium Low | Medium Low |
| Money Transmission Services – Bureaux de Change | Medium Low | Low |
| Money Transmission Services – As principal and e-money | Medium | Medium |
| Pensions | Medium Low | Medium Low |
| Designated Non-Financial Businesses and Professions | | |
| Accounting, Tax Advisors, and Payroll | Medium | Medium |
| Estate Agents | Medium Low | Medium Low |
| Online Gambling | Medium | Medium High |
| Terrestrial Gambling | Medium Low | Medium Low |
| High-Value Goods Dealers | Low | - |
| Legal Services | Medium | Medium |
| Moneylending | Medium Low | Medium Low |
| Non-Profit Organisations | Low | Low |
| Trust and Corporate Service Providers | Medium High | Medium High |
| Virtual Asset Service Providers | Medium High | Medium |
| Safe Custody | Low | Low |

The Banking sector remains central to the Island's financial system and its ML risk profile. Banks serve a predominantly non-resident customer base, with cross-border flows linked to major economies including the UK, US, and Germany, and exposure to emerging markets via MVTS and corporate structures. Elevated risks arise from high-value international transactions, complex ownership arrangements, and introduced business. Nonetheless, the sector demonstrates strong overall compliance, with robust systems and controls supported by risk-based governance. Enhanced monitoring expectations apply to higher-risk jurisdictions, politically exposed persons, and non-natural persons, consistent with the sectoral ML assessment.

Insurance, particularly long-term life insurance, constitutes the Island's largest financial services subsector. While funds under management are substantial, the ML risks are generally understood as inherent rather than residual, given that products typically have clear premium-payment structures and redemption constraints. However, vulnerabilities include the global distribution model, varying intermediary standards, and the potential for misuse of surrender or early-withdrawal features in higher-risk cases. The sector has strengthened oversight frameworks, distribution-chain management, and customer-risk assessment processes.

Online gambling is one of the largest contributors to national income and presents a unique risk profile due to its global customer base and fast-moving payment flows. Although most operators provide business-to-business (B2B) technical services rather than direct player-facing activities, higher-risk factors include exposure to Asia-facing organised crime, misuse of gaming platforms to facilitate fraud proceeds, and vulnerabilities in source-of-funds verification. Multi-agency action, including GSC thematic reviews, FIU typologies, and strengthened information-sharing powers, has helped mitigate these risks, though continued vigilance is required.

TCSPs remain a core part of the Island's international business model, facilitating company, foundation, and trust structures for global clients. Inherent ML risks stem from complex beneficial ownership, introduced business, cross-border customers/services, and potential misuse of corporate vehicles. Supervisory reforms, market consolidation, and improved BO verification processes have strengthened sectoral resilience. Nonetheless, TCSPs continue to require enhanced scrutiny given their centrality to structure formation and the Island's exposure to higher-risk jurisdictions.

Professional service sectors, including legal, accountancy, and estate agency services, show varied risk profiles. While they are not uniformly high-risk, vulnerabilities emerge from occasional involvement in complex transactions, client-fund flows, real-estate purchases, or cross-border structuring. Estate agents face exposure to foreign purchasers and opaque ownership structures, though risks are mitigated by relatively low transaction volumes and non-cash handling. Legal and accountancy professionals contribute to risk mitigation through gatekeeper responsibilities, yet ongoing thematic monitoring remains essential.

Other Sectors, including high-value goods dealers (HVGDs), NPOs, MVTS/e-money providers, and VASPs, present more targeted or emerging risks. MVTS and e-money providers have expanded their international reach, necessitating enhanced oversight. NPOs generally present low ML risk, though TF vulnerabilities require monitoring (a separate report on NPO vulnerability to TF has been published). Although the number of active VASPs is small, VASPs contribute to exposure to global VA trends; this is addressed through a dedicated VA/VASP Risk Assessment. Together, these sectors form part of a diverse risk landscape requiring coordinated supervision and consistent application of the risk-based approach. ›

Professional service sectors, including legal, accountancy, and estate agency services, show varied risk profiles. While they are not uniformly High-risk, vulnerabilities emerge from occasional involvement in complex transactions, client-fund flows, real-estate purchases, or cross-border structuring. ”

# National ML Vulnerability

The **national vulnerability level is Medium.** This reflects clear strengths but also systemic points requiring attention.

## KEY AREAS OF STRONG CONTROLS:

- beneficial ownership controls, with a central BO Database providing direct competent-authority access and extensive verification activity, ensuring high data integrity;
- supervisory frameworks across financial and non-financial sectors that apply a robust risk-based approach, strengthened by enhanced thematic work and increased sector-specific oversight;
- FIU capability, including improved handling of SARs, advanced analytical tools, and strengthened intelligence-sharing processes that support effective detection and disruption of ML activity;
- High integrity and independence across FIU, investigators, prosecutors, and judiciary;
- effective use of criminal and non-criminal confiscation;
- regulatory enforcement powers, enabling licence suspension, revocation, civil penalties, and criminal prosecution, contributing to strong deterrence and sector compliance;
- governance and national coordination structures, including the National Financial Crime Strategy, FCSB, and multi-agency working groups that facilitate timely cooperation and operational alignment;
- customer due diligence (CDD) and onboarding frameworks in major sectors such as Banking and Insurance, where systems and controls for customer risk assessment and monitoring are well-developed and consistently applied; and
- growth of the Isle of Man Financial Crime Partnership (IOMFCP).

## AREAS OF CONTROLS FOR IMPROVEMENT OR EMERGING VULNERABILITY:

- some outstanding areas of the legislative framework to be delivered;
- border control vulnerabilities that remain challenging within the Common Travel Area (CTA);
- limited experience in detecting certain complex or emerging ML typologies;
- gaps in financial flow data outside banking (e.g., Electronic Money Institutions (EMIs), overseas ATMs);
- rising pressures from technology, AI-enabled fraud, and evolving VA misuse;
- risk pressures relating to high-growth MVTS customer populations; and
- an ongoing need to strengthen controls in smaller or newer supervised sectors.

These vulnerabilities do not diminish the overall robustness of the framework, but highlight the aim of continuous improvement to remain proactive in the fight against financial crime and aligned with international standards and best practice. ›

# Recommended Actions

The NRA identifies a programme of national, sectoral, and thematic actions.

Recommended actions focus on strengthening the Island's overall AML/CFT system by improving the quality, consistency, and accessibility of data across authorities; enhancing analysis of cross-border financial flows through better datasets, intelligence exchange, and analytical tools; reinforcing risk-based supervision through expanded thematic work, sector-specific guidance, and more proactive oversight; improving the accuracy, verification, and ongoing maintenance of beneficial ownership information; and expanding both domestic and international intelligence-sharing mechanisms to support faster detection of complex ML typologies and more effective joint operational outcomes. The recommendations outlined below represent national priorities. While the NRA highlights a broad spectrum of actions, including numerous regulatory initiatives, this executive summary focuses on the most impactful measures at the national level.

| |
|---|
| **Strategic Aim:** Public sector and industry work together to achieve a common goal of meeting international standards. |
| Review new AML/CFT/CPF governance arrangements by April 2026 to ensure their effectiveness. Introduce outstanding memoranda of understanding (MOUs) and Codes of Practice, (in particular, in relation to effective information-sharing among border and law enforcement agencies). |
| Implement outstanding legislative provisions aimed at strengthening the AML framework, including the review and updating of provisions in the Proceeds of Crime Act 2008 to ensure that the framework is appropriate for the IOM. |
| Deliver further changes to enhance the effectiveness of the Beneficial Ownership regime, as per recommendations within the Legal Persons and Arrangements NRA. |
| Maintain ongoing engagement with industry to strengthen AML resilience. Embed the IOM Financial Crime Partnership and expand its remit, including the online gambling strategic working group. |
| Continue to progress Government-wide initiatives in respect of conducting CDD among Isle of Man Government agencies. |
| **Strategic Aim:** Actions are informed and driven by best practice and standards, both domestically and internationally. |
| To further enhance the understanding of complex structures, any future data outreach requests to the TCSP sector should look at seeking further detail on these structures so that a deeper understanding of all jurisdictions and asset types and locations is captured in the national data. |
| Enhance financial flow information and data to enable further analysis of risk, including from non-banking sources – in particular, VASPs, money transmission services (MTS), EMIs, and overseas ATMs. |
| The FSA should continue to develop a formal approach with the FIU (and other relevant stakeholders) to document the analysis process for financial inflows and outflows, including for higher-risk countries and IFCs. |
| Formalise cross-agency intelligence-sharing arrangements, including centralised border/route intelligence and appropriate visa information-sharing, to strengthen detection and disruption. |
| Develop and disseminate relevant typologies informed by current trends and emerging threats identified in each sector and regularly update in consultation with industry stakeholders. A structured approach to sharing these typologies, both domestically and with international partners, should be embedded within supervisory and outreach frameworks. |

| |
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| **Strategic Aim:** The Island is an active participant in the global fight against financial crime. |
| All sectors should review the findings of this Money Laundering Risk Assessment (and other reports that make up the NRA) and ensure that identified actions are adopted into Business, Customer, and Technology Risk Assessments as appropriate. |
| Continue to develop strategic analytical capabilities, ensuring insights are effectively shared with internal and external stakeholders. Strengthen formal cooperation and enhance information exchange and operational efficiency. |
| Agencies should undertake work to better understand and address areas identified through this assessment as presenting increasing vulnerability, notably the complexity of sanctions and technology risks such as AI and potential weakness in ongoing monitoring controls. |
| To continue to help protect customers in the IOM, relevant stakeholders should continue to develop workstreams to help reduce fraud risks, not only from the ML perspective, but more generally. |
| Alternative banking systems, including Chinese underground banking networks and other informal value transfer mechanisms, pose elevated money laundering risks due to their opaque operations and limited regulatory oversight. Potential exposure to these channels should be explored and, where higher risk is identified, measures implemented accordingly. |
| **Strategic Aim:** All stakeholders have the resources they need to effectively identify and respond to ML/TF/PF threats. |
| The Isle of Man should seek to enhance its understanding of the materiality and risk of the non-licensed, non-regulated Software Supply sector. |
| A joint-agency review should be conducted to ensure that measures for bringing forward criminal sanctions for AML/CFT contraventions are effective and proportionate. |
| In respect of both the private and public sectors, initiatives aimed at attracting and retaining staff should be explored in order to reduce key person risks. Efforts should continue to ensure that all relevant training is formalised and documented across private and public sectors. |

These recommendations will be incorporated into a **National Action Plan** and aligned with the National Financial Crime Strategy.

# How Industry Should Use This NRA

Businesses in the regulated sector are obliged to undertake and maintain a Business Risk Assessment (BRA) which must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this NRA, Given a number of NRAs are being published in sucession, it is acceptable to consider each NRA as it is published, but update the overall BRA at its next formal review date. Consideration should also be given to the Customer Risk Assessment (CRA) and the Technology Risk Assessment (TRA) and if these require updating.

One of the key inputs to the Island's NRAs is the risk data provided via STRIX AML. Where published NRAs and sector reports include aggregated industry data, each firm should consider how their own data compares with the published data. This will assist them to better understand their own risk profile compared to the national metrics, threats and vulnerabilities.

Businesses in the regulated sector are obliged by the AML/CFT Code 2019 to undertake and update the BRA which 'assists relevant persons' to understand where, when, how and to what extent they are exposed to ML/TF risk and which areas of their business they should prioritise in combatting ML/TF. The Code state that a BRA must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show they have considered and mitigated the relevant risks identified in this NRA.

There are requirements under the Gambling (AML/CFT) Code 2019 Part 3 – Risk Based Approach (paragraph 7) for licence holders to carry out and record business risk assessments of ML/TF and review and update the business risk assessment at ›

appropriate intervals and where there is a "material change in the business or in the risk of money laundering or financing of terrorism".

Given that the NRA is being published in sections in close succession, it is acceptable to consider each NRA as it is published but update the overall business risk assessments at the next formal review date.

Businesses must be able to demonstrate clear, practical application of this NRA and also consider integrating the findings into the CRA and TRA if these require updating and into policies governing onboarding, monitoring, screening, outsourcing, and governance. ■

# 3. Introduction

# 3. Introduction

## National Money Laundering Risk Assessment

**This is the third National Risk Assessment of Money Laundering from the Isle of Man Government. The Risk Assessments published in 2015 and 2020 both covered money laundering and terrorist financing together in a single document. The NRA has been developed throught a series of sectoral and topical reports into this overarching ML NRA to enable a detailed consideration of the key areas of risk for the Isle of Man. There are several other risk assessments including Terrorist Financing, Proliferation Financing, and Non-Profit Organisations. For a full list of sections which make up the 2025/6 NRA, please see page 10.**

The Isle of Man has undertaken a comprehensive NRA to meet the Recommendation 1 of the Financial Action Task Force, which requires countries to identify, assess, and understand their money laundering, terrorist financing, and proliferation financing risks and to applying a risk-based approach to mitigate these risks effectively. (This includes designating an authority or mechanism to coordinate further actions in assessing risks and deploying resources.)

As FATF Recommendation 1 provides the essential foundation upon which an effective and efficient framework for identifying and addressing ML risk is built, it is important that a robust methodology is used. The ML NRA uses the World Bank methodology; the WB methodology was used in 2015 and 2020, allowing the findings of this NRA to be effectively benchmarked against those previous risk assessments.[1]

The ML NRA data and analysis period substantially covers five years, the period from January 2020 to December 2024, although, where appropriate, more recent data and information is included from 2025. This ML NRA has drawn on and reflects the expertise, knowledge, and understanding of authorities, industry representatives, and external experts. See **Appendix VII** for further details regarding the methodology and data sources used in this ML NRA.

The main objectives of the ML NRA are to:

- build upon and enhance the understanding of ML risk from the 2015 and 2020 ML/TF NRAs;
- identify, assess, and understand the ML risks for the Island;
- update the ML actions recommended in the 2020 ML/TF NRA;
- provide agencies, regulators, and industry with a specific ML-focused NRA;
- Highlight areas requiring further consideration and action, and ensure the AML/CFT regime adequately addresses the identified risks; and
- use the NRA to inform national AML policies, resource allocation, and strategy.

The findings of the ML NRA should be used by industry and by the authorities, in conjunction with the other constituent parts of the NRA, to inform their work to understand, identify, and combat ML, including consideration of measures that reduce identified ML risk.

Regulated businesses' respective AML/CFT Codes (the AML/CFT Code 2019 and the Gambling AML/CFT Code 2019) both require that "... the business risk assessment must have regard to all relevant risk factors including [...] any relevant findings of the most recent National Risk Assessment relating to the Island."

Regard has also been given to the Risk Assessments of several other countries, mainly those which have certain economic similarities and similar risk profiles to the Isle of Man, notably Jersey, Guernsey, and Gibraltar. Given the close economic and legal/cultural relationship, particular attention has also been given to the recent Risk Assessment of the UK. ›

The IOM has a National Financial Crime Strategy which incorporates mission, aims, strategic objectives, and actions, and clearly demonstrates publicly the very strong goal of tackling all forms of financial crime. In Appendix 4 of the National Financial Crime Strategy document, a timeline is provided for the key activities in the development and maintenance of the Island's AML/CFT/CPF regime in line with international standards.

## METHODOLOGY

The National Financial Crime Strategy states its Strategic Objective 2 to be: to "use a risk-based approach to identify risk, coordinate appropriate actions, and apply resources to ensure identified risk is addressed and mitigated." The AML/CFT Policy Office team within the Government's Department for Home Affairs co-ordinates the NRA work. WB methodology was used for the 2015 and 2020 ML/TF NRAs. It has been used to provide consistency with previously published NRAs. The World Bank approach is consistent with FATF guidance published in 2025.[2.]

In the WB methodology for risk assessment, the tool treats ML risk as a product of two main components: threat and vulnerability. The consequences are integrated into those two components through weights, preconditions, and network structure and are not assessed separately. This approach is adopted at both national and sectoral levels for the IOM.

ML threat considers predicate offences such as fraud, tax crimes, drug trafficking, cybercrime, sanctions evasion, and cross-border risks. ML vulnerabilities evaluate the legal and regulatory frameworks and any weaknesses or gaps, sectoral controls such as customer due diligence and beneficial ownership, and institutional capacity including he resources and expertise of regulators, law enforcement, and the Financial Intelligence Unit.

The WB methodology is not solely a statistical model approach, as often, there is insufficient data in many jurisdictions. The data available to the IOM authorities has improved significantly since the last NRA was conducted. The Island's experts have decided on the ratings using the qualitative and quantitative data together and made an expert judgement which is supported by evidence as much as possible. WB methodology uses both qualitative and quantitative information. The analysis has been enhanced by the varied sources of data available, especially from the AML/CFT returns and financial flow data, which have allowed the Island to better understand the immediate, emerging, and ongoing threats of ML via data.

The WB ML assessment tool follows five steps:

- **Step 1:** Identify ML Threats;
- **Step 2:** Assess National ML Threat Level;
- **Step 3:** Sectoral ML Risk Analysis;
- **Step 4:** Assessment of National Vulnerability; and
- **Step 5:** Calculation of National ML Risk.

Each step is supported by WB Excel spreadsheets. Step 3 is underpinned by four detailed sectoral reports on Banking, Insurance, Gambling, and Trust and Corporate Service Providers, and a sectoral report on Virtual Assets and Virtual Asset Service Providers that considers ML (and TF and PF risks). Step 4 is underpinned by a detailed, unpublished workbook which provides the summary narrative for this document.

The National ML Risk Assessment of the IOM has been conducted as a self-assessment by the IOM authorities using the National ML Risk Assessment Tool that has been developed and provided by the World Bank Group. Data, statistics, and information used for completing the National ML Risk Assessment Tool modules, as well as findings, interpretation, and judgement under the scope of the National ML Risk Assessment, completely belong to the IOM authorities and do not reflect the views of the World Bank Group. ■



# 4. Country Risk Context 2020-25

# 4. Country Risk Context 2020-25

**The period since the last NRA has seen significant global turbulence, including the COVID-19 pandemic, leading to an increase in cybercrime and cyber-enabled fraud, and human trafficking and exploitation; the Isle of Man FIU published a risk assessment on COVID-19[3] in January 2021, focusing on the threats from cybercrime, fraud, counterfeit goods, and related activities. The report concluded that the risk of ML and financial crime relating to COVID-19 on the Isle of Man was low, provided typologies, and highlighted that the need for continued vigilance.**

The geopolitical landscape has altered significantly since 2020, notably as a result of the Russian Federation's invasion of Ukraine and the conflict between Israel and Hamas in Gaza. In response to the conflict between the Russian Federation and Ukraine and the introduction of international sanctions, the Isle of Man has taken steps to assess and mitigate the risks of sanctions breaches relating to financial and non-financial exposure to the Russian Federation and its allies, including Belarus and Kazakhstan. These measures have determined that the risk of sanctions breaches is considered **Medium Low.**

At the same time, the Isle of Man Aircraft Registry was directed by the Department for Enterprise (DfE) to exit all Russian Federation and Belarusian business. The Aircraft Registry was able to successfully act upon all sanctioned individuals' aircraft using a public interest article in the Air Navigation Order, ahead of UK sanctions being published. In response to international sanctions, the FIU led multi-agency reviews of exposure to the Russian Federation, Belarus, and Kazakhstan, with additional actions taken by other agencies to deregister aircraft owned by sanctioned persons and to strengthen the legal framework for sanctions compliance. The Financial Services Authority issued a letter reminding all regulated and registered persons of their obligations under AML/CFT legislation and emphasising that sanctions obligations applied to all persons and businesses in the Isle of Man.[4]

Throughout the rapidly evolving worldwide events and geopolitical concerns, the Island has demonstrated the ability to respond at short notice, including through the imposition of financial and trade sanctions in line with international and UK measures. This includes a legal framework that enables the introduction of new sanctions in a more effective and efficient manner, and improved communication of updates to sanctions lists.

The rapid growth of transnational organised crime in Southeast Asia, particularly related to scam operations involving cyber-enabled fraud, money laundering, and other illicit activities, has been identified as a significant threat by the UN Office on Drugs and Crime.[5] The report identifies that there has been a significant concentration of Asian-facing organised crime groups on casino- and online gambling-related businesses.

As this threat emerged, impacting the Isle of Man and countries across the world, the Island took specific action to mitigate the risks from this threat. This involved improved inter-agency cooperation, targeted GSC inspections, FIU publication of typologies, enforcement actions, joint intelligence-gathering, outreach, updated guidance, legislative reforms, and expanded information-sharing powers. An urgent review was initiated regarding the exposure of the online gambling market to this activity and a National Risk Appetite Statement for the Online Gambling sector was developed, accompanied by Ministerial Statements. The Isle of Man authorities are under no illusion that transnational crimes of this nature have not had a direct impact upon the jurisdiction, and the Island continues to take action to mitigate those risks. ›

The global growth in alternative banking and use of virtual assets has been a further feature since the last NRA. However, there are only a very small number of active virtual asset service providers in the Isle of Man which are supervised in respect of AML/CFT by the FSA. Despite this, it is recognised that the use of VAs generally has increased. To fully understand the level of use of VAs, a separate assessment has been conducted that will consider VA and VASP risk in relation to ML, TF, and PF. This will be published in 2026.

Domestic crime rates overall have continued to be the lowest in the British Isles, with the most prevalent proceeds-generating crime to date being the supply of illegal drugs. UK-based OCGs continue to target the Isle of Man, seeking to produce, import, and supply Class A and B drugs with higher prices, making the Isle of Man a particularly attractive market. Law enforcement agencies, working closely with the UK, have made considerable progress in disrupting this activity, seizing drugs and criminal cash and arresting offenders at various levels in the supply chain, as attempts are made to integrate proceeds of crime and/or remove the same from the Isle of Man.

The Chief Constable's Annual Report 2023/24 outlines the work taking place to deter, pursue, and prevent organised crime in the Island. It notes that immigration crime is beginning to emerge as a significant threat, alongside drug trafficking and ML. The success of the Constabulary in tackling organised criminality has resulted in the prison population being almost at capacity, with **33%** of inmates linked to organised crime.

The security of the Island's ports has been an area of focus during this period, with improvements being made through effective co-ordination of existing resources. The vulnerability of the ports to criminal activity, notably drug trafficking and associated ML, was exposed during and in the aftermath of the COVID-19 pandemic. More recently organised immigration crime has also attempted to exploit the existing arrangements on the relative free movement of people and goods to/from the UK and Ireland.

A 2025 independent report prepared for the Cabinet Office, "Isle of Man and UK Immigration Gap Analysis,"[6] has highlighted the abuse that the immigration system has experienced in recent years including from organised criminality, citing "fraud; illegal entry; modern slavery and exploitation; salary underpayments; forgery; charging illegal recruitment fees to migrants; public benefit claims; and the creation of "sham jobs or synthetic businesses" to facilitate immigration." The "IOM Worker Migrant (Seasonal)" and "IOM Representative of Overseas Business" routes were consequently closed to new applicants because of concerns.

Since the 2021 census, the Isle of Man has seen increasing numbers of immigration (visa) applications from South Africa and the Philippines, with China and India also showing increases. These trends partly reflect the Island's established economic connections, existing diaspora communities, and government strategies aimed at fostering economic growth and attracting investment. The nationality listed on visa applications may not always reflect an applicant's original citizenship, as many individuals hold dual nationalities or have acquired new citizenships prior to applying.

This pattern is part of a broader global trend whereby demand for "golden passports" and "golden visas," citizenship or residency acquired through investment, has risen sharply in recent years. Such schemes can be a legitimate tool for economic development, but they can also present risks, with individuals able to obtain multiple citizenships and, by extension, multiple identities. This enables individuals to conceal their true identity and the source of their funds/wealth, making it easier for those facing international sanctions to transfer illicit funds, facilitate ML, evade tax and, ultimately, pose a threat to national and global security. The Isle of Man mitigates these risks using powers available to the authorities, including, for example, Section 15 reports, competent authority (including law enforcement) access to ultimate beneficial owner (UBO) information via the Isle of Man Database of Beneficial Ownership, oversight inspections, and Central Registry powers to check the accuracy of, and request further information regarding, UBOs, etc. ■



# 5. Jurisdictional Profile

# 5. Jurisdictional Profile[7]

## BACKGROUND

**The Isle of Man is a self-governing British Crown Dependency located in the Irish Sea. It has a resident population of c. 84,500 and, in 2023/24, a GDP of £5.84 billion.[8] The Isle of Man has its own directly-elected parliament (Tynwald), legal and financial systems, and independent courts. The legal system is based on common law principles and underpinned by a well-developed statutory framework. Political leadership is led by the Chief Minister. The representative of the King is the Lieutenant Governor, who is a formal point of contact between the Isle of Man and the Crown.**

The UK Government is responsible for certain international matters, such as defence and international relations; however, the Isle of Man retains autonomy over domestic matters. The UK does not act internationally on behalf of the Isle of Man without prior consultation.

The Isle of Man is not a member of the UN, but it implements sanctions measures imposed by Security Council Resolutions due to inclusion as a party to the UK's membership of the UN. Isle of Man policy is to implement all UK and UN international sanctions measures without delay.

There is a formal Customs and Excise Agreement with the UK[9], providing an overarching policy for customs administration on the Isle of Man. Under the Agreement, the Isle of Man and the UK are part of the same customs and value-added tax (VAT) territory; the movement of goods between the two countries are not usually subject to customs checks. Certain goods are prohibited or restricted, including restrictions on cash, with declarations required to be made by individuals travelling with, or transporting via postal packets, cash across the border, including between the Isle of Man and the UK.

There is freedom of travel within the Common Travel Area (comprising the UK, Ireland, Guernsey, Jersey, and the Isle of Man). Holders of UK visas may travel to the Isle of Man[10] using their UK visa without needing to hold a separate visa (and vice versa). Individuals from outside the UK or Ireland wishing to relocate and work must hold a valid visa with permission to work on the Isle of Man.

The 2021 census shows that **49.6%** of the population was born in the Isle of Man[8] and **38.2**% in the UK. The figures for the UK reflect the proximity and economic ties. The next highest country of birth was the Republic of Ireland, at **1.9%**. The Isle of Man, with its capital Douglas and several smaller towns, is overall a homogenous society. Since 2020/21, there has been an increase in residents from South Africa, the Philippines, China, and India. The Isle of Man hosts several South African banks and has established communities of South Africans and Filipinos.

## BUSINESS MODEL

The IOM attracts a broad spectrum of international customers, owing to a combination of its strategic location, regulatory robustness, and commercial appeal. Its geographical proximity to both the UK and the Republic of Ireland positions the Island as a natural hub for cross-border business activity, particularly for enterprises with operations or assets spanning multiple jurisdictions. This advantage is further strengthened by longstanding cultural and economic ties especially with the North West of England, which enhance connectivity and foster trust.

Government policy has been instrumental in cultivating a business-friendly environment. The Island offers a robust legislative framework, efficient company registration processes, and a well-established legal system. Its tax regime, featuring a **0%** corporate tax rate for most businesses and a **10%** rate for Banking and Retail sectors, remains a key incentive for cross-border investors.

The Isle of Man has a diversity of sectors, and its business model provides global enterprises with political and economic stability, competitive taxation rates, and a dependable IT infrastructure. There is a well-developed and comprehensive regulatory and ›

statutory framework, high levels of compliance with international standards (evidenced by strong Technical Compliance against FATF standards), and access to an efficient legal system. The IOM benefits from a highly-skilled workforce, and the Island's reputation for reliability has made it a preferred jurisdiction for customers engaging relocation services, particularly those seeking to preserve wealth in a stable and secure environment. The Island's competitive cost base reflects both its scale and pragmatic policy approach.

The Life Insurance sector continues to be the predominant financial services sector by National Income, with an international customer base, while Online Gambling represents the largest sector outside of finance. The most significant economic contribution is derived from the Life Insurance, Banking, and Trust and Corporate Service Provider sectors

The Isle of Man also has internationally recognised ship and aircraft registries. The Ship Registry, established in 1984, consistently retains a position on the Paris MOU "White List" of top performing flag states and has a diverse fleet of merchant ships, yachts, and fishing vessels. The Aircraft Registry, established in 2007, registers private and corporate jets and helicopters.

The Isle of Man's direct and indirect taxation systems, together with its National Insurance system, fund a range of services for Island residents similar to those provided in the UK, such as the National Health Service, a State Pension, social Care services, etc. The Isle of Man operates a responsible tax system and has a long-standing policy of compliance with international standards as they are promulgated by bodies such as the FATF and the OECD. The Isle of Man is recognised by the International Monetary Fund (IMF) and the OECD for meeting international transparency obligations.

There are very close historical, geographical, cultural, and economic ties between the Isle of Man and the UK. It is unsurprising, therefore, that trade with the UK dominates the Isle of Man's business model. Data from the UK Office of National Statistics (ONS) and HM Revenue and Customs (HMRC) shows that, for the 12 months up to the end of June 2025, total trade in goods and services, including financial services, between the Isle of Man and the UK was valued at £1.9 billion. [11]

Data highlights that a significant proportion of the Isle of Man's business is regional in nature – i.e., it is substantially conducted with the UK and to a lesser extent with the Channel Islands.

As an international finance centre, the Isle of Man has commonalities with other smaller jurisdictions with economies based significantly on international finance and business, notably Jersey and Guernsey. All three islands are also Crown Dependencies with strong links to the UK (as outlined above). Nevertheless, IFCs differ with regard to their international profiles and the services they provide. For example, the economies of Jersey and Guernsey have particularly significant International Banking and Funds sectors.

The Isle of Man is significantly UK-centric, with the UK involved in over **45%** of banking flows and, as identified in this report, a significant number of customer relationships directly linked to the UK. Analysis of Jersey's investor and funding profile – informed by the Centre for Economics and Business Research (Cebr) report "Jersey's Contribution to Global Value Chains"[12] (commissioned by Jersey Finance, 2021) – shows that a substantial majority of capital administered through Jersey is sourced from non-UK jurisdictions. Available information indicates that Guernsey's financial services sector is overwhelmingly internationally-sourced, with most managed assets attributable to non-UK investors (although there is still substantial investment into UK assets).[13]

International banking is important for the IOM; it is also significant for other smaller IFCs, for example Monaco, while Gibraltar and Malta have developed sectors in Online Gambling and Virtual Assets, amongst other services. For further information regarding the geographic exposure of the Isle of Man to other countries, including IFCs, see **Chapter 8**.

## ECONOMIC STRATEGY

In November 2022, Tynwald approved an Economic Strategy, a wide-ranging 10–15 year strategy.[14] The Economic Strategy identified that, while the economy was diversified to some extent, there was sectoral concentration, with reliance on a small number of established sectors (Insurance, Online Gambling, Banking, and TCSPs), which created vulnerabilities and limited resilience. Three priority outcomes were identified for business: ›

(1) an increase in business productivity, (2) an increase in business innovation and investment, and (3) an improvement in the quality and growth in the size of the workforce.

Skills shortages were highlighted as the main business concern, with difficulties in recruiting and retaining skilled workers. This is a theme that was repeated in the NRA sectoral workshops, with many sectors experiencing challenges in recruiting and retaining experienced staff — in particular, compliance staff. Digitisation, changing taxation regimes, and global competition were also identified. Artificial intelligence was not identified as a key enabler/challenge in the Strategy, but in September 2025 the Chief Minister announced the creation of a National AI Office.[15]

## SIGNIFICANT ECONOMIC SECTORS

The largest/materially most significant sectors in the Isle of Man are Banking, Insurance, Online Gambling, and Trust and Corporate Service Providers; a brief overview of each is provided below. For further, detailed information, see the individual sectoral reports in **Chapter 12**.

### Banking

The Isle of Man Banking sector is a mature sector which is fully regulated and supervised by the FSA. The sector has seen consolidation over time, resulting in there now being a smaller number of banks which are mainly branches or subsidiaries of larger UK and international banking groups. Banking revenues are **9%** of national income. This compares to Insurance, the largest sector of the economy at **17%**, and Gambling, which contributes **14%**[16] The Banking sector held over £46 billion in assets as of December 2024. There are 11 banks operating in the IOM (and one bank representative office). The countries of origin (ultimate parent bank/group) for the current 11 banks are:

## Figure 3: Countries of origin for banks in the IOM

| UK | Spain | South Africa | Trinidad and Tobago | Isle of Man |
|---|---|---|---|---|
| 4 | 1 | 3 | 1 | 2 |

Domestic banking is mainly delivered through UK banking groups. Banks also serve non-resident personal customers and, to a lesser extent, international businesses, including cross-border activity. There is a wide geographical spread of non-resident banking customers by residency and nationality. The largest number of non-resident customers are from the UK, reflecting the close geographical and economic ties between the UK and the IOM. There is also a significant number of South African-resident banking customers, reflecting the Banking sector's long-standing links to that country.

### Insurance

The Insurance sector is the largest financial sector in the Isle of Man, representing **17%** of national income. As a politically and economically stable jurisdiction with a strong regulatory framework, the Isle of Man has become an international centre for establishing and managing insurance structures. The Insurance sector is fully regulated and supervised by the FSA. The sector encompasses Life, Captive, and General insurance, with Life being the largest part of the sector. As of 31 March 2025, there were 12 authorised long-term (Life) insurers, 94 authorised general (non-Life) insurers, 30 General Insurance Intermediaries, and 11 permitted insurers, with £88.1 billion of funds under management in the Life sector and £4.8 billion in the non-Life sector as of 31 December 2024.

### Gambling

The Online Gambling sector in the Isle of Man has been in existence since 2001; licences are issued by the GSC, which regulates and supervises all forms of gambling carried out in the ›

Isle of Man. The GSC also maintains an elective software supply licensing regime that allows licence-holders to list pre-approved games. Although they are not casino operators and therefore fall outside the scope of international AML/CFT standards, they are subject to entry controls and proportionate AML/CFT supervision as part of the Isle of Man licensing regime.

The concentration of businesses lies in online operations, with most licence-holders being online casino operators and software suppliers. Terrestrial (land-based) gambling remains smaller, with one land-based casino, three licensed bookmakers, and five machine suppliers servicing 87 premises (as of 30 November 2025). The Online Gambling sector is significant and, while it has reduced in size somewhat in recent years, remains the largest non-financial sector, contributing **14%** of national income in 2023/2024.

### Trust and Corporate Service Providers

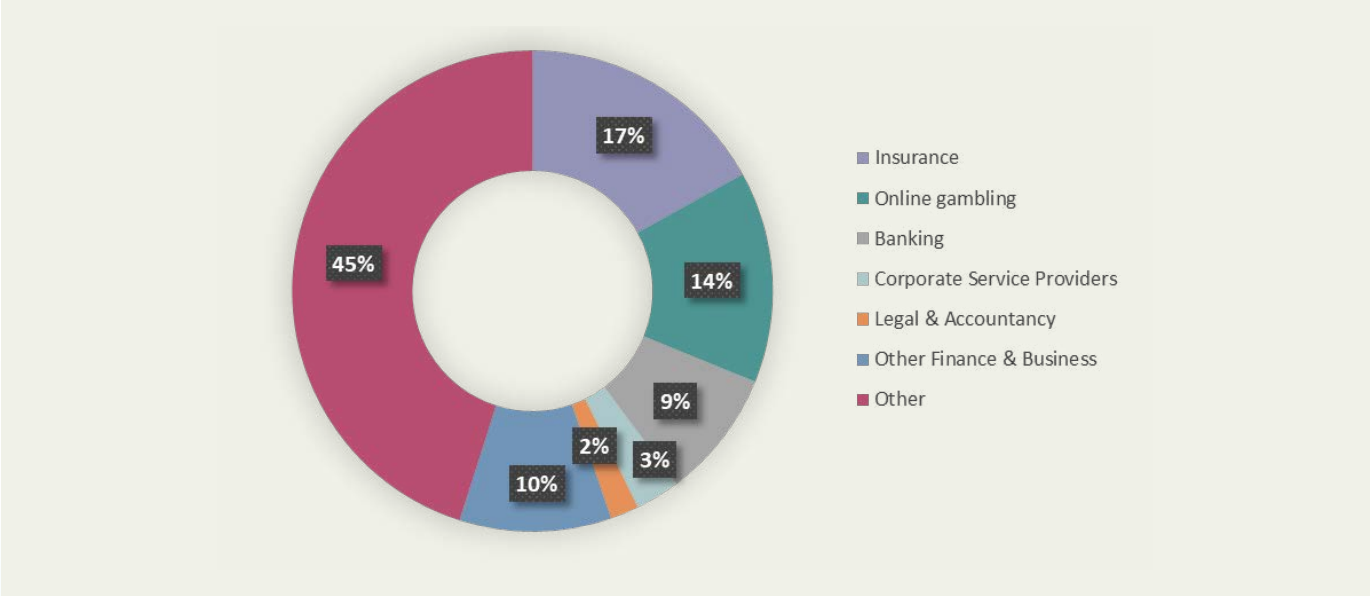
Trust and Corporate Service Providers are regulated and supervised in the Isle of Man by the FSA. CSPs have been regulated since 2000, and licencing was extended to include providers of Trusts in 2005. TCSPs represent **3%** of national income (according to the Isle of Man National Income Report 2023/24). The number of TCSPs has steadily reduced between 2017 and 2023, mostly due to consolidation of the market.[17] Several of the TCSPs in the Isle of Man are part of wider Groups. Just over **40%** of TCSPs are small (fewer than 10 employees) and around **50%** have 10–100 employees.

## MATERIALITY

The Isle of Man is a small international finance centre, ranked 55th in the 2025 Global Financial Centres Index.[18] In common with other IFCs, the majority of the customer base is non-resident by number and by value of the business transacted.

The economy is diverse; financial services make up a significant proportion, with Insurance representing the largest individual sector at **17%.** Company income is the primary economic driver, accounting for c. **60%** of GDP in 2023/24. Personal incomes contribute c. **33%** to the economy. Figures[19] in 2025 show that the Island has a workforce of over 36,000 and an unemployment rate of c**. 0.7%**. There are no restrictions on property ownership for residents or non-residents. ›

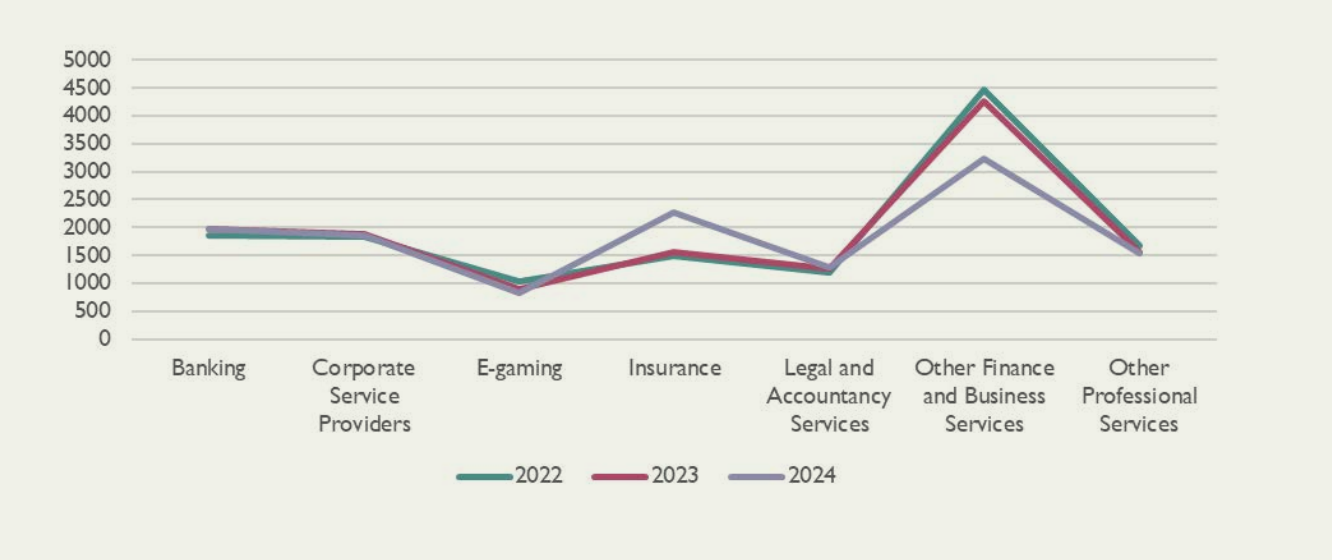
## Figure 4: National Income 2023-24[20]




Source: Statistics Isle of Man, Cabinet Office

Banking, Insurance, and Corporate Services are the largest employers in the financial and non-financial sectors. Employment numbers in these sectors have remained stable.

## Figure 5: Employment by Sector in the Isle of Man




Source: Statistics Isle of Man, Cabinet Office

The Isle of Man's Economic Strategy aims to strengthen resilience with four key shifts, including increasing GDP and creating 5,000 new jobs by 2032.

### TAXATION AND TRANSPARENCY

The Isle of Man operates a responsible tax system and has a long-standing policy of compliance with international standards as they are promulgated by bodies such as the OECD and the FATF. The Isle of Man has a wide network of international tax agreements that provide for various forms of exchange of information for tax purposes, and the Island has been a party to the OECD/Council of Europe Convention on Mutual Administrative Assistance in Tax Matters since March 2014.

The Isle of Man is an active participant in the OECD's Global Forum on Transparency and Exchange of Information for Tax Purposes ("the Global Forum").

Under the international standard for the exchange of information on request (EOIR), the Isle of Man's Income Tax Division processes requests for information from other jurisdiction's tax administrations, including UK HMRC, in respect of both criminal and civil tax investigations. Details of these requests are confidential, in accordance with the tax agreements under which the data is exchanged.

The Island's second OECD Peer Review Report for EOIR, published in November 2017, concluded that the Island continued to be compliant (the highest possible rating) with the international standard on transparency and exchange of information upon request.

The Isle of Man made an early commitment to the Common Reporting Standard (CRS) and in 2014 signed the CRS Multilateral Competent Authority Agreement (MCAA). Under the CRS, the Isle of Man provides over 35 million lines of data ›

to more than 70 jurisdictions annually. The Isle of Man has been providing similar detailed financial account and ownership information to the UK (HMRC) since 2016 and to the US (Internal Revenue Service) since 2015.

The 2022 Global Forum peer review of Automatic Exchange of Information (AEOI), which looks at jurisdictions' implementation of the CRS, assessed the Isle of Man as being 'on track,' the highest possible rating for that form of review at this time.

A new AEOI standard has also been developed to address the tax risks associated with crypto assets (the Crypto Asset Reporting Framework, "CARF"). The Isle of Man was in the first group of signatories to the applicable MCAA for the CARF that was signed in November 2024. At the same time, the Isle of Man committed to implementing a series of changes to the CRS (commonly referred to as the "Amended CRS"), which will be applicable from 2026.

In terms of other international taxation standards, Country-by-Country Reporting (CbCR) has been introduced, and the Isle of Man also spontaneously exchanges potentially relevant information, including any in respect of certain tax rulings (ETR), and takes measures to ensure that treaty-related disputes are resolved in a timely, effective, and efficient manner, and in line with the best practices.

In October 2017, the Isle of Man became the second jurisdiction (after Austria) to ratify the OECD's Multilateral Convention to Implement Tax Treaty-Related Measures to Prevent Base Erosion and Profit Shifting, preventing multinationals from avoiding tax by shifting profits to other countries.

In October 2021, the OECD's Inclusive Framework, including the Isle of Man, agreed on a two-pillar plan to address the tax challenges of the digital economy and base erosion and profit shifting (BEPS). Pillar Two establishes a global minimum tax rate of **15%** for multinational enterprises with turnovers above €750 million, affecting about 800 businesses on the Island. In May 2023, the Crown Dependencies announced their intention to tax profits within their islands from 2025 and the Isle of Man introduced a Qualified Domestic Minimum Top-Up Tax (QDMTT), with legislation approved in November 2024 that has been effective since 1 January 2025.

The Isle of Man has a history of working constructively with the EU Code of Conduct Group on Business Taxation (CoCG). In response to concerns identified by the CoCG, in December 2018, the Isle of Man introduced an economic substance test for certain Isle of Man tax resident companies within relevant business sectors[21] to ensure that profits registered in the Isle of Man are linked to commensurate economic activity.

The measures were assessed by EU finance ministers, as well as the OECD's Forum on Harmful Tax Practices (FHTP); both groups concluded that the Isle of Man's domestic legal framework is in line with the standards and, as a result, in March 2019, the EU listed the Isle of Man as a cooperative jurisdiction for tax purposes.

Legislative amendments approved by Tynwald in June 2021 brought partnerships into the scope of substance. There are now annual joint reviews of the Isle of Man's implementation of substance conducted by the FHTP and COCG which, to date, have always concluded with no issues identified.

Positive engagement on tax matters takes place with the UK on a continued basis. Most recently, the Isle of Man Treasury Minister and the UK Exchequer Secretary to the Treasury issued a joint statement on 27 May 2025 concerning Isle of Man promoters of UK tax avoidance schemes, committing to enhanced information flows, joint working, and other measures.[22]

## BENEFICIAL OWNERSHIP

The Island has a central Database of Beneficial Ownership which collects and maintains detailed information about the registrable beneficial owners of legal entities created in the IOM. Under Section 26 of the Beneficial Ownership Act 2017 (BOA), the Database is directly accessible to relevant competent authorities, including law enforcement and regulators. Foreign counterparts can access information through established international cooperation channels.

In December 2024, secondary legislation was introduced to allow obliged entities (those persons obliged to conduct customer due diligence in line with the AML/CFT Code 2019 or the Gambling (AML/CFT) Code 2019) access to the Database to assist in performing customer due diligence checks. Additionally, from January 2023, the Central Registry commenced ›

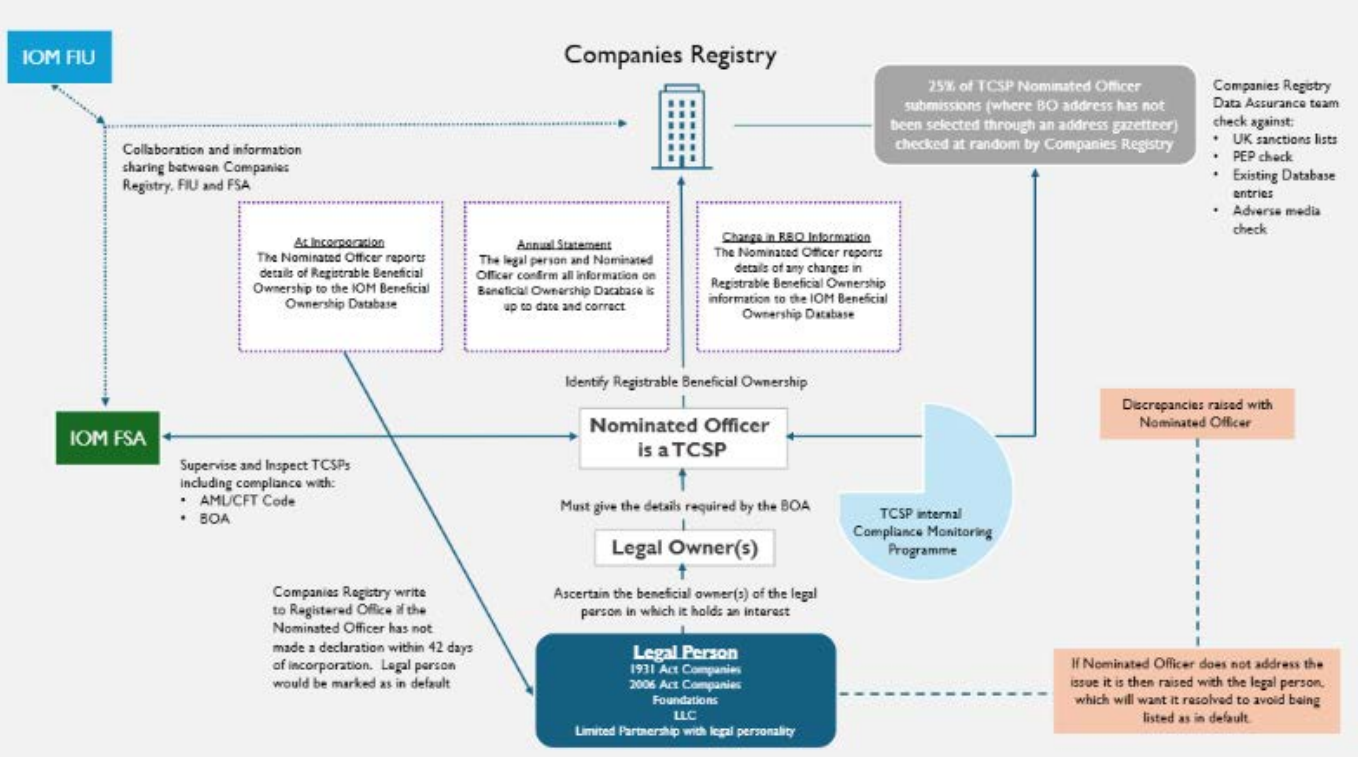
Identification and Verification (ID&V) checks on all submissions from natural persons and a sample (**25%**) of submissions from a regulated corporate service provider of beneficial ownership information onto the database.

Each Isle of Man legal entity to which the BOA applies must have a Nominated Officer whose duties include receiving beneficial ownership information from the legal owner of each interest in a legal entity, preservation of required details, and, from the information received, ascertaining which beneficial owners may be registrable and subsequently submitting the required details in respect of any registrable beneficial owner to the Database. A Nominated Officer is also responsible for ensuring the accuracy of information submitted to the Database. The Nominated Officer must ensure that the required details which they obtain are accompanied by information from a reliable and independent source, which acts to verify the adequacy and accuracy of the beneficial ownership in line with FATF requirements. A Nominated Officer can be either:

- a natural person residing in the Isle of Man; or
- a licensed corporate service provider regulated under the Financial Services Act 2008. (FSA08).

**Figure 6** shows a high-level summary of the process and controls where the Nominated Officer is a TCSP. [23] ›

## Figure 6: Registrable Beneficial Ownership Process Where the Nominated Officer is a Regulated (Class 4) TCSP




Source: FSA and Companies Registry

The Registry is responsible for maintaining the Database. The Registry can make enquiries as to the accuracy of information submitted, correct or annotate mis-leading entries, and, as an ultimate sanction, the Registry may strike the legal entity from the Register for non-compliance.

The FSA has oversight functions in respect of the Beneficial Ownership Act and assesses compliance among relevant persons. The Registry liaises closely with the Authority and brings exceptions to its attention. The FSA has a range of inspection and investigatory powers and may apply civil penalties to a relevant person[24] (as per the definition in Section 30(2) of the BOA) who is in contravention of the Act. Between 2017 and 2019, the FSA inspected 239 legal entities to check compliance with the BOA.

The FSA renewed its focus on oversight of compliance with the Act in late 2022, allocating additional resources to test beneficial ownership compliance. At the time of writing, the FSA has, since late 2022, conducted 35 inspections to test Nominated Officers' compliance with the requirements of the Act, and has, throughout this process, reviewed the accuracy and adequacy of the beneficial ownership of 867 Isle of Man entities. From October 2022 to November 2025, the beneficial ownership of a wide variety of legal entity types was reviewed. ›

## Figure 7 : The Percentage of Legal Entity Types Inspected Against Overall Numbers of Recorded Entities (as of 31 December 2024).

| Legal Entity Type Inspected | Percentage of Total Number Inspected | Overall Number of Recorded Entities (as at 31/12/2024) |
|---|---|---|
| 1931 Act Company Private Ltd by Guarantee, with Share Capital | 0.6% | 61 |
| 1931 Act Company Private Ltd by Guarantee, without Share Capital | 0.7% | 339 |
| 1931 Act Company Private Ltd by Shares | 33.7% | 14,558 |
| 1931 Act Company Private Unlimited | 0.8% | 89 |
| 2006 Act Company Limited by guarantee | 0.5% | 39 |
| 2006 Act Company Limited by shares | 55.9% | 9,082 |
| 2006 Act Company Limited by shares and guarantee | 0.2% | 18 |
| 2006 Act Company Protected Cell Company Limited by shares | 0.6% | 71 |
| 2006 Act Company Unlimited with shares | 1.4% | 621 |
| Foundation - Charitable | 0.2% | |
| Foundation - Non Charitable | 3.2% | 211 |
| Foundation - Both | 0.1% | |
| Limited Liability Company | 0.9% | 91 |
| Limited Partnership (with Legal Personality) | 1.0% | 107 |
| Limited Partnership (without Legal Personality) | 0.1% | 89 |
| | 100.0% | |

Source: FSA

Under the Beneficial Ownership (Amendment) Act 2021, several changes were introduced to enhance the accuracy and responsiveness of the Database, including:

- a reduced period of 21 days for notifying the Registry of changes to the beneficial ownership or Nominated Officer position; and
- powers to make enquiries as to the accuracy of submitted information and to correct or annotate false, inaccurate, or misleading entries.

It is an offence for individuals who use the beneficial ownership Register to not report errors identified in data they access.

The Registry has a Data Assurance Unit (created November 2021) responsible for reviewing information on the Beneficial Ownership Database. That Unit has increased in size to 5 officers. Since the commencement of this work in 2021, the Registry has raised 6,247 queries specific to beneficial ownership information.

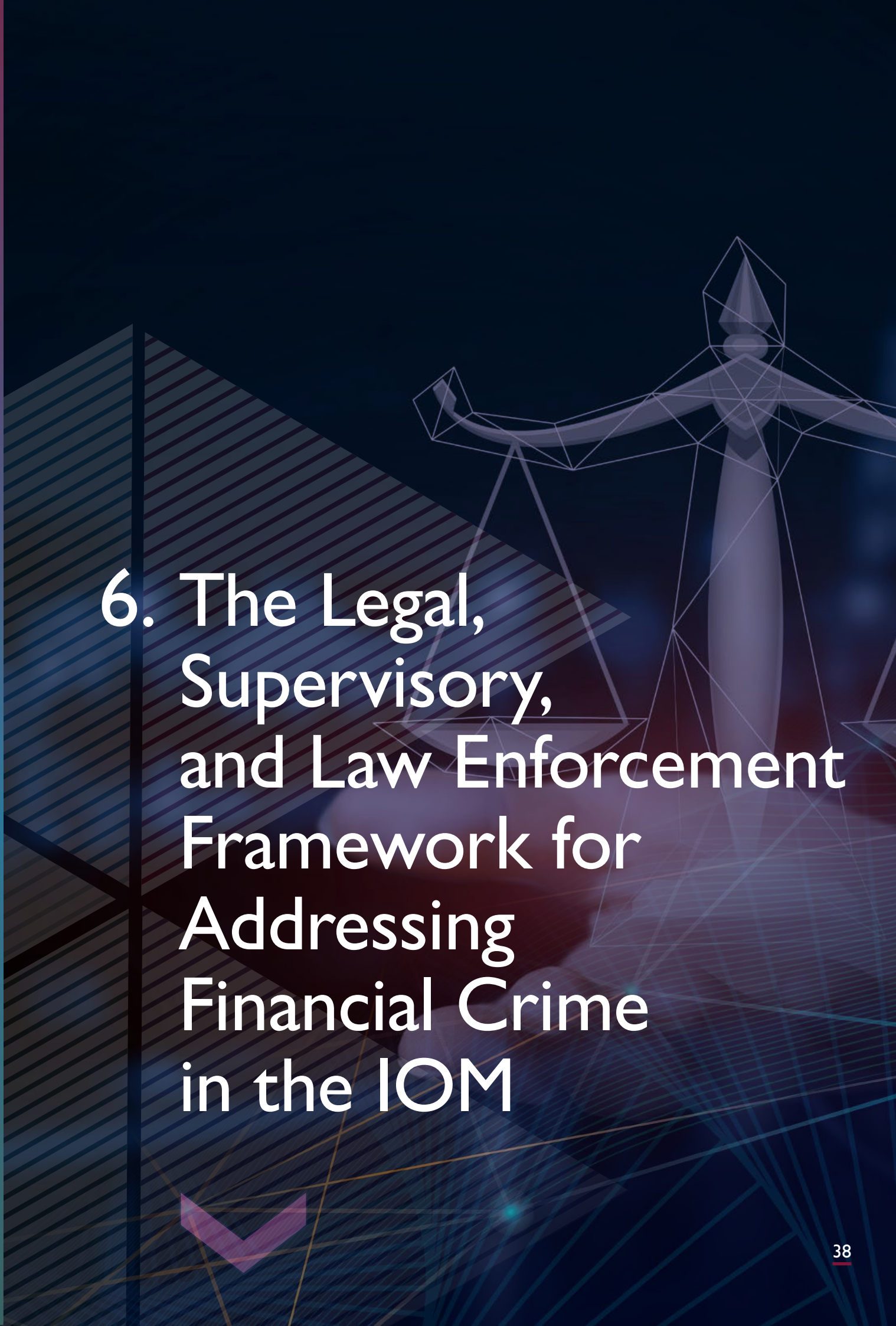
System upgrades were delivered in 2023 to strengthen verification of data and improve auditing, automation, and analytical capabilities. Work is now taking place to introduce a third-party digital identification solution.

In April 2016 the Exchange of Notes (EON) came into force between the IOM and UK in respect of sharing of beneficial ownership information. The UK Home Office Statutory review of the implementation of the EON on beneficial ownership between the UK, Crown Dependencies, and Overseas Territories, published June 2019, concluded:

*"The Exchange of Notes Arrangements have proven highly valuable to UK law enforcement agencies. The Arrangements have increased in effectiveness since their introduction as initial administrative challenges and misunderstandings have been resolved."*

The FIU report on the EON requests and other channels for international information exchange. In 2024, the FIU reported that EON received 4 routine requests, all in respect of IOM companies and non-IOM UBOs. EON requests are evidential information. The International Anti-Corruption Coordination Centre (IACCC) requested information on 14 occasions. There were no outbound requests. The Financial Dispute Resolution Network (FIN-NET) requested information on 229 occasions. There were no outbound requests. Egmont Group members requested information on 79 occasions. There were 57 outbound requests. The greatest suspected predicate offence for inbound and outbound was fraud. The top jurisdiction for inbound and outbound was the United Kingdom. ■

"The Exchange of Notes Arrangements have proven Highly valuable to UK law enforcement agencies. The Arrangements have increased in effectiveness since their introduction as initial administrative challenges and misunderstandings have been resolved."



# 6. The Legal, Supervisory, and Law Enforcement Framework for Addressing Financial Crime in the IOM

# 6. The Legal, Supervisory, and Law Enforcement Framework for Addressing Financial Crime in the IOM

## NATIONAL COORDINATION

**The National Financial Crime Strategy established the mission, aims, and strategic objectives for the continued success of the IOM as an IFC. The aims are that:**

- The National Financial Crime Strategy established the mission, aims, and strategic objectives for the continued success of the IOM as an IFC. The aims are that:
- the public sector and industry work together to achieve a common goal of meeting international standards;
- actions are informed and driven by best practice and standards, both domestic and internationally;
- the Island is an active participant in the global fight against financial crime; and
- all stakeholders have the resources they need to effectively identify and respond to ML/TF/PF threats.

The National Financial Crime Strategy clearly documents the IOM's position in supporting international efforts in the fight against ML. The National Action Plan, once published, will outline the actions being taken by each competent authority. A number of NRAs have been published, of which this ML NRA is one, and, further to the publication of the National Risk Appetite Statement in 2025, aimed at mitigating risk in the eGaming sector and related industries, a broader National Risk Appetite is scheduled to be drafted by Q3 2026. ›

# Figure 8: The Relation Between the Overall Island Plan and the National Financial Crime Strategy.




There is strong political commitment to the fight against ML. The Chief Minister in his Foreword to the Isle of Man Financial Crime Strategy 2024–2026 states that *"the Isle of Man takes its international responsibilities seriously. As an international finance centre, the Island recognises it must maintain high standards, and we will continue to maintain a robust framework that means that criminals are deterred from conducting illegal activity. Additionally, we are fully committed to maintaining our understanding of the developments in global regulation and enforcement techniques – and will continue to act quickly to strengthen our laws where needed."*

In June 2023, following an external review, significant levels of financial investment were approved for staffing and IT infrastructure to support the delivery of an updated Financial Crime Strategy. A total of over £1.5 million (submitted as a joint funding bid) was allocated using the Seized Asset Fund, which includes money and assets confiscated as the proceeds of crime. Resources for staffing were allocated to the AML/CFT Policy Office, the Central Registry, and the regulators, with further funding for infrastructure/IT.

In September 2025,[25] the Isle of Man held its second annual Countering Financial Crime Conference, which was attended by over 600 representatives from industry, the relevant Departments, and wider Government agencies. In February 2025, financial crime became the responsibility of the Minister for Justice and Home Affairs. Prior to this, the Chief Minister ›

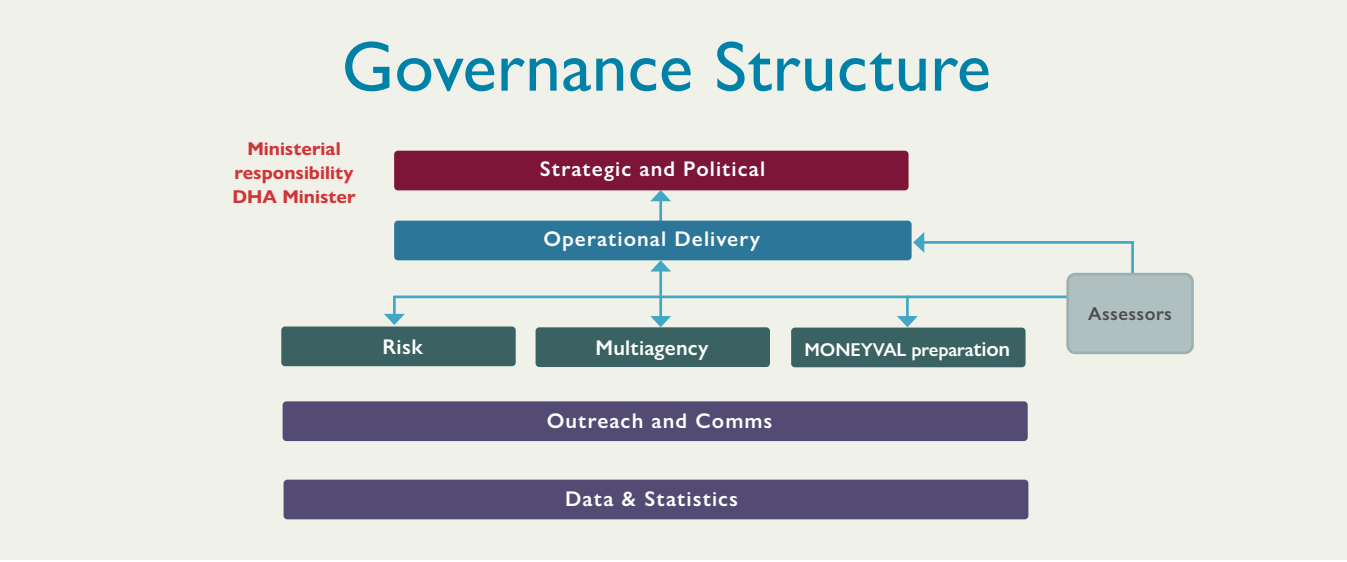
provided the lead for financial crime matters. Allocating this responsibility to the DHA Minister has further increased the importance and specific focus given to financial crime matters. The Minister for the DHA is a member of the Isle of Man Government (Council of Ministers) and of the Economic and National Strategy Board (ENSB), the two relevant senior governmental decision-making bodies. The Chair of the Financial Crime Strategic Board is the Chief Executive of the DHA, who reports to the Minister.

The FCSB[26] provides an effective multi-agency mechanism at senior heads-of-agencies level. The Chair of the FCSB reports to the Economic and National Strategy Board. The ENSB, which is chaired by the Chief Minister, includes the respective DHA, Treasury, and Department for Enterprise Ministers and has AML/CFT as a standing agenda item. The FCSB enables the Isle of Man Government, regulators, and law enforcement authorities to coordinate the development and implementation of actions related to combatting money laundering, terrorist financing, the financing of proliferation of weapons of mass destruction, and other financial crimes. The Board is made up of senior officers from law enforcement, regulatory authorities, the Attorney General's Chambers (AGC), and the Financial Intelligence Unit.

The overall coordination of the Island's AML/CFT/CPF regime sits with the AML/CFT Policy Office, in the Department of Home Affairs.

The Financial Crime Strategic Board has been actively reviewing the national governance structure for AML/CFT and, in March 2025, agreed a revised structure (see **Figure 9**) to simplify and clarify key roles and responsibilities.

## Figure 9: AML/CFT/CFP Governance Structure




### GOVERNANCE STRUCTURE

- The Financial Crime Delivery Group translates strategy into action. The group brings together operational leads from key agencies to coordinate the implementation of AML/CFT initiatives in order to meet international standards, monitor progress, and address practical challenges. ·
- The National Risk Profile Group aims to assess and understand the IOM's financial crime risk landscape, drawing on data, sectoral insights, and expert judgement. The Group oversees the development of the NRA and supports the ongoing review of vulnerabilities and controls. ›

- The Multiagency Cooperation Group works to enhance operational effectiveness through improved information sharing and joint working, bringing together a wide range of agencies to address complex matters and coordinate responses to cross-border threats.

The Outreach and Communications Group and the Data and Statistics Group deliver targeted support to the AML framework groups. Additionally, the MONEYVAL Preparation Group is responsible for ensuring that the Island's AML/CFT framework, policies, and practices are suitably prepared and documented in advance of assessments related to the international standards.

New AML/CFT/CPF governance arrangements should be reviewed to ensure their effectiveness.

## NATIONAL COOPERATION

The FIU Act 2016 enables the FIU to both receive and disseminate information with all other domestic agencies. An Anti-Money Laundering Group (AMLG) comprising representatives from all authorities serves as an operational forum for the FIU and other relevant competent authorities to cooperate and, where appropriate, coordinate and exchange information domestically with each other concerning operational matters.

A number of statutory gateways exist which allow cooperation and the sharing of information between law enforcement and regulatory bodies in the IOM. These provisions are set out in various Acts of Tynwald and subordinate legislation. There are various forums in place which facilitate the sharing of information in relation to the development and implementation of policies and activities to combat ML; the close working relationships between the various organisations involved further help in ensuring that co-operation and assistance is achieved in a straightforward and collaborative fashion.

The regulators liaise closely on matters including AML/CFT developments, and constant dialogue is maintained with a wide variety of government departments. The making of primary legislation, secondary legislation, and the issuance of guidance is always subject to full consultation with all interested parties, and cooperation with relevant bodies is an essential requirement in the initial drafting and formulation of such provisions.

A Strategic Industry AML Forum meets at least quarterly but can be convened monthly as necessary. This comprises Ministers from the Departments of Justice and Home Affairs, Enterprise, and the Treasury, and industry heads from the Financial Services and Digital sectors.

The FIU collaborates with a number of industry sectors via the forum of the IOM Financial Crime Partnership, which began as a pilot project in 2022 with senior Banking sector representatives. The IOMFCP has since formed subgroups for TCSPs, Insurance, and Online Gaming risk. The IOMFCP operates within the existing legal framework of the IOM to assist in the prevention, detection, and investigation of ML, TF, and PF through collaboration on strategic projects and sharing of tactical intelligence to assist law enforcement investigations. Membership of the IOMFCP is voluntary, with members required to sign an MOU upon joining.

## AML LEGAL, SUPERVISORY, AND ENFORCEMENT FRAMEWORK

The IOM's AML/CFT framework includes a robust suite of legislation and guidance, a risk-based approach to supervision, and a dissuasive array of enforcement tools. This framework:

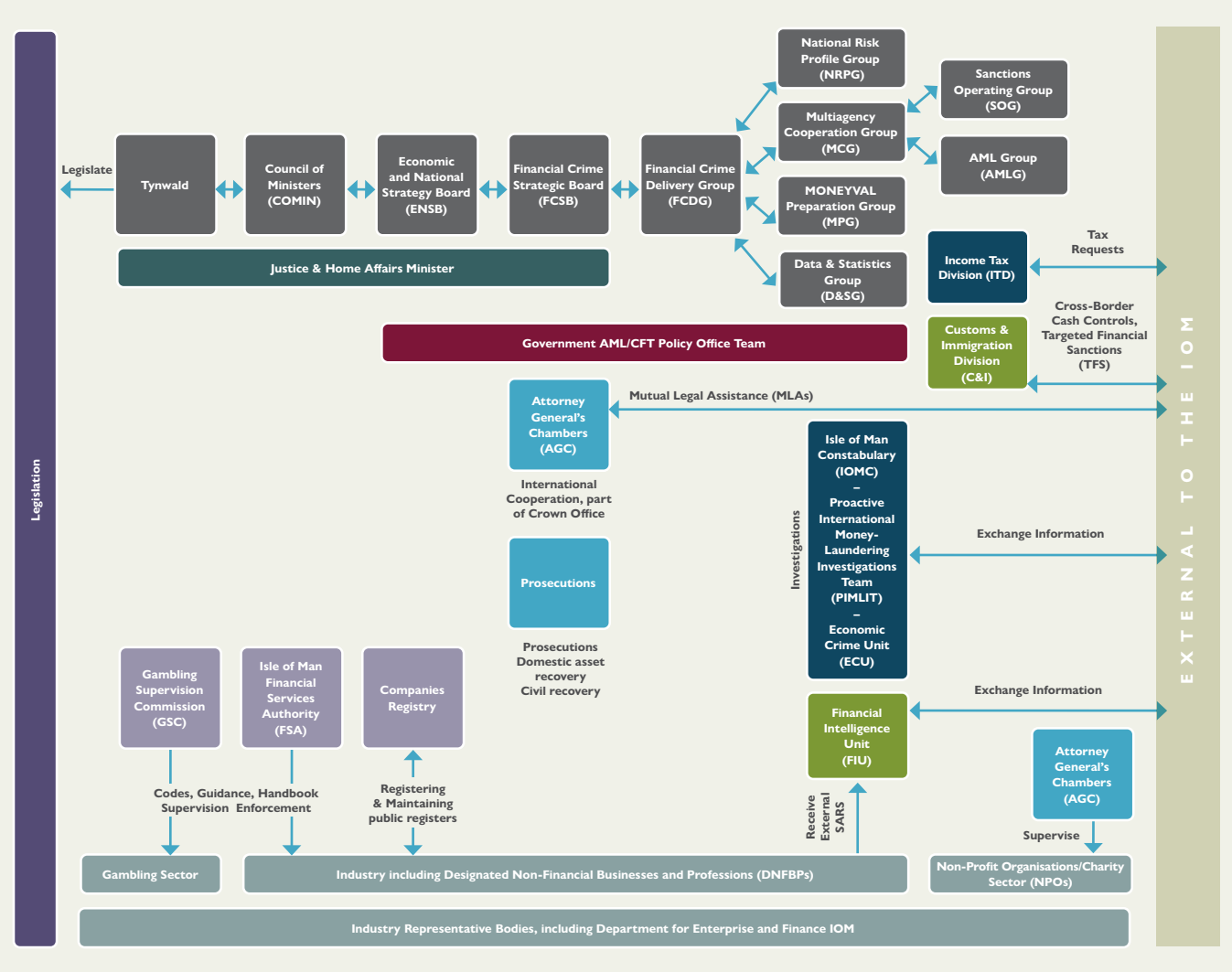
a) is established to minimise the abuse of the international and IOM financial system by actors wishing to conduct ML;
b) is based on the FATF Recommendations and is continually updated in line with the FATF changes; and
c) implements the requirements of the international conventions extended to the IOM (see **section 6**)

The Island achieved a high level of compliance with the FATF's 40 Recommendations at the time of the last MONEYVAL follow-up assessment, with 39 out of the 40 Recommendations being scored Compliant or Largely Compliant (see **Appendix III** for further details).

The key piece of IOM legislation relating to ML is the Proceeds of Crime Act 2008 (POCA). A list of all relevant legislation, including enhancements to the legal framework introduced since 2016, is included at **Appendix III** a high-level summary of the competent authorities and the roles that they play in mitigating risk within the Island are detailed below in **Figure 10** and in Appendix 5 in the National Financial Crime Strategy.

Further legislative provisions aimed at strengthening the AML framework are in development and should be implemented. ›

# Figure 10 Summary of the IOM AML/CFT/CPF Framework




Source: DHA

## DOMESTIC

### Criminalising ML

The IOM has maintained a robust legal framework for criminalising ML. ML is criminalised under POCA 2008: Section 158(11) provides a definition that is aligned with international standards, including FATF Recommendations. Tax crimes and self-laundering are included as predicate offences and a conviction for the underlying offence is not required for an ML conviction. Penalties range from fines to up to fourteen years' imprisonment, and all parties, including those who fail to disclose, can be prosecuted.

#### *Scope of FATF Standards: Financial institutions/Designated Non-Financial Businesses and Professions and Exemptions and Simplified Measures*

Schedule 4 to the POCA 2008 sets out which sectors are in scope of the Island's AML/CFT legislation Framework. The financial institutions (FIs) and designated businesses included in ›

the FATF Standards are included in the Isle of Man framework and therefore must apply the requirements in the preventative measures and AML/CFT Codes. The Isle of Man has not disapplied any of the FATF standards to the cohort of financial institutions and designated businesses.

## EXEMPTIONS FROM FINANCIAL SERVICES LICENSING

The Financial Services (Exemptions) Regulations 2011 identify certain activities and entities that are exempt from holding a financial services licence with the FSA. These exemptions, however, remain subject to the AML/CFT legislative framework, including the requirements of the AML/CFT Code, but are not subject to routine supervisory oversight for compliance with the Code (although the FSA retains supervision and enforcement powers over this cohort of persons where appropriate).

An internal risk assessment has recently been undertaken by the FSA to determine whether these persons should be covered by the AML/CFT Code, whether the AML/CFT Code should apply, or whether these persons are suitable to remain exempt from routine supervision for Code compliance.

This risk assessment considered:

- the nature and scale of the exempt activities;
- the inherent ML/TF risk profile of the activity; and
- whether the activity falls within the scope of FATF Recommendations.

Following this review, the FSA concluded that, while some exemptions relate to activities not captured by FATF standards or present a particularly low ML/TF risk, the current approach and scope remains appropriate and proportionate.

## SIMPLIFIED MEASURES

The AML/CFT Code 2019 includes numerous simplified customer due diligence measures and exemptions (Part 6 of the AML/CFT Code) which may be utilised where lower risks are identified. The AML/CFT Handbook provides guidance on the implementation of said exemptions and simplified measures, with sector-specific AML/CFT guidance providing further detailed guidance where simplified measures or exemptions relate to certain sectors.

The purpose of these simplified measures is to ensure that compliance obligations are proportionate to risk so that resources can be allocated in the most effective way. These measures are subject to periodic review to ensure they remain justified and aligned with evolving risks and international standards. They are also reviewed at trigger events such as legislative changes or emerging typologies. Where any simplified measures are permitted by the AML/CFT Code 2019, they must not be utilised wherever a matter poses a higher risk or where there is a suspicion of ML/TF.

Relevant persons (or, in the case of the "acting on behalf of" concession, receiving regulated persons) are expected to make a reasoned, proportionate, and documented risk-based determination as to whether they are going to apply these measures. Such determinations must:

- be informed by the relevant person's Business and Customer Risk Assessments;
- remain sensitive to the ML/TF/PF risks; and
- ensure that the relevant person can manage and mitigate the risks effectively.

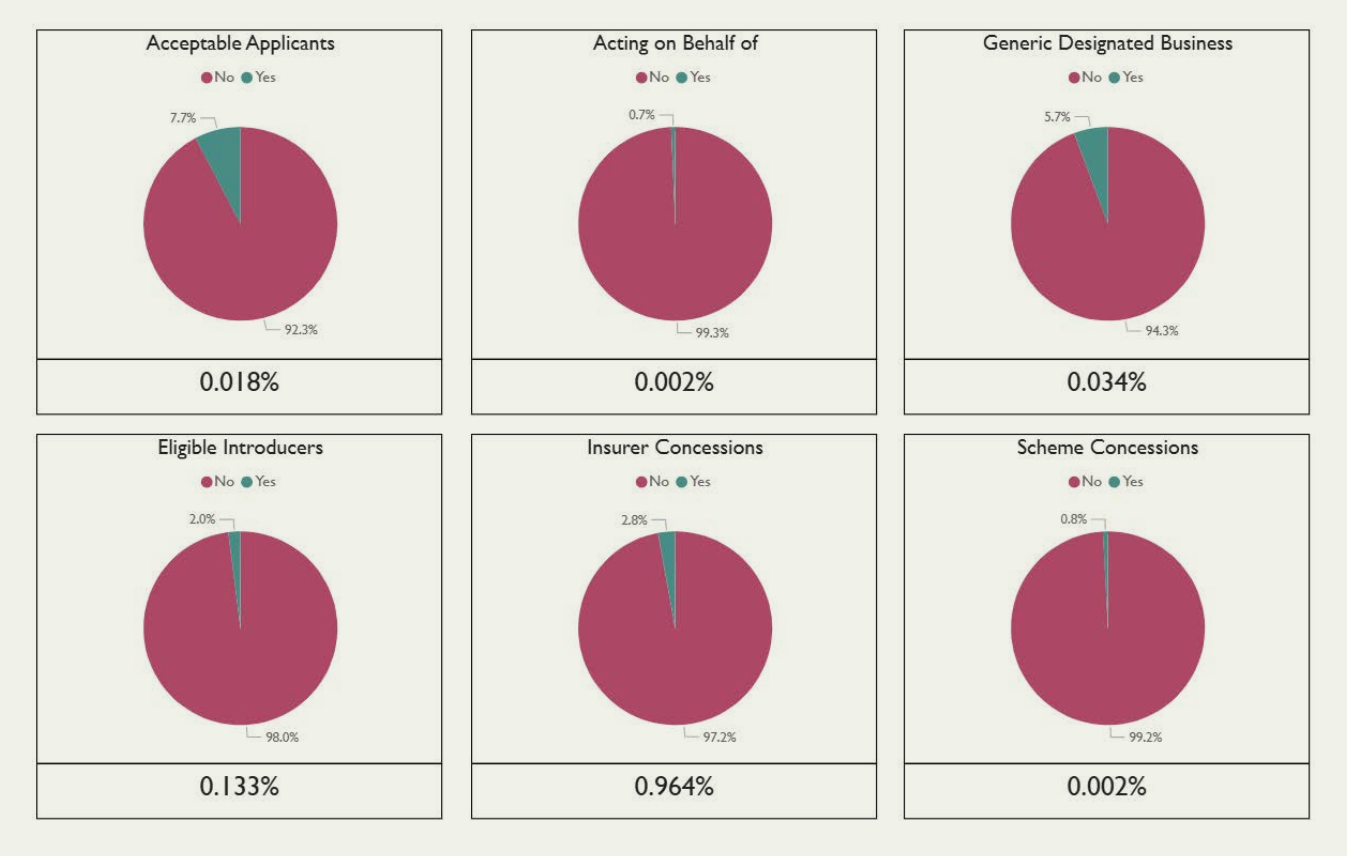
A Risk Assessment has also been undertaken to determine if the simplified measures remain appropriate, proportionate, and consistent with FATF standards. This assessment considered the basis and rationale for each measure and the controls in place to ensure they remain applicable only in lower-risk situations. Based on this review, the FSA has determined that the current framework is effective and no legislative amendments are required at this time. The measures are compliant with FATF Recommendation 1 and contribute to the overall effectiveness of the AML/CFT framework by enabling resources to be focused.

## USE OF SIMPLIFIED MEASURES

While the Isle of Man AML/CFT framework permits the application of simplified measures under prescribed circumstances, use of such concessions within the Isle of Man is limited. Firms generally adopt a conservative approache to customer due diligence, rarely applying the simplified measures ›

that are available. **Figure 11** details the percentage of firms who utilised each concession for new customers onboarded during 2024 and the percentage of actual customers where the concession was used in 2024 against the total number of customers across the whole jurisdiction.

## Figure 11 – Use of Simplified measures




Source: DHA

### Compliance Programmes: CDD, Record Keeping, SARs, Risk Assessments, and Beneficial Ownership Training

The controls which supervised entities must follow are set out in the AML/CFT Code 2019 (and related regulations) and the Gambling (AML/CFT) Code 2019. These include:

- **Customer Due Diligence:** Supervised entities must apply risk-based CDD measures, including verifying customer identity, undertaking enhanced due diligence measures where appropriate and monitoring transactions.
- **Record Keeping:** Firms are required to maintain records for a minimum of five years.
- **Suspicious Activity Reporting:** Entities must report suspicious transactions and attempted transactions to the FIU.
- **Risk Assessments:** Firms must conduct and regularly update Business Risk Assessments and Technology Risk Assessments, taking into account findings from the latest NRA as well as Customer Risk Assessments. ›

- **Beneficial Ownership**: Legal persons and arrangements must maintain and disclose beneficial ownership information.

- **Training:** Staff of regulated entities must receive AML training appropriate to their roles.

The regulators undertake regular engagement with firms to ensure that supervised entities are complying with their obligations under the relevant legislation. The FSA published its Supervisory Methodology Framework[27] in April 2023, setting out the approach to engagement of firms.

### Group supervision and licensing

The Supervisory Methodology also details how the FSA approaches the supervision of groups where there might be other entities outside of the Isle of Man:

*"When conducting our supervisory activities, we also consider where there is more than one firm within the same corporate group, and how integrated the systems, business models, controls and governance is for firms within those groups."*

The FSA is an active participant in supervisory colleges, which are viewed by the FSA as an important component of their supervisory activities. They help the FSA to share information with other regulators about financial services groups with a presence on the Island (typically high impact and medium impact firms, notably in respect of banks, TCSPs, and certain insurers), improve FSA risk understanding, and learn about market and regulatory developments. The FSA may organise and chair a supervisory college, where they are the home supervisor, or as other circumstances may apply; or the FSA may be invited, as a host supervisor, to attend a college arranged by an overseas home regulatory supervisor.

The Licensing Policy for Regulated Activities under the Financial Services Act 2008, published by the FSA in September 2024, provides details for applicants that are part of groups. The FSA will normally supervise a licence-holder on both a solo and consolidated basis. Where the licence-holder is part of a group, the FSA may want to assess the whole group. The FSA may ask for information about other group entities from the applicant, other regulators, and, if necessary, the group entities themselves.

The FSA and the GSC have powers to impose civil penalties for breaches of AML requirements, including licence suspension or revocation, public notices, requirements for remedial action, and unlimited fines for non-compliance with AML/CFT obligations. The FSA published an updated Enforcement Decision-Making Process in August 2025. In serious cases, non-compliance can result in criminal prosecution. The GSC has a suite of Enforcement policies published on its website which includes the decision-making process.[28]

Examples of the use of FSA and GSC powers include a £420,000 penalty imposed by the FSA in 2024 for historic regulatory failings, a £119,596 penalty following a thematic inspection[29] on foreign PEPs, and a £293,930 penalty for self-reported regulatory contraventions in 2024. The GSC issued a £2.73 million penalty in 2025 for systemic failures in customer due diligence, ongoing monitoring, and risk assessment, and a £700,000 penalty in 2024 for inadequate enhanced due diligence, inefficient SAR reporting, and delayed risk assessment implementation.[30]

Both regulators have powers to prohibit individuals from carrying out roles in their respective regulated sectors if an individual is not deemed "fit and proper," and have exercised these powers.

### *Restraint, Confiscation, and Forfeiture of Criminal Property (including civil forfeiture)*

The IOM has a well-developed legal and operational framework for the restraint, confiscation, and forfeiture of criminal property. The International Cooperation and Asset Recovery Team (ICART) has a central role in pursuing restraint and confiscation orders. Coordination between ICART and other agencies such as PIMLIT has been instrumental in securing positive outcomes in complex cases involving cross-border elements. The number of outgoing MLA requests has increased and foreign non-conviction-based confiscation orders successfully enforced. The legal framework encompasses:

**Restraint:** The Attorney General can apply to the High Court for a restraint order (in criminal cases) or a property freezing order (in civil recovery cases) to secure assets for potential recovery. Provided that the conditions in the Proceeds of Crime Act 2008 are met, restraint and property freezing orders may be made even at an early stage in the investigation. ›

**Confiscation:** POCA 2008 and related legislation allows for the investigation, tracing, and seizing of property suspected of being derived from criminal activity, including direct proceeds and property of corresponding value. Criminal and civil (non-conviction -based) confiscation are covered and foreign non-conviction-based confiscation orders can also be enforced.
**Civil Forfeiture:** This allows for the confiscation of assets without a criminal conviction, provided the court is satisfied that the property is the proceeds of crime.
**Use of Proceeds:** Confiscated assets are placed into a Seized Assets Fund managed by the Treasury and used to support law enforcement and crime prevention initiatives.

Notable successes include:

- in 2024, recovery by ICART of USD $41,189.17, repatriated to South Africa to compensate victims;
- £160 million which was initially detained under a property freezing order (PFO) by ICART and was later replaced by a restraint order by Prosecutions once the matter transferred from civil to criminal investigation;
- £110million (and additional assets) restrained; and
- USD $1.2million equivalent in bitcoin (BTC) forfeited using a civil recovery order separate from the restrained funds.

All funds remain under restraint to date.

### *Cash Controls*

The legal framework for cash controls is set out in the Customs and Excise Management Act 1986. Anyone importing or exporting cash exceeding £10,000 must declare it to a Customs officer, whether or not the cash is carried as freight or on a person. This includes movements between the IOM and the UK. The definition of 'cash' is broad and includes notes, coins, cheques, bearer bonds, and certain monetary instruments. Customs officers have powers to search, detain, and seize undeclared or suspicious cash, and failure to declare is a criminal offence which can result in up to two years' imprisonment and/or fines.

### International

The Isle of Man has implemented measures in line with key international conventions, most recently the Council of Europe Convention on Laundering, Search, Seizure and Confiscation of the Proceeds from Crime and on the Financing of Terrorism (the "Warsaw Convention"), 2005 (extended to the Isle of Man in January 2024). Other important conventions include:

- the UN Convention against Illicit Traffic in Narcotic Drugs and Psychotropic Substances (the "Vienna Convention"), 1988 (extended to the Isle of Man in December 1993);
- the UN Convention against Transnational Organised Crime (the "Palermo Convention"), 2000 (extended to the Isle of Man in June 2012);
- the UN Convention against Corruption (the Mérida Convention), 2003 (extended to the Isle of Man in November 2009);
- the UN International Convention for the Suppression of the Financing of Terrorism (extended to the Isle of Man in September 2008);
- the Council of Europe Convention on Laundering, Search, Seizure and Confiscation of the Proceeds from Crime and on the Financing of Terrorism; and
- the OECD Convention on Combating Bribery of Foreign Officials in International Business Transactions (extended to the Isle of Man in June 2001).

The FIU has been an Egmont Group member since March 2000 and belongs to the Europe II region. The Island is also a member of the Camden Asset Recovery Interagency Network (CARIN) since September 2004 and has been a core donor to the Basel Institute's International Centre for Asset Recovery since January 2017. The Island holds associate membership in the International Anti-Corruption Coordination Centre (since July 2020) for intelligence-sharing on grand corruption, is part of the UN GlobE Network with the UK (since 2021), and participates in the Anti-Money Laundering Operational Network (AMON). ■

# 7. Progress on 2020 NRA Actions and Significant Agency Developments

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## UPDATE ON ACTIONS ARISING FROM THE 2020 NRA

The findings of the 2020 NRA identified several areas where further work was required to strengthen national controls against ML. Progression of Actions from the 2020 NRA through the 2021 and 2024 Financial Crime Strategies can be found at **Appendix I**.

## SIGNIFICANT AGENCY DEVELOPMENTS SINCE 2020

### FSA and GSC

In 2021, the FSA created a standalone AML/CFT Division which supervised designated businesses in respect of AML/CFT. During 2023/24, the FSA consolidated all AML/CFT supervision (for designated businesses and financial institutions) into this division, increasing staff and adopting an enhanced, risk-based supervisory approach. The AML/CFT Division supervises according to the financial crime risk of a firm. In respect of non-AML supervision, this is split over three further divisions, and supervision is undertaken according to firm risk. Collaboration with the GSC led to significant upgrades in technology infrastructure, including the launch of the Atlas back office supervisory system and new data tools such as the STRIX AML risk analysis tool to improve risk-based supervisory engagement, risk assessment, and reporting. The FSA also updated its AML/CFT Handbook and published a revised supervisory methodology framework to reinforce risk-based supervision and internal governance processes.

From 2023 to 2024, the GSC significantly enhanced its AML/CFT framework by establishing a dedicated division, expanding staff with AML/CFT roles, and improving data collection and analytics systems to better inform supervision and risk assessments. Key developments included implementing enhanced quarterly returns, introducing a new enforcement framework for consistent application of sanctions, updating sector-specific guidance, and enacting the Permitted Disclosure Order 2025 to facilitate broader intelligence-sharing, alongside ongoing legislative reforms to further strengthen the supervisory regime.

### Law Enforcement Agencies

Between 2022 and 2025, the FIU enhanced capacity and capability by increasing staff numbers, investing in professional training, introducing initiatives such as standardised feedback for Money Laundering Reporting Officers (MLROs), and updating guidance for disclosures. The FIU supported the pilot project, introducing public–private partnerships initially with the Banking sector, although the scope has now widened. The FIU Act 2016 was amended to capture bribery, corruption, and sanctions breaches. In 2025, the FIU hosted an Advanced Strategic Analysis Course on virtual assets on behalf of Egmont Region II.

In September 2022, the Isle of Man Constabulary established PIMLIT to focus specifically on complex international money laundering, separating this responsibility from the Economic Crime Unit (ECU). PIMLIT, comprising police officers and civilian financial investigators (including secondments from the Banking and Corporate sectors) was created to advance international money laundering investigations, convert FIU intelligence into evidence, and pursue prosecutions under the Proceeds of Crime Act 2008. While the ECU continues to handle domestic money laundering and complex fraud, it coordinates with PIMLIT during periods of high demand. PIMLIT collaborates closely with the FSA, GSC, ›

Customs and Excise, the Financial Crime Asset Recovery Unit, and ICART, and has officers co-located within the FIU.

In autumn 2024, the Isle of Man Constabulary assumed responsibility for port security, integrating the existing security team under police management to improve information-sharing and foster a multi-agency approach. Customs officers' broad search and entry powers, combined with specialised police skills and cross-agency intelligence, have increased operational effectiveness at the border. This has already resulted in notable achievements, such as the seizure of criminal proceeds, the arrest of offenders, and the impounding of crime-related assets. Additionally, law enforcement agencies are evaluating new technologies to further strengthen the identification of serious criminal and security threats.

In January 2024, the Customs and Immigration Division was created by merging the Customs and Excise Division with Passport, Immigration, and Nationality services to streamline operations at the Island's border. The Law Enforcement section has more than doubled in size since 2020, expanding from 7 to 15 personnel to better address border threats. The Division has also enhanced its focus on sanctions, with a dedicated Sanctions Officer overseeing financial and trade sanctions and an Investigation Officer appointed to handle potential breaches.

Immigration resources have significantly increased, with the number of Immigration Officers rising from 3 in 2023 to 8 in 2025 and the formation of a dedicated Immigration Compliance Team. Recent policy and legislative changes have tightened immigration rules. The closure of the "Seasonal Worker" and "Representative of Overseas Business" routes and a comprehensive review of the "Worker Migrant" route reflect a robust response to identified system abuse. A detailed review has been conducted and actions are continuing to be implemented as a result.

ICART has been strengthened by the addition of new legal and support staff, enhancing its capacity in civil asset recovery and MLA. All domestic civil asset recovery has now been merged into Prosecutions with a newly formed Financial Crime and Asset Recovery Unit, who work with the AML Group, FIU, PIMLIT, and other domestic partners to identify cases for prosecution and civil recovery providing assistance in disrupting criminal activity.

ICART has used a number of previously untested methods to deprive criminals of their illicit gains and disrupt multi-national organised crime.

A new case management system has been in place since November 2025; the FCU, FCARU, and ICART have developed comprehensive manuals to formalise critical processes. Within the Prosecutions Division, which advises the Isle of Man Constabulary and public authorities on criminal charges, a dedicated FCARU has been established as a specialised, ring-fenced resource, with automatic referrals from PIMLIT and the ECU.

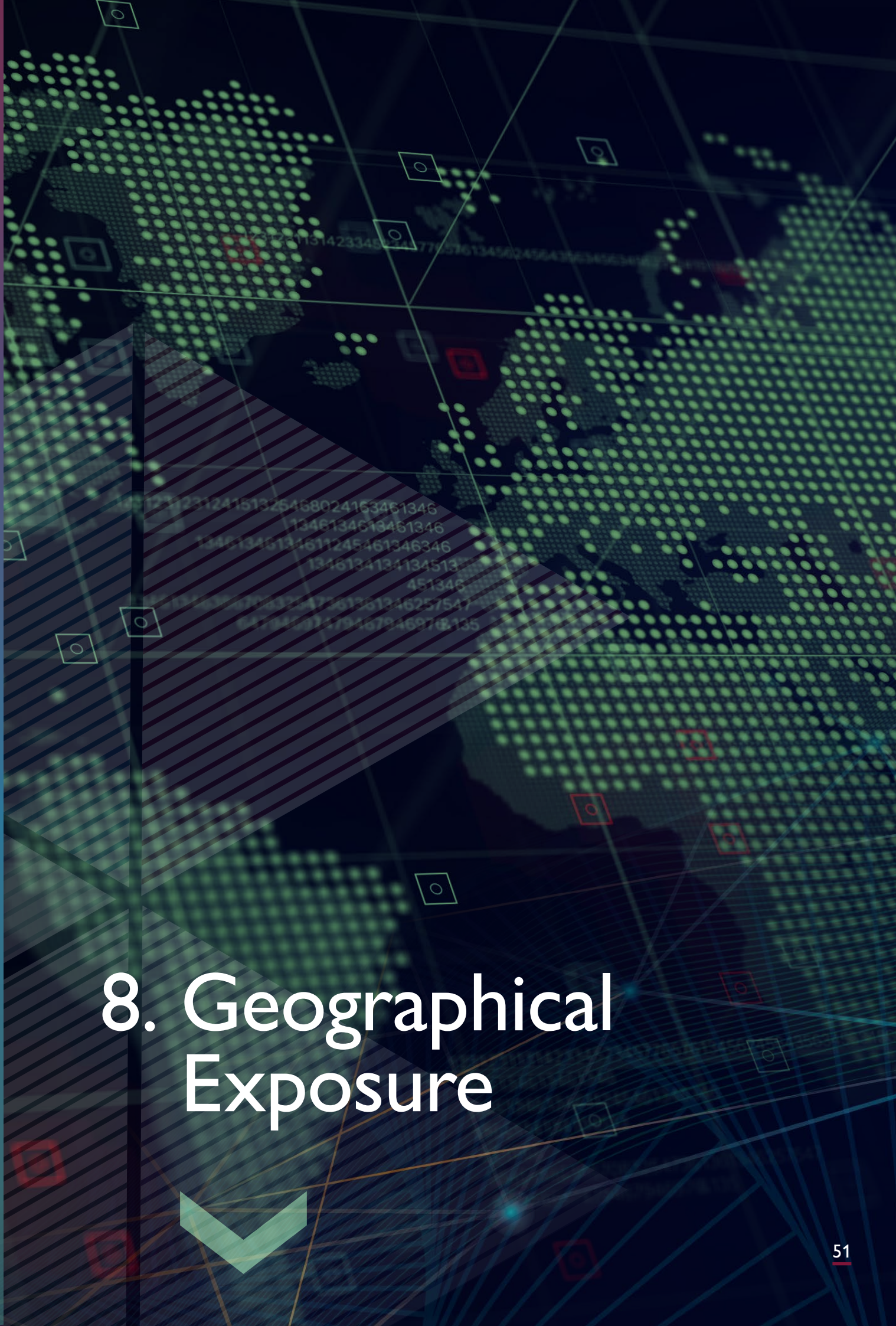
### Companies Registry

In 2021, Companies Registry created a Data Assurance Unit, which now has 5 officers. Significant system upgrades have been introduced to enhance accuracy and improve functionality. A project is currently taking place to introduce third-party digital identity verification.

The Registry has powers to investigate the accuracy of submitted information and rectify inaccuracies. Legislative changes to the Beneficial Ownership (Amendment) Act 2021 reduced the period for notifying changes to beneficial ownership or Nominated Officers to 21 days. In December 2024, secondary legislation was introduced which has allowed obliged entities (such as regulated firms) to access the Beneficial Ownership Register for customer due diligence checks.

### AML/CFT Policy Office

The AML/CFT Policy Office coordinates a national response to ML/TF/PF risk. Since the last assessment, the Policy Office has launched an Anti-Bribery and Corruption Strategy (ABC), online hub, and reporting process, reviewed and reported upon the Financial Crime Strategy 2021–2023, and coordinated and published a new Financial Crime Strategy 2024–2026. The Policy Office established a revised Board and Governance structure, including the extension of the portfolio of the Minister for Justice and Home Affairs to include AML/CFT/CPF. There are currently 6 permanent staff, with recruitment ongoing. Specialist technical and programme resource is brought in via contract and limited-term appointments as required. ■



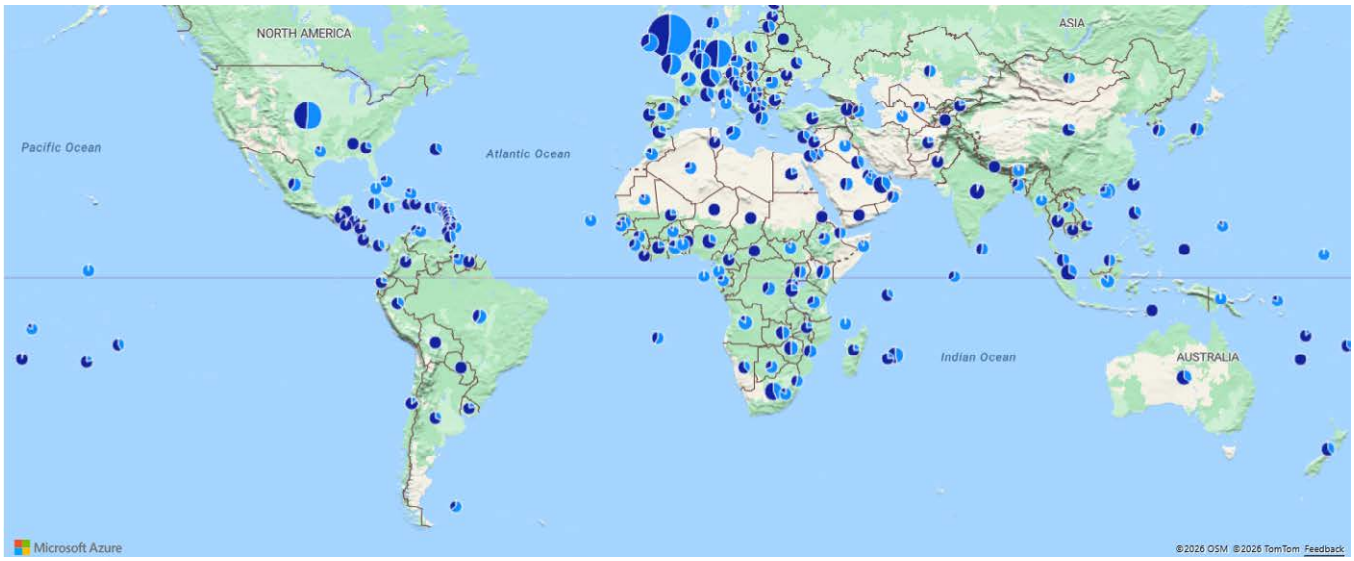
# 8. Geographical Exposure

# 8. Geographical Exposure

## FINANCIAL FLOWS (BANKING)

Consideration of the cross-border exposure for supervised entities is a key part of the assessment of ML risk. The Island's banks supply the FSA with quarterly financial flow data, showing outflows and inflows by country [31] as well as the number of transactions. As part of its supervisory activity, the FSA has requested all Banking licence-holders to conduct internal audit reviews in 2025/26 regarding the quality of data being submitted to the FSA, including financial flow data, to ensure the data received by the FSA is accurate, consistent, and can be relied upon to inform its risk-based supervision.

## Figure 12: IOM Banking Financial Flows – all Jurisdictions for 2024




Source:: FSA

**85%** of all outgoing payments and **88%** of incoming payments were made to/from the top 10 countries (see **Figure 13** below). ›

# Figure 13: Top 15 inflows and outflows by country, 2020–2024

| Top 15 Inflows 2020/4 | |
|---|---|
| Name | % |
| UK | 50.5% |
| USA | 12.2% |
| Germany | 10.2% |
| Isle of Man | 4.5% |
| Jersey | 3.1% |
| Switzerland | 1.9% |
| France | 1.5% |
| South Africa | 1.4% |
| Luxembourg | 1.4% |
| Ireland | 1.3% |
| Mauritius | 1.1% |
| Guernsey | 0.9% |
| Hong Kong, China | 0.8% |
| Netherlands | 0.7% |
| Malta | 0.6% |

| Top 15 Outflows 2020/4 | |
|---|---|
| Name | % |
| UK | 46.5% |
| USA | 12.4% |
| Germany | 11.3% |
| Isle of Man | 4.6% |
| Switzerland | 3.1% |
| Jersey | 2.8% |
| South Africa | 1.6% |
| India | 1.3% |
| Singapore | 1.3% |
| United Arab Emirates | 0.9% |
| Belgium | 0.9% |
| Luxembourg | 0.9% |
| Ireland | 0.8% |
| Australia | 0.8% |
| Hong Kong, China | 0.8% |

Source: FSA

## OUTFLOW DATA 2020–24

- **46.5%** of all outgoing funds are to the UK. The outflows data does not reveal whether the UK is the final destination. From PIMLIT's ML investigations, it has been evidenced that the UK is often used as a 'transit' country, with funds passing through the UK to/from the IOM to/from a third country.
- The US is the next largest jurisdiction by outflow, with **12.4%**, followed by Germany with **11.3%**.
- **85.8%** of all outgoing payments go to the top 10 countries
- South Africa was the only List B jurisdiction in the top 10. South Africa was removed from the FATF 'grey list' in October 2025; however, this NRA includes the most recent data from reporting entities, which would have classified South Africa as a higher-risk country. (see **Appendix IV** for explanation of Country lists).
- **3.8%** of all outgoing payments are to jurisdictions that may pose a Higher risk South Africa accounts for over **40%** of outflows to jurisdiction that may pose a higher risk (**1.6%** of total outflows). Zimbabwe and Kenya are second and third among these jurisdictions, with much smaller amounts.
- The outflow data above aligns with business expectations for the IOM.

## INFLOW DATA 2020–24

- **50.5%** of all incoming funds are from the UK. The inflows data does not reveal if the funds ultimately originated in the UK.
- The US is the next largest jurisdiction with **12.2%,** followed by Germany with **10.2%.**
- **88%** of all incoming payments originate in the top 10 countries.
- South Africa was the only List A or B jurisdiction in the top 10.
- **2.8%** of all incoming payments are from List A and B countries, with South Africa accounting for more than half of these (**1.4%** of total inflows). Kenya and Zimbabwe are second and third among these jurisdictions, with much smaller amounts. ›

- The inflow data above aligns with business expectations for the IOM.

**Figure14** below highlights financial flows to and from jurisdictions identified as being higher-risk as of July 2024 (see below and **Appendix IV**). The data relates to the Countries List as of July 2024; it includes lists A, B(i), and B(ii) for ML and excludes B(ii) countries which are identified only for TF.

## Figure 14: Higher-Risk Jurisdictions for 2024:




Source: FSA

### STRATEGIC ANALYSIS OF LIST A AND B COUNTRIES' FINANCIAL FLOWS

The FSA receives and analyses the volume and total value of transactions made by each underlying bank, as well as the source and destination of the aggregate values. The FSA is developing a formal approach with the FIU to review inflows and outflows involving higher-risk jurisdictions, along with any other relevant intelligence the FIU holds. Payments, countries, and trends of interest will then be discussed by the FSA with the respective bank to ensure there is a good understanding of the potential threat. The TF NRA recommends documenting the analysis process for incoming and outgoing financial flows to/from higher-risk countries to understand how the data is used by the FSA and the FIU, and for the FIU and FSA to consider the flows from the Island to IFCs in a similar way to the analysis with financial flows to higher-risk jurisdictions. This data and information is equally relevant to understanding ML risk and is reflected in the Recommended Actions under **Chapter 13**.

Although the majority of the Isle of Man's trade and finance is regional (i.e., with the UK), the Isle of Man also conducts transactions with personal and corporate customers in other jurisdictions worldwide. Evaluations of the controls available in these countries are publicly available via a number of sources, including the FATF (and its regional bodies), the Corruption Perceptions Index, and the OECD amongst others. Consideration is also given to the effectiveness of AML measures of countries where there are significant inward or outward flows to the IOM, or where the IOM has a significant customer base. The DHA maintains a list[16] of jurisdictions that pose or may pose a higher risk. Lists are kept updated and published regularly. Industry is well accustomed to updating their own systems and relevant procedures and controls using these Lists. Countries are categorised by the risk they pose, using the FATF-published lists and an additional list of jurisdictions that the IOM Government has identified as potentially presenting a higher risk of ML or TF using data gathered from various commercial intelligence sources. ›

Appendix IV provides an analysis of countries characterised by: (a) the largest financial flows; (b) a resident customer base exceeding **5%**; and/or (c) significant numbers of non-natural persons, utilising information from the latest Mutual Evaluation Report for each country.

Financial flows relating to Class 8 Money Transmission Services, Electronic Money Institutions, and the use of ATMs overseas is not currently available. The TF NRA has recommended actions relating to these areas.

## EXPOSURE TO OTHER JURISDICTIONS

Southern African connections are rooted in longstanding commercial and personal ties, particularly with South Africa, which has maintained robust links through trade, investment, and financial services and signifies a continuing trend of Southern African enterprises using the Isle of Man as a gateway to global markets and a hub for cross-border wealth and estate management. As noted earlier, South Africa was removed from the FATF 'grey list' in October 2025, and its removal is acknowledged at appropriate points within the following narrative.

A recent development in the business profile of the IOM is the substantial increase in customers from South America (predominantly Argentina), which in 2024 comprised nearly **47%** of the total customer base. This increase, which is driven by the MVTS sector, was in line with projected growth.

Although over half of the 1.9 million new customers are classified as 'inactive', these figures nevertheless indicate a significant expansion of the IOM's customer base, increasing from approximately 1.58 million to 3.51 million. Whilst there are good controls in place within the sector, with customer numbers anticipated to increase still further, this is an area that is currently under active review.

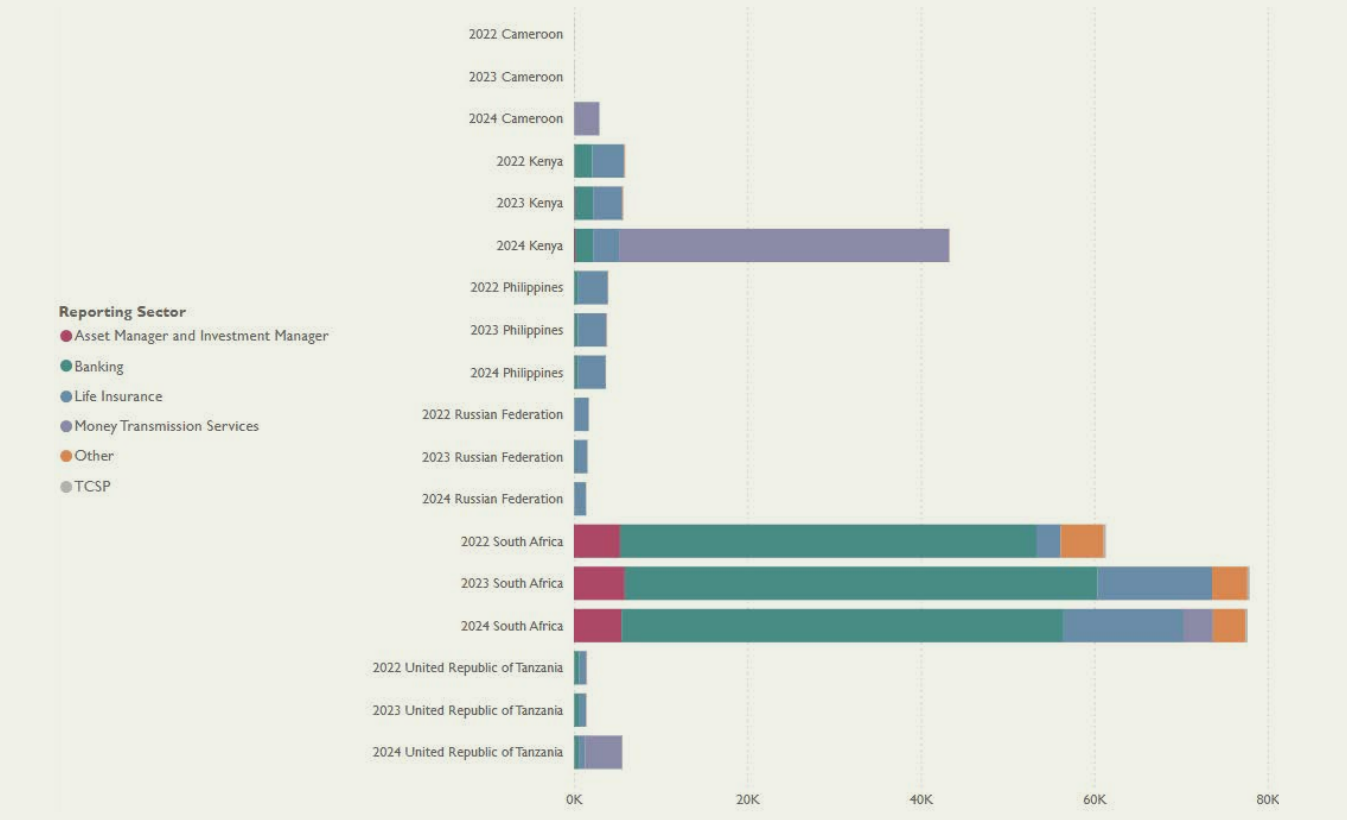
## HIGHER-RISK JURISDICTIONS

As noted in the financial flows section above, the Isle of Man publishes its own Lists of higher-risk jurisdictions which are broader than those of the FATF. Annual data collected by the FSA and GSC provides an overview of jurisdictional and sectoral exposure, including by natural and non-natural persons, PEPs, UBOs, and introduced business. This data has been mapped against the 2024 DHA lists (specifically, the lists for ML deficiencies) providing information regarding jurisdictional and sectoral activity with countries identified on the lists.

**Residency of customers (natural persons and non-natural persons):** An analysis of customer residency data over several years indicates consistent patterns, with the highest volumes reported from the same higher-risk countries. This trend is primarily associated with specific, established licence-holders within the Banking and Insurance sectors. These sectors demonstrate a strong familiarity with the relevant countries and have implemented appropriate measures to mitigate associated risks. ›

An analysis of customer residency data over several years indicates consistent patterns, with the Highest volumes reported from the same Higher-risk countries."

# Figure 15: Top 6 Higher-Risk Countries of Residence by Reporting Sector




Source: FSA

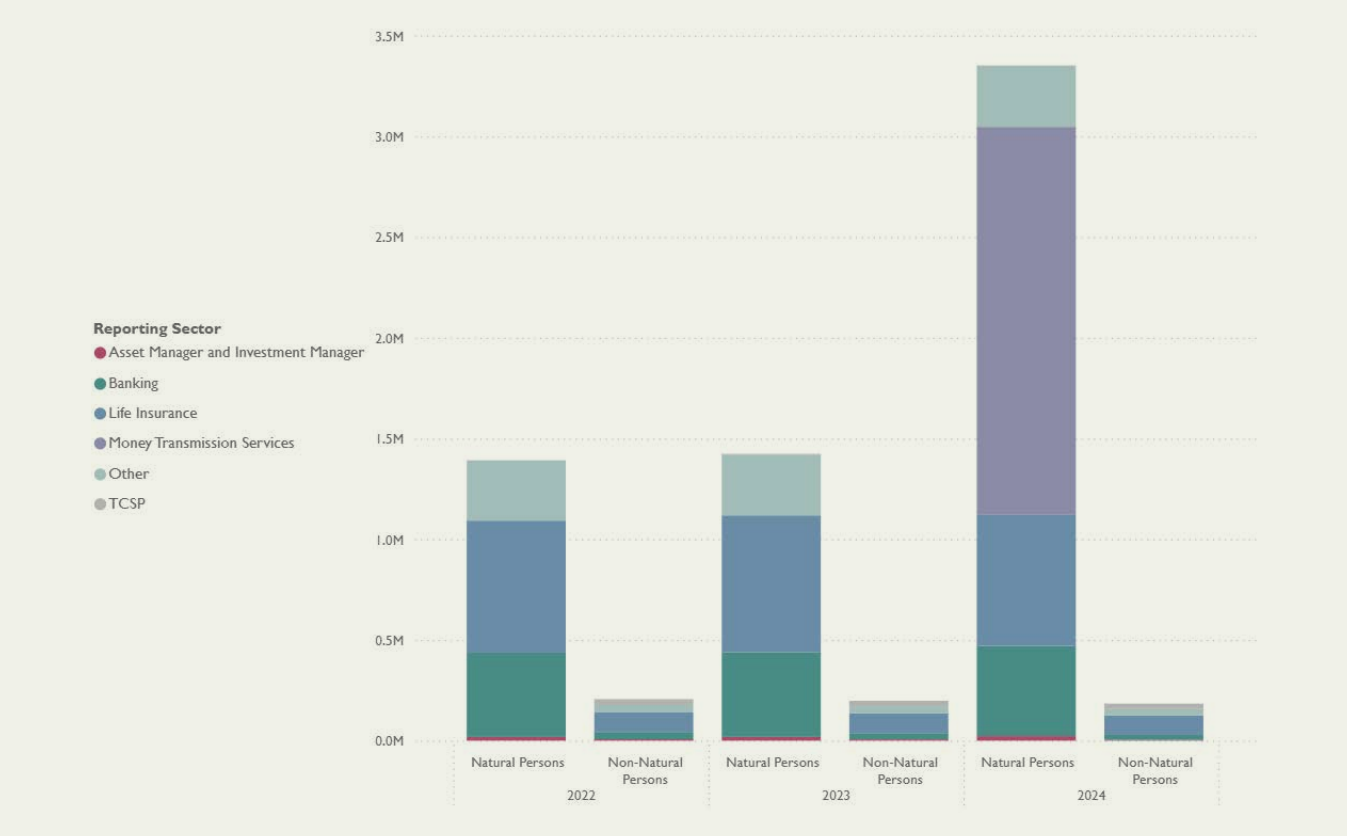
There are very low numbers of customers resident in List A countries; all are linked to the Life Insurance and Banking sectors. As of December 2024, of the total number of customers in the Banking and Insurance sectors **0.10%** were from List A countries, **2.35%** were from List B(i) countries, and **12.78%** were from List B(ii) countries. Most customers in the B(i) and B(ii) lists are from South Africa and Kenya; this trend has been stable for a number of years. Most South African customers are linked to Banking and Insurance. More recently numbers, relating to Tanzania, Cameroon, and Nigeria have increased; this relates to increases in customer numbers within the MTS sector.

The Banking and Life Insurance sectors have historically accounted for the largest proportion of customers from higher-risk jurisdictions and have developed significant experience with customers from these countries. There is also some representation from Asset Management and limited exposure within TCSPs.

In total, approximately **5.5%** of the Island's customer base are from higher-risk jurisdictions (List A/B Countries). Customers (natural and non-natural persons) located in higher-risk jurisdictions therefore constitute a very small percentage of the overall customer base (see **Figure 18**). It is also important to note that, with South Africa being delisted by the FATF in October 2025, this percentage of the customer base resident in higher-risk countries has decreased to **3%.**

**Non-natural persons:** The numbers for non-natural persons **(5%)** are predictably much lower than those for natural persons **(95%)**. The total percentage of non-natural customers located in B(i) and B(ii) countries is around **1.4%**. The countries which have the most non-natural persons are the BVI, South Africa, and Kenya. The majority of non-natural customers are linked to the TCSP, Banking, and Insurance sectors. ›

# Figure 16: Numbers of Natural and Non-Natural Persons by Reporting Sector for all Jurisdictions.

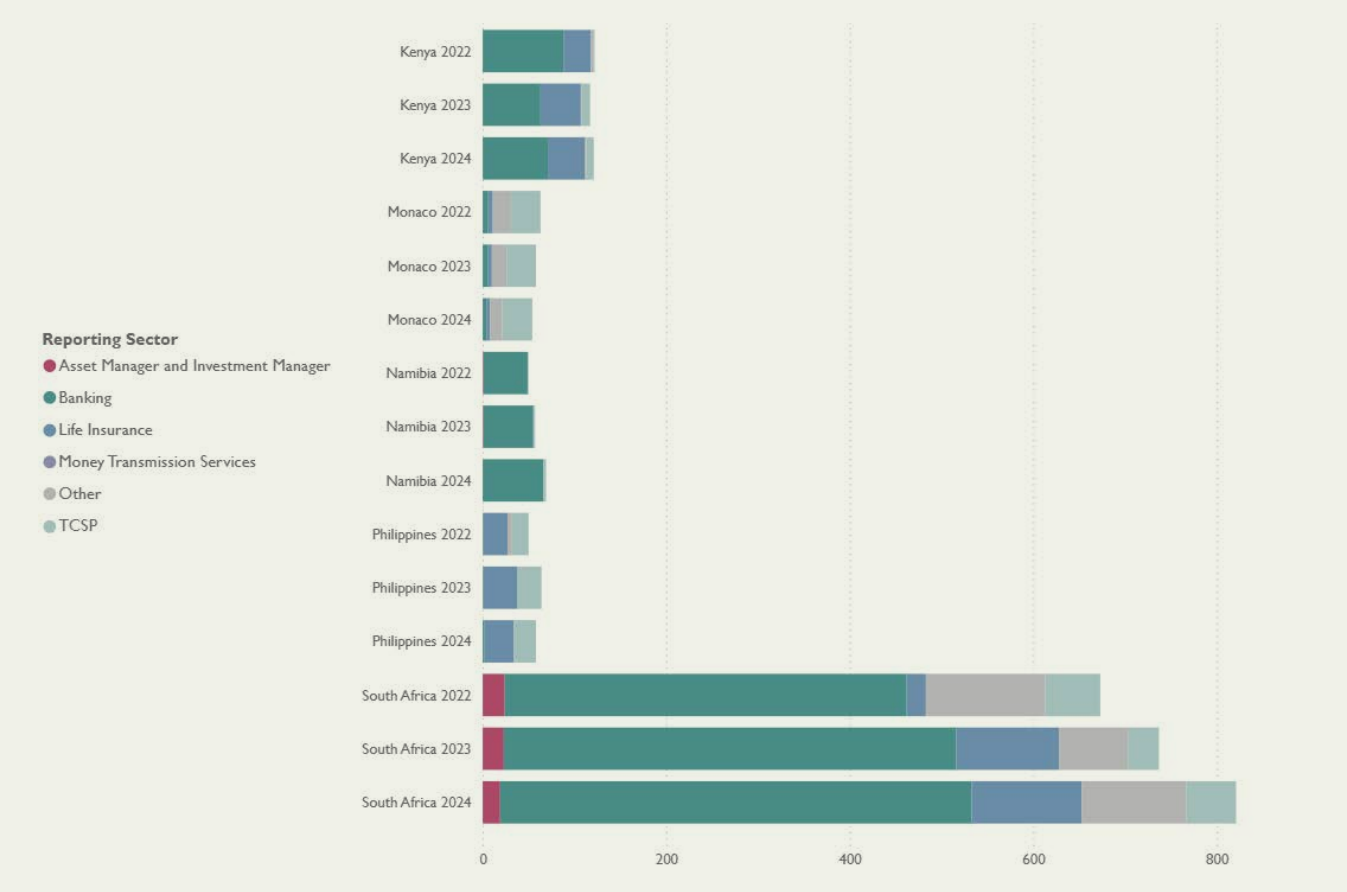



Source: FSA

**Politically-exposed persons by residency and by nationality:** Less than **0.38%** of the total customer base are classed as PEPs. This figure may also be overstated since data gathered is at entity level; the same PEP may use multiple institutions given the interlinkages of the services provided within the IOM. The data shows that **9.7%** of PEPs are resident in a List A, B(i), or B(ii) countries (excluding B(ii) countries which are only identified TF), although this data includes South Africa (now delisted) and therefore will, in reality, be lower. The majority of these customers are related to Banking services, with a smaller number linked to TCSPs and Life Insurance. The figures have been mainly stable over recent years. PEPs linked to South Africa, Namibia, and Kenya are primarily due to the presence of two significant South African banks in the IOM.

PEP exposure in relation to nationals of higher-risk countries is similar to that of other nationalities and involves the same sectors. There has been a slight decrease in PEPs of Russian nationality, which is attributed to de-risking. There is a relatively high number of PEPs in the TCSP sector linked to Saudi Arabia (**10%**), which is likely due to extended family structures and the broad definition of "PEP" in the IOM AML/CFT framework. ›

## Figure 17: PEPs by Residency – Top 5 Higher-Risk Countries[32]




Source: FSA

## Figure 18: Numbers of PEPs against total customer base, 2022–24

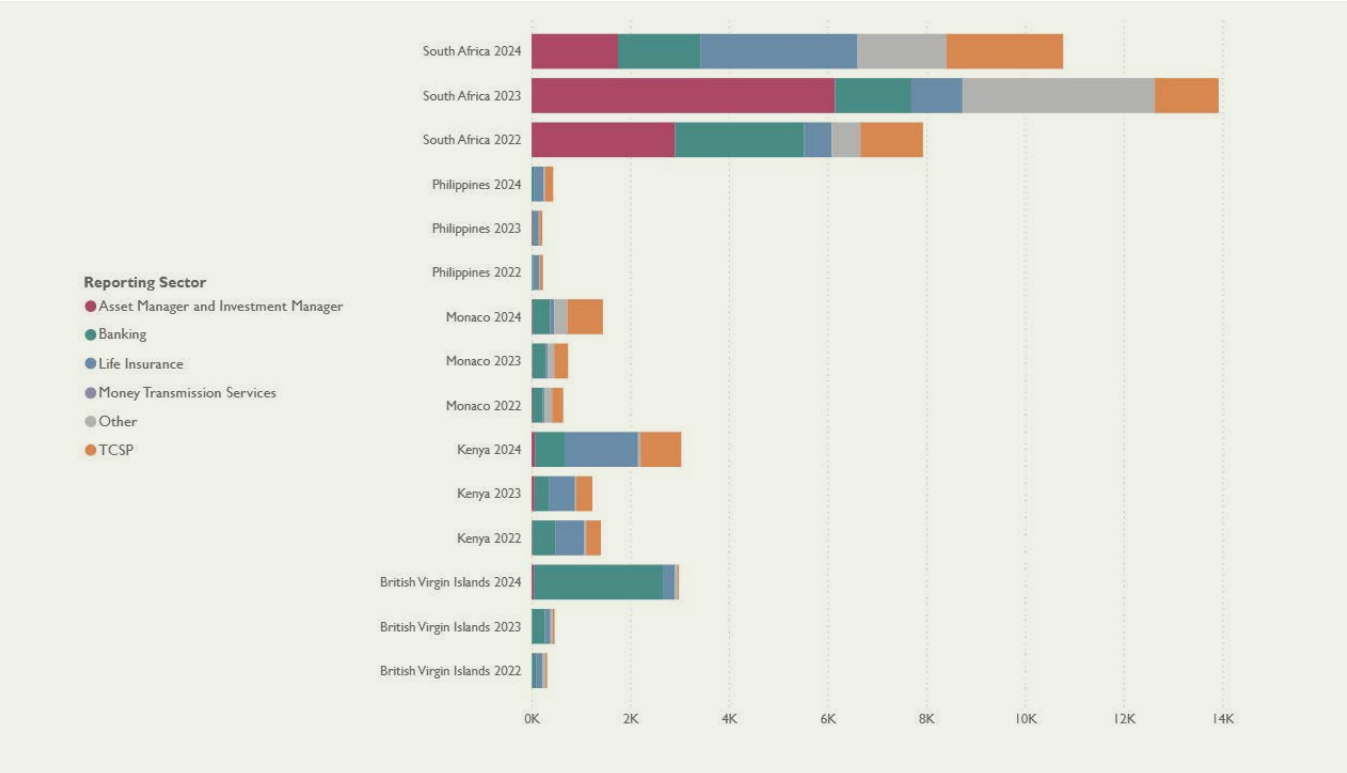
| 2022 | 2023 | 2024 |
|---|---|---|
| Total Customers 2022<br>1.58M | Total Customers 2023<br>1.59M | Total Customers 2024<br>3.52M |
| Total PEPs by Residency 2022<br>12.5K | Total PEPs by Residency 2023<br>13.0K | Total PEPs by Residency 2024<br>13.7K |
| Total PEPs by Residency - List A and B 2022<br>0.2K | Total PEPs by Residency - List A and B 2023<br>0.3K | Total PEPs by Residency - List A and B 2024<br>0.3K |
| Total PEPs Nationality - List A and B 2022<br>0.3K | Total PEPs by Nationality - List A and B 2023<br>0.3K | Total PEPs by Nationality - List A and B 2024<br>0.4K |

Source: FSA

**32** List Date is November 2024: Includes A, Bi and Bii ML and excludes Bii countries which are only TF.

**Ultimate beneficial owners:** While data on UBOs is now more accurate, in the past, misinterpretation regarding UBOs, particularly by banks and TCSPs, has created some data fluctuation. The FSA continues to monitor and enhance guidance to enable the most accurate data. The top 5 hgher-risk countries for UBOs are the BVI, Kenya, Monaco, the Philippines, and South Africa. UBO exposure in these countries is primarily in relation to the TCSP and Banking sectors, and to a lesser extent, Life Insurance and Asset Management. (The Life sector sells policies to expatriates based in China and Hong Kong, China).

## Fig 19: UBO – Top 5 Higher-Risk Countries[33]



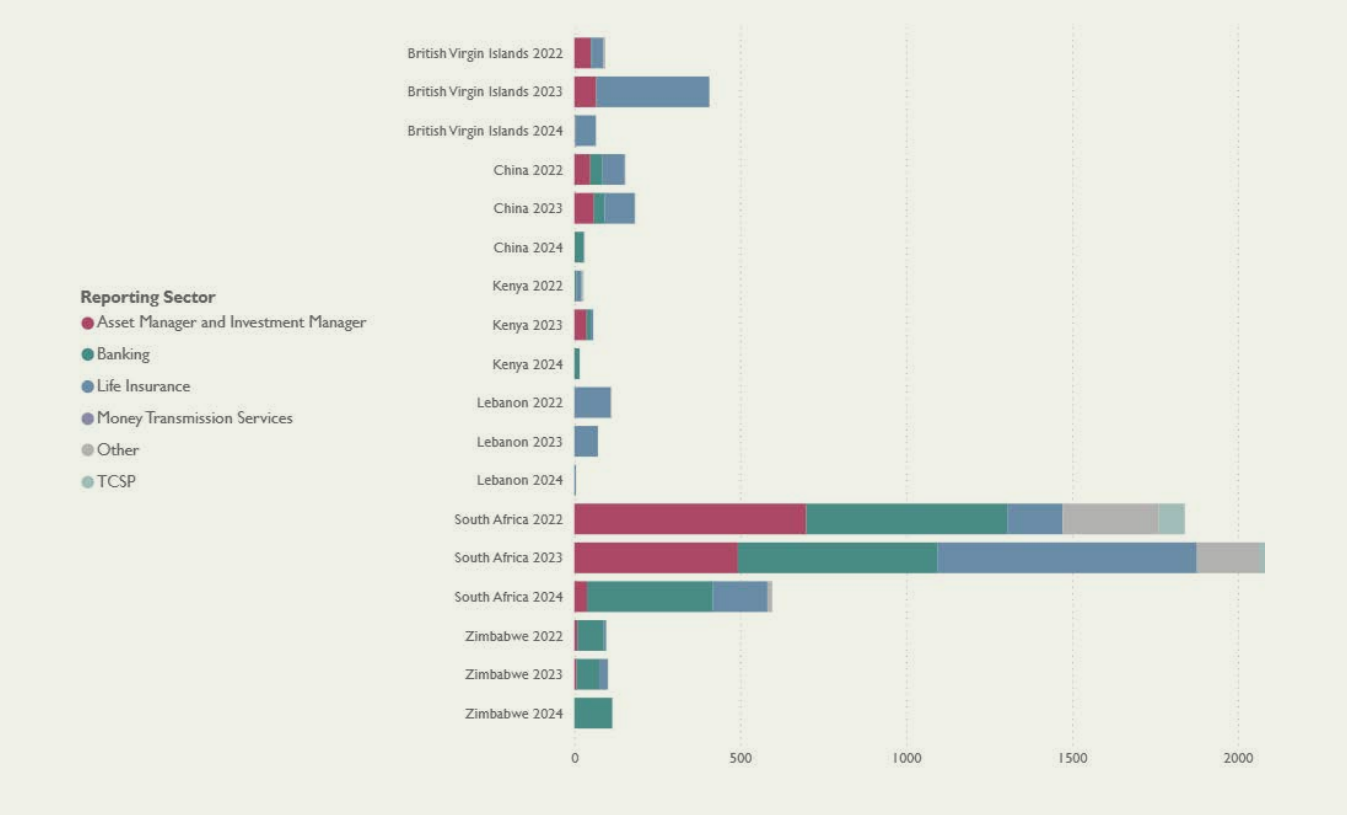

Source: FSA

**Introduced business:** "Introduced business"[34] refers to a customer being introduced to a relevant person by a third party, known as the "introducer", who has already carried out some of the required CDD checks and provides the CDD to the relevant person taking on the customer. In this scenario, no reliance is placed on the third party as they are providing any elements of CDD they have collected; the relevant person must still complete their own CDD on the customer.

Between 2023 and 2024, numbers of customers being introduced under Paragraph 9 of the Code fell significantly. This is attributed partly to improvements in data quality, with the 2024 figures being more accurate. In December 2023, the FSA published an updated AML/CFT Handbook which included further regulatory clarification around 'introduced business' to assist business with applying this requirement and may have prompted changes. An accompanying webinar was also published to assist with industry understanding in this area.

The profile of introduced business is consistent with other profiles relating to higher-risk countries, with South Africa, Zimbabwe, China, Kenya, and the BVI identified, driven by Banking, Insurance, and Asset Management. ›

# Figure 20: Top 5 High risk countries by year




Source: FSA

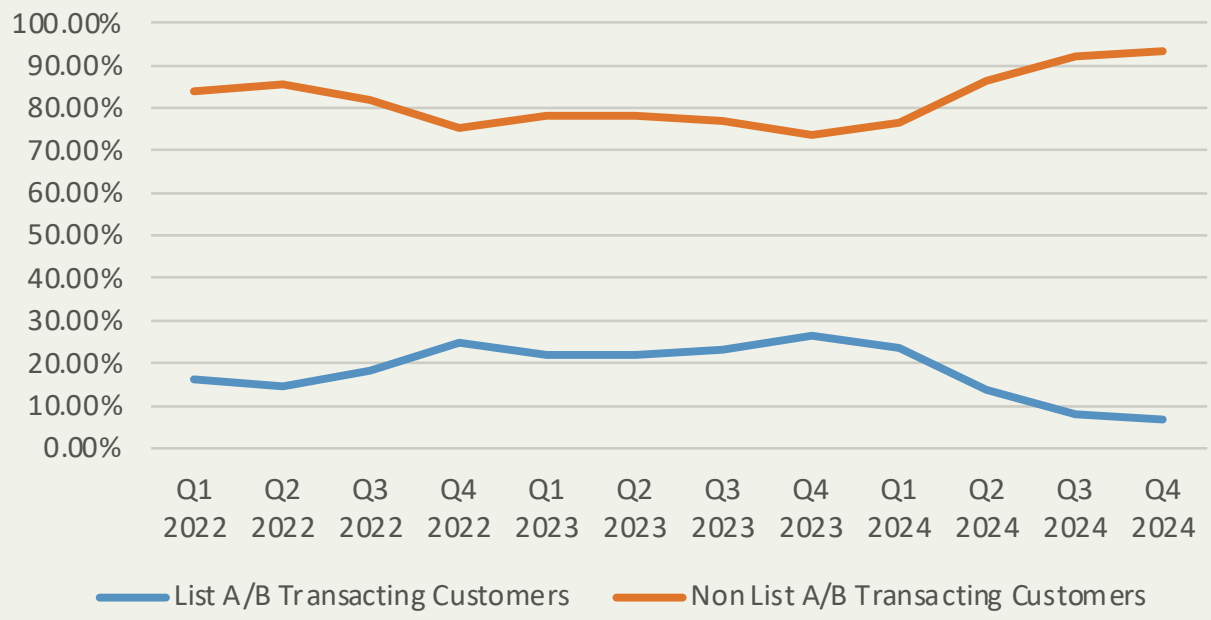
## ONLINE GAMBLING AND JURISDICTION -RELATED VULNERABILITIES

In terms of money flows into and out of the Isle of Man, online gambling tends to operate differently to traditional banking. Typically, money is deposited into a gambling account through a payment service provider (PSP) which may or may not be established in the IOM. The PSP then pools together deposits from various individuals and, after a period, sends only the total net amount to the gambling operator. As a result, the IOM financial flows of gambling companies are more aligned with total net flows, rather than on each individual deposit/withdrawal.

Jurisdiction-related vulnerabilities include AML risks associated to foreign players residing in higher-risk jurisdictions, risks associated to players residing in jurisdictions where gaming is illegal, and beneficial owners and/or key function-holders who are citizens and/or residents in higher-risk jurisdictions.

higher-risk jurisdictions — such as those published in the Isle of Man's Department of Home Affairs Lists of higher-risk jurisdictions A, B(i), and B(ii) — only made up **6.57%** of those customers who made a deposit or withdrawal in Q4 2024 (based on the November 2024 lists). However, prior to Q2 2024, this was significantly higher, with a peak of **26.49%** in Q4 2023. This demonstrates that customer jurisdictional risks can also be concentrated over a small amount of licence-holders and changes in their licensed status has a significant impact on the overall customer jurisdictional risk; it will also obviously move subject to jurisdictions being added to or removed from the higher-risk list. Indeed, **94%** of the transacting customers from higher-risk jurisdictions in Q4 2024 are from just four licence-holders. ›

# Figure 21: Quarterly Transacting Customer Figures 2022–24



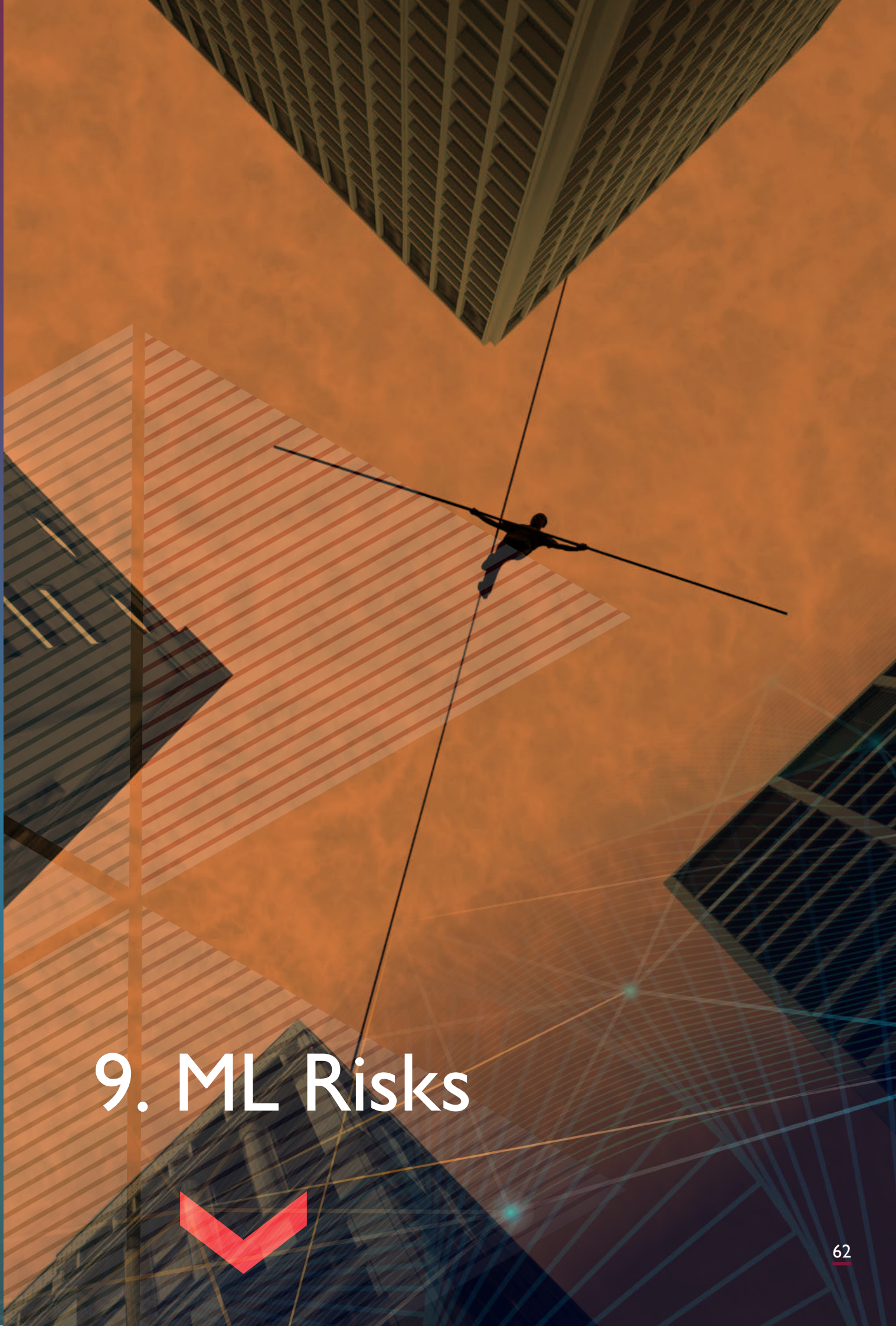

Source: GSC

Between Q1 2022 and Q4 2024, there were a small number of customers in List A jurisdictions. (Based on rounding to two decimal places, this figure was **0.00%**). These were either legacy accounts prior to getting an IOM licence, or they were opened through virtual private networks (VPNs). Once identified, the accounts were closed.

Customers are primarily natural persons. The GSC does not currently have precise statistics on the number of non-natural persons; however, during inspections, customer samples are taken and few are ultimately legal persons or arrangements. PEPs are a rarity as operators often reject them due to risk, and onboarding is direct by operators as opposed to third-party introducers. As of 31st December 2024, there were only 22 PEPs recorded, which is less than a quarter of 0.01% of the total customers (i.e. approximately 2.5 in 100,000). Of these, none reside in a higher-risk jurisdiction.

**Ownership/Key Function Role-Holders:** For those licence-holders who held a licence on the 31st December 2024, there are 306 individuals holding roles residing in 43 different countries in total. Only 20 individuals (6.54%) reside in a listed country; these are all List B(i) jurisdictions — Bulgaria, Croatia, Kenya, Monaco, the Philippines, and South Africa.

In conclusion, exposure to higher-risk jurisdictions is limited, well-monitored through supervisory controls, and actively mitigated, contributing to ongoing risk assessment. More recent supervisory activity has had an impact on that risk understanding, with a demonstratable reduction in higher-risk customers. Higher jurisdictional risk accounted for approximately **7%** of transacting customers and is not systemic, being concentrated over a small number of operators which are easier to monitor. Supervisory action does, therefore, have a material and instant impact on the sector's overall risk profile. Exposure to List A jurisdictions has been identified by operators through their own compliance controls and rapidly dealt with, even with the use of obfuscating technology such as VPNs. The small number of PEPs and lack of PEP exposure to higher-risk jurisdictions indicates that operators have a low onboarding risk appetite. The risk is well-understood, monitored, subject to supervisory scrutiny and actions, and responsive to changes in national risk appetites. ■



# 9. ML Risks

# 9. ML Risks

## BACKGROUND

The WB model looks at national threat and national vulnerability as the two main factors impacting the risk of ML at the national level. Consideration of National Threat is addressed in **Chapter 11** and National Vulnerability in **Chapter 12**.

The overall ML risk for the IOM in this 2026 NRA is assessed as **Medium High**, unchanged from the 2020 assessment. This outcome reflects the continued balance between a **Medium High** threat level and a medium level of national vulnerability.

While the headline risk rating remains the same, the underlying risk profile has evolved materially since 2020, as identified throughout this report. The period covered by this assessment has been characterised by a measurable increase in the scale, complexity, and internationalisation of ML threats, including a greater prevalence of cyber-enabled fraud, transnational organised crime, sanctions evasion, and the exploitation of cross-border financial systems and LPA structures. These developments have increased both the sophistication and the speed of laundering methodologies affecting the IOM.

At the same time, the Island has strengthened key elements of its preventative, supervisory, and enforcement framework, including enhanced data collection and analysis, improved inter-agency coordination, increased use of financial intelligence, and risk-based supervisory engagements. These measures have acted to contain the growth in vulnerability, notwithstanding the widening threat environment.

As a result, the overall ML risk remains **Medium High** but is assessed as being closer to the upper end of that category than in 2020, with a greater concentration of risk in specific sectors, typologies, and cross-border exposure. The stability of the rating should therefore be understood as reflecting dynamic risk management in the face of increasing external threat, rather than an absence of change in the Island's ML risk landscape.

| Year | National ML Risk | National Threat | National Vulnerability |
|---|---|---|---|
| 2026 | Medium High | Medium High | Medium |
| 2020 | Medium High | Medium High | Medium |

The 2026 National Risk Assessment for the Isle of Man considers risks in respect of ML/TF/PF. ML continues to present the highest risk to the Isle of Man. As an IFC, the bulk of the Isle of Man's customer base consists of non-residents, both in terms of the number of customers as well as value of transactions. As a result, most activities leading to funds being held in the jurisdiction occur outside of the Isle of Man. Therefore, if funds are linked to criminal activity, the underlying predicate offence is most likely to have occurred outside of the Island. The Isle of Man's primary ML risk lies in the placement and layering of criminal proceeds.

Global reports from FATF, Europol, and the Basel Institute on Governance highlight the changing nature of ML, with red flags such as large cash deposits becoming less relevant. Rapid electronic money transfers, including cryptocurrency, digital banking, and increasingly sophisticated techniques for obscuring transactions, have significantly evolved the traditional ML stages. Technologies and online payment platforms enable swift, cross-border movement of illicit funds, as detailed in the Illict Financial Flows From Cyber-Enabled Fraud,[35] with criminals exploiting instant payment systems, smurfing, and layering funds ›

across multiple jurisdictions. The use of money service businesses (MSBs) both domestically and internationally is seeing significant growth; together with the use of virtual assets and the increasing uptake of artificial intelligence, this will present ongoing challenges for LEAs to trace and recover illicit proceeds. This surge in digital payment methods, including digital wallets and challenger banks (some of which have directly marketed to Isle of Man residents) creates vulnerabilities for regulatory oversight.

The adoption of AI provides enhanced security but also introduces tools that can assist criminals in obscuring the origins of illicit funds. The World Economic Forum's Global Risks Report 2025 notes that, while adverse outcomes of AI technologies is low in the risk ranking on a two-year outlook, "complacency around the risk of such technologies should be avoided given the fast-paced change in the field of AI and its increasing ubiquity." It is possible that fast-developing AI-driven tactics could outpace the ability of authorities to detect and prevent financial crime.

As noted by Transparency International[36] and the United Nations Office on Drugs and Crime,[37] the rise of financial hubs including the United Arab Emirates (UAE) and Hong Kong, China, has shifted the axis of criminal money movement. Additionally, geopolitical uncertainty, highlighted by increased deregulation in significant markets such as the US, further complicates the global response to these challenges. This emphasises the importance of international cooperation and collaboration and the development and adoption of technologies that can help address these evolving threats.

In the IOM, rapid growth in the Gaming-Related Software sector occurred alongside a backdrop of a changing global financial crime landscape which accelerated significantly following the COVID-19 pandemic. Criminality is characterised by complex fraud typologies and transnational laundering networks. At the time, controls were not aligned to identify the scale and complexity of these emerging risks, and the expansion indirectly impacted other elements of the Island's control framework, including immigration processes. While the IOM had already introduced a precautionary Software Supply Licensing (SSL) regime in 2019 and introduced new AML supervision measures in 2020 to mitigate risks, the scale, complexity, and transnational nature evolved rapidly and extensively.

This rapid evolution, identified through cross-agency work, is being used to inform further considerations regarding risk understanding of activities outside of online casinos and, where appropriate, mitigation measures that may be required. Strengthening of the framework and enforcement for compliance failings have contributed to a number of businesses surrendering their licences, although surrenders have also resulted from closing markets and for multiple other reasons. The industry is collaborating with government agencies to identify and manage risks, including the creation of an Online Gambling Strategic Working Group under the Isle of Man's Financial Crime Partnership. Measures to improve cooperation and information-sharing between agencies, including Immigration, Customs, and the Police, have been introduced, with further developments planned.

The 'National Risk Appetite Statement on eGaming and Financial Crime: Activities, Risk Appetite and Mitigation'[37] and the FIU document 'Online Gambling: Red Flags and Typologies for Money Laundering, Terrorist Financing, and Proliferation Financing,' both published in May 2025, clearly set out the threats and the actions that industry should take.

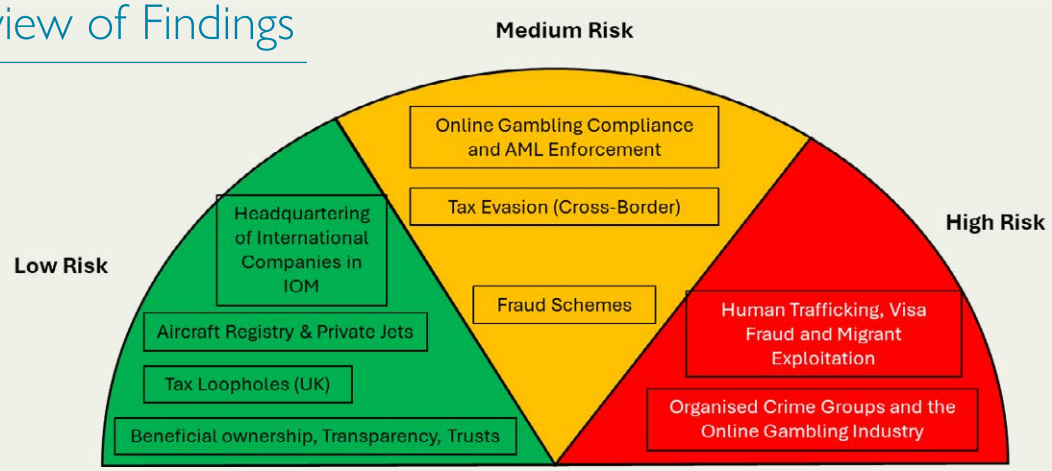
The evolving complexity of ML can be seen with cross-border interconnected predicate offending; cases now frequently encompass a web of foreign, cross-border, and domestic predicate offences, complicating both detection and enforcement. In March 2025, further to actions taken by law enforcement authorities in the Isle of Man, the Minister for Home Affairs made a statement regarding the threats facing the Island and the response to those threats:

*"The Isle of Man Government and the Island's authorities take the illicit actions by transnational organised criminals to exploit the island's business environment and immigration security extremely seriously. Significant and wide-reaching actions are being taken by agencies, with investment in law enforcement and investigation capability. This includes strengthening the Island's immigration systems and processes."* ›

## PERCEPTIONS FROM OPEN-SOURCE MATERIALS

Development of the NRA has also included an analysis of perceptions of adverse media from open-source materials relating to the IOM and an evaluation of their implications for the Island's ML and wider financial crime risk profile, forming part of the NRA's consideration of the risks posed by external perceptions, which in some instances can create a reputational risk. The analysis was based on an extensive review of English-language media reporting, with articles categorised into several areas to enable comparison across different strands of narrative risk using a standardised framework. This is part of a broader programme of risk work within the IOM to continue to monitor the threat of ML/TF, including from information available through open-source media.

## Overview of Findings




## HIGHER-RISK THEMES

### Organised crime groups and the Online Gambling industry

Media reporting, United Nations Office on Drugs and Crime analysis, and domestic law enforcement operations indicate that transnational organised crime groups, primarily from East and Southeast Asia, have attempted to exploit online gambling businesses registered in the IOM. Enforcement actions taken against several operators are widely reported as demonstrating the effectiveness of the IOM supervisory framework in identifying and disrupting these threats.

### Human trafficking, visa fraud, and migrant worker exploitation

Large-scale trafficking networks have not been identified to date; however, a small number of confirmed cases (alongside further allegations) have suggested that the IOM's migration controls were vulnerable to exploitation by transnational organised crime networks who seek to exploit migrants to carry out financial crimes and illicit operations. The IOM Government has already undertaken a review of historic visa applications, and there is heightened scrutiny of the risks associated with the threat of labour exploitation, with potential trafficking being of concern.

## MEDIUM-RISK THEMES

### Online gambling compliance and AML enforcement

Media reporting highlights enforcement actions taken by the GSC against licensed firms. While these cases reflect compliance deficiencies, the enforcement actions themselves are evidence of strong regulatory functioning within the IOM. The perceived risk arises from external misinterpretation: continued, transparent enforcement mitigates, though does not fully neutralise, reputational exposure.

### Fraud schemes

Several fraud cases, including cross-border investment and 'pig-butchering' frauds, have featured IOM entities and premises. The connection between fraud schemes and online gambling ›

entities creates adjacency with the transnational organised crime infiltration theme and compounds reputational risk. However, the effectiveness of the IOM regulatory network in identifying and shutting down criminal operations limits exposure and demonstrates systemic vulnerability does not exist.

### Tax evasion (cross-border)

Perceptions surrounding the Island's status as an IFC and an offshore jurisdiction can create a narrative which frames the IOM as providing vehicles that could enable transnational tax-evasion schemes. Despite strong cooperation with international authorities and tightened regulation and transparency, this is a narrative which does continue in international media.

## LOWER-RISK THEMES

Prevailing narratives often stem from misunderstandings and misconceptions regarding the IOM's regulatory environment, frequently conflating it with other offshore jurisdictions. Despite claims relating to beneficial ownership, tax avoidance schemes, and the use of corporate vehicles, the IOM maintains robust compliance frameworks, a strong Beneficial Ownership framework, and effective information-sharing mechanisms. Issues around the Aircraft Registry and VAT refunds have been independently reviewed and resolved, although media attention persists due to associations with high-profile individuals.

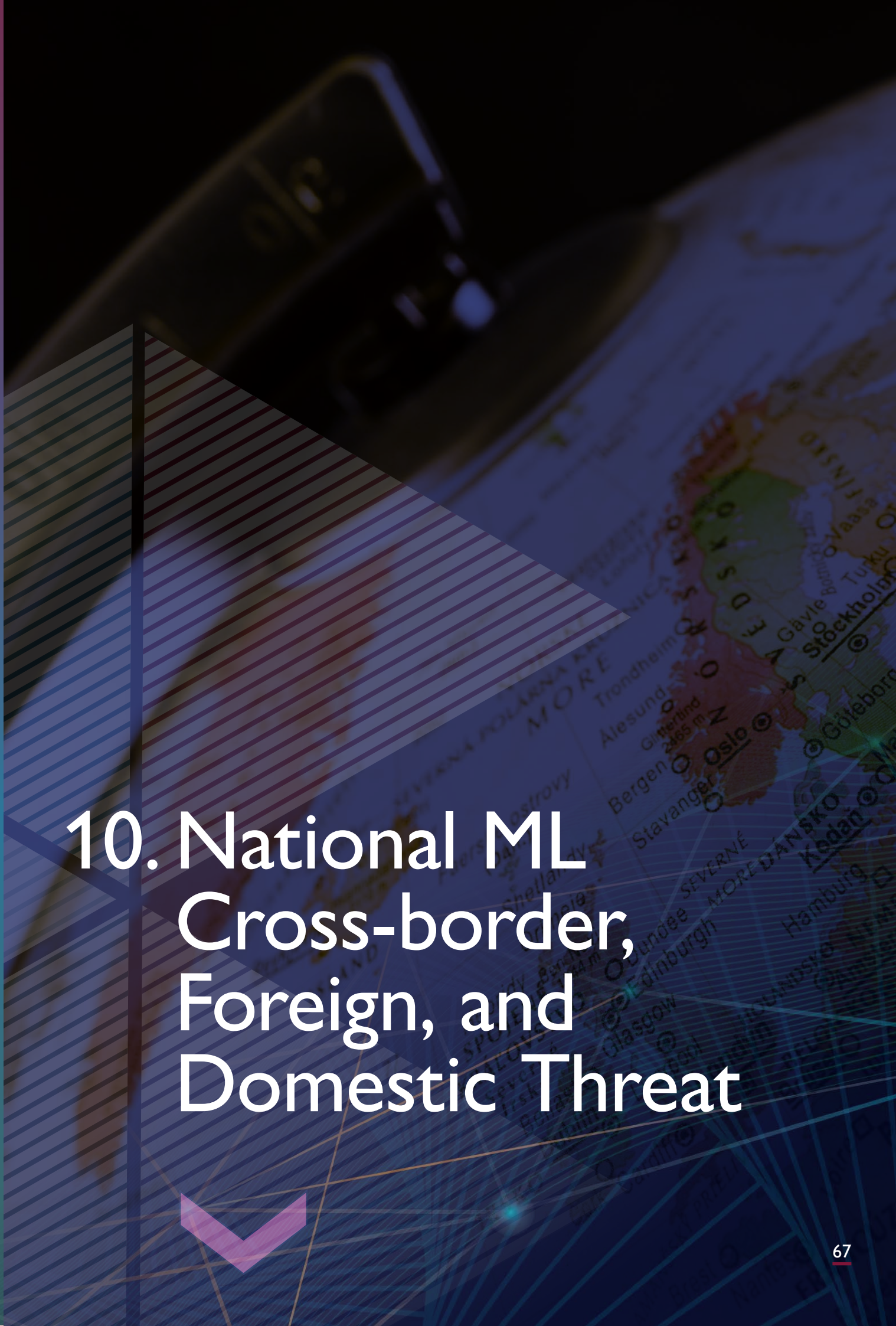
## CONCLUSIONS

- Criminal exploitation by transnational organised crime is the primary driver of the high-risk narratives. The most serious cases involve foreign criminal networks attempting to use the IOM, with the IOM authorities subsequently detecting and disrupting the illegal activity. These observations relate to a genuine threat and risk, as outlined throughout the NRA.

- Transparency and enforcement visibility increase perceived risk but reduce actual risk.

- the underlying structural vulnerabilities identified within historic data or investigative journalism have been resolved; however, it is the case that when the narrative involves high-profile public figures, this drives disproportionate media attention and increases the risk of misinterpretation and misrepresentation.

The highest-risk themes recently reported all intersect either directly or indirectly with the Online Gambling sector, causing an aggregation of reputational risk. This observation is in line with other threats and risks identified over the course of this NRA, with the Online Gambling sector being an area for convergence of risk factors. It is a risk which has been the subject of further mitigating measures, as described elsewhere in the NRA. ■



# 10. National ML Cross-border, Foreign, and Domestic Threat

# 10. National ML cross-border, foreign, and domestic threat

## METHODOLOGY

**The Module on threat involves identifying the main predicate offences, origins, and flows of criminal proceeds and sectors, ML techniques, and trends. The process involves the systematic collection of data to assess ML threats and the analyses of cross-border threats from foreign jurisdictions.**

The overall ML Threat Level for the IOM is assessed as **Medium High**. This rating takes into account the threat assessment conducted by experts from agencies including the FIU, law enforcement, and regulators, and considers the cross-border threat (discussed above) and the foreign and domestic ML threats (discussed below). The level of domestic ML threat is assessed as **Medium Low.**

| Domestic threat level | Cross-border threat level | Foreign threat level |
|---|---|---|
| Medium Low | Medium High | Medium High |

The threat assessment analysed data obtained from MLA, SARs, and intelligence requests on amounts of assets seized (including at the border), frozen, and confiscated. It also considered cases currently under active investigation as well as cases that have been prosecuted, and the outcomes. The suspected predicate offences, location of the suspected offending, and the location of the subject of interest have also informed this assessment.

## UK NATIONAL RISK ASSESSMENT 2025

As the UK is the Island's largest market for trade and financial services, the UK NRA 2025 and the FATF Mutual Evaluation Report (MER) on the UK from 2018 have been given particular consideration. The MER notes the risk of the UK being used as a destination or transit location for criminal proceeds. It identifies the main ML risks being high-end ML, cash-based ML, and the laundering of proceeds from fraud and tax offences, drug offending and human trafficking, and organised crime. Significant risks were identified as arising from laundering the proceeds of foreign predicate crimes, including transnational organised crime and overseas corruption.

The 2025 NRA also highlights cybercrime (including cyber-enabled fraud), human trafficking, sanctions evasion, and overseas corruption as significant predicate offences. Crypto assets and AI are identified as emerging tools for laundering and fraud, with fraud being the largest predicate offence, accounting for over 43% of all recorded crime. Vulnerabilities that are relevant to the Isle of Man include high-end ML involving complex ownership structures and the use of international intermediaries.

## IOM NRA 2020

The 2020 NRA for the Isle of Man identified the threat from ML as **Medium High**. Cybercrime (including cyber-enabled fraud) and human trafficking/modern slavery were seen as emerging risks. Tax evasion remained a key risk, with the need for international cooperation prioritised. Domestic threats such as fraud and ›

the illegal drug supply were growing concerns, to be addressed by dedicated strategies and ongoing monitoring. The report concluded that gatekeeper institutions played a crucial role in combatting financial crime. Controls such as SAR reporting and continued regulatory oversight were vital. It also noted that exposure to higher-risk jurisdictions was low but that further collection and analysis of financial data was required.

The main predicate offences generating criminal proceeds remain fraud (including theft), tax evasion, drug-related offences, corruption, and bribery. There is an increase in cyber-enabled fraud and human trafficking, as anticipated in the 2020 National Risk Assessment, along with heightened involvement of OCGs. The expanding activities of sophisticated OCGs from the UK and from Asian-organised crime has been a notable development since the last NRA. The combination of the Island seeking to grow the economy, as OCGs also grow, creates a risk of importing new cross-border threats requiring controls to be continually monitored and updated.

## CROSS-BORDER THREAT

### Summary of current imported and exported threats

The cross-border threat assessment for the Isle of Man considered several key factors, identifying the main corridors, countries, or regions involved in cross-border activities and assessing the nature of the threats, specifically whether these threats are imported into or exported from the IOM. The assessment also examined future trends that might affect these threats and determined which regulated and unregulated sectors are most impacted. The main corridors considered were those between the IOM and the UK, and between the IOM and the other countries.

- **IOM – UK**

  The assessment identified several key threats affecting the IOM in its cross-border activities with the UK. A significant threat arises from the layering of criminal proceeds. This process was found to pose both an imported and exported risk, as illicit funds can flow into and out of the jurisdiction through complex financial transactions. Banks, TCSPs, MSBs, and virtual assets are particularly vulnerable to the risks associated with the layering of proceeds, given their central role in handling and moving funds.

  Another major threat comes from ML linked to drug-related activities. In this context, drugs themselves are considered an imported threat to the IOM, with proceeds from drug sales subsequently exported to the UK. The cash generated from these drug sales is often used to finance further criminal operations, perpetuating a cycle of illicit activity.

  Banks, VASPs, and high-value goods dealers are exposed to the dangers posed by the illicit trade in drugs. This threat is further compounded by a growing trend towards the use of alternative methods for transferring value, such as MSBs and virtual assets, which can make detection and prevention more challenging.

  **Threat level: Stable**

- **IOM – Other countries**

  #### Organised immigration crime and people trafficking

  The UK and other countries present an imported and exported risk from organised immigration crime. This reflects the evolving nature of cross-border criminal enterprises, often facilitated through UK micro-companies but also from further afield. This is a relatively recent emerging threat for the IOM, which has recently seen three people charged with 17 counts of people trafficking. Banks are particularly vulnerable due to their role in processing transactions that may be linked to these activities. However, the threat extends across a wide array of economic sectors. Industries such as healthcare, agriculture, retail, and food services are especially at risk as they frequently depend on imported labour, creating opportunities for criminal networks to exploit vulnerabilities in recruitment and employment practices.

  **Threat level: Increasing**

  #### Financial sanctions evasion

  Imported cross-border threats were identified in relation to the evasion and circumvention of financial sanctions, particularly through countries such as Türkiye, Azerbaijan, Georgia, and Kazakhstan. Criminal actors exploit these jurisdictions as channels to transfer illicit funds; these processes frequently employ ML activities. ›

This threat is further exacerbated by an apparent substantial shift in the global epicentre of illicit finance, with regions such as the UAE and Hong Kong, China, emerging as major hubs. Funds originating from or passing through these centres may be routed to the Isle of Man as part of sophisticated layering processes, designed to obscure the origins of the proceeds.

A range of sectors within the Isle of Man are exposed to these risks. Banks, Life Insurance providers, TCSPs, and Collective Investment Schemes (CIS) are all vulnerable to exploitation by criminal networks utilising these cross-border methods.
**Threat level for financial sanctions evasion: Stable**
**Threat level for the shift in illicit finance: Increasing**

### Transnational organised crime

There has been a notable increase in transnational organised crime, particularly involving sophisticated fraud schemes such as investment scams and romance scams. These criminal activities primarily emanate from China and Southeast Asia and present a significant imported cross-border threat to the IOM.

The Online Gambling industry has been identified as a particular target for these groups. In addition, financial institutions such as TCSPs and virtual asset service providers, and other professional services such as law firms and accountancy practices, are also considered to be at risk. Banks have also been used to launder the proceeds of organised crime from, for example, romance frauds and cloning frauds. In addition to fraudulent activities, these organised groups are known to offer professional money laundering services to other criminal organisations, facilitating the movement and concealment of illicit funds on a global scale.

A further concern is the presence and operation of Chinese underground banking systems, which represents another avenue for the laundering and transfer of criminal proceeds. This is an area currently under review.
**Threat level: Increasing**

### Threats from higher-risk jurisdictions and business expansion

Nationals from countries assessed as higher-risk may present threats to the IOM's financial services sector. Individuals may attempt to exploit vulnerabilities to facilitate illicit activity, including ML and sanctions evasion. The risks are particularly pronounced where existing controls may be circumvented through complex international business structures or opaque ownership arrangements.

Additional risks arise from activities aimed at opening or extending business channels with new markets, especially where these jurisdictions are associated with heightened financial crime risks. Such expansion can inadvertently introduce new and emerging threats by increasing exposure to unknown or insufficiently understood actors and/or practices

The Department for Enterprise plays a crucial role in overseeing the development of key business activities. However, business expansion also places increased responsibility on both Government and the regulated sector, who can be targeted for exploitation by cross-border criminal networks. Regulated businesses must remain vigilant and enhance their due diligence measures to mitigate potential threats originating from higher-risk countries and emerging/ extending business relationships.
**Threat level: Emerging**

### Professional intermediaries

Professional intermediaries within the IOM face significant risks of either inadvertently or intentionally facilitating overseas criminals in concealing the proceeds of crime. This may involve hiding or enabling the transfer of funds or other assets, which can lend a sense of legitimacy to unlawful activities. This risk is recognised as both an imported and exported threat.

The sectors considered to be most vulnerable include Accountants, Lawyers, TCSPs, MTSs, Investment Business, Estate Agents, CIS, VASPs, and NPOs.
**Threat level: Stable**

## TRANSNATIONAL CRIME[38]

The FATF explicitly aligns its understanding of 'transnational crime' with the UN Convention against Transnational Organised Crime (UNTOC), which provides the formal international definition. Isle of Man entities are less likely to receive criminal proceeds directly from foreign predicates; it is more likely that proceeds will be disguised via complex international routes and arrangements. The most significant risk arises from multi-jurisdictional structuring to layer and integrate criminal funds, leveraging the products and services available. These services ›

include the use of shell companies and other financial products to obscure the origin of criminal proceeds via investments and high-value assets, including real estate.

The Chief Constable's Annual Report 2024–25[39] highlights the threats arising from international ML, in particular, transnational organised crime syndicates originating from South East Asian regions *"using existing immigration policy, labour exploitation and our Central Registry to base and promote regulated and unregulated business here in the Isle of Man."* The report goes on to note that large amounts of proceeds of crime are suspected of being laundered through legitimate businesses.

PIMLIT is collaborating with partner agencies on three major investigations linking directly to criminal typologies outlined in recent UNDOC publications. Additionally, ten other investigations are underway where the predicate criminal activity occurred outside the Isle of Man, but large-scale proceeds of around £340 million have been restrained. Parallel restraint and forfeiture investigations are conducted by PIMLIT and FCARU to identify assets for recovery from predicate criminality. Virtual assets, in particular Tether (USDT) (a cryptocurrency), are increasingly being used to move illicit funds; during 2024, $1.2 million USDT was recovered as part of ongoing investigative work.

PIMLIT has undertaken a comprehensive assessment of threats posed by Chinese transnational organised crime. Strategic risks and vulnerabilities have been identified across the Online Gaming regulated sector, immigration controls, exploitation of the Companies Registry, and elements of the Island's policies and procedures for attracting new businesses from particular regions. This assessment is being utilised to address both present and emerging risks.

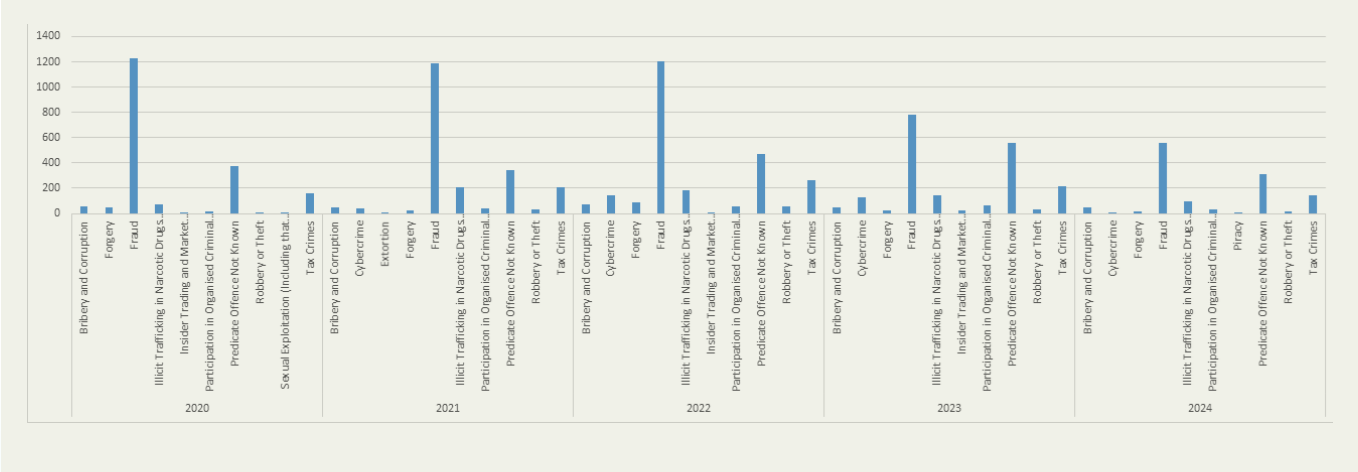
## EXPOSURE TO CROSS-BORDER CRIMINAL ACTIVITY AND FOREIGN PROCEEDS

Analysing the volume, nature, and source of SARs, intelligence, and mutual legal assistance requests provides a clear indication of the extent to which the country is exposed, directly or indirectly, to criminal activity, proceeds, and evidence linked to other jurisdictions.

### SARs and intelligence data

SARs received under POCA legislation by the FIU over the period 2020–2024 show that fraud remains the most reported suspected predicate offence (where known), by a significant margin, followed by tax crimes and illicit drug trafficking. This is in line with risks and with the previous NRAs. ›

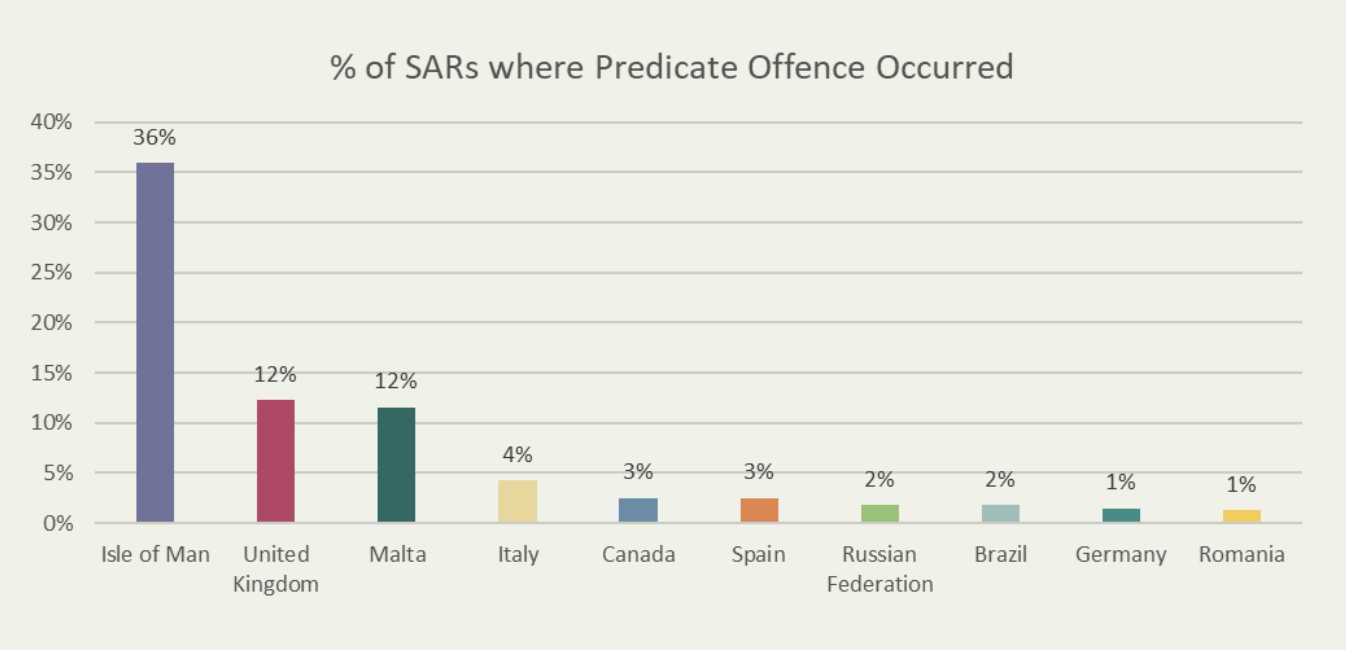
## Figure 22: SARs by Top 10 Predicate Offences




Source: Source: FIU

Whilst one-third of all SARs submitted provide the Isle of Man as a location for suspected offending, this is often provided alongside international jurisdictions due to accounts or other nexus within the Island. Overall, the majority of SARs received by the FIU relate to the suspected laundering of funds from international offending through the Isle of Man financial system (64%). The most frequently provided international jurisdictions for suspected predicate offending in SARs are the UK and Malta (each accounting for **12%** of submitted SARs). SARs are in line with the main predicate offending identified above, given the close geographical and financial links between the IOM and UK. SARs where the suspected predicate offending has occurred in Malta largely relate to dual-reported SARs from Gaming sector operators with licenses and a substantial business presence in Malta. ›

## Figure 23: Percentage of SARs split by Country of Origin of the Predicate Criminality

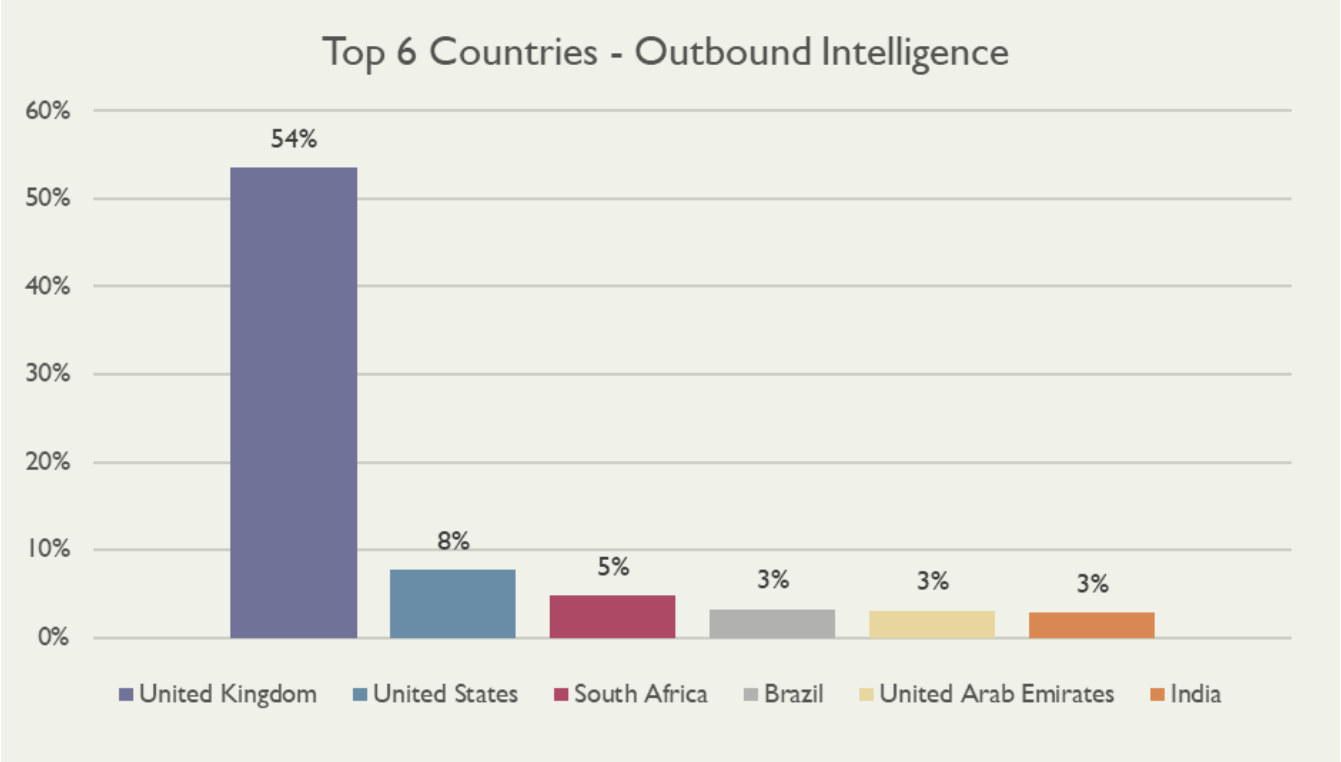



Source: FIU

## INTELLIGENCE EXCHANGE

SARs linked to foreign predicate offences generate cross-border intelligence exchange. The number of international disseminations fluctuates but has stayed stable since 2020.

# Figure 24. FIU Intelligence Exchange




Source: FIU

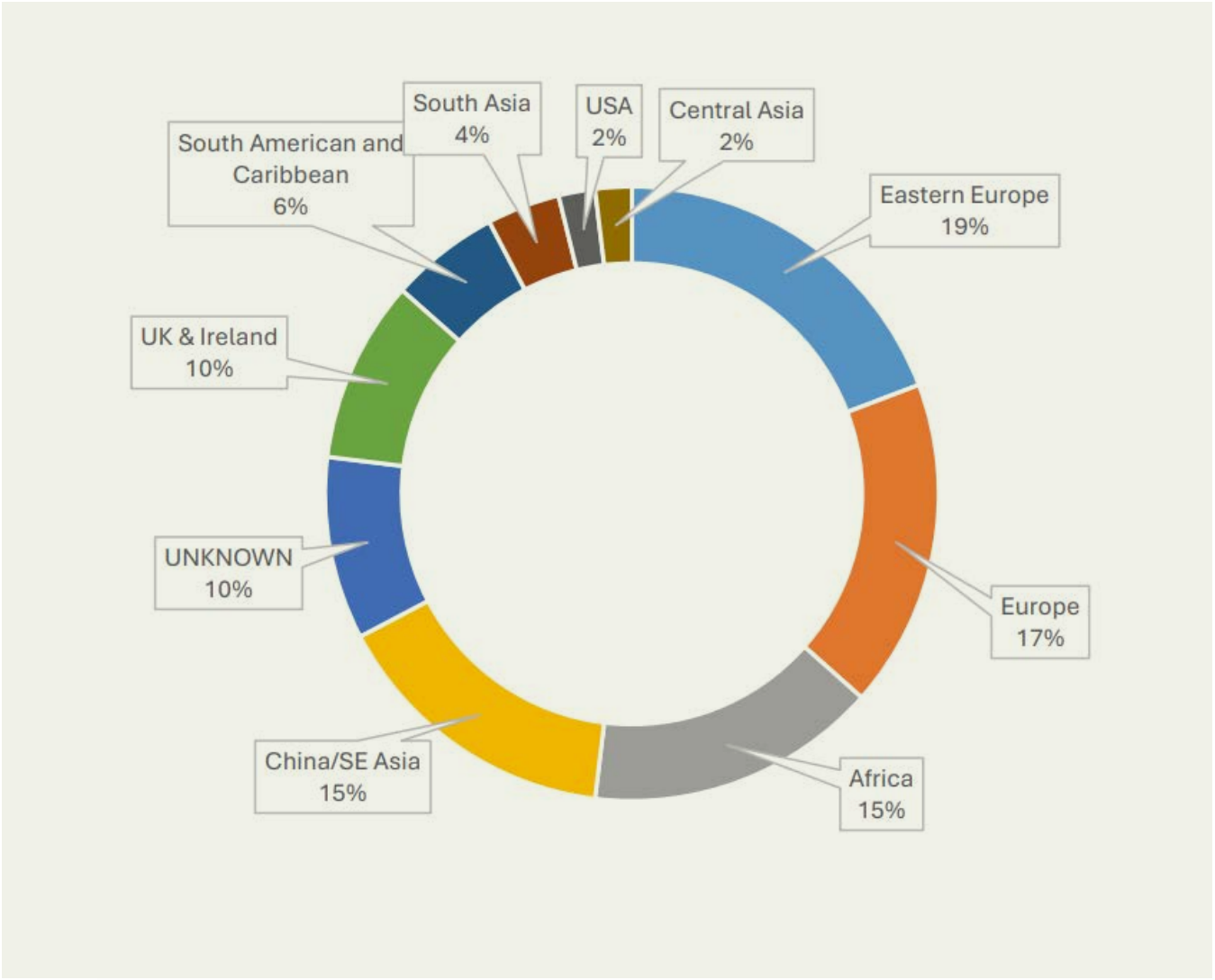
From 2020 to 2024, the FIU made a total of 3,765 international disseminations, of which **43%** were made to UK, **6%** were made to the US, and the remainder were made to international partners in over 70 jurisdictions worldwide. International disseminations have remained consistent since 2020 while domestic disseminations increased by **10.92%** in 2024. This is mainly accountable to large operational matters/PIMLIT investigations leading to increased sharing of intelligence.

The UK provided over **90%** of inbound intelligence in 2024, underlining the close economic relationship between the IOM and the UK.

## INTERNATIONAL AND DOMESTIC INVESTIGATIONS

Over the period, international offences overall accounted for 13% of all recorded ML crimes; these relate to a wide variety of predicate offences, but most commonly fraud (**30%**). The location of predicate offending for international money laundering investigations is displayed in the below chart. Often, offences are committed in a range of countries; therefore, this is reported by country group. ›

# Fig 25: International Investigations Split by Predicate Location



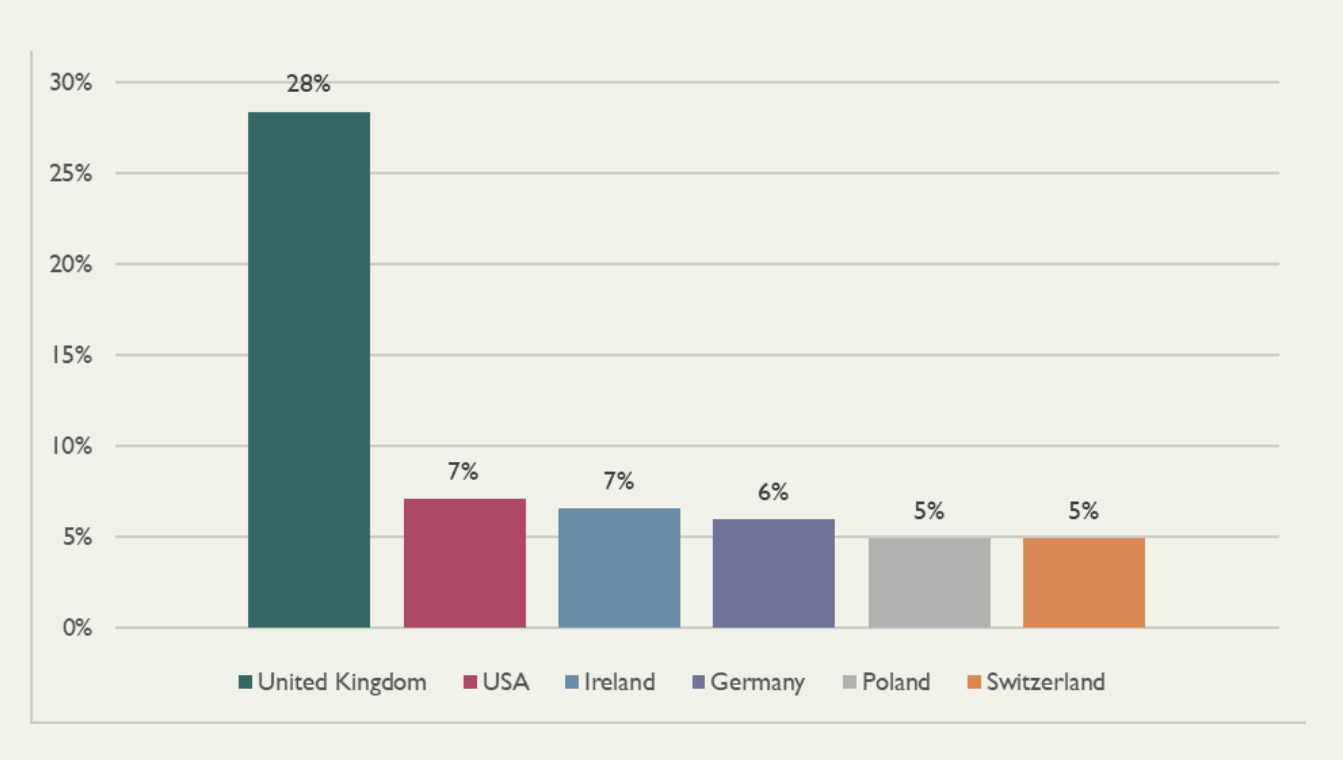

Source: PIMLIT, Isle of Man Constabulary

2024 figures reflect the development of international money laundering cases related to, or conducted through, IOM licensed and unlicensed Online Gaming-related companies, and an increase in illicit funds being moved through the Isle of Man linked to illegal gambling and other types of fraud in another jurisdiction. In the majority of these instances, the crimes are suspected to be committed by Chinese organised crime groups mostly targeting Chinese markets.

## MUTUAL LEGAL ASSISTANCE REQUESTS

The origin of MLAs and additional information provided assistance with mapping threats, in particular where higher-risk jurisdictions may be concerned. In the period 2020–24, a total of 185 Mutual Legal Assistance requests were received (averaging 37 per annum). The majority of MLAs concerned requests for evidence. ›

# Fig 26: Top 6 International MLA Requests Split by Country




ICART, Attorney General's Office

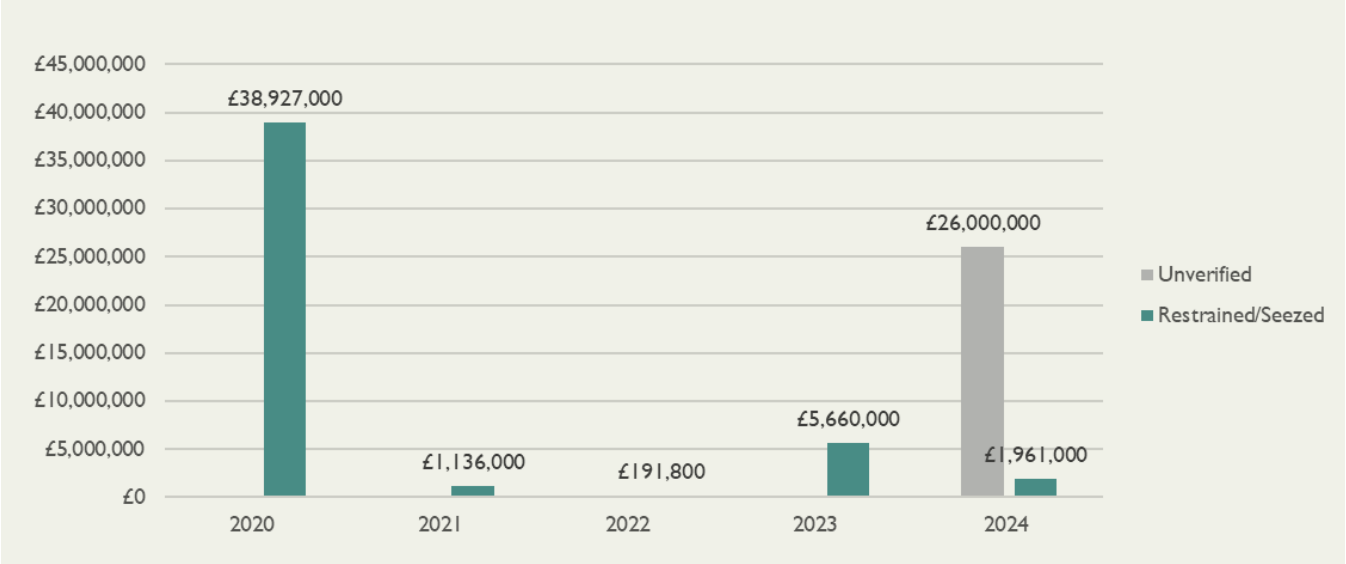
Incoming MLA requests show a consistently international profile, with the United Kingdom accounting for the largest share (28%), followed by the US and Ireland (each **7%**), Germany, Poland, and Switzerland. The range of jurisdictions reflected in "Other" category (**32%**) indicates broad global exposure. Most outgoing MLA requests between 2020 and 24 concern requests for evidence. The majority were made on behalf of the IOM Constabulary[40] and a smaller number from ICART. With a small number of exceptions, the requests were made to the UK. ML was the most prevalent suspected criminal offence, followed by fraud/theft. Between 2020 and 24, a total of 13 incoming requests were related to information on Beneficial Ownership. These will be non-urgent evidential requests; urgent requests are made using the EON mechanism.

A total of 56 outgoing MLA requests were made during 2020-24, the majority seeking evidence, the majority on behalf of the constituent parts of the IOMC, and 70% to the UK. MLAs were sent to 13 other jurisdictions during the period, the majority of which were European countries. ML was identified most frequently as the suspected predicate, followed by fraud/theft.

## CONFISCATION, RECOVERY, AND FOREIGN PROCEEDS

The IOM restrained, on behalf of other jurisdictions, over £27 million of bank account funds, over £840,000 of insurance and investment funds, and more than £15 million in other assets, which includes bitcoin. (The unknown/estimated values for property indicate that the overall sum will be considerably higher.) **Figure 27** shows the overall totals relating to restraints (criminal investigation/prosecution) and freezing. ›

## Figure 27: Criminal Assets Restrained/Seized

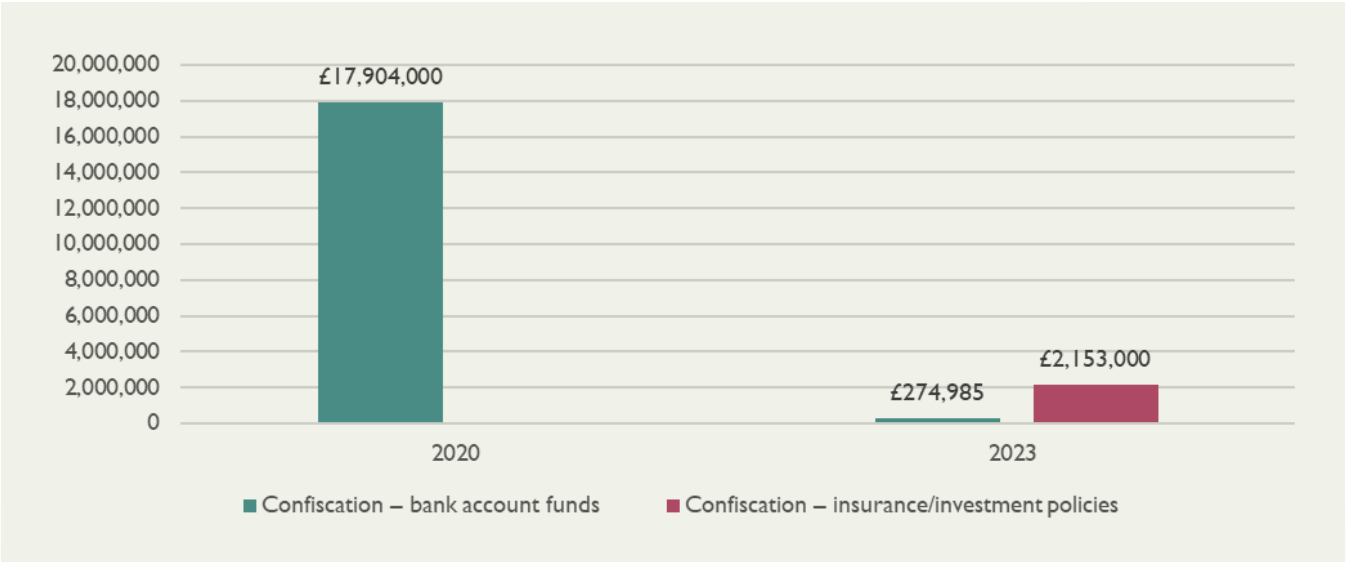



Source: Prosecutions, Attorney General's Office

The graph excludes one property of unverified value restrained/seized in 2023. It includes one property of unverified value restrained/seized in 2024 which has been estimated to be worth over £26 million.

The amounts confiscated and recovered on behalf of requesting jurisdictions for the period 2020–2024 are included in **Figure 28** below. ›

## Figure 28: Confiscation (Criminal Conviction) and Recovery (NCBC)




Source: Prosecutions, Attorney General's Office

# Case Study

In 2021, ICART received a request from a European jurisdiction to restrain funds in an Isle of Man bank account linked to a suspected employee fraud and forgery case, involving losses of approximately £7.75 million. The Isle of Man account held £274,985, which ICART restrained within nine days. Banking evidence was shared with the requesting authority shortly afterwards.

In early 2023, the requesting jurisdiction sought repatriation of the restrained funds to support settlement negotiations and an anticipated plea bargain. ICART obtained a variation of the restraint order and transferred 100% of the funds within 20 days, with the order discharged in March 2023.

This case highlights ICART's ability to act quickly and proportionately, enabling funds to be returned efficiently to the victim without lengthy confiscation proceedings. On legal advice, no asset-sharing was sought as the case involved a clearly identified direct victim.

## FOREIGN PREDICATE OFFENDING

**Foreign threat: Medium High**

### Fraud and theft

Fraud is rising worldwide, especially cyber-enabled and investment fraud. According to Interpol's Global Financial Fraud Assessment 2024,[41] financial fraud has not only increased but also diversified substantially – both in terms of volume and the methods used to perpetrate it. PIMLIT investigates complex, multi-jurisdictional cases of money laundering in which fraud is frequently the primary motive, though other offences are also involved. A main typology is romance fraud, which involves developing a relationship, sometimes purporting to be romantic, over varying periods of time. The victim is encouraged to invest in fraudulent investment schemes via a VA wallet which is controlled by criminals. Funds are stolen when the investment is substantial enough, moved around and across blockchains (chain-hopping), and sent to VASPs in different global locations, sometimes then exchanged into fiat currency. Individuals involved in committing these scams may also be victims of human trafficking, with criminal networks adopting various means to capture and compel people to conduct industrial-level scams (see also Human Trafficking and Modern Slavery below.)

The UNODC 2025 report 'Inflection Point: Global Implications of Scam Centres, Underground Banking and Illicit Online Marketplaces in Southeast Asia'[42] references raids conducted by the Isle of Man constabulary in April 2024 on "the offices of a major online gaming company in connection to a wider fraud and money laundering investigation. This led to the suspension and later cancellation of its licences as well as associated companies, including a virtual asset firm, which was ultimately deregistered." In October 2025, a press release issued by the US Department of Justice's Office of Public Affairs, "Chairman of Prince Group Indicted for Operating Cambodian Forced Labor Scam Compounds Engaged in Cryptocurrency Fraud Schemes,"[43] recognised the valuable assistance provided by the IOM's PIMLIT during their investigations to indict the founder and chairman of the Prince Group.

Fraud cases dealt with by the ECU are most frequently concerned with false representation, with reports made by the FIU. In 2024–25, of 163 cases, 128 were committed outside of the Island and were passed to the UK. There is a low number ›

of fraud predicate ML investigations compared to the number of domestic frauds recorded. This requires further analysis, but it is suspected that the majority of frauds recorded are low-level offences where full investigation is not in the public interest and victims are safeguarded/provided with crime prevention information and victim schemes within the regulated entity.

**Sectors most at risk: Banking, MTSs, TCSPs, VASPs, and Online Gambling**

### Tax evasion

The FATF identifies 'tax crime' as a category of predicate offences; it is for each country to specify what is criminal in their legislation. Tax evasion is described as typically involving deliberate acts to avoid paying taxes, such as hiding income, falsifying records, or using complex structures to conceal assets in order to reduce tax liabilities. The money owed to the relevant tax authority becomes the proceeds of crime and efforts to conceal those proceeds can constitute ML.

The Isle of Man actively participates in international treaties aimed at tackling tax evasion and has frequently been an early adopter of such initiatives. Nevertheless, the features which attract legitimate business to IFCs are also attractive to those persons wishing to evade tax in their own country (usually direct tax such as income or corporation tax). This makes the Isle of Man inherently vulnerable to ML involving tax crimes. Methods of tax evasion often involve concealment of funds held in bank accounts, investments in assets such as real estate, the creation of legal structures such as trusts or shell companies, or the transferring of profits to subsidiaries via artificial transactions. Jurisdictions with lower tax rates may also attract those seeking to conceal and maximise illicit proceeds – for example, OCGs, by investing in assets and legitimate businesses, taking advantage of sophisticated business environments that provide access to a range of professional intermediaries.

Over the five-year period, there has been variation in the number of requests directed to each sector, without a consistent dominance by any single one. While the Insurance sector received the highest number of requests in 2020, 2021, and 2023, the Banking sector recorded slightly higher figures in 2022 and 2024. The differences between these two sectors are minor and do not indicate a clear or sustained focus on either. The "Other" category shows the highest totals across all years. However, this reflects the combined volume of multiple smaller sectors, none of which individually surpass the main financial sectors. The figures reflect the breadth of engagement across multiple areas rather than concentration in a single sector.

All tax requests are made for foreseeably relevant information in order to assess tax compliance in another jurisdiction; the matters are most commonly civil but may amount to avoidance or evasion (criminal) in a small number of cases. Sums involved in tax evasion can be considerable. In August 2024, the high Court in the IOM dismissed an appeal to lift a freezing order[44] related to proceeds from an alleged international tax fraud amounting to USD $2 billion involving multiple jurisdictions including England and Wales, the UAE, and the US. ›

| Period end-year | Seeking information from banks | Seeking information from insurance companies | Seeking information from TCSPs | Seeking information from other firms |
|---|---|---|---|---|
| Total 2020 | 19 | 26 | 10 | 40 |
| Total 2021 | 33 | 43 | 21 | 56 |
| Total 2022 | 26 | 22 | 15 | 29 |
| Total 2023 | 15 | 20 | 5 | 51 |
| Total 2024 | 34 | 33 | 8 | 57 |
| Total | 127 | 144 | 59 | 233 |

Source: Income Tax, Treasury

### VAT

Domestically, there have been a number of cases regarding VAT evasion; in 2021, a couple were jailed for submitting false sales records to evade more than £4.6 million in VAT, with the proceeds used to benefit the family and their personal lifestyle. [45] VAT fraud cases to date have indicated that these frauds have been conducted to fund individuals' own lifestyle and are self-servicing, and not part of a wider ML operation. There are very low numbers of international requests for information in relation to indirect taxes. .

## VAT fraud case study[46]

In 2023 a Douglas businessman was sentenced to three years and seven months in prison for orchestrating a series of VAT frauds amounting to more than £1.1 million. The offences, which began in 2015, involved deliberated manipulation of company finances and abuse of his position of authority. The individual operated several companies under an umbrella organisation. Over a prolonged period, he created false invoices, shifted funds between company accounts, and actively avoided routine VAT inspections. The fraudulent activity expanded to fund personal lifestyle expenses including family holidays and university fees for his children. The conduct was described as 'planned' and 'sophisticated,' involving an abuse of authority, with the sustained and deliberate nature of the frauds supporting a 'lavish lifestyle' at the expense of public revenue. The individual was also disqualified as a director.

**Sectors most at risk: TCSPs, Accountants, Lawyers, Banking, and Insurance**

### Human trafficking/modern slavery

Human trafficking and modern slavery were identified in the 2020 NRA as emerging risks. Global increases in illegal immigration, human trafficking, and modern slavery have seen the Isle of Man targeted, connected partly to other criminality and partly to opportunism, taking advantage of the disparity between the immigration rules of the Isle of Man[47] and the UK and the accessibility afforded by the Common Travel Area. Evidence has shown that vulnerabilities in the Isle of Man's immigration system have been targeted for abuse over recent years, including fraudulent visa applications, exploitation of migrant workers, and the potential use of the Isle of Man as a backdoor into the UK. Some of the immigration matters concern suspected offences related to the Online Gambling sector (see also Exploitation of Labour and Immigration Crime, page 87).

**Sectors most at risk: Banks, Online Gambling, and industries such as Healthcare, Agriculture, Retail, and Food Services which rely upon imported labour**

### Bribery and Corruption

The principal legislation that covers bribery and corruption in the Isle of Man is the Bribery Act 2013. The Bribery Act establishes that it is an offence to give or receive a bribe, bribe a foreign public official, or fail to prevent bribery. There is also a duty under the Bribery Act for certain individuals to report bribery. The FIU has had associate membership of the IACCC since July 2020; this organisation is specifically aimed at exchanging intelligence in respect of 'grand corruption' cases. List B(ii), which specifies jurisdictions that have been identified by the IOM Government as potentially posing a higher risk of ML or TF, covers transparency and bribery/corruption risk in addition to ML and TF.

Between 2020 and 25, 308 POCA SARs were submitted identifying bribery and corruption, predominantly by the Banking, Life Insurance, Gambling, and TCSP sectors. 11 cases investigated or under investigation since 2020 have a suspected bribery/corruption element. In a recent court case, an Isle of Man-based defendant was acquitted of his involvement in the bribery of a Ugandan official. It is probable that cases of international foreign bribery and corruption are not always identified, with submitted SARs relying predominantly on identification of adverse media as the grounds for forming a suspicion. The IOM remains vigilant to the risks of the Island being used for laundering from these activities.

Financial services offered in the Isle of Man may be used by foreign PEPs (albeit overall numbers are low), including those from higher-risk countries, although their activity is concentrated within Banks, TCSPs, and Life Insurance. Due to their position, foreign PEPs might be targeted for corruption and bribery attempts, and ›

ultimately for money laundering or terrorism financing activities. Being a foreign PEP does not automatically mean someone is involved in criminal activities. However, their status enhances the threat that is posed, and therefore enhanced due diligence and monitoring measures must be implemented by the supervised entity to manage the risks posed by the relationship.

In response to the threat of the international financial system being used for hiding the proceeds of corruption, in 2023, the FSA began requesting firms provide data on commercially-exposed persons (CEPs) in their Annual AML/CFT return in addition to the existing PEP data. CEPs are defined by the FSA (in the AML/CFT Handbook) as senior executives associated with a specific industry or activity which typically has increased vulnerability to bribery and corruption and ML. CEPs are connected to customers who are employed in or associated with occupational activities such as arms/weapons trading; casinos/gambling; construction/development; adult entertainment; oil and gas; pharmaceuticals; mining and trading in precious metals and stones; shipping and transport; etc. The sectors with the highest concentration as a percentage of the total Island exposure are Life Insurance (**36.12%**), TCSPs (**19.40%**), and Banking (**18.38%**). The occupational activities with the largest share are construction and development (**30.85%**); oil and gas (**21.45%**); and casinos, gambling, and betting (**13.78%**). The collection of this data commenced in 2023; since its introduction, the FSA has made clarifications to the supporting guidance to aid interpretation. Therefore, the data may not be fully accurate, but it does provide an indicative CEP profile overview. It is expected that the accuracy of the data will increase with each submission cycle.

Proceeds derived from bribery and corruption, whether generated by individuals, small groups, or organised criminal groups, are frequently laundered utilising intermediaries and shell companies. The funds are often layered across multiple accounts, jurisdictions, and entities, and subsequently often invested into various assets, including High-value real estate. While robust legislation and increased regulatory oversight exist to combat bribery and corruption in the Isle of Man, the complexity of financial crime and the involvement of high-risk sectors and individuals mean that continued vigilance and proactive measures are essential.

A recent UNODC report[48] looks in detail at the links between cybercrime, corruption, and ML, and is addressed in more detail in the NRA on VASPs.

**Sectors most at risk: Banking, Life Insurance, TCSPs, Online Gambling, and Funds and Investments**

### Environmental and Wildlife Crime

The FATF identifies environmental crime, including the illegal wildlife trade (IWT), as one of the most profitable forms of transnational organised crime, generating between USD $110 billion and $281 billion annually. These crimes are not only environmentally destructive but are also intertwined with corruption, organised crime, and illicit financial flows. The FATF's 2020 report "Money Laundering and the Illegal Wildlife Trade" Highlights that IWT is rarely investigated financially, despite its scale, Highlighting a lack of multi-agency coordination, asset recovery, and use of special investigative techniques. A report by the Royal United Services Institute, "Disrupting Illegal ›

"While robust legislation and increased regulatory oversight exist to combat bribery and corruption in the Isle of Man, the complexity of financial crime and the involvement of High-risk sectors and individuals mean that continued vigilance and proactive measures are essential."

Wildlife Trade: Have We Followed the Money?"[49], published in October 2025, identifies that gaps remain, particularly in understanding how illicit finance operates in respect of IWT. In the IOM, the FIU has received very few identified or suspected cases of IWT, notwithstanding that there are entities with strong ties to continents (South America, Asia, Africa) where IWT may be considered a particular risk. Feedback that the IOM receives from informal international cooperation Highlights how OCGs are exploiting wildlife and natural resources, with the proceeds paid in cash through less-well-regulated banking systems and from there into the global financial system. The FIU is currently involved in the Europol Financial Intelligence Public Private Partnership (EFIPPP) project on IWT and participates in the EFIPPP IWT workstream. It has initiated a project focused on increasing awareness of IWT and SARs; the project includes publishing a typology[50] and risk indicators to help financial and non-financial institutions improve detection, as recommended by FATF.

**Sectors most at risk: Banks, TCSPs, MTSs, Life Insurance, Funds and Investments, and Extractive Industries**

### Sanctions evasion

Financial sanctions come in a number of forms. The most common types of financial sanctions are targeted asset freezes, which apply to named individuals, entities, and bodies, restricting access to funds and economic resources; these restrictions apply to a wide variety of financial markets and services and direct them to cease all business. As Highlighted earlier in this report, in response to the Russian Federation-Ukraine conflict and the introduction of international sanctions, the FIU led multi-agency reviews of exposure to the Russian Federation, Belarus, and Kazakhstan, with additional actions taken by other agencies to strengthen the legal framework for sanctions compliance. The number of individuals and entities that currently fall under the Isle of Man's sanctions regime has significantly increased. In October 2025, the IOM took part in the sanctioning of targets linked to the Prince Group of companies, instituted by the US and UK Governments. The group, described by the US Office of Foreign Assets Control as 'a transnational criminal empire through online investment scams targeting Americans and others worldwide,' is linked to ongoing ML investigations in the IOM.

Sanctioned individuals wishing to disguise their ownership of assets or move them are likely to employ measures similar or identical ML (and TF) activities and involve the use of professional intermediaries and the creation or use of complex multi-jurisdictional structures designed to obscure the true ownership and origin of the funds. The report "Financial Services – Threat Assessment 2025,"[51] published by the UK Office of Financial Sanctions Implementation (OFSI), provides a helpful overview of the changed sanctions landscape and the threats to financial services firms, in particular banks and non-bank payment services. The report Highlights the use of professional ML networks to breach financial sanctions, with methods including moving funds into and out of crypto and property purchases, and the use of cryptocurrency exchanges and stablecoins such as USDT. The OFSI report notes the use of intermediary countries to evade financial sanctions and Highlights that "while links to the BVI, the Republic of Cyprus, and Switzerland remained prevalent, there was an increase in reports involving the Isle of Man, Türkiye, the UAE and Guernsey."

**Sectors most at risk – Banks, MTSs, VASPs, TCSPs, and Legal Persons and Arrangements ›**

"Financial sanctions come in a number of forms. The most common types of financial sanctions are targeted asset freezes, which apply to named individuals, entities, and bodies, restricting access to funds and economic resources; these restrictions apply to a wide variety of financial markets and services and direct them to cease all business."

## DOMESTIC PREDICATE OFFENDING

**Domestic Threat level = Medium Low**

The Isle of Man is consistently considered one of the safest places to live. The Chief Constable's Annual Report 2024/5 shows a **10%** reduction in recorded crime (following a **5%** reduction the previous year) and an increased detection rate to **56%**. Drug importation generates high-profile cases concerning proceeds of crime on the Island. Other threats include labour exploitation, fraud, and theft, with convicted fraud and theft cases typically involving self-laundering. For example, in September 2021 an individual pleaded guilty to a £50,000 benefits fraud[52] which ran for more than 5 years; and in December 2024, an individual previously found guilty of benefits fraud and theft related to a charity had their appeal against a prison sentence refused and has also been disqualified as a director.

The ECU has responsibility for investigating complex domestic financial crime (other than international ML). In 2024–5, the ECU adopted 15 new domestic ML cases, with 23 active investigations underway. The majority of recorded ML cases originate from domestic offences linked to drug importation and cash confiscations at the Island's borders, which have seen a significant increase in seized cash as a result of enhanced proactivity at the ports.

Since July 2024, IOM authorities have seized drugs valued over £880,000 (mainly cannabis and cocaine) and over £154,000 in cash suspected to be criminal proceeds (including drug trafficking, fraud, and theft).[53]

### Importation and Sale of Drugs

The importation of illicit narcotics by OCGs from countries surrounding the Isle of Man and from Europe is a clear and present threat. The Island's proximity to the North West of England's drug markets in particular provides an attractive proposition as the price drugs command is Higher; this creates all of the associated criminality, including increases in cuckooing, money mules, child exploitation, and violence as OCGs seek to import drugs and extract the proceeds of crime. The Chief Constable's Annual Report 2024–5 refers to proactive operations targeting OCGs, with 37 local and 22 UK-based individuals having been arrested for various offences, including drug importation, money laundering, and serious fraud. Cocaine with an approximate street value of £464,000 was seized, as was 14.5 kilograms of cannabis, valued at £250,000; 1.5 kilograms of ketamine, valued at £75,000; and criminal property amounting to approximately £127,000. As a result of these operations, a number of lengthy prison sentences were imposed by the IOM Courts, including:

- 20 years for a leading OCG member in the IOM, for a number of importations of drugs even after being incarcerated in the IOM Prison;
- 15 years for a leading UK member of an OCG, for importing drugs to the IOM, including whilst incarcerated in a UK Prison; and
- 21 years 9 months for an OCG member responsible for importing Class A drugs to the IOM and conspiring to remove over £1 million of illicit proceeds. ›

> Drug importation generates High-profile cases concerning proceeds of crime on the Island. Other threats include labour exploitation, fraud, and theft, with convicted fraud and theft cases typically involving self-laundering."

# Case Study: Operation Achilles/Trident/Aphrodite

12 individuals from the IOM and the UK received significant sentences for their involvement in an organised crime group involved in significant drug trafficking and money laundering. The leading IOM based offender, received the then longest sentence imposed by the IOM Courts for drug trafficking – 20 years, and the main individual from the UK, received two separate sentences of in excess of 17 years.

In **Operation Achilles,** police seized nearly £100,000 worth of class A and B drugs and more than £50,000 of criminal cash. Operation Achilles included:

- In February 2020 Officers seized 55 grams of heroin and 127 grams of almost pure cocaine within the postal system. The drugs were sent from Liverpool to a vulnerable female in the IOM who was convicted for her involvement in this importation.

- In May 2020, a parcel was intercepted at the IOM Post Sorting Office, which contained 166 grams of Cannabis. Also in May, a parcel was intercepted in Liverpool, that when opened, was found to have 242 grams of heroin within. This package was addressed to a juvenile living in the IOM. A UK individual, was subsequently found to have assisted importing these drugs and was arrested, brought to the Island and received a lengthy custodial sentence.

- In January 2021, the Constabulary intercepted £34,095.00 in cash, secreted in a mobile burger van destined for the Merseyside area. A UK based male and an island resident were both charged and convicted with money laundering offences.

- In July 2021, two males were detained in the IOM and found to be in possession of a large quantity of heroin (276 grams) with a street value of £69,200.00. They were convicted of importation of drugs are now serving long custodial sentences.

- In August 2021, a female living in Douglas took possession of a microwave oven which had been delivered to her address sent from the UK. Hidden within its mechanism was 248 grams of cocaine with a street value of £24,780.00. It was collected by a local man who was subsequently convicted for his part. Another local man linked to this package was also arrested and eventually pleaded guilty to his part in the

›

importation. Phone data proved the imprisoned individual was again involved. All were convicted and are serving lengthy custodial sentences.

- In September 2021, a Merseyside enforcer arrived on the island to collect drug debts. He too was apprehended, convicted of ML offences, and was sent to prison along with a local male who held £9620.00 of illicit proceeds.

In **Operation Trident/Aphrodite** nine individuals were convicted of drug trafficking and money laundering offences.

In June 2022, officers searched a BMW coming off the ferry and discovered 999.56 grams of cocaine with an estimated street value of between £100,000 and £142,000. Operation Trident involved a number of individuals, who have now all been convicted and sentenced for the importation of the drugs. In parallel to Operation Trident, the ECU launched Operation Aphrodite which identified a number of suspects involved in the laundering of the funds generated by the sale of the imported drugs - believed to have been in the region of £1.3m. An individual and his criminal associates used various means and numerous bank accounts to hide and transfer the funds to a wider criminal network within the UK. All were convicted of ML and sentences to custodial sentences. The individual received in excess of 21 years for his offending.

Enhanced security arrangements at the Island's ports of entry have generated more than 60 separate significant seizures of illicit goods and money suspected to be proceeds of in the financial year 2024-25. In almost all cases, drug seizures were "inbound" and proceeds of crime "outbound". Increased success by police and customs at the ports of entry is contributing to a move away from attempts to physically remove criminal cash or to insert it into the banking system via for example, mule accounts utilising young and/or vulnerable people. The authorities have sought to raise awareness of the risks of mule accounts through a campaign aimed at young people. Proceeds are also more frequently now being converted onto pre-paid cards, Bitcoin (or other virtual assets) on mobile phones and into HVG – vehicles, jewellery and watches, mobile phones and High-end clothing for exporting off the Island with purchases structured to avoid triggering the €15,000 registration and reporting threshold.

**Sectors most at risk – Banking, Credit Unions, MTS (including bureau de change), VASPs, High Value Goods Dealers ›**

### Exploitation of labour and immigration crime

The exploitation of labour in the Isle of Man is linked to immigration crime and people trafficking. Intermediaries, advisors, and unregulated immigration agents in the UK, Middle East, and locally promote immigration scams and offer services which facilitate immigration abuse, such as creating fictitious jobs and businesses and charging unlawful fees. OCGs and other actors have exploited vulnerabilities following changes to immigration policy since 2018, resulting in the closure of two immigration routes. Authorities report cases involving migrants who have been made vulnerable to exploitation due to employer and agent practices, encountering substandard living and working conditions. According to the Isle of Man and UK Gap Analysis Report (May 2025),[54] "exploitation of migrant workers is an international concern. Addressing this issue is challenging because of power differences between employers and workers, as well as the presence of a 'migration industry' of intermediaries profiting from migrant labour."

The UK remains a Highly desirable destination for migrants, prompting many individuals to risk their lives by undertaking illegal journeys. The availability of Isle of Man visas whether obtained legitimately or through fraudulent means has made them an appealing alternative for those seeking indirect entry into the UK. The Isle of Man authorities are fully aware of their responsibilities concerning the security of the Common Travel Area and are actively engaged in efforts to address and mitigate these threats.

## Case Study[55]

In October 2025 the first prosecution took place of an individual, part of an international organised crime group, charged with conspiracy to assist unlawful immigration. Man facing deportation after charging victim £25,000 for visa in fake job offer scam | Isle of Man Today. The case involved the production of fake job offer letters and falsified certificates of entry via a sham company based in the IOM. The individual was arrested in the UK and brought to the IOM where he was found guilty and sentenced to a 3-year jail term and will be deported to India following completion of his sentence.

**Sectors most at risk – Banks, estate agents and industries such as healthcare, agriculture, retail, and food services which rely upon imported labour. ›**

> "exploitation of migrant workers is an international concern. Addressing this issue is challenging because of power differences between employers and workers, as well as the presence of a 'migration industry' of intermediaries profiting from migrant labour."
>
> Isle of Man and UK Gap Analysis Report (May 2025)

### Domestic Bribery and Corruption

The Isle of Man has an Anti-Bribery and Corruption Framework and Strategy (2022–2027)[56] which is led by the AML/CFT Policy Office. The website[57] provides information and guidance, resources, details of relevant legislation, and an online reporting channel for concerns regarding bribery and/or corruption (domestic and foreign). Reports are made to the FIU and actioned appropriately. Mandatory biannual training is provided to all Isle of Man Government staff via the eLearn Vannin electronic learning platform. An Anti-Bribery Policy is in place for all staff. The AML/CFT Policy Office provides annual face-to-face training to Members of Tynwald, which is arranged by the Clerk of Tynwald's Office. This covers the Bribery Act, delivery against the Anti-Bribery and Corruption Strategy, and how to raise concerns.

In January 2026, the IOM Government reported, in response to a written Parliamentary question, that three allegations of bribery had been made regarding Government staff over the previous financial year. One allegation of bribery had been made the previous year. Figures are reported to the Audit Advisory Division of Treasury, while allegations will be referred to the Police.

## MONEY LAUNDERING MODALITIES

This section provides an overview of the features of some of the more significant and relevant ML methodologies that may be relevant to the Island. For more on Legal Persons, Arrangements, Professional Enablers, and Complex Structures, refer to the Legal Persons and Legal Arrangements Risk Assessment 2026. For Virtual Assets, see the Virtual Assets and Virtual Asset Service Providers Risk Assessment 2026.

### Use of Complex Structures, Legal Persons and Arrangements and the Role of Professional Enablers[58]

The threat analysis undertaken for the LPA NRA identifies a range of ML and TF threats associated with LPAs. While some of these threats were Highlighted in previous assessments, others have become more pronounced due to the evolving global financial crime landscape. The analysis confirms that the domestic threat is comparatively low; however, the IOM faces significant exposure to cross-border risks, particularly those linked to foreign predicate offences. This reflects the Island's position as an IFC with a customer base that is predominantly non-resident and which can be engaged in complex, multi-jurisdictional structures.

Many entities incorporated in the IOM have foreign beneficial owners and hold assets overseas. This complexity increases oversight challenges and demands robust due diligence by TCSPs and other regulated entities. The analysis for the LPA NRA also Highlights vulnerabilities associated with limited-service offerings, such as registered office or registered agent services, which inherently carry Higher risk.

Professional intermediaries, including TCSPs, lawyers, and accountants, play a critical role in mitigating these risks. However, weaknesses in controls, insufficient questioning of customers, and varying risk appetites across firms can create vulnerabilities. The misuse of LPAs by OCGs and transnational networks remains a significant threat, particularly where structures are designed to evade sanctions or exploit gaps in beneficial ownership transparency.

### Citizenship By Investment

The IOM does not offer a Citizenship by Investment (CBI) programme. Instead, there are residency pathways such as the "Business Innovator" route which provide investment-linked residency visas. While these pathways may eventually lead to settlement, eligibility for citizenship requires individuals to comply with naturalisation regulations, including a requisite period of lawful residence, obtaining indefinite leave to remain, fulfilling language proficiency requirements, and passing character assessments. Authorities are aware of various third-party websites purporting to offer IOM citizenship by investment; however, such offers are not genuine. IOM entities face risks from individuals with criminal backgrounds who obtain citizenship by investment elsewhere and use new identities to gain credibility, secure visas, and conduct business. Authorities have noted that CBI recipients are frequently ultimate beneficial owners or initial investors in structures relevant to ongoing criminal investigations. Individuals who appear to have been complicit in criminal activities have also used the CBI route to obtain residency and banking services. While CBI can be legitimate, its use is common in such schemes and requires close scrutiny. As part of the amended tax CRS, from January 2026, financial institutions have to carry out enhanced due diligence on CBI/Residency by Investment (RBI) jurisdictions identified by the OECD, which may assist in mitigating some of this risk. ›

### Cross border cash

The enhanced security arrangements at the ports have generated more than 60 separate significant seizures of illicit goods and money suspected to be proceeds of crime at the Island's points of entry in the financial year 2024-25. Seized goods included significant quantities of cannabis, cocaine, ketamine. and anabolic steroids to a value of approximately £1 million, with cash seizures just under £100,000. In almost all cases, drug seizures were "inbound" and proceeds of crime "outbound". Multiple arrests have been made in connection with the seizures described, for offences including production of Class A drugs and money laundering. Most cash seizures have taken place either following the search of a premises or at the main port (Sea Terminal).

The IOM Post Office (IOMPO) was identified as a frequent location for cash seizures, amounting to over **14.4%** (over £270,000) in the period 2020-24. Efforts to move criminal cash off-Island have moved towards transferring value into HVGs in recent years. The police have noted that the purchase of jewellery and watches, vehicles, art, and luxury clothing have all been used to avoid detection, with the amounts carefully structured to avoid triggering automatic registration and reporting requirements relating HVGDs. The FSA has been undertaking outreach to the local businesses that may deal in HVGs to alert them to the threat of ML and remind them of potential registration requirements where certain parameters are met.

### Trade Based ML

Trade-based money laundering (TBML) is the process of disguising the proceeds of crime and moving value using trade transactions, rather than financial transactions, to legitimise their illicit origins. In practice, this can be achieved through the misrepresentation of the price, quantity, or quality of imports or exports. TBML techniques vary in complexity and are frequently used in combination with other money laundering techniques to further obscure the money trail. Real or fictitious services could just as easily be involved. A complex laundering system may involve both real and purported movements of goods and real or imaginary 'services' (such as consultancy, inspection, insurance, etc).[59] TBML may be relevant to the IOM, but there are no evidenced cases at this time. ›



### Virtual Assets

The use of virtual assets has grown steadily, with continued institutional adoption driving the trend. There are several factors making VAs attractive for ML (and TF and PF), the most significant being that VAs can be traded directly between parties, bypassing intermediaries that typically enforce AML/CFT/CPF controls. As a result, VAs behave like cash but can be transferred across borders nearly instantly. This makes VA transfers Highly attractive to criminals wishing to disperse the proceeds of crime fast and wide. General ML threats involving VAs and VASPs include:

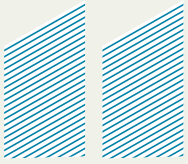
- Online/cyber fraud, including romance scams (see 11.16);
- rug pulls/pump-and-dump schemes;
- cyber-attacks on VASPs;
- illicit online gambling;
- payment for illicit products/services; and
- corruption.

The Isle of Man faces a growing threat from the use of VAs in money laundering activities, evidenced by an increase in international cases under investigation. These cases are marked by their complexity, often involving multi-jurisdictional structuring, shell companies, and a range of financial products to conceal criminal proceeds. There has been a notable rise in the use of VAs, particularly stablecoins such as USDT, to transfer illicit funds as part of money laundering processes. The main domestic threat relates to drug trafficking and supply. The use of IOM banknotes paid into third-party accounts and subsequently transferred to the UK (as a virtual asset) remains a common laundering method. That said, with effect from 1 January 2026, VASPs that are Reporting Crypto-Asset Service Providers (RCASPs) have to identify and report information, including beneficial ownership information, to the Income Tax Division, with respect to Reportable Users on an annual basis that will be exchanged with the jurisdictions in which the Reportable Users are tax resident.

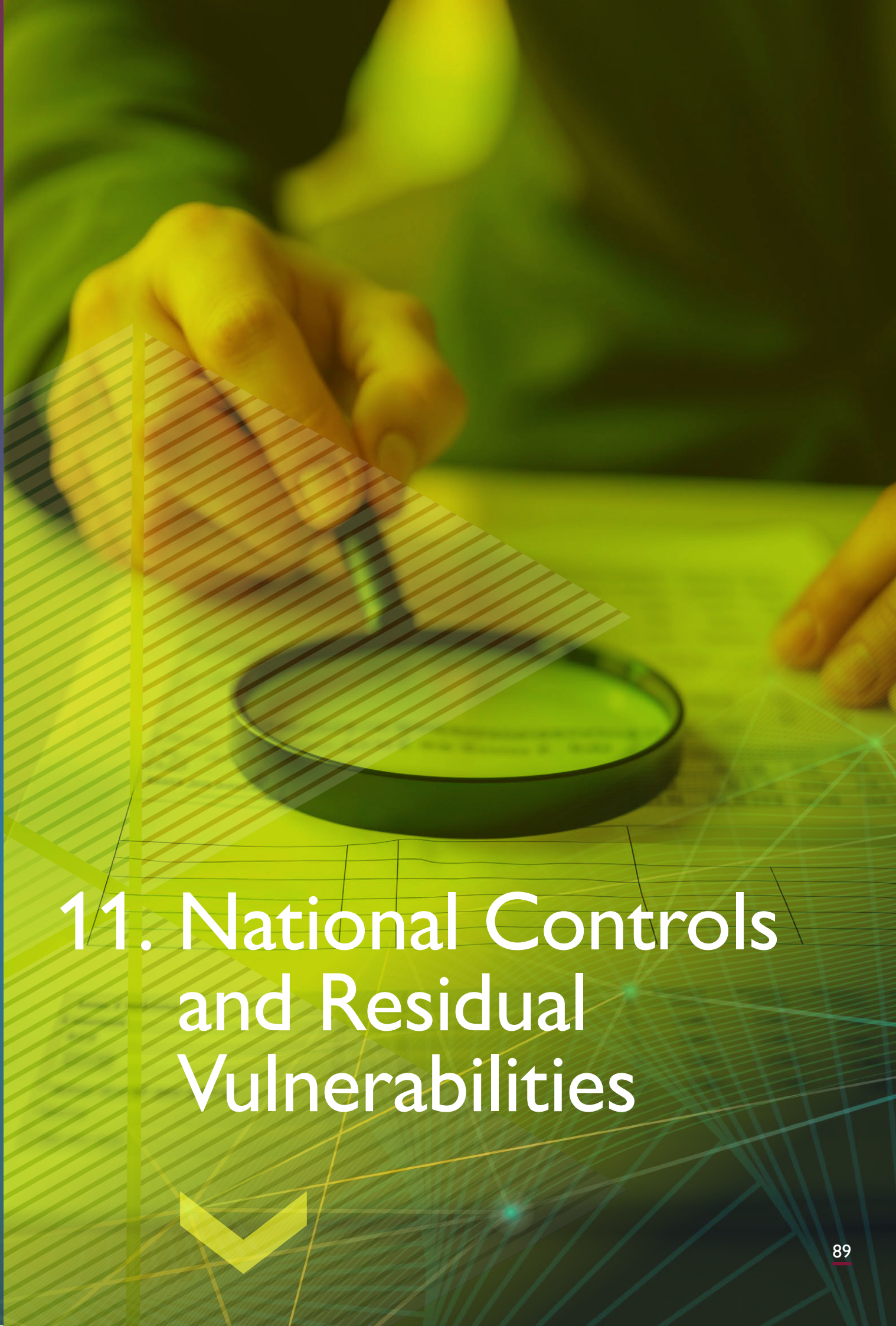
### Artificial Intelligence

Artificial intelligence is reshaping the financial crime landscape. For jurisdictions with a large cross-border customer base and a sophisticated TCSP sector, AI represents both an opportunity to strengthen detection and a set of new and fast-moving threats. International bodies, including the FATF, the Egmont Group, and Europol, note that data-driven analytics, machine learning, and collaborative analysis can materially improve the effectiveness of AML/CFT, while simultaneously recognising that criminals are using generative AI (GenAI) and synthetic media (deepfakes) to defeat onboarding, identity verification, and ongoing monitoring controls. The Monetary Authority of Singapore (MAS) has published papers Highlighting that generative AI and deepfakes pose significant cyber- and financial crime risks, including identity spoofing, synthetic document creation, and impersonation attacks that can undermine CDD and remote onboarding processes.

AI-enabled obfuscation therefore compounds risks already identified in this NRA, particularly where structures are complex and span several jurisdictions. ■



VAs behave like cash but can be transferred across borders nearly instantly. This makes VA transfers Highly attractive to criminals wishing to disperse the proceeds of crime fast and wide."



# 11. National Controls and Residual Vulnerabilities

# 11. National Controls and Residual Vulnerabilities

## METHODOLOGY

**Vulnerabilities may arise from deficiencies and gaps in national controls to prevent and detect ML, as well as in the enforcement of the AML framework. Vulnerabilities may involve shortcomings in specific AML measures, the broader AML/CFT/CPF framework, or national characteristics that could be exploited for ML purposes, like inadequate border controls or a significant informal economy.**

The ratings given by the assessors to each control and the built-in weights and pre-conditions of the WB tool together generate an overall score for national combatting ability. Each of these 22 control variables were considered in detail at two multi-agency workshops and in 1-to-1 discussions with the lead agencies, and a rating was assigned between 0.0 and 1.0.

The overall National Vulnerability level for the IOM is assessed as **Medium**, which is the same as the 2020 assessment, noting that the authorities have strengthened controls in a number of areas, but that further work is required as Highlighted under *National money laundering vulnerability scores* below:

| Year | National ML Vulnerability | Combating Ability | Sectoral Vulnerability |
|---|---|---|---|
| 2026 NRA | 0.49 | 0.60 | 0.59 |
| 2020 NRA | 0.50 | 0.56 | 0.55 |

## NATIONAL MONEY LAUNDERING VULNERABILITY SCORES

The national ML vulnerability ratings are summarised in **Figure 29.** This includes ratings for each NRA since 2015, noting that the 2015 and 2020 NRAs combined ML with TF. In certain instances, the rating has decreased. Changes in ratings may be attributed to several factors. For example, the increased availability of data, with newly published reports and improved data collection enhancing understanding of vulnerability. In addition, gaps may have emerged where recent technological developments or industry practices have evolved rapidly. ›

# Figure 29: National Money Laundering Vulnerability Scores

| | Module | Rating 2015 ML/TF | Rating 2020 ML/TF | Rating 2025 ML only | |
|---|---|---|---|---|---|
| 1 | Quality of AML policy and strategy | 0.7 | 0.8 | 0.6 | Medium High |
| 2 | Effectiveness of ML crime definition | 0.9 | 1 | 1 | Excellent |
| 3 | Comprehensiveness of asset forfeiture laws | 0.9 | 1 | 0.7 | High |
| 4 | Quality of FIU information gathering and processing | 0.5 | 0.7 | 0.7 | High |
| 5 | Capacity and resources for financial crime investigation (including asset forfeiture) | 0.3 | 0.5 | 0.7 | High |
| 6 | Integrity and independence of financial crime investigators (including asset forfeiture) | 0.8 | 0.9 | 0.9 | Close to excellent |
| 7 | Capacity and resources of financial crime prosecutors (including asset forfeiture) | 0.8 | 0.8 | 0.7 | High |
| 8 | Integrity and independence of financial crime prosecutors (including asset forfeiture) | 0.9 | 1 | 0.9 | Close to excellent |
| 9 | Capacity and resources for judicial processes (including asset forfeiture) | 0.8 | 0.8 | 0.7 | High |
| 10 | Independence and integrity of the judiciary (including asset forfeiture) | 1 | 1 | 1 | Excellent |
| 11 | Quality of border controls | 0.4 | 0.5 | 0.4 | Medium Low |
| 12 | Comprehensiveness of the Customs regime on cash and similar instruments | 0.9 | 0.9 | 0.9 | Close to excellent |
| 13 | Effectiveness of the Customs regime on cash and similar instruments | 0.3 | 0.5 | 0.6 | Medium High |
| 14 | Effectiveness of domestic cooperation | 0.9 | 0.9 | 0.7 | High |
| 15 | Effectiveness of international cooperation | 0.6 | 0.7 | 0.7 | High |
| 16 | Availability of independent audit | 0.8 | 0.8 | 0.8 | Very High |
| 17 | Level of financial integrity | 0.7 | 0.7 | 0.7 | High |
| 18 | Effectiveness of tax enforcement | 0.7 | 0.8 | 0.8 | Very High |
| 19 | Level of formalisation of the economy | 0.9 | 1 | 0.9 | Close to excellent |
| 20 | Availability of reliable identification infrastructure | 0.7 | 0.7 | 0.7 | High |
| 21 | Availability of independent information sources | 0.7 | 0.7 | 0.7 | High |
| 22 | Availability and access to Beneficial Ownership information | 0.7 | 0.8 | 0.7 | High |

## CONTROLS FOR AML

Ratings for each of the 22 control variables are inserted into the Excel file of the NRA tool. Once the ML vulnerability ratings for each sector are inserted into the tool (see **Figure 32** in **Chapter 11**) combining sectoral vulnerability and into account taking any deficiencies in national combatting ability, a score for National Vulnerability is produced. The score ranges from 0.0 to 1.0 and corresponds to one of five levels ranging from **Low** to **High**. The assessments for each control variable below are summarised from the detailed worksheets created as part of the process with further information in **Appendix VI**.

| | Controls for AML | Rating | |
|---|---|---|---|
| **Module 1** | **Quality of AML Policy & strategy** | **0.6** | **Medium High** |

The IOM Government has strengthened its anti-money laundering (AML) system with new resources, a revised structure, and strategies aligned with global standards. Approved plans guide policy, resource allocation, and cross-government collaboration.

Authorities and regulated entities are updating their practices. Legislative measures to align the AML framework with FCSB objectives have seen some delays and a number will require prioritisation following the 2026 General Election.

| | | | |
|---|---|---|---|
| **Module 2** | **Effectiveness of ML Crime Definition** | **1.0** | **Excellent** |

Money laundering is criminalised under the Proceeds of Crime Act 2008, in line with international standards. There are no specific sentencing guidelines within the Manx courts, the judiciary refer to the UK sentencing guidelines for ML. Penalties for ML range from fines to up to fourteen years' imprisonment.

| | | | |
|---|---|---|---|
| **Module 3** | **Comprehensiveness of Asset Forfeiture Laws** | **0.7** | **High** |

The IOM has comprehensive confiscation measures for investigating, tracing, and seizing property suspected of being criminal proceeds. Confiscated assets have included cryptocurrency and properties.

Legislative updates are being considered to better reflect the changing landscape regarding technological advancements and the AGC is developing systems for more effective seized asset management.

| | | | |
|---|---|---|---|
| **Module 4** | **Quality of FIU Intelligence Gathering and Processing** | **0.7** | **High** |

The FIU operates independently, reporting directly to the FIU Board. Its Strategic Objectives and Annual Plan 2023/24 outline recent restructuring. It is an Egmont Group member. The Themis online platform streamlines SAR reporting for regulated entities and facilitates communication. Every FIU team member receives specialised training in AML and financial crime prevention, supported by both external and internal programs; however, staff retention continues to be a challenge, as it is in a number of other competent authorities. The FIU is currently working to update key policies and procedures.

| Module 5 | Capacity & Resources for Financial Crime Investigation (including Asset Forfeiture) | 0.7 | High |
|---|---|---|---|

Significant investment has strengthened financial crime enforcement, with the establishment of PIMLIT in 2022 to manage complex international money laundering cases. Investigations have increased, with 10 active international money laundering cases involving large proceeds, and three major multi-agency operations in 2024-25 resulting in the seizure of around £300 million and substantial digital and physical evidence. The International Cooperation and Asset Recovery Unit (ICART) has expanded, recovering significant assets and supporting major international investigations, though challenges remain in cross-border and crypto-related cases.

| Module 6 | Independence and Integrity of Financial Crime Investigators (including Asset Forfeiture) | 0.9 | Close to Excellent |
|---|---|---|---|

The IOM demonstrates High integrity in law enforcement, with robust legislation and oversight ensuring independence and accountability. No corruption linked to money laundering has been identified and complaint processes are transparent and impartial.

| Module 7 | Capacity and resources of financial crime prosecutors (including Asset Forfeiture) | 0.7 | High |
|---|---|---|---|

The Prosecutions Division established a dedicated Financial Crime Unit in 2024, providing specialist expertise for financial crime cases. A senior legal officer is seconded to the police to support PIMLIT and ECU. The Prosecutions Division works closely with ICART to identify where parallel civil investigations may be appropriate. While ML prosecutions show success in convictions and confiscations, these primarily relate to drug trafficking; international ML convictions are still developing.

| Module 8 | Independence and Integrity of Financial Crime Prosecutors (including Asset Forfeiture) | 0.9 | Close to Excellent |
|---|---|---|---|

All criminal prosecutions, including financial crime, are overseen independently by the AGC, with robust checks and clear separation from the judiciary and executive. High-profile cases and transparent complaint processes further demonstrate prosecutorial integrity and impartiality.

| Module 9 | Capacity and Resource for Judicial Processes (Including Asset Forfeiture) | 0.7 | High |
|---|---|---|---|

The Isle of Man is a separate legal jurisdiction, with a legal system based on English common law and Acts of Tynwald. Manx courts are guided by English precedents unless local law applies. Deemsters (judges) lead the judiciary. Serious criminal cases are dealt with by the Court of General Gaol Delivery, while appeals go to the Staff of Government Division and, ultimately, the Judicial Committee of the Privy Council in London. Specialist judges handle financial crime, and recent reforms allow judge-only trials for complex fraud. Legal training and digital capacity have improved; planned legislative updates aim to address some practical matters regarding modernising court facilities.

| Module 10 | Independence and Integrity of Judges | 1.0 | Excellent |
|---|---|---|---|

Judicial appointments in the Isle of Man are independent and transparent, with senior judges chosen by the King on expert recommendation. Judges are not politically appointed and must retire at 75, upholding impartiality and integrity. Trials proceed without interference or corruption, with all judgments published and complaints handled through a set process. Judicial conduct is governed by a strict code and supported by anti-corruption measures; ongoing legal service reforms stem from Lord Garnier KC's 2023 independent review, addressing advocate training, Law Society roles, and disciplinary procedures.

| Module 11 | Quality of Border Controls | 0.4 | Medium Low |
|---|---|---|---|

The Isle of Man, as part of the Common Travel Area, permits free movement for British and Irish citizens, with entry typically via major ports. Post-pandemic border reopening saw targeted operations against organised crime, leading to significant seizures. A 2021 review Highlighted intelligence gaps around human trafficking and forced labour. Border security has been bolstered through enhanced policing, monitoring, and technology upgrades. In 2024, Immigration and Customs merged under Treasury oversight to improve efficiency. While policies are closely aligned with the UK, differences have created some exploitation risks, as reflected in recent convictions. The 'Securing our Island' strategy focuses on reducing risks through improved information sharing, digital system alignment, and additional enforcement resources.

| Module 12 | Comprehensiveness of the Customs regime on cash and similar instruments | 0.9 | Close to Excellent |
|---|---|---|---|

Customs controls in the Isle of Man are overseen by the Treasury's Customs and Immigration Division. Goods generally move freely with the UK, but some are restricted. Cash over £10,000 must be declared at the border, and officers have powers to enforce compliance. The regime is based on the Customs and Excise Management Act 1986 and is regularly updated to match port security and policy changes.

| Module 13 | Effectiveness of the Customs Regime on Cash and Similar Instruments | 0.6 | Medium High |
|---|---|---|---|

Most traffic enters the Isle of Man through one airport and ferry terminal, aiding enforcement. While the coastline is vulnerable to illegal entry, robust controls and improved agency cooperation have led to effective cash and ML enforcement at ports. The non-cash-based economy limits large-scale cash generation, with most smuggled cash tied to drug trafficking from UK-based OCGs; authorities have documented attempts to import and remove such cash. Tracking locally issued notes leaving the island remains a challenge. Ongoing efforts focus on enhanced training and intelligence-sharing among agencies.

| Module 14 | Effectiveness of Domestic Cooperation | 0.7 | High |
|---|---|---|---|

Domestic cooperation in the Isle of Man is underpinned by a robust governance framework focused on risk management and inter-agency collaboration. Key groups meet regularly and share information efficiently, supported by statutory provisions and ongoing development of MOUs. Coordination by the AML/CFT Policy Office ensures streamlined national and international engagement. Recommendations include enhancing risk awareness in less-involved Government departments. While law enforcement has legislative powers to share border security information, a formal Code of Practice is required.

| Module 15 | Effectiveness of international cooperation | 0.7 | High |
|---|---|---|---|

The Isle of Man has a robust legal framework enabling international cooperation on money laundering and terrorist financing, with mutual legal assistance coordinated by the AGC and supported by effective participation in global networks supporting asset recovery, extradition, and information sharing. The central beneficial ownership register meets international standards, and authorities share information through established channels.

| Module 16 | Availability of Independent Audit | 0.8 | Very High |
|---|---|---|---|

Audit laws remain unchanged; audits follow UK and Ireland international standards, with oversight by the UK's Financial Reporting Council for market-traded companies. Most 2006 Act firms are exempt; 1931 Act firms require audits unless exempted based on size and staffing criteria. FSA- and GSC-regulated entities must submit annual audited accounts, except for certain DNFBPs, and license-holders or those handling client money need independent auditor assurance. Specific rules apply for insurers and Retirement Benefit Scheme administrators.

| Module 17 | Level of financial integrity | 0.7 | High |
|---|---|---|---|

There is a High level of membership of professional bodies and a strong emphasis on ethics. Criminal and civil proceedings involving professionals are publicly reported, with enforcement notices and judgments accessible online. The tax system requires detailed financial disclosures from individuals and legal entities, and is supported by strong enforcement powers, including penalties for non-compliance. Investigators use financial records for tracing in money laundering cases; regulated entities typically cooperate well.

| Module 18 | Tax Enforcement | 0.8 | Very High |
|---|---|---|---|

The Isle of Man Treasury oversees both direct and indirect tax functions, with the Income Tax Division (ITD) responsible for income tax and National Insurance, and the Customs and Immigration Division handling indirect taxes. The Income Tax Division (ITD) operates under strict confidentiality and statutory rules, but can share confidential information with other authorities, including law enforcement and the regulators, where appropriate to do so. The Division has strong powers to address non-compliance, including penalties and public proceedings for serious cases. Tax compliance is generally strong. Consideration is being given to developing a specific AML Tax strategy to support the overall approach of the Division to addressing financial crime. The Collector leads indirect tax overseeing administration, compliance, and enforcement. Regular audits are conducted by the UK NAO, and HMRC provides training and policy coordination. The audit team sets its own risk-based targets for trader audits. Legal powers allow broad information sharing and data collection for assigned matters. Most court cases center on VAT fraud, with recent convictions and fines Highlighting enforcement activity.

| Module 19 | Formalisation of the Economy | 0.9 | Close to Excellent |
|---|---|---|---|

The Isle of Man's economy is predominantly services-based, with minimal informal activity accounting for less than 10% of GDP. Residents must participate in the financial system to access utilities and government services, with strict regulations and VAT registration required for most business activities. High employment, and declining cash usage underpin robust law enforcement, although recent rises in drug and cash seizures, immigration crime, and labour exploitation indicate the need for ongoing vigilance against shadow economy risks.

| Module 20 | Availability of Reliable Identification Infrastructure | 0.7 | High |
|---|---|---|---|

The IOM Government issues various photographic identification documents, including passports and driving licences; there is no requirement to carry identity cards. The Island acts as an issuing authority for British Passports; driving licences are issued by IOM Post. The Island keeps an Electoral Register. There are no formal border controls within the CTA and therefore no mandatory ID checks; this can allow some to avoid identification. Enhanced data collection and sharing between police, customs, and immigration is being developed. Closer working between the DoI Highway Services, the police, immigration and potentially other agencies is recommended. Staff at businesses are trained to identify fraudulent documents, and extra precautions are taken for non face-to-face transactions.

| Module 21 | Availability of Independent Information Sources | 0.7 | High |
|---|---|---|---|

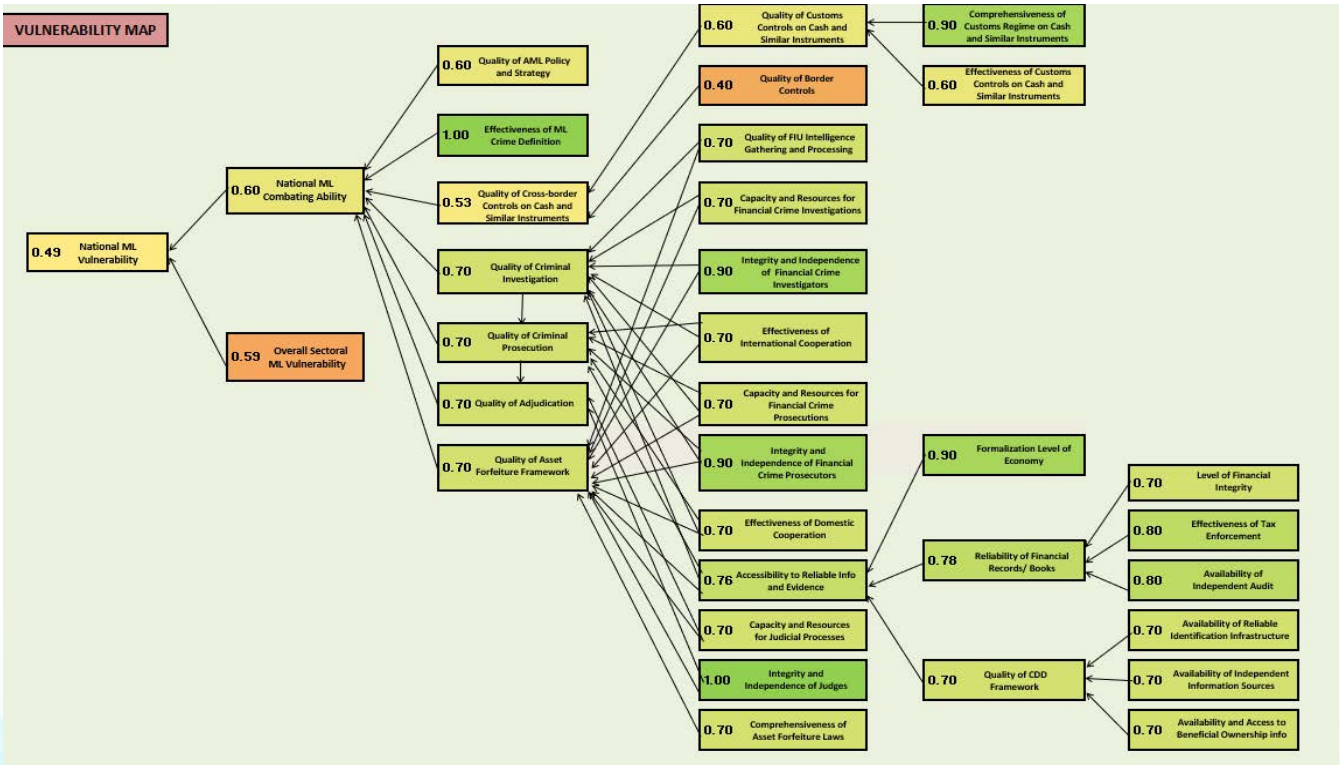
Government and industry rely on internationally recognised credit and identification services, using robust screening tools and independent data sources for due diligence. External databases and agencies are widely used for customer and transaction checks, and although there is no local credit bureau, international providers fill this role. Regulatory and public information is easily accessible online for verification purposes.

| Module 22 | Availability & Access to Beneficial Ownership Information | 0.7 | High |
|---|---|---|---|

Beneficial ownership information is readily accessible to law enforcement through several channels, including the central Beneficial Ownership database managed by the Companies Registry. The Beneficial Ownership Act 2017 requires legal entities to record beneficial ownership details and appoint a Nominated Officer, with TCSPs acting in this role for most companies. The central database is supported by verification processes, penalties for non-compliance, and access for multiple agencies. Ongoing improvements focus on strengthening accuracy, coverage, and regulatory scope in line with international standards.

**Figure 30** below demonstrates the effectiveness of the IOM controls in mitigating money laundering risks and Highlights areas where additional measures are necessary to strengthen the defences. ›

## Fig 30: Vulnerability map




Source: FSA



# 12. ML Threat & Vulnerability at Sectoral Level

# 12. ML Threat & Vulnerability at Sectoral Level

## INTRODUCTION AND METHODOLOGY

**Modules 3–7 of the WB tool seek to assess the risk of sectors in the jurisdiction to help fully understand the national ML risk. Not only may the features of a sector lend themselves to being exploited by money launderers, but weaknesses in the AML controls in different sectors may also contribute to ML vulnerability. However, not all sectors are equally at risk from ML. The level of materiality, types and features of products, and geographic reach of a sector have an impact on the level of risk that a sector may face.**

The depth of the ML assessment will also depend upon the level of data available for that sector. For sectors that are smaller and primarily domestic in nature, there is sometimes insufficient data to input into the WB model. Nevertheless, all sectors have been assessed using the full WB model where possible, including an analysis of the products and services using the data that is available. For those sectors where there was not sufficient data held to put through the model (usually due to sector size), the risk assessment has considered any threats and vulnerabilities identified, the data available, the controls in place, and the expert judgement of the regulators.

For each sector, the WB methodology undertakes a review of:

- ML threat factors;
- inherent vulnerability factors (including materiality); and
- AML controls.

In line with the Isle of Man's AML/CFT Framework, for the purposes of this NRA, TCSPs have been treated as a financial institution, as they are fully regulated in the IOM (although deemed a DNFBP by the FATF). Conversely, Moneylenders have been included in the Designated Business section of this report as they are treated as such under the IOM Framework (however, the FATF defines Moneylenders as financial institutions).

The WB Tool recommends that industry representatives participate in the Risk Assessment process, providing their perspectives and the opportunity to raise awareness of the NRA amongst a key audience. Industry working groups were convened for several sectors as part of this process and approximately 35 meetings were held with about 40 firms to discuss the various sectors and the risks posed.[60] The authorities also engaged directly with professional and industry bodies, via the Financial Crime Partnership and the AML/CFT Advisory Group, and via surveys designed to inform specific parts of the process. Feedback from the private sector into this process has been positive and constructive.

Further information regarding the process can be found at **Appendix VII**.

## SECTORAL THREAT, VULNERABILITY AND MATERIALITY FACTORS

### ML threat factors

In order to determine threat factors relevant to the sectors, workshops were held with participation from multiple agencies within Government, including law enforcement and regulators. The expert judgement of those in attendance was considered, as was relevant threat data relating to the various sectors. Each sector was assigned a threat rating which then informed the overall risk rating of the sector. ›

### Inherent vulnerability factors

For each sector, relevant vulnerabilities were considered. This took the form of industry meetings, including meetings of the sectoral Financial Crime Partnership (where established) to gather information and insights as to what factors made their sectors (or products) vulnerable to ML. This information was considered and factored into the Risk Assessment. In addition, the WB model prescribes a number of different inherent vulnerabilities for each sector, which are set out in the model and the associated guidance. The agencies were able to rate each inherent vulnerability accordingly using information held by both agencies and industry, and also using the comprehensive data that is submitted to the regulators. An inherent vulnerability score was then determined, and this data, together with the AML controls scores, provided a residual vulnerability score/rating (i.e, after considering mitigating controls).

### Materiality

In order to assess the overall ML risk, the WB model requires that the relative importance of each sector and/or its share of the economy, as well as assets under management/administration (where relevant), is considered. Each sector is then 'weighted' according to its size/importance within the jurisdiction to determine the overall ML vulnerability. For the purposes of this assessment, a number of metrics were used: National Income (where available), size of sector (e.g. staff numbers/assets under management or administration), and interconnectedness with other sectors.

## AML CONTROLS

A detailed assessment of AML control factors forms part of the WB model. Explanations of controls in respect of Banking, Insurance, Gambling, VASPS, and TCSPs can be found in the stand-alone NRAs for these sectors. Individual sectoral control assessments were undertaken across agencies for all sectors, which included input from sector representatives at a series of workshops. The AML controls in relation to gambling are summarised under Gambling in 12.5 (Sectoral Reports). A summary of findings for the sectors that fall under the FSA is included below. The control scores for each sector were used to determine the residual vulnerability which feeds into the overall sectoral risk rating.

Where there is a gap in controls for a sector, this has been Highlighted in the relevant risk assessment section of the NRA. The scoring system for controls is included below No control area achieved Higher than a score of **0.8** (**Very High**) and no area of control was assessed as being lower than **0.4** (**Medium Low**).

### 1. Comprehensiveness of the AML Legal Framework

- The Island has a comprehensive legal and AML/CFT regulatory framework in place, as evidenced by both previous MONEYVAL and Group of International Financial Centre Supervisors (GIFCS) reports. The sectors in this Risk Assessment are supervised by the regulators for AML/CFT/CFP as well as other regulatory risk areas where applicable.

- A risk assessment regarding the ML/TF/PF risk of the effect of exclusions and exemptions that are available to sectors to utilise has been conducted to ensure that these remain justified based on risk (see **Section 6**).

- Generally, this control was rated as **High** across sectors; however, there are some legislative changes required relating to the Estate Agents and Pensions sectors which will enhance the AML/CFT legal framework. (Relevant action points relating to these can be found under the sectoral sections of the NRA.) ›

| Excellent | Close to Excellent | Very High | High | Medium High | Medium | Medium Low | Low | Very Low | Close to nothing | Does not exist |
|---|---|---|---|---|---|---|---|---|---|---|
| 1.0 | 0.9 | 0.8 | 0.7 | 0.6 | 0.5 | 0.4 | 0.3 | 0.2 | 0.1 | 0.0 |

### 2. Effectiveness of Supervision Procedures and Practices

- A comprehensive AML/CFT onsite and offsite inspection programme is undertaken in line with the FSA's Supervisory Methodology (May 2023) (including published inspections procedures) and the AML/CFT Engagement Model. Inspection and supervisory methods are publicly available and guided by internal policies and governance frameworks.

- Increasing amounts of data gathered via the AML/CFT return have informed the risk-based approach to supervision, complementing more general statistical information. Sector reports available on the FSA website share findings from some of the returns on a sector-wide basis and will be further updated in due course. There has also been significant outreach to sectors regarding inspection findings.

- Focus on AML/CFT risk, including risk identified in the NRA, has improved since the previous NRA.

- The technical and human resources of the FSA for AML/CFT supervision have increased significantly. There is a dedicated AML/CFT Supervisory Division and staff receive regular training to enable them to undertake robust supervisory activities, including inspections.

- This control was rated as **High** across most sectors. There was some variation in scoring where the oversight may be delegated to another supervisory body.

### 3. Availability and Enforcement of Administrative Sanctions

- A comprehensive range of sanctions is available to the regulators, including use of directions, licence conditions, utilisation of third-party reporting professionals, civil penalties, and suspension or revocation of a licence. In the relevant circumstances, these are applied alongside a full remediation plan agreed with the firm and monitored accordingly. Publicity is always given to the application of civil penalties. In practice, greatest use is made of conditions and directions.

- Decisions on the application of discretionary civil penalties follow established internal governance processes, including the published FSA Enforcement Decision Making Process (August 2025). A guidance note has been published explaining the discretionary civil penalty framework.

- According to an Island Global Research survey of industry participants, **91%** of respondents indicated they were aware or very aware of these enforcement actions.

- Civil penalties may not currently be applied to directors or key persons, and work is in progress to strengthen this framework. This was reflected in the scores assigned, but overall, this area of control was scored as **Very Hgh** across most sectors. However, some enhancements to the regulatory regime in relation to pensions resulted in a lower rating in respect of this sector.

### 4. Availability and Enforcement of Criminal Sanctions

- A comprehensive range of criminal sanctions is available and may be applied to Financial Institutions under the Proceeds of Crime Act and the AML/CFT Code, at levels intended to serve as a suitable deterrent. Offences under POCA include failure to report a suspicion as well "tipping off".

- A process is in place for the formal adoption and progression of potential ML/TF/PF investigations through the Anti-Money Laundering Group and PIMLIT's Case Development Unit.

- The framework governing criminal sanctions is robust and thorough, and appropriate specialist resources are available; however, as civil powers have been to date considered the most appropriate method of penalty, accordingly, this control has been assessed as **Medium High** across all sectors rather than **High/Very High**, as criminal sanctions have not been applied during this period.

### 5. Availability and Effectiveness of entry controls

- There is a well-established "fit and proper" registration regime in place (including a full criminality check for both local and foreign staff). However, the FSA is considering extending its access to additional databases and other tools to further pick up additional adverse media, connections to criminals, or reputational issues on an ongoing basis.

- Authorisation decisions are made by the Chief Executive or Head of Division of the FSA, with input from relevant senior managers and other staff as needed. ›

- Checks are conducted at the time of licensing of an applicant to ensure ML/TF risks are understood and that the necessary AML/CFT policies and procedures are in place. However, further enhancements are planned in relation to the financial crime risk assessment that takes place at the licensing stage.

- Robust steps are taken by the FSA to detect and Highlight unauthorised and unlicensed activity.

- Areas of enhancements to processes have been identified in some areas, however this area was generally rated as **High** across sectors.

### 6. Integrity of Staff

- Generally, the level of integrity is good across sectors. It was rated Higher in some areas where the FSA has more data and evidence available (typically for licensed firms subject to full regulation). Less data is held in this area in respect of designated businesses and therefore this was more difficult to rate at this time. Open-source information was also considered where relevant. Scores therefore ranged from **Medium** to **High** due to the differing levels of evidence held.

### 7. AML knowledge

- The FSA's Training and Competence Framework sets expectations for training and ongoing competence, especially for controlled function roles.

- The FSA has run sessions for both Directors and Heads of Compliance covering the role and importance of the compliance function; a recording is publicly available for all entities.

- ML knowledge is considered by the authorities to be good. Under the AML/CFT Code, staff must be trained on at least an annual basis. Directors and key persons are also subject to continuing professional development standards (though these do not need to cover AML/CFT). There is also an increasing amount of outreach from the FSA for relevant persons.

- Scores varied significantly across sectors. Areas for improvement were identified in some of the smaller designated business sectors, for whom the regime is newer than for the regulated sectors. There are, therefore, some relevant recommended actions for the FSA in this area relating to outreach and education.

### 8. Effectiveness of compliance systems

- Robust compliance requirements are in place in respect of financial institutions, including (i) the appointment of a Head of Compliance at a senior level with direct access to the board; (ii) requirement for monitoring plans to be commensurate to risk; and (iii) the FSA's Training and Competence Framework, which sets requirements in respect of ongoing training and competence (for all staff and key persons).

- In respect of all those supervised by the FSA, the Code requires entities to monitor compliance with the AML/CFT Code and to have a person at senior management level who is responsible for monitoring compliance. This would typically be reviewed on a supervisory inspection.

- Comprehensiveness of compliance systems can vary between sectors and firms. Findings from inspections were also taken into account when determining the sectoral scores for this area; therefore, again, there was some variation in scores, from **Medium** (in some of the smaller designated businesses) through to **High** (in regulated sectors).

### 9. Effectiveness of Suspicious Activity Monitoring and Reporting

- Comprehensiveness of transaction and relationship monitoring can vary between sectors and firms depending on systems and procedures used. Findings from inspections that examined this area were taken into account when determining the sectoral scores for this area.

- In relation to SAR reporting, it is an offence if relevant persons do not report suspicious activity, actual or attempted, regardless of the amount. This includes AML/CFT/CPF suspicions under POCA and the Anti-Terrorism and Crime Act 2003 (ATCA). Section 24 of the FIU Act 2016 allows entities to report matters that may assist the FIU in its functions where a suspicion of ML/TF is not held. There is a well-established reporting framework in place and a requirement for ongoing monitoring of customers and transactions in order ›

to identify suspicious activity and circumstances, and to keep records of the same.

- Input from the FIU was also considered in relation to this control, specifically regarding both the quality and quantity of SARs across the sectors.

- Based on the above considerations and the differences across sectors, there was some variation in scores from **Medium Low** (in some of the smaller designated businesses) through to Higher scores (in more mature regulated sectors).

### 10. Availability and Access to Beneficial Ownership Information

- The AML/CFT/CPF regulatory framework requires entities to collect details of the beneficial ownership of their customers and verify this information.

- Access to beneficial ownership information contained in company registers varies by country, as does the quality of the information. In December 2024, the IOM made its register accessible to obliged entities. The FSA monitors compliance with the Beneficial Ownership Act 2017 and evaluates whether relevant persons fulfil their BOA obligations.

### 11. Availability of Reliable Identification Infrastructure

- FSA supervision has not typically found specific shortcomings in how entities identify and verify customers. Entities usually require a Government-issued passport or Isle of Man driving licence, plus supporting documents, as local photo ID for onboarding. There are procedures to accommodate those without these documents, such as the elderly or students. The Handbook offers detailed guidance on customer due diligence.

- Some entities may use electronic ID verification tools – mainly for UK residents, where data is more reliable. Technology can also remove the need for certified document copies during onboarding. The Handbook provides detailed customer due diligence guidance, including advice on the use of electronic tools.

### 12. Availability of Independent Information Sources

- The sources remain unchanged since the last NRA, with limited IOM-specific independent information available.

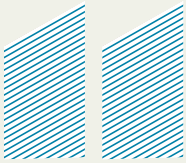
- Some sectors utilise external data sources to provide independent information on non-resident customers, particularly those customers resident in the UK. World-Check and other international databases are widely used to screen customers for PEP and sanctions connections and adverse press, and are accessible globally. Entities may also use UK resources such as credit bureaus, government lists, Companies House, PEP information, and regulator registers.

- IOM companies do not have to file financial statements, limiting the extent of information that is available to verify transactional patterns and commercial history. However, these may be accessed through the company itself.

## SECTORAL RISK PROFILE AND TREND ANALYSIS

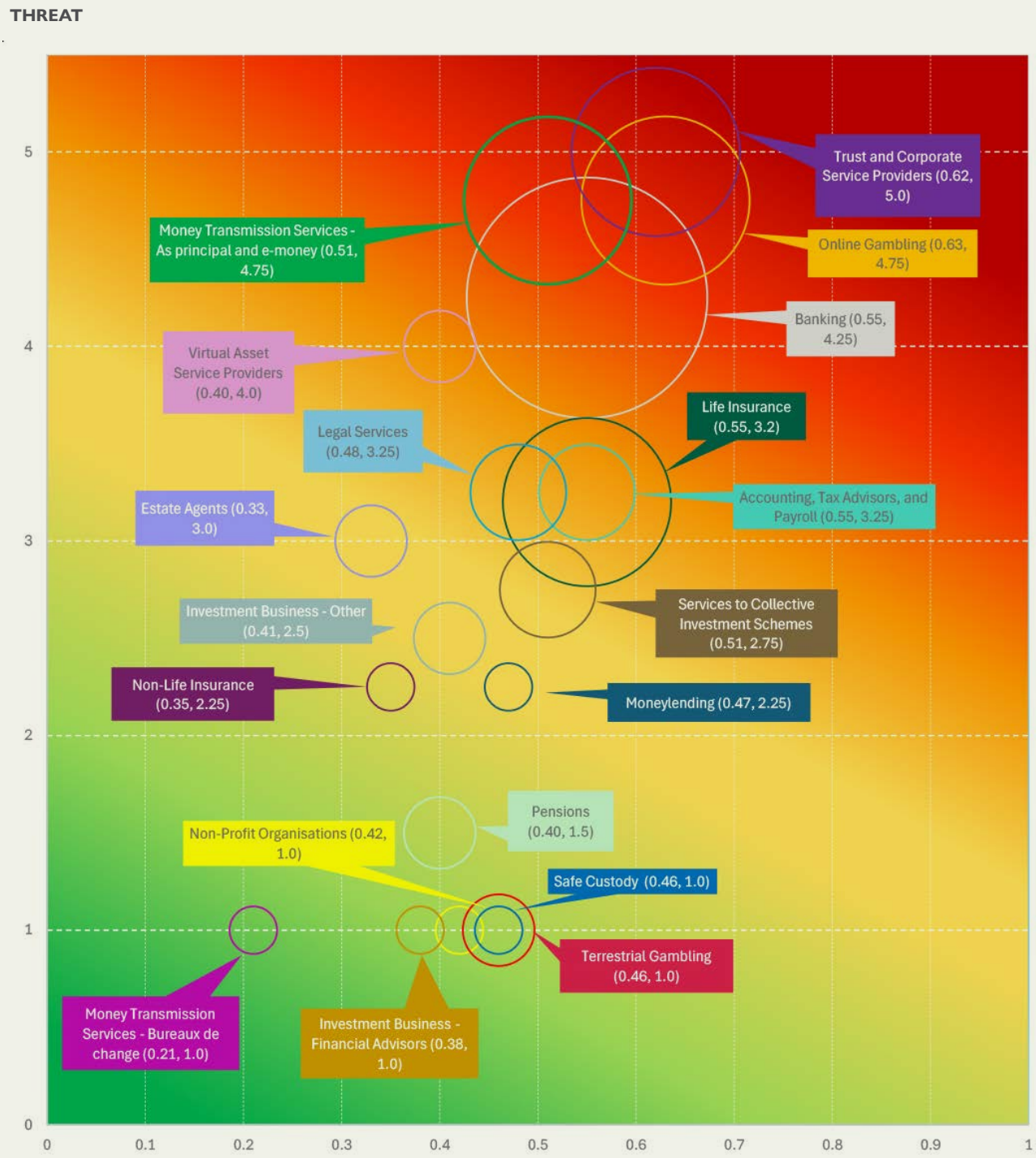
### Heat Map of Sectors

The WB NRA Tool heat map in **Figure 31** Highlights the level of risk that is associated with each sector taking into account the threat rating, the vulnerability factors and the materiality of that sector in the Isle of Man. ›



World-Check and other international databases are widely used to screen customers for PEP and sanctions connections and adverse press, and are accessible globally.”

# Figure 31: Heat Maps for Sectors



The heat map provides only a general view of ML risk, taking into account the threats and vulnerabilities for each sector. For more detailed information, the relevant section of the NRA and/or the stand-alone NRA (where relevant) for each sector should be consulted.

**Figure 32** summarises the residual ML risk scores for each sector alongside the ML rating in the 2020 ML/TF NRA

## Figure 32: Comparison of Sectoral Reports 2020 to 2026

| Sector | 2020 | 2026 |
|---|---|---|
| **Financial Institutions** | **ML** | **ML** |
| Banking | Medium | Medium High |
| Credit Union | Medium Low | - |
| Investment Business – Financial Advisors | Low | Low |
| Investment Business – Other | Medium | Medium Low |
| Services to Collective Investment Schemes | Medium | Medium |
| Life Insurance | Medium | Medium |
| Non-Life Insurance | Medium Low | Medium Low |
| Money Transmission Services – Bureaux de Change | Medium Low | Low |
| Money Transmission Services – As Principal and E-money | Medium | Medium |
| Pensions | Medium Low | Medium Low |
| **Designated Non-Financial Businesses and Professions** | **ML** | **ML** |
| Accounting, Tax Advisors, and Payroll | Medium | Medium |
| Estate Agents | Medium | Medium Low |
| Online Gambling | Medium | Medium High |
| Terrestrial Gambling | Medium Low | Medium Low |
| High-Value Goods Dealers | Low | - |
| Legal Services | Medium | Medium |
| Moneylending | Medium Low | Medium Low |
| Non-Profit Organisations | Low | Low |
| Trust and Corporate Service Providers | Medium High | Medium High |
| Virtual Asset Service Providers | Medium High | Medium |
| Safe Custody | - | Low |

## SECTORAL REPORTS

For the most material sectors; Banking, Insurance, Gambling and TCSPs, separate detailed reports have been published. The main findings from those reports are summarised in this chapter. Risk assessments of ML for VASPs and Virtual Assets and for Legal Persons and Arrangements have been addressed in two separate, published NRAs.

These reports use supervisory and law enforcement data collected between January 2020 and December 2024, with some materiality data from the end of 2025 where available. The sectoral risk ratings are based on 2025 data and information figures; however this NRA was published in early 2026 and is therefore referred to as the 2026 NRA.

### Recommended actions from the sectoral reports

For each sector there are a number of actions identified that will help to further mitigate vulnerability to ML. A number of these actions have commonalities in more than one sector, for example, the development and publication of relevant typologies. These actions are therefore captured under **Chapter 13** but not repeated throughout the sectoral reports. However, where there is an action which is specific to a particular sector, this is Highlighted within the relevant sectoral report below. Recommended actions from the NRA will be captured in an overall National Action Plan.

### Financial institutions

Banking
Credit Unions
Investment business – Financial Advisors
Investment Business – Other (e.g., Stockbroking/Investment Management)
Insurance (Life and Non-Life)
Money Transmission Services – Bureaux de change
Money Transmission Services – Principal and E-money
Pensions
Services to Collective Investment Schemes

## BANKING

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium High | Medium | Medium | Medium High |

The overall risk of ML to the Banking sector is assessed as **Medium High**. The risk level is a product of the **Medium High** threat facing the Banking sector and a medium residual vulnerability to ML (i.e. after considering mitigating controls). The inherent vulnerabilities remain in products and services with international features, rapid transaction capabilities, exposure to foreign PEPs, use of cash, and level of robustness of technological controls. This overall Banking risk level has increased from **Medium** since the 2020 NRA and is a product of an increasing threat landscape rather than a reduction in the Banking sector controls.

### Background to the Sector

The IOM's Banking sector serves both domestic and international customers, with Banking forming a critical component of the IOM's financial system and economy. The sector is largely comprised of branches or subsidiaries of major UK and International Banks and is fully regulated by the FSA. As an IFC, most business, by value and number of customers, is international in nature, especially with strong connections to the UK and South Africa. This international profile increases the sector's exposure to cross-border ML threats, particularly the risk of foreign proceeds of crime entering the financial system. The IOM maintains a comprehensive legal and supervisory ›

structure, and recent regulatory enhancements have targeted areas such as business introducers, PEPs, and targeted financial sanctions risk management. Ongoing risk-based supervision, thematic reviews and enforcement actions continue to strengthen AML/CFT/CPF systems and controls.

Since the 2020 NRA was published, Banks have been required to prepare and submit more data to the FSA. This data is used to help assess ML risks and can also be useful to Banks to aid their own business understanding and risk assessment. To support this process, the FSA requested Banks' internal audit functions to conduct reviews in 2025. The findings to date have identified areas for improvement but did not affect the overall sector assessment. These findings Highlight the importance of ongoing data quality efforts particularly in areas such as financial flows where the consideration of continuous improvement should be embedded.

### Size and Materiality

This sector employs approximately 2,000 people and holds over GBP£40 billion in deposits, processing nearly GBP£80 billion in annual payments. Banking represents **8.6%** of the IOM's national income (2023/24).[61] As of 31 December 2024, there were 11 banks operating in the IOM (and one representative office). This is displayed below in **Figure 33:**

## Figure 33: Countries of Origin for Banks in the IOM

| UK | Spain | South Afica | Trinidad & Tobago | Isle of Man |
|---|---|---|---|---|
| 4 | 1 | 3 | 1 | 2 |

Source: FSA banking bulletin

Banks in the IOM provide traditional deposit taking and credit services to the domestic market, covering both individuals and businesses, as well as providing services to TCSPs, their customer structures, and other corporate sectors including regulated firms. Domestic banking is mainly delivered through UK banking groups operating on the IOM. Banks also serve non-resident personal customers and, to a lesser extent, international businesses; this includes cross-border activity. The transactional activity of banks in the IOM remains substantially traditional in nature, with the most usual payment methods being bank transfers, debit cards, cash, and cheques. The IOM's Banking sector offers a broad range of financial products and services, including savings and current accounts, private and premier banking (tailored to high-income customers with enhanced service offerings), investment services, various types of lending such as mortgages, treasury services, and foreign currency accounts, and exchange services.

Many banking customers are non-residents, with a wide geographical spread by residency and nationality. The largest number of non-resident customers are from the UK, reflecting the close geographical and economic ties between the UK and the IOM. There is also a significant number of South African-resident banking customers, reflecting the Banking sector's long-standing links to that country.

Over half of total bank deposits are from individuals (retail), and deposits overall continue to be used as a source of funding for the wider benefit of some banks' broader group operations (outside of the Island). The overall trend has been one of stable growth, with deposits increasing by c. **33%** between 2020 and 2024 (an average annual rise of c. **7.5%**). Refer to the Banking sectoral report for further details on Banking sector balances from 2020 to 2024.

All Banks supply the FSA with quarterly transactional data of inflows and outflows (including within the IOM). The largest inflows and outflows to and from the IOM (2021 to 2024) were with the UK, which is in line with expectations given ›

the close geographical and constitutional ties. There is a High concentration of customers in respect of three core countries: the IOM, UK, and South Africa. Around **15%** of the sector's customers reside in Higher-risk jurisdictions, noting however that South Africa was removed from the FATF grey list in November 2025. Non-natural customer numbers are mainly driven by BVI incorporations, most of which will be customers introduced through TCSPs.

### Threats

The overall ML threat to Banks has been assessed as being **Medium High**, consistent with the overarching national threat assessment, noting that there is a medium domestic threat but a **Medium High** international (cross-border) threat.

The Banking sector has seen an increase in SARs from 2021 to 2024, largely driven by international threats such as fraud, tax evasion, organised crime, and the use of virtual assets, as well as increasing awareness in the sector of the requirement for SAR reporting. There is also a rising threat from Asian and UK-based organised crime groups and the increasing pace and complexity in financial flows. This is reflected in ongoing investigations, including those in relation to online gambling and cyber-enabled crime.

SARs have been steadily increasing over the period, most notably pertaining to fraud, which has almost tripled since 2020. Banks have consistently been the second-largest reporter after the iGaming sector; however, many of the reports by the latter constitute dual reports to the IOM as well as other jurisdictions. Of the most frequently reported criminalities, SARs relating to drug trafficking were generally domestic in nature, whereas SARs relating to tax crimes and organised criminal activity were more international. Fraud SARs relate to both domestic and international predicate offending; this is partially due to the victims' accounts often being held on the IOM, whilst the perpetrators of the fraud may be located off-Island. Suspected criminality occurring outside of the IOM largely relates to fraud and tax crimes, bribery, and corruption.

Between 2020 and 2024, the UK accounted for **49.2%** of incoming MLAs relating to the Banking sector. The IOM is frequently used for company incorporations, trusts, and tax planning structures, some of which are routed through UK. The majority of incoming tax-related requests received were from the UK/Europe.

Most banks maintain relationships with Higher-risk customers, including CEPs and PEPs from Higher-risk jurisdictions. This elevates the risk of exposure to proceeds of bribery and corruption. Although this threat is longstanding, the combination of fast-evolving markets and increasingly sophisticated criminal typologies creates enhanced opportunities to move and obscure illicit funds.

### Vulnerabilities

The overall ML vulnerability of banks has been assessed as medium. Key vulnerability factors for the Banking sector include:

- the international nature and delivery of business;
- fast transactional services;
- services to foreign PEPs and Higher-risk customers;
- acceptance of cash;
- robustness of systems and technology; and
- internal monitoring/account block controls.

The sector's inherent vulnerabilities include its size, customer profile, cash activity, investment features, cross-border aspects, delivery of services, and typologies.

## RETAIL & PRIVATE BANKING (DOMESTIC & INTERNATIONAL)

### Domestic Deposit Services

Core products and services include current accounts, notice and fixed term accounts, savings and investments, payment, and foreign exchange (FX) services. These enable quick and efficient transactions (including faster payments), and cash deposits and withdrawals. These are features of Higher inherent vulnerability that are common to domestic retail banking. Systems and controls monitor unusual activity (international transactions are less frequent for this cohort); more business is conducted face-to-face; and there are controls over cash in/out, over the counter and through ATMs. ›

### Domestic Credit Services

Credit services (mortgages, secured and unsecured loans, overdrafts) are lower-value or longer-term, less transactional, and not cash-based, reducing vulnerabilities.

### International Deposit Services

Core products and services include current accounts, notice and fixed-term accounts, savings and investments, payment and FX services. Additional vulnerabilities arise from non-face-to-face business or use of third parties, Higher levels of international transactions, and some foreign PEP or High-net-worth business (with challenges to establish source of wealth). The international personal deposit book is the largest segment by value. There are strong customer take-on procedures, robust ongoing monitoring and screening, sufficient resourcing and investment in systems and controls; dedicated relationship contacts assist in understanding activity.

### International Credit Services – Medium Low Vulnerability

Credit services (including some "buy to let" mortgages) are either lower-value or longer-term, less transactional, and not cash-based, reducing their vulnerabilities.

### Corporate, Commercial & Institutional

#### *Charities and NPOs - Domestic*

Products and services include current accounts, notice and fixed-term accounts, savings accounts, payment and FX services. The customer book is of relatively low value and low numbers. Some vulnerabilities exist in relation to the use of cash or local PEP connections, but Banks report domestic charities as not posing a Higher risk. Banks have encouraged a move away from cash.

#### *Charities and NPOs – Foreign*

Foreign charities pose a more inherent vulnerability due to international transactions or connections to foreign PEPs, though numbers are very small and a material portion is in fixed-term deposits rather than operational accounts.

#### *Business, Corporate & Trust – Domestic Business*

Core services include current accounts, notice and fixed-term accounts, savings accounts, payment and FX services, treasury services, secured lending, and credit facilities. These enable quick and efficient transactions (including faster payments), access to credit, and cash deposits for cash-generative businesses. These are features of Higher inherent vulnerability that are common to domestic business Banking. Systems and controls monitor unusual activity (international transactions are less frequent), greater face-to-face engagement and local physical presence, and generally non-complex ownership structures.

#### *Business, Corporate & Trust – TCSP Managed and Other International*

Vulnerabilities arise due to non-face-to-face business and/or use of third parties/introducers, Higher levels of international transactions (size and frequency), complex ownership structures (including customers introduced and managed by TCSPs), and potential foreign PEP connections (with challenges to establish source of wealth). These entities often have no physical presence in the IOM outside of TCSP management, making it more challenging to understand business models and transaction rationale. Strong customer take-on procedures including risk assessment, robust ongoing monitoring and screening, sufficient resourcing and investment in systems and controls; banks' risk appetite by industry and country. TCSPs are subject to AML/CFT/CPF requirements.

## INSTITUTIONAL

Products and services include wholesale Banking deposit services, treasury management, payment and FX services, secured lending, and credit facilities (no correspondent services currently provided). This segment is relatively large by value, with frequent and sometimes larger-value transactions; some arrangements operate on a pooled account basis. Customers will often be Highly regulated and operate AML/CFT/CPF controls; Banks must understand whether the customer is acting on behalf of other persons and mitigate pooled account risks. The assessment also undertook a detailed review of the AML controls in place for the Banking sector. This included the comprehensiveness of the AML framework, effectiveness of administrative sanctions, SAR reporting, compliance functions, and AML knowledge of Banking staff. No areas were identified that required critical or urgent attention across the sector.

### Recommended Actions

While the IOM Banking sector has made progress in strengthening its controls and mitigating many of the inherent vulnerabilities associated with its international and domestic activities, vigilance remains crucial. Ongoing global trends – such ›

as the evolution of new payment technologies, growth in cross-border business, and the expansion of organised crime typologies require the sector and Authorities to continually adapt their risk management strategies and operational resilience.

Overall, the Banking sector continues to present one of the Highest levels of ML risks in the IOM's financial services sector. While other sectors such as some DNFBPs, payment institutions offering cross-border money transfer services and TCSPs have inherently Higher ML risk profiles, the Banking sector remains at risk of being used as a conduit for illicit financial flows. Please see the Banking Sectoral Report for a more detailed analysis of the sector for ML.

The Banking Sector ML Risk Assessment identifies a small number of areas for improvement; these are aligned to the strategic aims from the National Financial Crime Strategy 2024-2026. The actions are outlined in **Chapter 13.**

## CREDIT UNIONS

### Overall Sector ML Risk

The overall ML sector risk for Credit Unions has not been assessed during this updated 2025 NRA. There is only one Credit Union operating on the IOM therefore there was not sufficient data to analyse this sector using the World Bank Model. Nonetheless an assessment of ML risks relevant to Credit Unions has been undertaken and relevant narrative included.

### Background to the sector

Credit Unions are member-owned, not-for-profit financial cooperatives that provide savings, lending services, and other financial products exclusively to their members. In the IOM, the sector is very small, comprising a single institution registered under the Credit Unions Act 1993 which places restrictions on membership, shareholdings, and borrowing. A Credit Union operating from the IOM must also hold a Class 9 (Credit Union) licence under the FSA08, this brings the sector into the regulatory regime and the requirements of the AML/CFT Code.

Services provided by Credit Unions are limited to IOM residents.[62] Membership is limited by legislation to 5,000 members, with the current sole Credit Union established locally having approximately 1600 members.

Credit Unions can only hold up to GBP£15,000 in total for an individual member. Whilst no interest is paid on Credit Union share accounts, an annual dividend may be paid. This is paid to members from profits earned during the financial year. Dividends are calculated after deducting from profits the expenses of running the Credit Union and contribution to reserves which a Credit Union is legally obliged to provide for. Lending activity is governed by rules, with lending limits set at GBP£5,000 (or such other sum as may from time to time be prescribed) in excess of the total paid-up shareholding per member in the Credit Union at that time. [63]

### Threats

The customer base of the sector is domestic and limited to IOM residents with a common bond. There is no exposure to non-resident customers or complex ownership structures. Transactions are low value and infrequent, and there is no provision of international transfers or trade-related products.

The services offered by a Credit Union usually involve the acceptance of cash and sometimes a prepaid card may be offered, albeit this is currently not a service offered locally. These services could provide opportunities for placing illicit funds through small, repeated deposits. Any Credit Union on the IOM is subject to the requirements of the AML/CFT Code which sets out the required preventative measures and controls that must be implemented.

### Vulnerabilities

The sector is exposed to some inherent vulnerabilities due to its operating model. Cash acceptance may increase exposure to placement risk or include individuals as customers who experience difficulty accessing mainstream financial services. The small scale of the sector enables the supervisor to closely monitor the single institution, with expectations proportionate to its size. Activity is largely face-to-face, which supports customer due diligence and reduces anonymity.

## INVESTMENT BUSINESS

### Introduction

Investment business (IB) is regulated activity under the FSA08 and covers a diverse range of businesses, including financial advisors (FAs)[64], asset and investment managers (including ›

stockbrokers), and banks with a global presence providing investment services alongside their banking services.

A licence to carry on the Class 2 regulated activity of IBs permits a firm operating in or from the IOM (within certain criteria and with specified exclusions) to undertake one or a number of the following activities depending on licence permissions:

- dealing in investments;
- arrangement of deals in investments;
- management of investments belonging to another person;
- administration and safeguarding of investments;
- provision of advice on investments.

The following sections of the NRA consider the ML risk of FAs and asset and investment managers/stockbrokers separately.

## INVESTMENT BUSINESS – FINANCIAL ADVISORS

### Overall Sector ML Risk

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Low | Medium Low | Low | Low |

The overall assessment of FAs in respect of ML risk is **Low**, which has stayed the same since 2020. The low threat level feeds into this risk, due to the role and nature of FA business, the predominantly local resident client base, and the requirements in place to understand clients and their financial circumstances without holding client money. It has been determined that residual vulnerability to ML is **Medium Low**. Furthermore, in the sector, there appears to be a High quality of AML controls (rated as **Medium High** for this sector) in place that are effectively being operated in practice.

### Background to the sector

FAs in the IOM generally undertake business on a face-to-face basis (**82%**), providing advice predominantly to IOM-resident clients (**97%**), the majority of whom (95%) are natural persons. FAs service a wide range of customers and provide advice relating to a range of products and services, such as protection, investment, or personal advice to prospective or existing customers.

Generally, FAs treat individual customers as retail clients, unless the FA undertakes an adequate assessment of the customer's relevant expertise, experience, and knowledge which gives a reasonable assurance that the customer is capable of understanding the risks involved in making their own investment decisions. In any case, whichever type of customer the FA deems the individual to be, this should be made clear in any written recommendations supplied to the customer.

FAs do not hold or manage client money in respect of investment business. Money being settled into an investment product recommended by an FA will pass from one regulated business to another, not to or from the FA. As part of their responsibilities to provide suitable advice, FAs must fully understand their clients and their needs, and their wealth, and assess the ML/TF risk.

Within the sector, there is very limited reliance on third parties for CDD collection or the use of introducers. Strong entry due diligence controls are in place. ›

### Size and materiality

There are 16 FA firms as of 31 December 2025; these firms employ around 120 staff members. The total number of customers is approximately 21,500 as of 2024 data.

### Threats

Considering the threats relevant to the sector, the customer base is mainly local and there are limited international customers. FAs do not handle client money, thereby reducing the threat of the sector being utilised to facilitate crime. There have not been any ML investigations in the period. There was, however, a case involving AML/CFT failings resulting in a civil penalty being imposed by the FSA on a firm in this sector. In addition, there has been a prohibition against an individual from the sector issued under the Financial Services Rule Book 2016. The threat level for the sector has been assessed as **Low.**

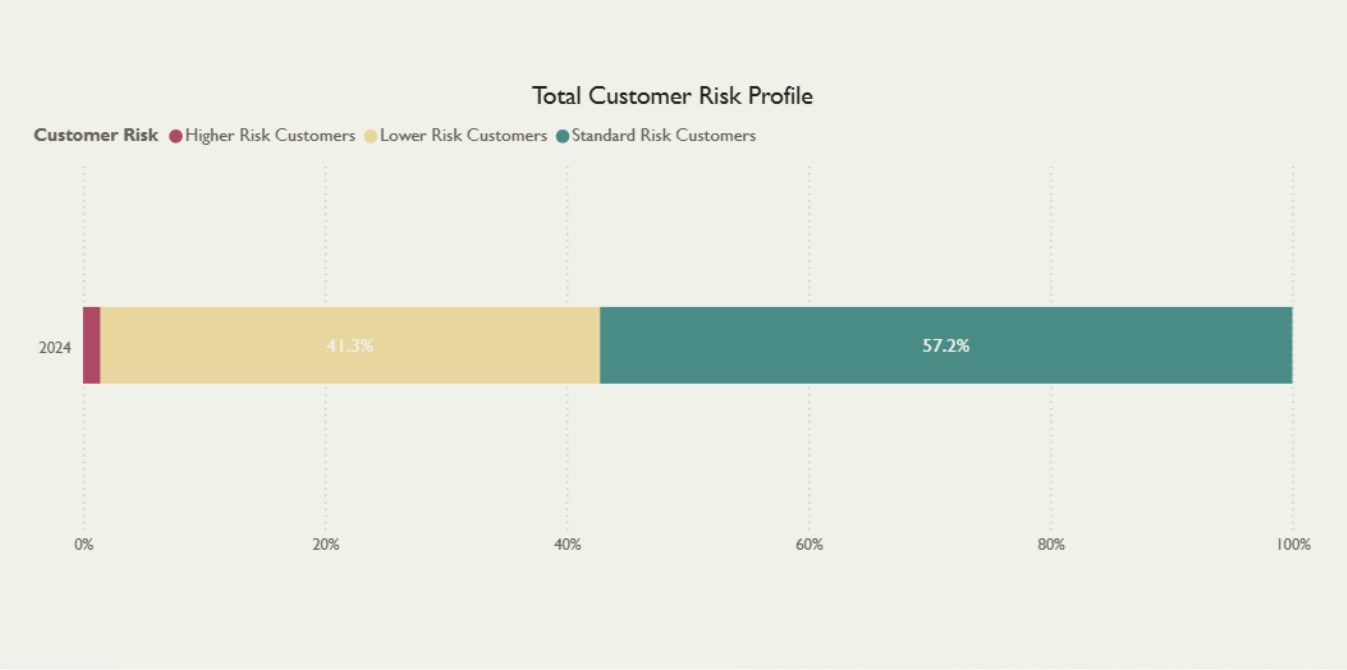
### Vulnerabilities

The main vulnerability relating to this sector is that an FA could be involved in a chain of arranging for the proceeds of crime to be moved and/or settled into a legitimate product offered by the sector. Considering controls, some FAs can have difficulty in segregating the compliance and Money Laundering Reporting Officer roles from operational/FA staff due to the typically small size of the business. However, this is countered by the generally strong controls in place in respect of AML/CFT/CPF, the predominantly lower-risk client base, and the maturity of the sector. The vulnerability level for the sector has been assessed as **Medium Low.**

### Customer profile

Financial Advisory services are generally provided to IOM-resident customers (97%), which does result in a lower risk of products and services being abused for ML. The vast majority of customers are retail customers and natural persons. The total exposure to PEPs in the sector is less than **1%** of the customer base. Client money is not held by FAs, and cash would not typically be accepted for payment. Generally, the use of introducers in the sector is limited, with **0.07%** of new customer relationships being introduced business. Whenever a customer is onboarded, the FAs will do a full fact-find on customers alongside the AML/CFT/CPF required checks. ›

## Figure 34: Sector Customer Risk Profile




Source: FSA

# INVESTMENT BUSINESS – STOCKBROKING / ASSET MANAGERS / INVESTMENT MANAGERS

Overall Sector ML Risk

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium Low | Medium | Medium | Medium Low |

The overall assessment of asset and investment managers in respect of ML risk is **Medium Low** and has decreased from 2020. It is rated as higher ML risk than FAs due to both services and customers being more cross-border, the involvement of High-net-worth individuals (HNWIs), and the handling of client money, thereby increasing the residual vulnerability (i.e. after considering mitigating controls) to medium. This sector also presents a threat rating of **Medium Low**.

## Background to the sector

The business undertaken in this sector includes asset and investment management services for individuals (including HNWIs), corporations, funds, and other financial institutions. These businesses control and manage their customers' funds/assets, including on a discretionary basis. They may also act as or arrange for a firm to hold/safeguard the assets where required.

Services under a discretionary mandate mean that the firm is trusted by customers to make appropriate investment decisions on behalf of them. An initial assessment is completed with the customer to understand the investment objectives and the risk appetite of the customer, and then a strategy is planned to fit their profile and needs. The manager will then take charge of all investment decisions and ensure the appropriate documents are in place. This process will not require consent for transactions. Minimum investment levels tend to be Higher than those for FAs.

Advisory investment management is more intensive and often offered by larger firms and possibly by certain banks. The firm will advise on strategies for investment, but the customer makes the final decision and/or approvals. "Execution-only" means the customer instructs the firm and no advice is provided by an investment manager or FA.

Execution-only is best suited to experienced or knowledgeable investors, predominantly non-retail customers, but can also include well-informed retail customers.

Stockbrokers may, on behalf of customers, buy and sell stocks, bonds, and other securities, either on an execution-only basis or via an advisory or discretionary offering. Stockbrokers are required to abide by stock market rules,[65] which require them to prevent churning, market abuse, and treat customers fairly, such as ensuring best execution in performing deals. "Best execution" means achieving the best possible result for customers when executing their orders by considering the price, costs, speed, likelihood of execution and settlement, size, nature, or any other consideration relevant to the execution of the order.

Overall, this sector may involve larger and more complex transactions and customers that are considered to be HNWIs (including PEPs). The sector also handles customer money as part of the services provided. A key point to consider is the speed of transactions in this sector due to the nature of some of the services provided. This has also resulted in some parts of the sector increasingly using technology in the delivery of these services. However, in terms of mitigations, the sector is mature, with good-quality systems in place and a strong AML control environment.

## Size and materiality

As of 31 December 2025, there are 13 firms classified as investment/asset managers (including stockbrokers), employing c. 310 staff. In addition, a limited number of banks also provide investment management services within their product suites, and as such also have Class 2 licence permissions. ›

### Threats

Considering the threats relevant to this sector, the threat level has been assessed Higher than FAs as there is more exposure to international customers, and client money is also held and can be moved on behalf of customers. There have not been any ML investigations in the period. There was, however, a case involving AML/CFT failings resulting in a civil penalty being imposed by the FSA. The threat level for the sector has been assessed as **Medium Low.**

### Vulnerabilities

The main vulnerability relating to this sector is that a firm can handle customer money, potentially exposing the firm to handling and moving the proceeds of crime. This vulnerability is increased if the products have increased liquidity and transaction velocity and are utilised in a manner which is not in line with the expected activity of the customer. A key typology involves the early sale or encashment of an investment product or asset designed to deliver value over a longer holding period, where such activity is inconsistent with the customer's profile or lacks a clear commercial rationale.

The risks associated with the misuse of investment products, particularly those permitting early encashment or early exit, are mitigated through a clear understanding of how liquidity features can increase transaction velocity and facilitate ML where the activity is inconsistent with expected customer behaviour. These risks are addressed through product governance, proportionate CDD aligned to investment objectives, and ongoing monitoring to identify early sale or encashment activity that lacks an apparent commercial rationale. Additional mitigation is added by virtue of the predominant payment method in the sector being bank transfers. Cash is very occasionally accepted and never issued by the sector. Monitoring of such customer and account activity is also a key control.

The use of pooling client monies and investments is a feature of the sector which can pose additional risk; however, the AML/CFT/CPF requirements are robust in this area as to when any AML/CFT/CPF concessions relating to pooling (such as Paragraph 17 of the AML/CFT Code) can be utilised by firms and what controls must be in place to utilise such concessions.

The sector may be exposed to more complex transactions which can disguise the true origin of the funds and wealth. Particular care is needed in this area, especially where income incentives for the firm may be Higher. There may also be transactions that need to take place very quickly due to the nature of the services provided. In terms of mitigations, the AML/CFT/CPF framework requires the source of funds of all customers to be established at customer onboarding, and also that the sector displays strong controls around customer monitoring.

In certain parts of the sector, time-sensitive pressures to place trades due to market movements put particular pressure on the industry to have risk mitigation processes in place which don't hamper normal operating procedures, but nonetheless are in keeping with the AML/CFT/CPF framework that is in place.

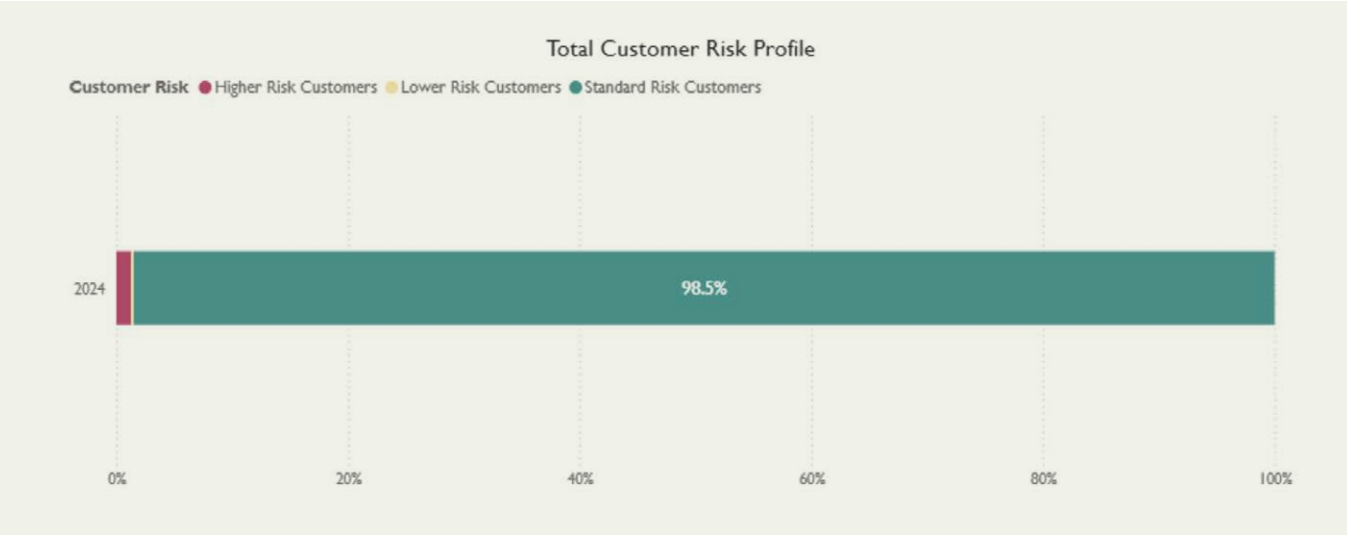
The use of technology has evolved in the sector, and although technology can assist in preventing financial crime, it can also increase vulnerabilities if not managed appropriately or not understood; it can also lead to faster transaction times, which can be attractive to money launderers. Firms need to be aware of this risk. Therefore, the vulnerability level for the sector has been assessed as **Medium.**

### Customer profile

Investment businesses' customers include both retail and general corporate customers. Total customers in the sector are approximately 26,500 as of 2024 data, **34%** of whom are resident in the UK and IOM. Other key countries of residence in respect of the sector include South Africa (**20%**) and the United Arab Emirates (**13%**). **86%** of customers in the sector are natural persons and, in terms of the risk ratings assigned by firms, **98%** of the customer base is assessed as standard risk. Total exposure to PEPs is less than **1%** of the total customer base.

This type of business is mostly non-face-to-face (**86%**) [66] and may be introduced by third parties, although the data indicates that the use of introducers within the sector may be on a significant decline. Further work is required to ensure the sector understands the concept and nuances of introduced business to ensure the data is accurate in this area. ›

# Figure 35: Total Customer Risk profile




Source: FSA

## INSURANCE: LIFE AND NON-LIFE

### Life insurance

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium | Medium | Medium | Medium |

### Non-life insurance

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium Low | Medium | Medium Low | Low |

The overall Insurance sector ML vulnerability has been assessed as medium, which reflects some inherent vulnerabilities with products and services which are partly mitigated by a **Medium High** AML control framework. This composite sector score directly reflects the underlying vulnerability assessment of the Life Insurance sector, as this is significantly the largest part of the Insurance sector, with products that represent a Higher vulnerability. The Non-Life Insurance sector is assessed as a lower risk than Life Insurance, owing to factors set out in this report, and the General Insurance Intermediary sector is **low** risk, being domestically focused, with negligible exposure to Higher-risk countries.

The overall Insurance risk level has remained in line with the medium assessment in the 2020 NRA. This also reflects the medium threat level assessment, with a number of dynamic, developing trends and risks having potential relevance to the sector, but with measurable impacts yet to be observed.

#### Background to the sector

The Insurance industry is the largest financial sector in the IOM, accounting for 16.9% of national income in 2023/24.[67] As such, Insurance plays a critical role in the overall economy. The sector is mature, well-established, and primarily international in nature, with a particular emphasis on Life insurance. Oversight and regulation of the industry is provided by the FSA. ›

In line with other sectors, recent regulatory enhancements have targeted areas such as introducers, PEPs, and targeted financial sanctions risk management. Ongoing risk-based supervision, thematic reviews, and enforcement actions continue to strengthen AML/CFT/CPF systems and controls.

The profile of the IOM's Insurance market remains broadly in line with the 2020 NRA. The Life Insurance sector continues to be focused on cross-border distribution of predominantly unit-linked insurance products to expatriates and non-resident customers in jurisdictions outside the IOM; the domestic market remains insignificant.

The Non-Life Insurance sector consists mainly of captive (related party) insurers largely providing insurance risk transfer to national or listed companies. A limited third-party commercial insurance market exists; a single third-party insurer of general insurance business is focused solely on the domestic market. General Insurance Intermediaries are also predominantly domestically focused on both natural and non-natural customers, and the exposure to Higher risk countries is negligible.

### Size and materiality

As of 31 March 2025, there were 12 authorised life insurers, 94 authorised non-life insurers, and 11 permitted insurers. There were also 30 General Insurance Intermediaries registered on the IOM. The sector manages over £88 billion in Life insurance funds and £4.8 billion in non-life funds.

Approximately 3,000 people are employed in the Insurance sector – including staff overseas in branches of IOM Life insurers – with around **75%** of these in Life Insurance on the IOM. The majority of business by value and by number of clients is international in nature. In the case of Life Insurance, there are significant client numbers in the UK, UAE, Argentina, and Hong Kong, China. The sector serves nearly 962,000 customers, with Life Insurance accounting for 78% of the total, and around **89%** of customers are natural persons. This international profile increases exposure to cross-border ML threats, particularly the risk of foreign proceeds of crime entering the financial system.

There are four main types of insurance regulatory permissions available to the sector: authorisation of insurers incorporated in the Island, issue of a permit to foreign insurers carrying on insurance business in the Island, registration of insurance managers, and registration of general insurance intermediaries. The size and profile of the sectors remain relatively stable, with a gradual reduction in the number of authorisations and registrations of insurers, primarily through consolidation (Life sector) and a limited number of surrenders of regulatory permissions. Refer to the Insurance sectoral report for further details.

The Life Insurance sector continues to be made up largely of authorised insurers with ultimate ownership in developed, regulated markets, including the IOM or UK, in addition to other countries considered equivalent under prudential "Solvency II" standards (Bermuda, Switzerland, and Canada). Life permit holders show a similar spread of geographical ownership. The countries of origin (ultimate controller/group) for authorised and permitted insurers, as of 31 December 2024, is shown in **Figure 36** below. ›

## Figure 36: Countries of Ownership/Controller – Life Insurers

| Country | Authorised Insurers | Permitted Insurers |
|---|---|---|
| **Bermuda** | 8% | 20% |
| **Canada** | 17% | 0% |
| **Isle of Man** | 50% | 20% |
| **South Africa** | 0% | 20% |
| **Switzerland** | 8% | 20% |
| **United Kingdom** | 17% | 20% |

Source: FSA

Since 2020, private equity ("PE") ownership has become more prevalent within authorised Life Insurance. One third of authorised Llife Iinsurers, and **58%** of Life Iinsurance funds are now under the management of PE ownership. There is no current indication to date that the shift to PE ownership in the sector has resulted in increased appetite relevant to ML, including that for product, jurisdiction, and compliance risk appetite.

While Non-Life Insurance sector ownership is similarly biased towards developed insurance jurisdictions, the jurisdictional ownership profile is more diverse and representative of industries that are relevant to the Captive Insurance sector. This is shown below in **Figure 37:**

## Figure 37: Countries of ownership / controller – non-life insurers

| Country/Region | Authorised Insurers | Permitted Insurers |
|---|---|---|
| **United Kingdom (UK)** | 38% | 33% |
| **Africa** | 11% | 0% |
| **United States of America** | 10% | 0% |
| **Japan** | 6% | 0% |
| **IOM** | 4% | 0% |
| **Australia** | 4% | 0% |
| **Ireland** | 3% | 0% |
| **Bermuda** | 0% | 66% |
| **Other** | 24% | 0% |

Source: FSA

### Threats

The overall ML threat to the Insurance sector has been assessed as medium. This rating is fundamentally derived from the threat assessment of the Life Insurance sector, noting that this is primarily of an international (cross-border) nature and given its relative size to the whole Insurance sector. The ML threat to the Life sector is assessed as medium. The ML threat to the Non-Life sector is assessed as **Medium Low.**

SARs made by the Insurance sector have remained broadly stable over a five-year period; disclosures predominantly arise from the Life Insurance sector, consistent with that sector's size and inherent risk profile. Disclosures from the Insurance Intermediary sector are very low. SARs submitted by the sector show an increase in the amount and proportion of suspected fraud cases, consistent with other sectors, and a reduction in disclosures where the predicate offence is not known. There have been no incoming MLA requests in recent years and no active criminal investigations. The Insurance sector would benefit from recent, relevant typologies and case studies.

IOM insurers, notably in the Life sector, have some exposure to Higher-risk clients, including CEPs and PEPs from Higher-risk countries, as indicated in data submitted to the FSA by insurers. This increases the inherent risk of life insurers receiving proceeds of bribery and corruption. The threat is not new and control measures are well-established; however, emerging, fast-paced markets and a shift away from historic centres of illicit financial flows towards newer geographical markets identified in published reports as the 'Dubai–Hong Kong' axis is particularly relevant to the IOM's Life insurance sector as locations where a number of insurers have established branches. The Life Insurance sector also has a relatively High percentage of customers – and correspondingly, PEPs – who reside in Argentina. This is commensurate with larger firms having branch operations in Argentina, where the licensing regimes allow branches of foreign insurers to distribute to domestic markets.

Within the Life sector, the geographical spread of non-natural customers is strongly biased to the UK, reflecting the use of life assurance products held in trust and corporate structures for ›

recognised estate and tax planning purposes. The Life Insurance sector has a c. **4.5%** exposure to customers resident in Higher-risk countries, predominantly natural customers, with this level relatively stable over the reporting period.

For the Non-Life sector, the profile for commercial insurers is shown to be very Highly concentrated on a narrow range of markets, principally the UK, IOM, and the other Crown Dependencies of Jersey and Guernsey. There are no customers from Higher-risk countries. For captive insurers, there is a more diverse customer residence profile. The concentration of captive business customers reported in Liberia and the Marshall Islands relates to the insurance of merchant ships.

The General Insurance Intermediary sector is Highly focused on the IOM market, both for natural and non-natural customers, and correspondingly, the exposure to Higher-risk countries is negligible. The residency profile for PEPs is slightly wider than for natural and non-natural persons, with c. 20% foreign PEPs (a relatively low number in absolute terms).

### Vulnerabilities

The consolidated Insurance sector has a medium ML level of vulnerability, reflecting some inherent vulnerabilities prevalent in the products and services identified below, partly mitigated by a **Medium High** AML control framework. The Life Insurance sector has products with Higher vulnerability; Non-Life sector products and services have lower inherent vulnerabilities.

The international scope of the Life Insurance sector in particular, use of legal persons and arrangements, product flexibility, and exposure to PEPs (although relatively limited) present areas of vulnerability. Approximately 5% of PEPs (by residency) within the Life Insurance sector originate from Higher-risk jurisdictions. The use of corporate structures can further increase these vulnerabilities, making it more difficult to identify the true source or ownership of funds. As noted, the industry operates in several Higher-risk jurisdictions; however, it benefits from substantial levels of expertise and experience, with many firms having maintained a presence in these markets for several years.

The sectoral ML vulnerability assessment, which considers a range of factors including market size, concludes that the most vulnerable product/service segments are in the Life Insurance sector (single and regular premium products/services). Summary details of the product assessment across the sector are as follows:

## A. LIFE INSURANCE

### A1 Single premium investments (including unit-linked protection)

These products are lump sum life investment contracts linked to limited internal or mirror funds. Though they are intended for medium-to-long-term investment, they can be surrendered at any time, making them more vulnerable than other life insurance options. Typically sold and managed remotely, their inherent vulnerability is rated **Medium High**, and after controls, medium.

### A2 Single premium portfolio bonds

These lump sum investments, linked to external funds or even private company shares, expose policy benefits to market fluctuations. Surrender values and remote distribution increase vulnerability, which is rated **Medium High** before controls and medium after mitigation.

### A3 Single premium capital redemption bonds

These products are single-payment, long-term investments with a set redemption date and no life assured, making them available to entities such as companies. They usually offer unit-linked options with early surrenders and are mostly sold remotely. Their inherent vulnerability is rated **Medium High**, which reduces to medium after controls are applied.

### A4 Pure protection products

These non-linked protection products are usually structured as regular premium contracts and have no investment element, which means there is no surrender or maturity value. This absence of an investment element reduces the inherent vulnerability to ML when compared with other life insurance products. The inherent vulnerability for pure protection products is assessed as medium, with the final vulnerability after control mitigation assessed as **Medium Low.**

### A5 Regular premium savings (including unit-linked protection)

Long-term insurance products require ongoing premium payments and often have an initial lock-in period with High charges, slightly lowering vulnerability. Surrender value later ›

becomes important, and policy values are tied to a narrow range of funds. For unit-linked contracts, death benefits may depend on policy value or include fixed amounts as riders, with options for critical illness and hospitalisation benefits. These protections help reduce vulnerability. Overall, regular premium savings are considered **Medium High** in inherent vulnerability, reduced to medium after controls.

### A6 Regular premium capital redemption bonds

These contracts have a set redemption date and value, typically span 99 years, require recurring premiums, and are not linked to insured lives. Policy values track internal funds and surrender value affects vulnerability, which is rated **Medium High** before controls and medium after mitigation.

## B. NON-LIFE INSURANCE

### B1 Captive insurance (self-insured)

Captive insurers typically re-insure only group entities, mainly via authorised insurers on the IOM. Often, a captive insurer serves just one customer. Key vulnerabilities involve owner suitability and funding sources, with fraudulent claims also posing risks. Overall, the inherent and residual vulnerability for captive insurance is rated as **Medium Low**.

### B2 Commercial general insurance

Commercial general insurance mainly covers businesses and groups, with most activity limited to the IOM and UK/British Isles. The sector is small and has lower risk of ML; both inherent and controlled vulnerabilities are rated **Medium Low**.

### B3 Insurance intermediation

Intermediaries handling general insurance and pure protection products have low exposure to major risks, mostly serving local clients. These products are less prone to ML than some life insurance options. While premium refunds present minor vulnerabilities, these are addressed by AML measures; intermediary involvement in claim fraud remains possible but limited. Overall, both inherent and residual vulnerability in this sector is considered **Low.**

The assessment also undertook a detailed review of the AML controls in place for the Insurance sector. The assessment indicated that there continued to be no general AML control areas that require critical or urgent attention across the sector, although the sector assessment Highlights that insurers may continue to have potential gaps in prevention and detection of ML (transactions, screening, and changes in customer prole and behaviour), balancing manual intervention and reviews, with the use of technology in light of the pace of change in digital technologies.

### Recommended actions

Insurance is a mature and well-established financial services sector, contributing significantly to national income. The sector's strong track record in the IOM, experienced workforce, and comprehensive AML/CFT/CPF controls provide a solid foundation for managing ML risks. However, as global financial crime typologies evolve and new technologies emerge, the Insurance industry needs to remain alert and responsive to identify and mitigate risks.

Please see the Insurance sectoral report for a more detailed analysis of the sector for ML risks.

The Insurance Sector ML Risk Assessment identifies a small number of areas for improvement aligned to the strategic aims from the National Financial Crime Strategy 2024–2026. The actions are outlined in **Chapter 13.**

## MONEY TRANSMISSION SERVICES ("MTS")

### Introduction

Provision of MTS on the IOM is regulated activity under the FSA08 and covers various types of business activities, including:

- bureaux de change (BDCs);
- cheque cashing; [68]
- provision of payment services (directly or as an agent); and
- issuance of electronic money (e-money).

The services provided by firms depend on the licence permissions held. The following sections of the NRA will consider the ML risk of BDCs, followed by payment services/e-money. ›

### Size and materiality

As of 31 December 2025, there were 5 financial services licence-holders with Class 8 permissions. Of those 5 entities:

- 1 is a BDC;
- 1 undertakes payments services directly; and
- 3 are e-money issuers.

The Isle of Man Post Office also provides Class 8 activities, specifically BDC (Class 8(1)); MTS (Class 8(2)); and cheque cashing (Class 8(3)), which is limited to cashing cheques issued by the IOM Government in relation to benefit payments. IOMPO is exempted from having to hold a financial services licence; however, the FSA still retains powers over the Class 8 activity undertaken, including the power of inspection and being able to request and obtain information. The IOMPO is subject to the requirements of the AML/CFT Code in its entirety in relation to the aforementioned activities by virtue of being included within Schedule 4 of POCA. The IOMPO has not been included within this NRA.

## MONEY TRANSMISSION SERVICES: BUREAUX DE CHANGE

**Overall sector ML risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Low | Medium Low | Medium Low | Low |

The overall assessment of BDC activity in respect of ML risk is low, based on the predominant nature of the local customer base and the low-value and transactional activity conducted, resulting in a **Medium Low** residual vulnerability to ML (i.e. after considering mitigating controls) and a good level of AML/CFT controls in place for the sector (**Medium High**). The threat is assessed as being **Low**.

The overall ML risk of BDCs has decreased since the **Medium Low** risk assessment in the 2020 NRA. This decreased risk rating reflects the low threat rating and takes into consideration the reduced number of providers of this service, as well as a decrease in business volumes.

### Background to the sector

There is currently one firm licensed to undertake BDC activity, and as previously mentioned, the IOMPO also provides this service, operating under a licence exemption. All business in this sector is conducted face-to-face and mostly with residents of the IOM (98%) who are typically obtaining holiday currency. Around 5,000 customers undertook foreign currency transactions in 2024. The majority of transactions are of small to average value, with controls in place to check and verify Higher-value transactions. There are concessions within the AML/CFT Code that firms can use should the transaction fall below a threshold and no Higher-risk factors are identified.

### Threats

The customer base is predominantly IOM residents (natural persons) with a common purpose of obtaining foreign exchange, typically for holidays. There have been no prosecutions in this sector, nor has the FSA taken supervisory action in this area. The threat level has been assessed as **Low**.

### Vulnerabilities

The main vulnerability is that the sector could be exposed to low-level domestic ML using small amounts of cash, as many transactions fall under the CDD thresholds where verification of the identity of the customer is required (an exempted occasional transaction), lending to the potential of limited CDD to identify suspicious activity. The vulnerability to ML for the sector has been assessed as **Medium Low.** ›

# MONEY TRANSMISSION SERVICES: AS PRINCIPAL AND E-MONEY

Overall sector ML risk

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium High | Medium | Medium | Medium |

The overall assessment of payment services and electronic money activity in respect of ML risk is medium. While overall compliance with AML/CFT/CPF requirements appears strong (controls are rated as **Medium High**), the sector faces inherent risks due to its exposure to cross-border transactions, High-risk jurisdictions, and evolving payment technologies, resulting in a medium vulnerability rating. The overall risk rating has stayed the same since the 2020 NRA; however, the threat rating has increased to **Medium High** for the sector, which is the product of an increasing threat landscape to the Island.

## Background to the sector

The PSP/EMI sector is relatively nascent, with several entities only licensed within the last four years. Although the sector is small in terms of the numbers of firms and employees, it is growing rapidly, with many licence applications and enquiries. Recently, there has also been a significantly large increase in customer numbers within the sector due to the relocation of a firm within the sector to the IOM. The total number of customers in the sector is just under 2 million. It should be noted that many of these customers may hold a wallet but are not actively using the service. Further work is underway with the sector to consider how to segregate the customer numbers in this way to give a clear indication of active customers.[69]

## Threats

As an IFC, the IOM's MTS sector primarily serves non-resident clients. This cross-border profile means that funds often originate outside the jurisdiction and related predicate offences typically occur overseas. The threat rating for the sector is **Medium High**; this is a product of the increasing threat landscape in the IOM (explained in earlier sections of this NRA) and the fact that this is a sector where the services of domestic or foreign firms could be used by persons/entities who wish to abuse the system to facilitate movements of illicit funds across borders.

It is, however, important to note that there are no recorded ML investigations or prosecutions featuring the sector. The FSA has not issued any civil penalties in respect of the licence-holders in this sector.

## Vulnerabilities

Globally there has been rapid development and increased functionality of MTS products available on the market, particularly in relation to e-money. This has created challenges for countries and firms in ensuring these products are not misused for ML and other crimes.

Generally, several features of e-money and MTS – such as the simplicity and certainty of transactions, worldwide reach (in the case of e-money remitters), the cash character of transactions, and low-thresholds – could make them an attractive vehicle through which criminal and terrorist funds could enter the financial system and also undertake multiple transactions through the sector in order to layer funds with an illicit origin. This can be exacerbated with the speed at which a customer can register for and obtain an account, and the fact that the account can be established remotely by the customer and have a worldwide reach. It is therefore important that these firms have robust monitoring systems in place to help identify risks, akin to those used in banks. The firms must also hold client funds in segregated payment accounts with approved banks. However, at present financial flow data for the sector is not currently obtained by the FSA, which would be useful to further understand the activity in the sector and where funds are flowing to and from. ›

The sector may be used by both natural and non-natural customers; it may also be used by those who are unable to directly access traditional banking services. The sector should take into account the rationale for and operation of the business relationship when customers apply for accounts. A mitigation in this area is that some firms within the sector require a credit card to fund the wallet.

Considering the activities taken by the MTS sector on the IOM, the licensed PSPs do not have an agent acting on their behalf, nor do agents of PSPs based in other jurisdictions operate in or from the IOM thereby potentially limiting the exposure in relation to those countries in which agents may be located.

The three EMIs are part of large groups which operate in the Latin American region, thereby potentially increasing the exposure of firms to risk of being vulnerable to ML, corruption, drug trafficking, and kidnapping. The groups are, however, very familiar with their customers and merchants, and therefore, relevant controls are integrated into these entities.

It is also important to note that the firms in the sector may use certain AML/CFT Code concessions in respect of lower-value transactions. This may increase the risk of MTS being vulnerable to ML, particularly where a product/service comprises a number of smaller transactions. These concessions cannot be used in Higher-risk customer relationships and, where they are permitted, a number of conditions must be met. The use of concessions is something the FSA would examine during an inspection.

### Key risks

**Perimeter risk:** This is a relatively new business sector which attracts entrepreneurs with more of a technology background. Individuals may not be aware that the business is regulated and that a licence under the FSA08 is required. The FSA has identified cases of businesses undertaking or proposing to undertake PSP or EMI activities without the requisite licence, which have been addressed.

**Technology risk:** There is a risk, due to the relative infancy of the sector and the evolving technology, that new platforms and systems have not been properly tested and developed. Moreover, systems may not be designed to fully meet the AML/CFT/CPF control requirements in a jurisdiction.

**Peer-to-peer payments risk:** A Higher-risk activity offered by many PSPs is one whereby a customer may utilise their accounts for peer-to-peer transactions. Peer-to-peer transactions lend themselves to an enhanced ML risk because transfers can take place between multiple account-holders. This can happen very rapidly without funds ever moving through the segregated account held by the bank. The firm may not actually know who is ultimately undertaking the transaction. Frequently, transaction monitoring systems apply an element of trust to transactions within the system (particularly when the transactions are on their own platform) compared to payments coming in from an outside source, which are normally subject to a greater degree of scrutiny. Robust monitoring is needed in respect of peer-to-peer transactions.

**Virtual IBAN risk:** Virtual International Bank Account Numbers (IBANs) allow customers to make payments in and out of an EMI's segregated account more directly than by utilising only cards or similar instruments. Because virtual IBANs do not hold balances in the same way as true IBANs, the risk of the bank's own transaction monitoring tools being unable to identify suspicious activity is heightened. It may result in difficulty in tracing the source and/or destination of funds, resulting in it being a method that could be used to facilitate financial crime. This can be a particular risk where a merchant is permitted to utilise a virtual IBAN. Due to these risks, there is a greater onus on the EMI's monitoring systems and controls to be sufficiently robust. The risks with virtual IBANs and those of peer-to-peer usage are similar.

**Correspondent risk:** Firms within the sector have found that obtaining pooled accounts (such as segregated accounts, client money accounts, and specified accounts) with banks has become increasingly difficult over the last several years. This has resulted in MTS licence applicants (and incumbents) seeking to establish segregated accounts with a limited number of institutions which are prepared to service this sector. These banks are mostly outside the IOM and typically have a Higher risk appetite. There is a risk should the bank holding the segregated accounts be frozen or fail due to regulatory failings or criminal prosecution. This would have a ›

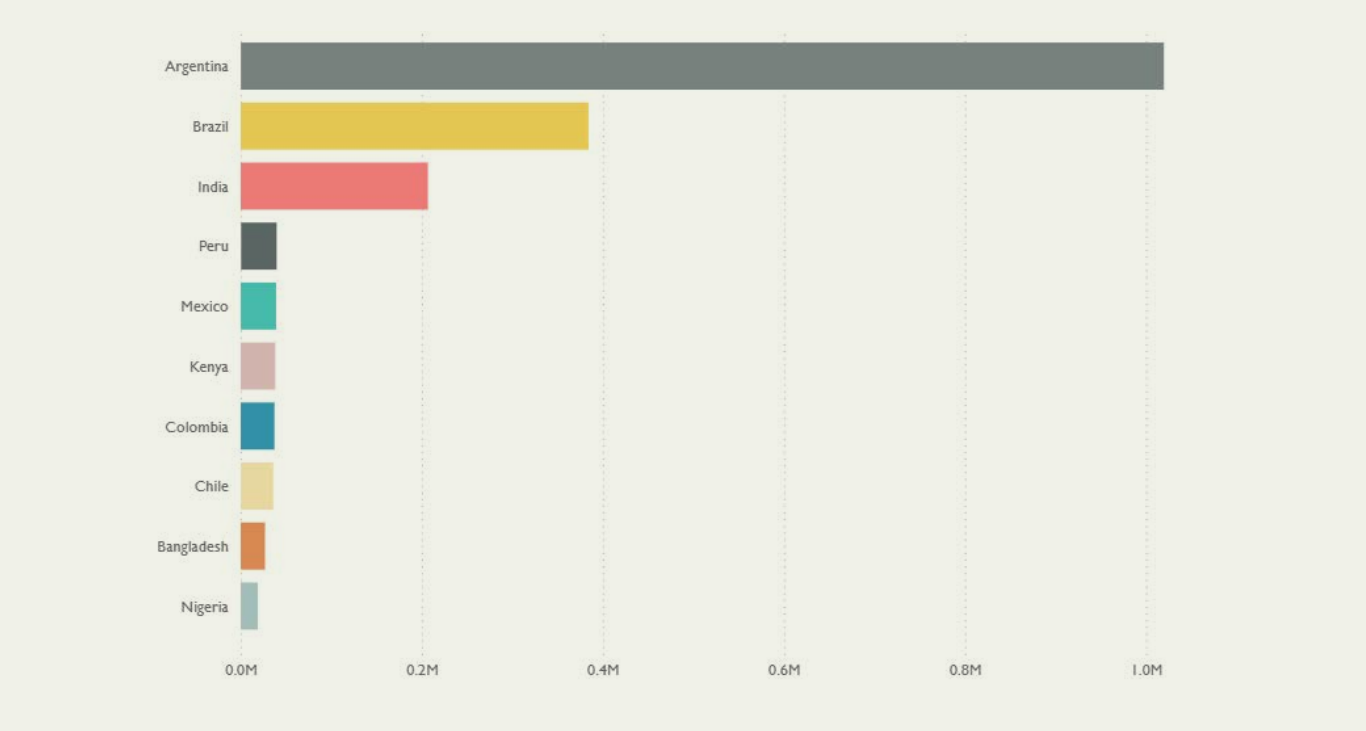
material impact on the IOM-based EMI itself, as it would be unable to redeem e-money issued.

Therefore, the vulnerability to ML for the sector has been assessed as **Medium.**

### Customer profile

The customer base of IOM PSPs and EMIs is made up of both merchants (**0.02%**) and natural persons (**99.98%**). The merchants are primarily online gaming companies based in the IOM, the UK, and further afield. Merchant customers would typically see high-volume and higher value transactions. ›

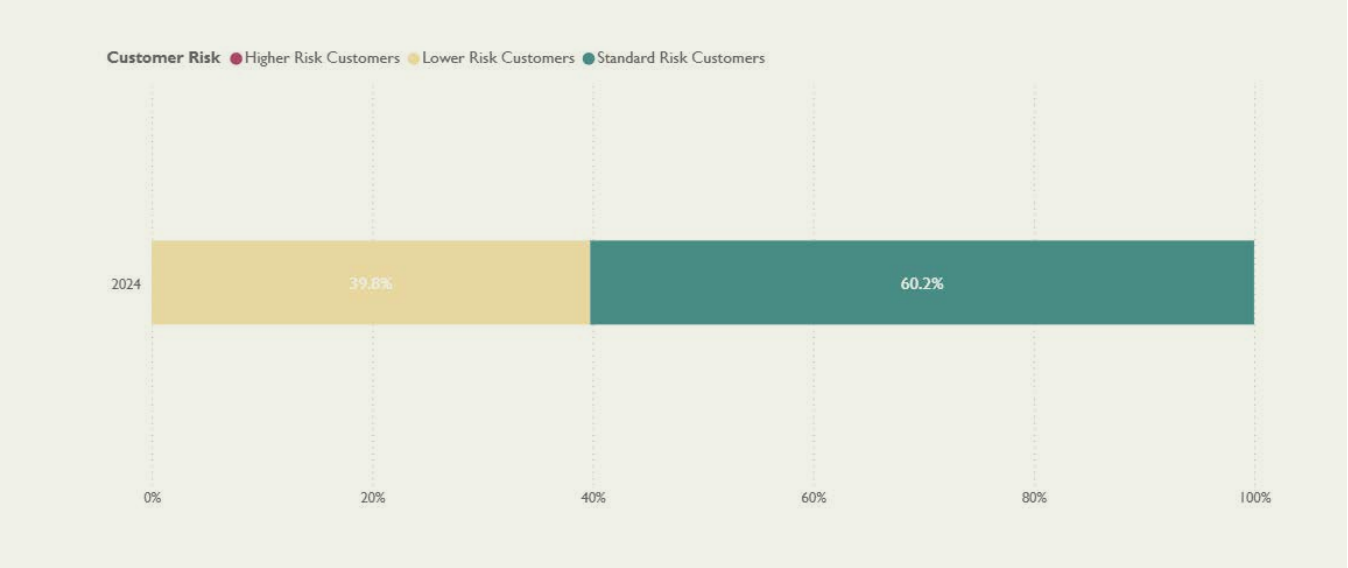
## Figure 38: Top Ten Countries of PSP and EMI Customers (2024)




Source: FSA

Consumers typically undertake lower-value and lower-volume transactions (typically less than USD $100 and fewer than 10 transactions per year). They will typically use their payment instruments for purchases on websites of merchants such as e-gaming service providers or purchases in a physical location via payment cards issued by the PSP/EMI. **73%** of consumers are based in South America; the majority are rated as standard risk **(60%)**, and there are a very small proportion of PEPs in the sector **(0.02%)**.

# Figure 39: Total Customer Risk Profile of the Sector




Source: FSA

### Recommended Actions

- It was Highlighted by the sector that guidance issued by the FSA could be improved in relation to active and inactive customers and the use of electronic CDD measures.
- Certain MTS Class 8 licenceholders (PSPs and EMIs) should provide quarterly financial flow information to the FSA. This was also identified in the TF NRA.

## PENSIONS

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Low | Medium | Medium Low | Medium Low |

The overall assessment of ML risk for private Pensions is **Medium Low.** The overall risk level for this sector has stayed the same since 2020 NRA and reflects the low threat level assessment. It also reflects the fact that the features of typical pension products do not make it an attractive vehicle for ML. There are good AML controls for the sector which are rated as **Medium High**, however there are some legislative amendments required to the framework for the sector which has slightly increased the residual vulnerability (i.e. after considering mitigating controls) to Medium (from **Medium Low** in 2020).

### Background to the Sector

The private Pensions sector in the IOM is a well-established, well-regulated sector; if a private Pension is provided in or from the IOM it must be registered with the FSA as either an Authorised or Recognised scheme. [70] In order to be authorised by the FSA the schemes must be established by way of irrevocable trust structures meeting the criteria set out within the Retirement Benefits Schemes Act 2000 ("RBSA").[71] Typically, the scheme is considered to be the customer of the Pension service provider. ›

The RBSA applies to all schemes operated in or from or offered to the residents of the IOM. Registered schemes are subdivided to cater for the needs of its members and will either be authorised as:

- Domestic schemes (primarily for habitually resident members in the IOM); or
- International schemes (for all other non-IOM resident individuals).

All schemes require the appointment of trustees who must be fit and proper to act in that capacity.

In addition to the trustee requirement, the RBSA imposes the requirement that each scheme (International or Domestic) must have an appointed a person in the IOM who is responsible for the management of the scheme (referred to in the RBSA as "the Administrator"). In order to act as administrator, it must be registered with the FSA and be a fit and proper person.

Administrators are registered as either 'Professional Schemes Administrators' (those providing pension scheme services by way of business) or 'In-House Schemes Administrators'. In-House Administrators only being registered where they act in respect of an individual domestic scheme (usually an occupational scheme). In-House Administrators do not act by way of business (and the last such registration was in 2012).

Schemes settled and operated outside of the IOM may be offered to local residents if they are recognised under the RBSA. There are only a limited number of Recognised Schemes (all of which are UK established occupational schemes).

### Size and Materiality

At the end of December 2025 there were:

- 28 registered Administrators: of these 15 were Professional Administrators and 13 were In-House.
- 1116 registered Authorised Schemes: of which,
  - 910 are Domestic (742 personal: 164 occupational) with assets under management in the region of GBP£3.588 billion; and
  - 200 are International Schemes (36 personal, 164 occupational) with assets under management in the region of GBP£10.681 billion.
  - 53 registered Recognised schemes.

There are approximately 170,000 existing members of these schemes as of December 2025.

### Threats

Considering the threat of the sector, typically schemes are established as trusts which tend to see that funds difficult to access until certain criteria are met; for example, the member reaching a particular age; and therefore might be inaccessible for longer periods of time. Pensions do not generally offer the level of flexibility typically needed to be attractive for traditional ML purposes, however it is recognised that ML risks remain as the Pension scheme could be (partially) funded with proceeds of crime and/or be used to evade tax. There are no recorded ML investigations or prosecutions featuring the sector, nor has the FSA issued any civil penalties in respect of the licenceholders in this sector. The threat rating has been assessed as **Low.**

### Vulnerabilities

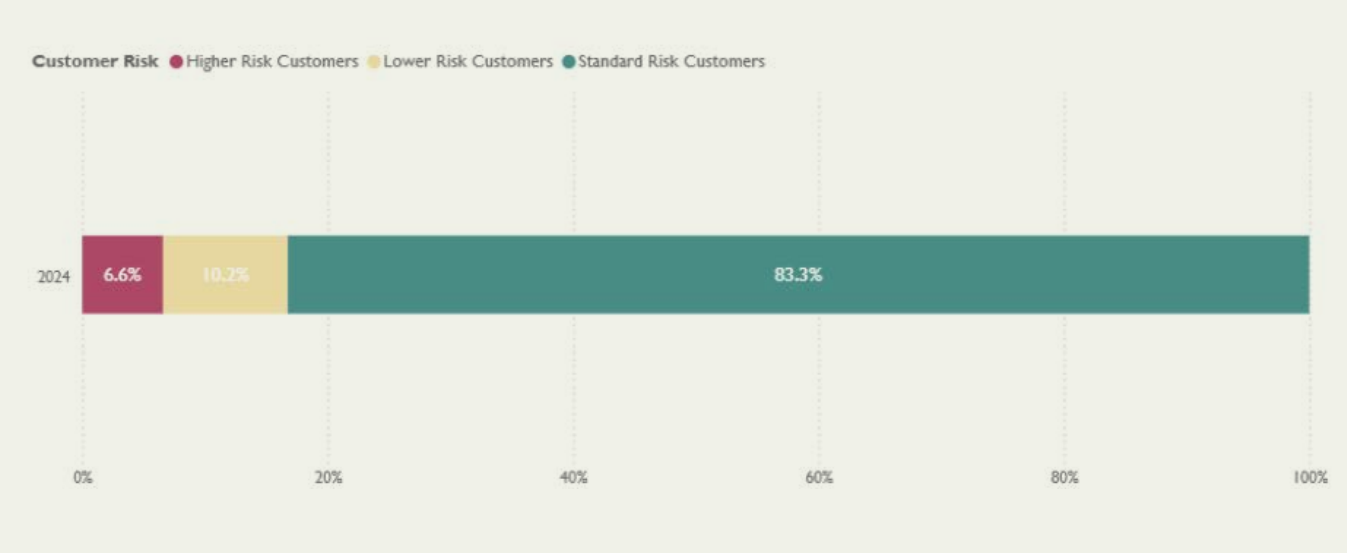
The main ML vulnerabilities of IOM private Pension products tend to arise from personal schemes which may have complex underlying investment structures or taxation arrangements; these may be vulnerable to the disguise of the proceeds of fraud and/or tax evasion. The use of a Pension scheme wouldn't typically be an attractive method by which to launder funds due to the typically long-term nature of these products. Cash would not typically be accepted for payment into a scheme; almost all contributions are through bank transfer. It should be noted that the sector generally has strong AML/CFT/CFP controls in place, albeit it has been identified the legislative framework does require some modernisation which is underway. Therefore, the vulnerability to ML for the sector has been assessed as **Medium.**

### Customer Profile

- In terms of residency of the schemes 83% are located in the IOM and UK, others are located in Hong Kong and South America (but these are very small numbers). ›

- Where it is a personal and/or private pension scheme, members are typically introduced and this would tend to be via a financial advisor, however this is fairly limited within the sector.
- Total exposure to PEPs in the sector is less than **2%** of the customer base the majority of PEPs are resident in the UK and IOM, other locations where PEPs are based include Saudi Arabia and USA.

## Figure 40: Total Customer Risk Profile of the Pension Sector




Source: FSA

### Recommended Actions

Although the sector risk of ML is, and continues to be, **Medium Low**, there is one main action that should be taken to improve the controls within the sector. This is to progress the proposed legislative amendments (the Retirement Benefits Schemes (Amendment) Bill) which will, when enacted, move the regulation of pension service providers (i.e. persons acting as trustees or administrators of Pension schemes) under the FSA08 (which includes the Financial Services Rule Book). This will have the effect of applying the IOM's existing conduct and prudential regulatory requirements to Pension service providers, subject to appropriate modifications, exemptions and transitional arrangements. Pension schemes themselves would continue to be regulated under the RBSA. ›

# SERVICES TO COLLECTIVE INVESTMENT SCHEMES

Overall Sector ML Risk

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium Low | Medium | Medium | Medium |

The overall assessment of Services to Collective Investment Schemes in respect of ML risk is Medium. There are ML inherent risks faced by the sector due to its exposure to cross-border transactions and business relationships, the complexity of some types of arrangements and the pooling of customer funds resulting in an residual vulnerability rating (i.e. after considering mitigating controls) of Medium. In respect of the functionaries providing services to funds, and the fund vehicles themselves, there are high AML controls in place that are subject to regular supervision by the FSA. This sector has been assessed as presenting a **Medium Low** threat.

## Background to the Sector

The provision of fund management and administration has long been a regulated activity on the IOM. Firms providing these services are licensed and supervised by the IOMFSA under the Financial Services Act 2008 (FSA08) (unless an exemption applies).[72] A licence to carry on Class 3 activity permits firms to provide services to fund vehicles.[73] It should be noted that, within the IOM, both the fund service provider and the IOM fund are independently subject to the provisions of the Isle of Man's AML/CFT Framework. This section of the NRA covers the following types of financial services activity which is licensable under the FSA08[74]:

- fund management/administration services; and
- the business of Isle of Man funds (collective investment schemes)

Licensed fund managers and administrators (and those with limited Class 3 permission) in the IOM provide services to a range of fund vehicles, both IOM funds (mostly non-retail), and overseas funds including valuation of assets and pricing of units; maintenance of the register of participants; issues, transfers and redemptions of units; accounting services and record keeping.

A significant portion, approximately **80%** (by AUM), of the IOM's fund sector activity involves providing services to schemes domiciled outside the jurisdiction. These services are typically provided either directly to overseas schemes or to their managers and administrators. When an Isle of Man-based manager or administrator is appointed to an overseas scheme, it is generally indicative that the scheme operates within the professional or private investment space, and is not retail-facing.

Fund managers/administrators' customers are the funds themselves. Fund managers/administrators are responsible for assessing the ML risks associated with taking on funds as customers. This includes an understanding of not only the investor base but also considering what the fund is investing in, the fund structure, and the other functionaries providing services to the fund.

All funds established in the IOM under the Collective Investment Schemes Act 2008 are also "relevant persons" for the purpose of AML/CFT legislation; this means the AML/CFT Code also applies directly to IOM funds. In practice, the governing body of an IOM fund will delegate the majority (if not all) of AML/CFT matters to its functionaries (fund manager/administrator), but the governing body must understand and document what services the functionary is, and more importantly is not, providing in relation to the fund's obligations under the AML/CFT Code. This should be included as part of the functionary agreement between the fund and the Manager or Administrator.

**Figure 41** shows the differing fund types in the IOM, and **Appendix V** of this report provides further detail of potential ML vulnerabilities posed by each fund type. ›

# Figure 41: Differing Fund types in the IOM

| Type of Scheme | Scheme | Description |
|---|---|---|
| Retail | Authorised | Subject to detailed and prescriptive regulation and which are capable of promotion to the general public. |
| | Regulated | Can be suitable for both retail and institutional investors and can apply for secondary listings on recognised exchanges. |
| Professional | Qualifying | For distribution to non-retail investors, offering maximum flexibility on strategy and asset allocation. |
| | Specialist | A minimum $100k initial investment criteria. |
| Private | Exempt | Private funds which cannot be marketed to the public and are restricted to having no more than 49 participants. |
| | CEICs | Closed-ended investment companies (CEICs) generally fall outside the regulatory net for collective investment schemes. |

Source: FSA

### Size and materiality

There are currently 9 firms licensed by the FSA in respect of Class 3 permissions, to act as Manager/ Administrator, employing circa 150 staff. Further, under ancillary Class 3 permissions, 11 Class 4 Licensed TCSPs provide administration services (to Exempt and Exempt-Type Schemes only) and 9 Class 2 Licensed Investment Businesses have permissions to provide investment advice, asset management and some custody services to schemes. The total AUM for the sector is shown in the table below. ›

**Figure 42** shows the number and value of funds as at 31 December 2025.

## Figure 42: Number and Value of Funds

| Fund Ttype | No. of funds | Value of funds (net asset value) in USD $million as at 31 December 2025 |
|---|---|---|
| Authorised schemes (retail) | 1 | 92.12 |
| Regulated fund (can be retail) | 4 | 288.06 |
| Qualifying fund | 2 | 26.23 |
| Specialist fund | 7 | 511.62 |
| Exempt schemes | 72 | 1,654.07 |
| Total IOM schemes | 86 | 2572.102 |
| Exempt-type schemes | 16 | 426.74 |
| Overseas schemes | 42 | 7,554.84 |
| Services to overseas fund managers or administrators | 33 | 1,820 |
| Total services in relation to overseas schemes | 91 | 9801.57669 |
| **Total for all schemes** | **177** | **12373.67869** |
| Closed-ended investment companies (not schemes) | 16 | 0 |

As illustrated in the table above, there are 91 Isle of Man funds and 114 overseas funds as at 31 December 2025. The home jurisdiction of non-Isle of Man incorporated funds is as follows (**Figure 43**): ›

# Figure 43: Jurisdiction of Non-Isle of Man Incorporated Funds

| Jurisdiction of incorporation | Exempt-type schemes | Other overseas funds | Outsourcing only | Total |
|---|---|---|---|---|
| Cayman Islands | 3 | 35 | 23 | 61 |
| Bermuda | | | 8 | 8 |
| BVI | 7 | 1 | | 8 |
| Delaware (US) | | | 2 | 2 |
| Ireland | | 2 | | 2 |
| Jersey | 5 | 1 | | 6 |
| US | | 3 | | 3 |
| UK | 1 | | | 1 |
| **Total** | **16** | **42** | **33** | **91** |

### Threats

As an IFC, the IOM faces threats from both overseas and domestic criminal groups. The national threat landscape is explained elsewhere in this NRA. This sector is at risk in respect of ML relating to foreign predicate offences due to the multi-jurisdictional nature of some of the fund structures, the overseas investors in the funds as well as the pooling of funds. Also, the fund vehicles themselves could be used for predicate offences, such as fraud or operating as ponzi schemes.

There have not been any ML investigations in the period. There has however been a case involving AML/CFT failings which resulting in a civil penalty being imposed by the IOMFSA and key individuals from the sector being prohibited. The sector has been rated as a **Medium Low** threat level

### Vulnerabilities

The main vulnerabilities relevant to the sector in the IOM in relation to ML include:

- the multi-jurisdictional nature of some of the fund structures, some of which might be complex structures also which can make it easier to obfuscate activities being undertaken;
- the lower level of direct supervision of certain fund types, particularly professional & private funds [were the Isle of Man market sits], also those arrangements where a licensing exemption may apply, albeit this is quite limited in this sector;
- certain funds that have fewer legislative requirements applying to them, which therefore might be more vulnerable to ML, or vulnerable to being used to disguise true ownership (e.g exempt schemes) There is no obligation to report the existence of an exempt scheme to the IOMFSA if there is no IOM regulated entity associated with the fund. Nonetheless, any such funds remain subject to the AML/CFT Code and the regulatory constraints of the Exemption Regulations and CISA08, which limit exempt schemes to one per economic group and cap participation at a maximum of 49 investors.
- certain funds that have higher levels of liquidity (e.g. Authorised Schemes) as these can be more attractive for money launderers as this can expedite the layering process, however these products are typically these tend to be more tightly regulated; ›

- the use of intermediaries and introducers which can be a way of obscuring beneficial ownership and source of funds;

- funds where the structure is designed to service a particular group of investors (e.g. non-retail or professional funds), as they may operate within a Higher risk investment environment and utilise more complex or bespoke structures which could be vulnerable to being utilised by criminals to disguise beneficial ownership and launder funds;

- in respect of services provided to overseas funds, such schemes remain regulated by their home authorities, this arrangement can present challenges: regulatory oversight may be diluted, AML/CFT responsibilities become more complex, and specialised knowledge of foreign regulatory frameworks is required. The FSA's powers would address the IOM Class 3 regulated functionary only, but the issues may not be at the fund provider level. There could be adverse reputational impact for the IOM; and

- the non-face-to-face nature of the sector, use of intermediaries (including pooling), exposure to Higher risk jurisdictions and the possibility of integrating small amounts can be a feature of parts of the sector which can pose additional risk.

The previous NRA noted that there was an increased risk in the area of exempt schemes which required regulatory attention. This has been addressed through increased supervisory engagement to those licenceholders providing services to exempt schemes. The outputs from this were inspection feedback to industry,[75] published guidance on exempt schemes and additional outreach.

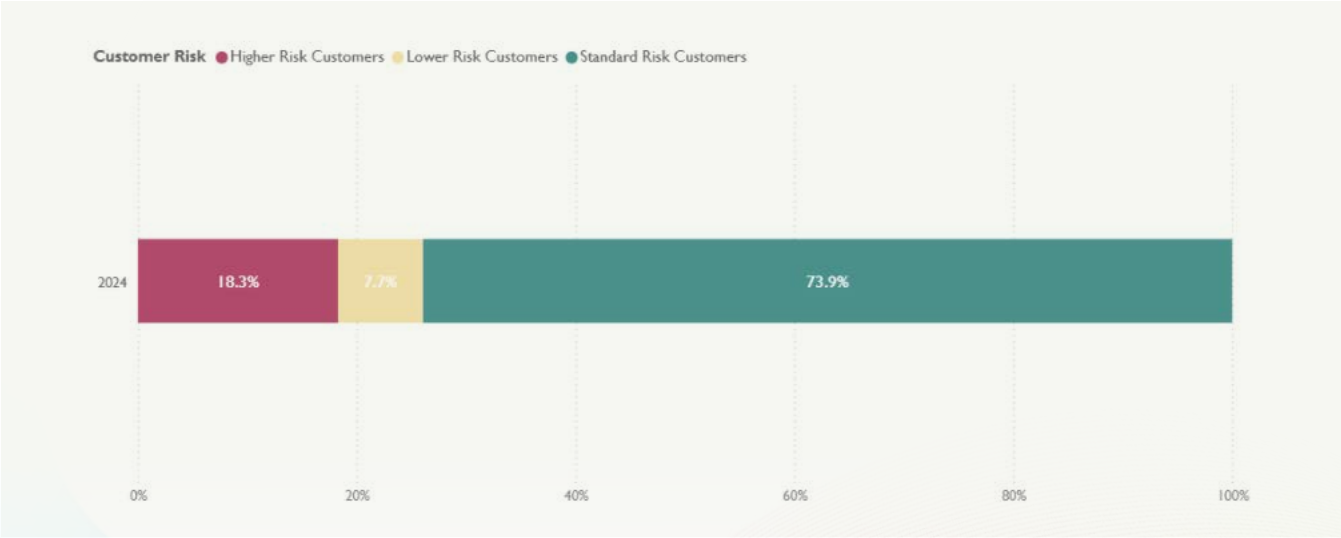
### Customer Profile

Total investors in the sector[76] are approximately 6800 as at the 2024 data, **43%** of which are resident in South Africa. Other key countries of residence in respect of the sector include UK and IOM (**30%**) and Japan (**4%**).

**75%** of customers in the sector are natural persons and in terms of the risk ratings assigned by firms **74%** of the investor base is assessed as standard risk. Total exposure to PEPs is less than 1% of the customer base, and those PEPs are mostly resident and nationals of the UK, followed by South Africa.

Business is often non-face-to-face (**78%**), and may be introduced by third parties, although the data indicates that the use of introducers within the sector is declining. Further work is required to ensure the sector understands the concept and nuances of introduced business to ensure data is accurate in this area. ›

## Figure 44: Total Customer Risk Profile of the Sector




Source: FSA

## NON-FINANCIAL INSTITUTIONS DNFBPS

Accounting, tax advisors and payroll
Estate Agents
Gambling
Moneylending
Non-Profit Organisations
Safe Custody
TCSPs
Virtual Asset Service Providers

## ACCOUNTING, TAX ADVISORS AND PAYROLL

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium | Medium | Medium | Medium |

The overall assessment of the sector in respect of ML risk has remained the same since the 2020 NRA and is assessed as Medium. Overall, compliance with AML/CFT/CPF requirements is adequate and controls are rated as Medium. Typically, this is a sector that does not handle client money, nonetheless, the sector still faces inherent risks such as being used to provide a layer of legitimacy to criminal financial arrangements and possibly facilitating bringing businesses into the jurisdiction which increases potential exposure to ML, resulting in a vulnerability rating of Medium. The threat for the sector has been assessed as **Medium.**

### Background to the Sector

The Accountancy services sector in the IOM consists of:

- External Accountants – who provide accountancy services to a third party,
- Tax Advisers – who give advice on a third party's tax affairs, and
- Payroll Agents – who are not the individual's employer but are involved with the payment of earnings to or for the benefit of, any individual.[77]

## Figure 45: Number of Accountancy Service Professionals (December 2025)

| Accountants,Payroll and Tax Sector | Count |
|---|---|
| External Accountant | 66 |
| External Accountant & Lender | 2 |
| External Accountant & Payroll Agent | 17 |
| External Accountant & Payroll Agent & Tax Adviser | 41 |
| External Accountant & Tax Adviser | 37 |
| Payroll Agent | 8 |
| Payroll Agent & Tax Adviser | 1 |
| Tax Adviser | 13 |
| Total | 185 |




Source: FSA

For the purposes of this risk assessment as there are multiple crossovers between each category of registered person, the activities are generally assessed collectively, with any nuances being drawn out in the narrative below.

Those providing Accountancy services must register as a designated business with FSA under the DBROA and be subject to oversight in respect of compliance with the AML/CFT Code. The Accountancy services sector in the IOM ranges in size from sole practitioners to the offices of large international practices. The sector provides Accounting, Bookkeeping, Audit, Tax and Advisory services. Services, including advice on structures and the mitigation of tax liabilities, can be provided by Accountants and Tax Advisers but also by Legal Professionals and in-house experts in TCSPs. Where a Payroll Agent undertakes calculations relating to tax it should also be classed as a Tax Adviser.

External Accountants and Tax Advisers do not ordinarily handle customer funds, although they will have a good overview of the financial picture for their customer through the services provided, therefore it is imperative accountancy service providers remain vigilant in relation to customer activity recognising when something may be unusual or suspicious, reporting to the FIU, where appropriate.

Payroll Agents provide services for businesses including processing payroll calculations, collecting funds from an employer/business, paying the net proceeds to the employee/contractor, ensuring accurate payroll tax and deductions, generating and distributing electronic payroll records and handling payroll compliance matters. There are no specific professional or technical qualifications required to work in the sector and no specific overall professional/industry body in the IOM. Payroll Agents play an important role in the transfer of funds, as these registered persons have an important role in the verification of the ultimate beneficiaries of any payroll distribution, which presents an opportunity for this sector to reduce exposure to financial crime in a critical part of the chain as it relates to the validation in the movement of funds.

### Size and Materiality

As of 31 December 2025 there were currently 185 firms within the sector registered as conducting designated business, total staff employed by these firms is approximately 1600. In terms of customer numbers there are around 21,400 customers.

### Threats

As an IFC, the IOM faces threats from both overseas and domestic criminal groups. The national threat landscape is explained elsewhere in this NRA. The use of the Accountancy Services sector by these criminal groups is possible and the IOM remains vigilant to the threats that organised criminal groups pose. There is the possible use of the Accountancy Services sector to provide (wittingly or unwittingly) seemingly legitimate services to criminal groups who seek to use the IOM to either hide the proceeds of criminal activity or to carry on illicit business.

Certain other activities performed by accountants are more susceptible to ML/TF including:

- Providing tax or other financial advice,
- Handling client assets,
- Formation of companies and trusts, and/or
- Company secretarial services.

It is important to note that there are no recent recorded ML investigations or prosecutions featuring the sector. However, the FSA has recently issued financial civil penalties in respect of some firms in this sector relating to identified areas of non-compliance with the AML/CFT Code. The assessed level of threat in this sector is **Medium.**

### Vulnerabilities

Accountants and Tax Advisers can be used by potential money launderers in a number of ways, including:

- Providing an additional layer of professional legitimacy to criminal financial arrangements, especially where large sums may be involved and where accounts need to be audited locally.

- Use by organised crime groups to provide professional services that can be used to conceal or disguise criminal assets.

- Use by criminal groups as part of a suite of professional services (e.g. legal, accounting, company formation etc.) where the whole picture might not be visible to each adviser, this might be more applicable to a firm providing services internationally. ›

- By emerging sectors that require accountancy services (e.g., virtual assets, payment service providers) however the activity, and vulnerabilities of the sector may not be fully understood.

- By criminals being involved in the ownership of a firm. Payroll Agents can be used by potential money launderers in a number of ways, for example:

  - Proceeds of crime paid to an employee or contractor by an employer, when the criminals are in fact both parties.

  - The creation of 'ghost' employees by fraudsters using either real or fabricated personal details.

  - Receipt of proceeds of crime, bribery or corruption.

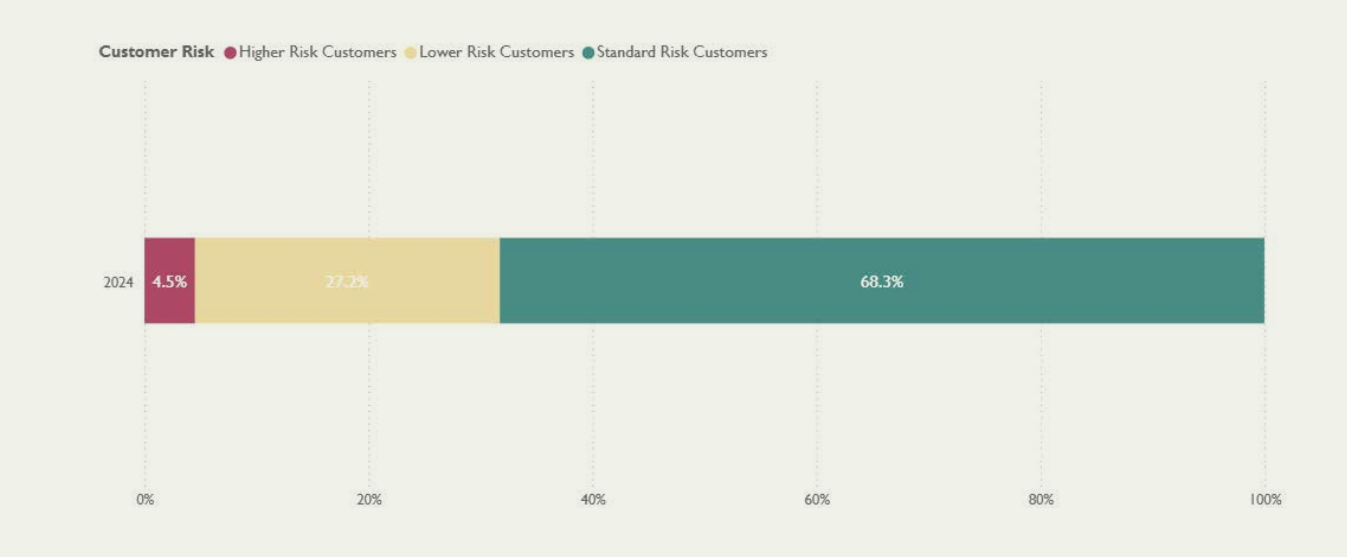
  - By criminals being involved in ownership of a firm.

The overall sector ML vulnerability has been assessed as **Medium,** which reflects some inherent vulnerabilities prevalent in the services identified above and below, partly mitigated by the AML/CFT/CPF control framework and the profile of the customer base.

### Customer Profile

There are a number of mitigants to some of the aforementioned vulnerabilities when considering the customer base. Accountants and Tax Advisers generally act for IOM resident customers (**84%**) which does result in a lower risk of products and services being abused for ML as reliable CDD information is more accessible, also the data shows a decline of introduced business within the sector. Overall numbers of PEPs are low (circa **2%**) in 2024 and this is mitigated by the fact that **61%** have UK/IOM nationality. Also, client money is not typically held by the Accountancy sector, and the acceptance of cash (e.g. to pay fees) is rare. ›

## Figure 46: Customer Risk Profile of Sector




Source: FSA

### Supervision

Accountancy professionals must register with the FSA. However, the FSA can delegate its oversight in respect of such person's AML/CFT compliance, and the Accountant may elect to be overseen for AML/CFT by their accounting professional body. **38%** of firms have chosen to be overseen by an accountancy delegated body and **62%** are overseen by the FSA for AML/CFT/CPF oversight. The FSA has delegated agreements in place with the following professional Accountancy bodies:[78]

- The Institute of Chartered Accountants of England and Wales,
- The Association of Chartered Certified Accountants,
- The Institute of Financial Accountants, and
- The Institute of Certified Bookkeepers.

Where professionals choose not to elect to have AML/CFT/CPF oversight conducted by such a body, the FSA remains responsible for oversight. Notwithstanding this arrangement, should an Accountant require enhanced supervision, or be subject to enforcement proceedings the supervision of such person in respect of AML/CFT/CPF would revert to the FSA. Inspections undertaken by professional bodies are conducted in accordance with the FSA's risk-based approach and inspections guidance. Inspection findings are reported to the FSA and any working papers made available to the FSA on request. Where appropriate, there have been joint inspections conducted between the FSA and the professional body for quality control purposes. In addition, the FSA holds regular meetings with the professional bodies to discuss risk ratings of firms, inspection findings and trends within the sector.

The FSA published a thematic review of the Accounting Profession (External Accountants, Tax Advisers and Payroll Agents) registered businesses in 2024 focusing on Customer Risk Assessments ("CRAs").[79] The thematic review has allowed the FSA to gather further data, assisting in risk assessing both the firms and sector itself, as well as building knowledge and findings to feed back into the AML/CFT Handbook and the AML/CFT/CPF sector-specific guidance documents. The CRAs are vital to helping the firm understand and evidence the risks which their customers may pose to the business of the firm. CRAs allow firms to identify those customers with Higher-risk profiles, in order to apply appropriate procedures to prevent ML, as well as TF and PF. Detailed findings of the sector were included in the published report and firm-specific findings were provided in entity level reports. In addition, some firms in the sector were included in the Foreign PEP thematic review published in 2023.[80] The findings of this review revealed some issues relating to CDD that resulted in enforcement action.

### Recommended Actions

- Maintain the level of self-regulatory supervision being carried out by the Accountancy bodies including ongoing quality control checks by the FSA. ›

## ESTATE AGENTS

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium | Medium Low | Medium | Medium Low |

The overall assessment of the sector in respect of ML risk has decreased since the 2020 NRA and is assessed as **Medium Low**, driven by the fact the sector is small and highly domestic in nature and that the sector does not typically receive customer funds. There are also a number of other financial and non-financial professionals engaged in the property transactions (who are subject to the Island's AML/CFT/CPF Framework) and active supervision of the sector takes place.

In relation to the Estate Agency sector, there are some enhancements required to the legal framework, resulting in AML/CFT/CPF controls for the sector being rated as **Medium**.

This is a sector that does not handle large amounts of client money (rental funds may be handled by some Estate Agents but not sale proceeds). This, combined with the small sector and predominantly local customer base, therefore reduces vulnerability in respect of ML within the sector, resulting in a **Medium Low** vulnerability. The threat for the sector has been assessed as **Medium.**

### Background to the Sector

Estate Agents in the IOM are involved in the buying, selling, renting and property management of residential and commercial properties. The sector is small, consisting of mostly well-established firms with the majority of the work undertaken for IOM or UK customers. Purchase of property and land outside of the IOM is most often dealt with by the TCSP sector, via property agents in the UK and elsewhere.

The purchase and selling of land and property can be used to disguise the proceeds of crime and corruption, and this is a significant typology internationally. Real Estate is a relatively stable and safe investment which can be effective in generating returns on capital and it is therefore attractive to money launderers seeking to integrate or layer their assets.

IOM Estate Agents are governed by the Estate Agent Act 1975, and it is the responsibility of the IOM's OFT to register each individual Estate Agent. Registration requires that an individual is a Fellow, Member or Associate of the Royal Institution of Chartered Surveyors ("RICS") or Fellow of the National Association of Estate Agents ("NAEA"). Furthermore, to establish an Estate Agency in the IOM a GBP£100,000 bond is required to be secured in addition to their professional institution obligations; currently such bonds are only available via one insurance company based on the IOM. The IOM is unique in its requirement for degree level professional qualifications and membership to practice since 1978. These additional professional obligations include redress schemes and professional conduct standards.

Estate Agents must also register as a designated business with the FSA under the DBROA. The activities of Estate Agents are designated under Schedule 4 to POCA 2008 as undertaking business in the regulated sector; as such they are required to comply with the AML/CFT Code and are supervised by the FSA in respect of compliance with AML/CFT/CPF requirements.

If a UK Estate Agent was to list an IOM property for sale this would fall outside the DNFBP regime and would rely on UK law. However, the involvement of other local professionals such as Advocates and other Financial Institutions in almost all cases would provide a level of AML assurance as they would have to comply with the IOM's AML/CFT/CPF Framework. Any ML offence would fall within the IOM's jurisdiction due to the location of the property. The OFT is responsible for ensuring that any non-IOM agents selling property within the IOM are notified of the requirements to register under the 1975 Act and DBROA as a designated business, or to undertake arrangements with a registered IOM agent.

### Size and materiality

There are currently 18 Estate Agents registered as conducting designated business, which is slightly down from 22 firms in the previous 2020 NRA due to consolidation of entities. Further consolidation in the sector is expected, owing to ongoing merger activity. The number of staff employed by the firms is approximately 100. These firms accounted for a total of approximately GBP£533 million in transactions in 2023.[81]

### Threats

As an IFC, the IOM faces threats from overseas and domestic criminal groups. The use of the Real Estate sector by these criminal groups has been identified and Highlighted in recent international typologies, the IOM continues to remain vigilant to the threats that organised criminal groups pose. Recent international typologies have Highlighted the use of the IOM by organised criminal groups, some of which appear to involve the use of property to house illicit activities.

Real Estate offers both the opportunity to obtain premises from which criminals can operate, and also investment opportunities for the proceeds of criminal activity. These threats are present in the commercial and domestic markets and apply to sales and rentals. The threat of introducing criminal proceeds into the residential property sector is an internationally recognised typology that can be heightened by under or over-valuation and frequent sales/purchase of the same property. The assessed level of threat in the sector is **Medium.** ›

### Vulnerabilities

The Real Estate sector in the IOM consists of the purchase, sale and rental of commercial and residential property. The IOM has a stable Real Estate market, and the Government publishes and Annual Housing Market Review that details movement in prices and number of transactions.

The market is open to both domestic and overseas participants with no restrictions on ownership or rental thus the controls put in place by the sector are imperative to prevent the illicit use of property. This "open" market is potentially vulnerable to abuse from those seeking to integrate proceeds of criminal activity either domestically or internationally. Real Estate is a relatively stable and safe investment which can be effective in generating returns on capital and it is therefore attractive to money launderers seeking to integrate or layer their assets. Equally, lettings and property management can be used generate income or be used to provide premises for illicit activity. Letting also offers opportunities for a regular flow of payments to be made and received, which could be attractive to money launderers, particularly where cash is accepted.

Most, if not all, sales are dealt with 'on the market' thus increasing transparency in terms of value and the parties involved. When acting for a seller of a property, IOM Estate Agents do not handle customer funds, however they do develop a more in-depth relationship with their customer in comparison to a bank or legal professional and may be aware of large amounts of cash being involved in a property sale or transaction. Estate Agents are therefore in a position to be able to identify unusual or suspicious behaviour and therefore file disclosures to the FIU, where appropriate. There is a risk however that Estate Agents may place an overreliance on the involvement of other supervised professionals (e.g. banks and legal professionals) as part of the transaction and assume that the responsibility for AML/CFT/CPF will be predominantly undertaken by the other parties who are in receipt of the funds. Informal "reliance" on CDD undertaken by other sectors is also a possibility.
These identified vulnerabilities are mitigated by the fact that the majority of customers (circa **96%**) are UK/IOM resident natural persons. Similarly, exposure to potentially Higher risk customer types, such as PEPs (**0.3%** of the customer base) are mitigated by the fact that **88%** of those have UK/IOM nationality.

The overall sector ML vulnerability has been assessed as **Medium Low**, which reflects some inherent vulnerabilities prevalent in the services identified above and below, partly mitigated by the AML control framework and the profile of the customer base.

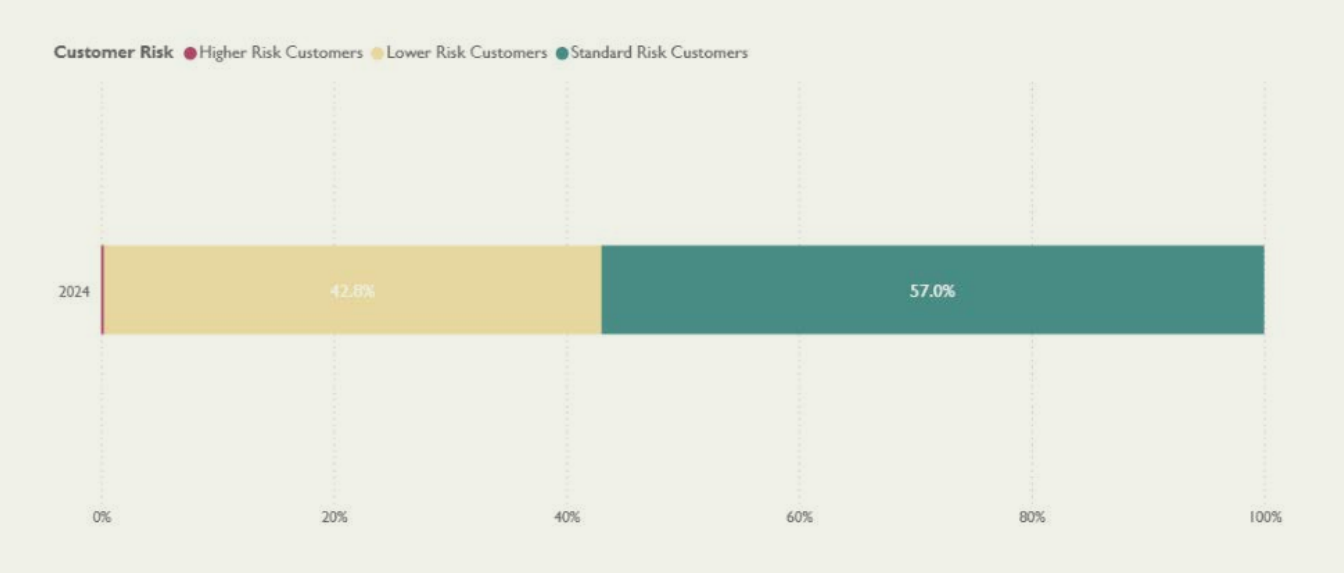
### Customer profile

The sector is fairly small, Estate Agent customers represent only **0.18%** of the overall number of customers in the financial and DNFBP sectors, these customers are conducting a mixture of buying and selling property and rentals. Most transactions in relation to buying and selling will be dealt with as "occasional transactions" rather than business relationships. Letting and renting will tend to be dealt with as ongoing "business relationships".

In relation to the sale of Real Estate, as the AML/CFT Code stands currently, the Estate Agent's customer is the person selling the property. However, it is the expectation of the FSA, in line with international standards, for Estate Agents to identify and verify the identity of both the buyer as well as the seller in an arrangement. Therefore, the requirements of the AML/CFT Code such as risk assessment, customer due diligence (including source of funds), ongoing monitoring, record keeping etc. are expected to be applied to both parties. The AML/CFT Code will be updated in due course to reflect this position.

- Estate Agents generally act for IOM (**76%**) and UK (11%) resident customers which does reduce the risk of products and services being abused for ML. The vast majority of customers are also natural persons (**88%**).
- The incidence of non-face-to-face customer relationships remains very low (**1.44%**).
- Client money is not held by Estate Agents during sale or purchase.
- The use of cash in the sales/purchase sector is non-existent and infrequently used in the rental sector. ›

# Figure 47 – Total Sector Customer Risk Profile




Source: FSA

### Recommended actions

Although the sector remains stable and the AML risk is and continues to be **Medium Low**, there is one main action that should be taken to improve the sector's response to the threats and vulnerabilities posed which is to extend the definition of customer in the AML/CFT Code to include both the buyer and the seller in respect of Estate Agency business.

## GAMBLING

### Online Gambling Sector

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium High | Medium High | Medium | Medium High |

### Terrestrial Gambling Sector

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Low | Medium Low | Medium Low | Medium Low |

The gambling sector covers both online and terrestrial (land-based) gambling. Due to differing threats and vulnerabilities associated with online and terrestrial gambling, these sub-sectors have been assessed separately. Software supply, which is an ancillary service, has not been assigned a stand-alone risk rating, but is incorporated throughout the narrative of this assessment. The overall ML vulnerability of the gambling sector is assessed as **Medium High,** reflecting the complex, international nature ›

and rapid transaction flows characteristic of online gambling, as well as the increasingly cross-border nature of software supply activities. These areas continue to present inherent vulnerabilities, which are partially mitigated by a maturing supervisory and legislative framework, with further enhancements underway, alongside an enhanced understanding of risk, to strengthen the wider AML/CFT system. Terrestrial gambling remains lower-risk and economically immaterial to the sector-wide assessment. The sector's overall ML risk level has increased from Medium (2020) to Medium-High (2025) due to:

- A notable shift in the threat landscape, including the emergence of transnational organised crime exploitation of online gambling platforms.
- Greater exposure through business to business ("B2B") arrangements and software supply chains.
- Increased cyber-enabled criminal methodologies and virtual asset-based typologies. This elevated risk profile is consistent with the national ML threat assessment.

### Background to the sector

Gambling is the Isle of Man's largest non-financial sector contributing **14%** of national income in 2023/4. The sector is subject to oversight by the Gambling Supervision Commission ("GSC") under legislation covering land-based gambling, online gambling and an elective software supply licensing regime. The sector comprises:

- Online gambling DNFBPs (online gambling operators offering casino games, betting, bingo, lotteries, network services/hosted software supply);
- Terrestrial gambling DNFBPs (land-based casino and licensed betting offices);
- Non-hosted software suppliers, some of which opt to be licensed and supervised against licence conditions and tailored guidance by the GSC.

The Gambling AML/CFT Code 2019 sets out the mandatory requirements for all regulated gambling operators on the Isle of Man.

### Size and materiality

As at 30 November 2025, the sector comprised:

- 19 online casinos (casino games)
- 13 online betting/wagering licence holders
- 12 hosted software suppliers
- 34 non-hosted software suppliers
- 1 land-based casino
- 3 licensed bookmakers operating 9 offices
- 87 society lotteries

Online gambling remains inherently international, serving customers across the world; terrestrial gambling is almost entirely domestic and low-volume. Software supply has grown into a material sector in its own right, with High cross-border B2B financial flows and vulnerabilities linked to opaque ownership structures and the use of virtual assets.

International cooperation is a key component of the GSC's supervisory approach. The GSC has established MoUs with foreign regulators, and a GSC staff member currently serves as co-lead of a FATF working group focused on casino-related risks.

Online gambling accounts for ~**99%** of deposits, with £762m deposited into online casinos in 2024. The sector currently supports 95 on-Island employees, but the economic value primarily arises from international online operations and B2B software supply. Licensed non-hosted software suppliers generated **62%** of declared profit in 2024, surpassing online casinos (**20%**) and network services (**18%**).

Customer activity is predominantly international, with 525,736 active customers recorded in September 2025, albeit concentrated heavily among a small number of Operators. The proportion of customers from Higher-risk jurisdictions fell significantly from **26.49%** (2023) to **6.57%** (2024) following licence surrenders. PEP exposure remains minimal.

The sector continues to undergo structural change, evidenced by a reduction in new licence applications and a rise in licence surrenders in recent years. These developments are driven predominantly by commercial restructuring, evolving international regulatory requirements, and strengthened AML/CFT supervision in the Isle of Man on the part of the GSC. ›

### Threats

The overall ML threat to the gambling sector is assessed as Medium-High. This reflects:

- **Medium** domestic threat (cash-based laundering, criminal lifestyle spend).
- **Medium High** international threat, driven by cross-border online activity and B2B supply chains.

## KEY THREAT DRIVERS INCLUDE:

### Transnational Organised Crime (TOC)

UNODC reporting Highlights the rise of Southeast Asian organised crime networks exploiting online gambling, software services, crypto channels and underground banking to launder significant volumes of funds, increasingly integrating these operations with cyber-enabled fraud and trafficked labour. Methods also include the use of white-label online gambling platforms, which allow rapid deployment of services. Several ongoing IOM criminal investigations relate directly to typologies referred to in these reports.

### Cyber-enabled crime and AI-Driven typologies

- Synthetic identities, deepfakes, automated mule networks.
- Micro-transaction layering through gambling platforms.
- Virtual assets, especially USDT, used in B2B settlement chains.

### Criminal ownership / Platform Capture

Indicators include nominee owners, opaque corporate structures, "golden passport" acquisitions, unexplained capital injections, and rapid changes in control; these are features which were identified in work by the GSC in 2025 to undertake a holistic review of sectoral risk.

### B2B service-based ML

High-risk typologies involve the misuse of hosted and non-hosted software supply, cross-border invoicing, unexplained B2B flows, and counterparties in less regulated jurisdictions. It is important to note that many B2B businesses operate legitimate international business models, maintain a global footprint, and demonstrate robust compliance frameworks and effective AML controls. The presence of cross-border activity or software-based services alone should not be considered indicative of elevated ML risk and must be assessed in the context of the customer's business rationale, global presence, transparency, and business model.

### Domestic threats

- cash-intensive terrestrial operations.
- minimal-play cash-outs.
- lifestyle spend from domestic predicate offences.

### Suspicious Activity Reporting

The level of SARs received by the FIU remain low relative to the size of the sector and identified threats, though quality of the reports submitted is considered to be High. Whilst FIU reporting shows that online gambling was responsible for **50–67%** of POCA disclosures over 2020–2023, **95%** were received from a single reporting entity, with the majority of that **95%** being dual-reported elsewhere. The entity in question held an Isle of Man Network Services Licence during this period and did not conduct player activity within the jurisdiction. The received reports largely relate to business to customer activity occurring externally to the Isle of Man, via internationally held gaming licences, with the decision to report being based solely on the physical location of staff and offices on the Isle of Man, not suspicious activity with an Isle of Man nexus or financial activity in the Isle of Man. Following updated legal advice, reporting in this manner has since ceased, with gaming representing only **30%** of POCA SARs received in 2024. This figure is expected to reduce again for 2025.

### Vulnerabilities

The sector's overall ML vulnerability is assessed as **Medium High**, reflecting inherent risks particularly within online gambling and software supply. The vulnerabilities between online and terrestrial gambling are very different.

### Online Gambling Vulnerabilities

- High-velocity, multi-currency global transactions.
- non-face-to-face onboarding, susceptibility to identity fraud.
- VA-related typologies and PSP/EMI exposure.
- limited visibility of Network Partners' customer bases and lack of oversight of controls effectiveness.
- complex cross-border corporate structures and group entities.

›

### Online Gambling Software Supply Vulnerabilities

Noting that for vulnerabilities the AML controls available are different than from online gambling in that software supply is not subject to the Gambling AML/CFT Code and that the software supply licencing regime is not mandatory.

- High-risk B2B settlement chains and VA-funded payments.
- Opaque ownership and end-user visibility gaps.
- Potential misuse of licensed platforms by criminal actors.
- Rapid growth and concentration within a small number of suppliers.

### Terrestrial Gambling Vulnerabilities

- Cash-intensive operations.
- Pre-CDD anonymity.
- Staff-led monitoring.
- Limited product set but inherent anonymity risk.

### AML Control Framework

Controls are generally well-embedded across Operators, though effectiveness varies by subsector, and several areas still require development to keep pace with emerging risks, particularly in online gambling and licensed software supply in respect of B2B controls. A summary of the findings in respect of specific controls is included below. The Gambling Sectoral Report has a more detailed analysis of the sector for ML risks, including sectoral AML controls.

| | | Terrestrial | Rating | Online | Rating |
|---|---|---|---|---|---|
| 1 | **Comprehensiveness of AML legal framework**<br>The Gambling sector has a generally strong and mature AML/CFT control framework which is largely aligned with the FATF standards; however, there remain opportunities to strengthen the practical implementation of the AML framework. | 0.7 | High | 0.7 | High |
| 2 | **Availability and Effectiveness of entry controls**<br>The entry controls framework has developed and currently provides a sound first line of defence. There remains scope for further enhancement, however, to strengthen the framework and ensure its consistent and effective application in practice, particularly as ownership, control, and B2B risks continue to evolve. | 0.5 | Medium | 0.5 | Medium |
| 3 | **Effectiveness of supervision oversight activities**<br>Supervisory oversight is robust, risk-sensitive and increasingly data-driven. While supervision of online and B2B models remains more challenging due to scale, complexity, and cross-border activity, the framework is functioning effectively and continues to strengthen in response to emerging risks. | 0.7 | High | 0.6 | Medium<br>High |
| 4 | **Availability and enforcement of administrative sanctions**<br>Administrative sanctions are effective and increasingly credible, representing a clear strength within the Isle of Man's AML/CFT framework. Ongoing legislative enhancements will support closer alignment with international standards and further ensure that the full range of available sanctions provides a strong and proportionate deterrent where appropriate. | 0.6 | Medium<br>High | 0.6 | Medium<br>High |

| | | | | | |
|---|---|---|---|---|---|
| 5 | **Availability and enforcement of criminal sanctions**<br>Criminal sanctions are legally robust but have not yet resulted in effective enforcement or a demonstrable dissuasive impact, including in cases involving professional laundering linked to transnational organised crime. Strengthened interagency cooperation, enhanced information-sharing powers, and forthcoming legislative reforms are expected to improve prospects for successful prosecutions and strengthen effectiveness over time. | 0.4 | Medium | 0.4 | Medium |
| 6 | **Integrity of business profession staff**<br>Integrity controls are robust and improving, providing a strong line of defence against misuse of the sector, though continued strengthening and supervisory focus remain necessary to respond to evolving risks. | 0.7 | High | 0.7 | High |
| 7 | **AML knowledge of business profession staff**<br>AML knowledge across the sector is solid and improving, particularly online, and engagement remains strong across the wider sector, but continued focus is required to ensure consistent capability and sufficient seniority and expertise in AML roles across all licence types. | 0.7 | High | 0.8 | Very High |
| 8 | **Effectiveness of compliance systems**<br>Operators are required to maintain risk-based controls, senior AML oversight, staff training, and ongoing monitoring, all of which are regularly tested by the GSC through supervisory actions.<br>Online operators tend to have more sophisticated and better-resourced compliance systems, reflected in Higher effectiveness, while terrestrial operators rely more on manual processes in accordance with their scale and lower risk. Software suppliers follow tailored guidance covering due diligence, governance, training, and reporting. Further attention to evolving cross-border risks in compliance frameworks would be valuable. Overall sector engagement is High and continues to improve. | 0.6 | High | 0.7 | Medium<br>High |
| 9 | **Effectiveness of Suspicious activity monitoring and reporting**<br>Suspicious activity reporting is generally of good quality and further analysis is required to assess whether SAR quantities are fully aligned with sector-specific risks. Nonetheless, supervisory work has identified weaknesses in monitoring and reporting arrangements, and the number of reporters and reports does not appear commensurate with the scale and materiality of the sector. Strengthening detection capabilities, targeted outreach (particularly for B2B operators), and continued supervisory focus would improve alignment with inherent and emerging risks. | 0.6 | Medium<br>High | 0.6 | Medium<br>High |
| 10 | **Availability and access to beneficial ownership information**<br>Beneficial ownership information is widely available, reliable, and effectively used, providing strong support for entry controls, supervision, enforcement, and financial crime investigations across the gambling sector. | 0.7 | High | 0.7 | High |

| | | | | | |
|---|---|---|---|---|---|
| 11 | **Availability of reliable identification infrastructure**<br><br>Most licensed operators, particularly online operators, maintain sophisticated internal systems. The risk-based, multilayered approach required ensures identification risks are effectively managed. Reliable identification infrastructure is sufficient and well mitigated through technology, supervision, and layered controls. | 0.7 | High | 0.7 | High |
| 12 | **Availability of independent information sources**<br><br>Supervisory expectations around layered verification and professional judgement mitigate risks arising from limited standalone data availability.<br><br>While independent information sources are not extensive, they are used effectively alongside internal systems and third-party providers. | 0.7 | High | 0.7 | High |

### Recommended Actions

Overall, the online gambling sector (as opposed to the terrestrial gambling sector) presents one of the Higher ML risks for the IOM. The global landscape for gambling has evolved rapidly, shaped by technological innovation, changing market dynamics and the emergence of new and complex financial crime threats. These stem mainly from High transaction volumes and complex payment chains involving virtual assets. It is therefore essential that controls for online gambling, network services and software supply continue to be enhanced and for vigilance against both known and emerging threats, including those posed by advanced technologies and criminal ownership and control of gambling operators or ancillary businesses.

This assessment of money laundering risk within the gambling sector Highlights a number of areas where further improvement is advisable. These findings are aligned with the strategic objectives outlined in the National Financial Crime Strategy for 2024-2026.

All the proposed actions are set out in detail in the Gambling Sectoral Report, and a number of key actions are included in the Recommended Actions in **Chapter 13** below. By addressing these areas, the sector and the authorities can continue to strengthen the framework against financial crime and ensure a robust, resilient approach to managing risk.

## HIGH VALUE GOODS DEALERS ("HVGDS")

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Low | Medium | Low | Low |

Over the last five years the FSA has supervised no more than 3 HVGDs entities, with the last firm ceasing its registration in December 2023. Therefore, there are currently no registered HVGDs on the IOM. Proactively the FSA has collated information that indicates businesses on the IOM in sectors such as car dealers, jewellers and auctioneers would not accept large amounts of cash and would ask the customer to pay by card or bank transfer.

Based on this, and the fact there is an AML/CFT/CPF Framework already in place should a firm register with the FSA, there is limited ML risk identified in this sector at this time and the sector has been rated as **Low.** ›

### Background to the sector

HVGDs are businesses that deal in goods and services of any description which involve total cash payments (one-off or linked transactions) which are equivalent in sterling to at least EUR€15,000. The term "total cash payment" is not defined in legislation, however the following instances should be considered:

- a single cash payment of EUR€15,000 or more;
- several cash payments totalling EUR€15,000 or more, including a series of payments and payments on account within a 90-day period;
- cash paid by a customer totalling EUR€15,000 or more in any 90-day period;
- cash payments totalling EUR€15,000 or more which appear to have been broken down into smaller amounts to potentially come below the threshold limit.

Where the above occurs, the business is subject to the requirements of the AML/CFT Code and would also have to register with the FSA as a designated business under the DBROA.

The following businesses dealing in High value goods are present in the IOM:

- car and motor cycle dealerships,
- dealers in jewellery and precious metals,
- auctioneers and antique dealers, and
- art dealers.

Therefore, if these businesses were to accept total cash payments of at least EUR€15,000 (or equivalent sterling) they would be in-scope of the IOM's AML/CFT/CPF Framework.

At the time of this NRA there are no businesses registered with the FSA as HVGDs. An exercise is currently underway in order to proactively monitor the perimeter and reach out to those types of businesses above to confirm they are not accepting High amounts of cash and to ensure they are aware of the registration requirements and the application of the AML/CFT/CPF Framework if they were ever to do so. It is important the perimeter is continued to be monitored, and outreach is undertaken by the FSA, as businesses in these sectors may not be aware of their obligations.

### Threats

Considering the threats relevant to the sector, there have not been any ML investigations in the period, nor has there been any supervisory action taken by the IOMFSA in this sector. The threat level for the sector has been assessed as Low.

### Vulnerabilities

High-value goods are appealing to criminals as they can be bought with criminal cash and can then be re-sold, either for profit or loss in exchange for clean funds. They can also be kept as a store of value, or, depending on the goods in question, used as status symbols. High-value payments for multiple lower value goods can also be used to launder criminal funds. These examples are well known global typologies.

Payments by cash or similar monetary instruments create a Higher risk for ML as there will be no clear audit trail and the origin of the funds is harder to trace. Transactions could also be purposefully split into linked transactions across the same, or different, entities within the sector to try to disguise the total amount of cash being spent.

The High-value goods themselves tend to be transportable, across international borders, internationally exchangeable and easy to trade anonymously. Gold is particularly attractive to money launderers because it has a High intrinsic value, is readily accepted across the world and can be melted down into many different forms which also makes it more transportable.

Where a customer seeks to make large payments using cash or similar monetary instruments and in particular where this is a frequent occurrence, the business should take care to examine the circumstances. The business should consider whether they need to register with the FSA depending on the amount of cash accepted (or proposed to be accepted), but also whether contact should be made with the IOM's FIU if an unusual or suspicious transaction is identified. Careful consideration must be given as to whether the business should proceed with the transaction. Although there are no registered HVGD's currently, the vulnerabilities are still relevant, and therefore the vulnerability to ML has been rated as **Medium.** ›

### Recommended Actions

Although the sector remains stable and the AML risk is and continues to be Low, the FSA should continue to monitor the perimeter, and raising awareness, in respect of those businesses that might be susceptible to accepting EUR€15,000 (or sterling equivalent) in cash and therefore would become a registrable designated business under the DBROA resulting in a number of obligations under this legislation, and the AML/CFT Code.

## LEGAL SERVICES

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium | Medium | Medium | Medium |

The overall assessment of the Legal sector in respect of ML risk has remained the same since the 2020 NRA and is assessed as Medium. The sector faces inherent risks regarding ML due to the potential of law firms being used to add legitimacy to a matter, firms' exposure to international matters, involvement of HNWI as well as the use of complex, or seemingly complex, structures all contributing to a Medium vulnerability rating. Overall, compliance with AML/CFT/CPF requirements is positive therefore controls are rated as **Medium High**. The threat level has been assessed as **Medium.**

### Background to the Sector

The Legal sector in the IOM is made up of Advocates and Registered Legal Practitioners ("RLPs"). The Manx Bar is a fused profession meaning broadly that the roles of Solicitors and Barristers in England and Wales are combined; in order to practice law in the IOM, Legal Professionals have to pass the Manx Bar and complete a training period of up to two years with an IOM firm. Legal Professionals qualified to practice law in the IOM are advocates.

Given the very low numbers of RLPs operating in the IOM, this report focuses on the activities and vulnerabilities of Advocates. RLPs are briefly dealt with in a separate section within the NRA.

A sub-set of Advocates and RLPs must register with the FSA, under the DBROA and be subject to oversight in respect of compliance with the AML/CFT Code if certain activities are provided.

Legal professionals are bound by the IOM's AML/CFT/CPF legal framework when undertaking the following activities, which are included within Schedule 4 of the Proceeds of Crime Act 2008: managing any assets belonging to a client; the provision of legal services which involve the participation in a financial or real property transaction (whether by assisting in the planning or execution of any such transaction or otherwise) by acting for, or on behalf of, a client in respect of

i. the sale or purchase of land;

ii. managing bank, savings or security accounts;

iii. organising contributions for the promotion, formation, operation or management of bodies corporate;

iv. the sale of purchase of a business; or

v. the creation, operation or management of a legal person or legal arrangement.

**"legal professional"** means a person who is

(a) an advocate within the meaning of the Advocates Act 1976;

(b) a registered legal practitioner within the meaning of the Legal Practitioners Registration Act 1986; ›

(c) a notary public within the meaning of the Advocates Act 1995 and the Notaries Regulations 20001, as those Regulations have effect from time to time and any instrument or enactment from time to time amending or replacing those Regulations;

(d) or any other person who provides legal services to third parties, except for any such person who is employed by a public authority or an undertaking which does not provide legal services to a third party, by way of business.

Generally, the range of Legal services provided by Advocate firms includes: wills and probate work; criminal and civil litigation; family law; corporate and commercial work and conveyancing. Some Advocates may also undertake limited work in relation to trust and company formation and management. Unless this work is "incidental" to other legal work, they are required to obtain the relevant licence from the FSA. Some have separated out TCSP activities from the law firm into TCSP licenceholders.

Some firms predominantly focus on international business whereas others will primarily undertake domestic business. The nature of the services offered results in a number of customers engaging with the sector for one-off transactions; for example, the preparation and execution of a will is a finite instruction, as is a conveyancing transaction. However, such transactions may then lead to the establishment of a long-term relationship, whereby the firm will become very familiar with its customer and their arrangements. Approximately 80% of designated business activity undertaken by Advocates is domestic conveyancing, which involves handling client money, such money being the proceeds of a sale/purchase of Real Estate.

### Size and Materiality

As of 31 December 2025 there were a total of 271 practising Advocates employed across 48 practices. 37 entities are undertaking the activities of a Legal Professional (as defined below) and are currently registered under the DBROA this includes 6 RLPs.

### Threats

As an IFC, the IOM faces threats from overseas and domestic criminal groups. The national threat landscape is explained elsewhere in this NRA. The use of the Legal sector by these criminal groups is theoretically possible and the IOM remains vigilant to the threats that organised criminal groups pose. The possible use of the Legal sector to provide (wittingly or unwittingly) seemingly legitimate services to criminal groups who seek to use the IOM to either hide the proceeds of criminal activity or to carry on illicit business, for example via the purchase or sale of Real Estate, remains a concern. The formation, use and management of trusts or companies is examined in the TCSP Sectoral Risk Assessment.

It is important to note that there are no recent recorded ML investigations or prosecutions featuring the sector. Also, the FSA has not issued any civil penalties in respect of the firms in this sector. The assessed level of threat is Medium.

### Vulnerabilities

Global typologies suggest that the Legal sector can be misused to provide a layer of "legitimacy" to transactions, especially in relation to the use of client accounts as it may enable criminals to either place money within the financial system and/or use the money as part of their layering activity, with fewer questions being asked by Banks and other financial institutions because of the perceived respectability and legitimacy added by the involvement of a Legal Professional. The strict client account rules imposed by the Isle of Man Law Society ("the Law Society") suggests that this is less of an issue on the IOM.

The use of Legal Professionals to facilitate the disguise of criminal proceeds in conveyancing transactions is mitigated in the IOM as the conveyancing process and the receipt and transfer of funds each go through a comprehensive process, which slows the transaction down, making it less attractive to criminals. In addition, all sales and purchases in the IOM must be registered. This mitigant could be further improved by consideration being given to giving the Land Registry powers/duties to monitor the Advocates' registering of sales/purchases, to Highlight the fact that a customer or related customers may be selling/purchasing multiple properties using multiple firms, as an Advocate would not have visibility on what another Advocate or firm are dealing with on behalf of that customer. In addition, it is important to note that where there are other financial institutions or designated business involved in a transaction those entities are also subject to the requirements of the AML/CFT Code and ›

supervised for the same.

The use of multiple legal structures that might be seen as "complex" are not unusual in the IOM, and are always subject to robust CDD and are subject to EDD if appropriate and rejected if the information provided is not clear. In addition, this is a niche area that some advocates specialise in. Nonetheless, it is important to highlight this as a potential vulnerability relevant to the sector.

The overall sector ML vulnerability has been assessed as Medium, which reflects some inherent vulnerabilities prevalent in the services identified above and below, partly mitigated by the AML control framework.

### Customer Profile

The identified vulnerabilities are further mitigated by the fact that the majority of customers (**95%**) are UK/IOM resident natural persons; this may reduce the potential risk of products and services being abused for ML as reliable CDD information is easier to source and update. Also, the use of introducers is decreasing within the sector.

The UK is the nearest comparable sectoral jurisdiction to the IOM, and London firms in particular provide a significant source of work for Advocates. The threats and vulnerabilities faced by UK Lawyers and Solicitors are therefore considered to be relevant to the IOM assessment, with the Highest inherent vulnerability being the extent and value of the work provided to High-net-worth clients, some of whom may also be PEPs. However, the IOM's exposure to potentially Higher risk customer types (including PEPs) is mitigated by the strong controls the IOM has in this area, and the fact that less than (circa **2%** in 2024) of the IOM's Legal Professionals' customer base are PEPs. The use of non-face-to face transactions is low (circa **11%** in 2024) and the use of cash might in theory be used to settle professional fees (for customers that do not use electronic banking), but cash acceptance is very rare. ›

## Figure 48: Sectoral Breakdown of the Customer Risk Profile




Source: FSA

### Supervision

Legal Professionals undertaking specified activities must register with the FSA under the DBROA. However, the FSA has delegated its oversight in respect of such person's AML/CFT/CPF compliance to the Law Society, therefore the law firm may elect to be supervised by the FSA. Notwithstanding this, the option to be supervised by the FSA remains, and should a Legal Professional require enhanced supervision, or be subject to enforcement proceedings, oversight of such person would revert to the FSA. The Law Society and the FSA have a close working relationship and there is an active inspection programme. **78%** of Legal Professionals are supervised by the Law Society and **22%** are supervised by the FSA.

The Law Society has a compliance team which provides support and advice; oversees inspections and testing; and provides copies of all inspection reports to the FSA. The FSA will accompany the Law Society on a number of inspections each year for quality control purposes as per the delegation agreement in place. In addition, the FSA holds regular meetings with the compliance team of the Law Society to discuss the risk ratings of firms; inspection findings; and trends within the sector. The FSA retains its power to inspect those firms overseen by the Law Society as required. Where, during an inspection carried out by the Law Society, material contraventions of the relevant AML/CFT/CPF legislation are found, these are referred to the FSA for further consideration and action.

The level of knowledge and awareness of ML risk is generally High amongst Advocates. Thus far the Law Society has conducted inspections of all of the Advocate firms undertaking designated business activity which it oversees. Compliance levels have been found to be generally strong, although the sector acknowledges that sourcing qualified and experienced staff can be a challenge in the current job market and an additional regulatory/compliance financial burden.

Legal Professional privilege does not negate the obligations placed on Advocates to comply with the IOM's AML/CFT/CPF legal framework or impede their ability to submit SARs to the FIU.

### Recommended Actions

Although the Legal Sector remains stable and the AML risk is and continues to be Medium, there are certain actions that should be taken to improve the sector's response the threats and vulnerabilities posed to the sector. These can be summarised as follows:

- It was noted by the members of the working group that the POCA should be reviewed and updated. Further, there is a potential need for the Legal sector sector-specific guidance to be enhanced to better explain what 'regulated business' means in respect of Legal Professionals.

- Maintain the level of self-regulatory supervision being carried out by the Law Society, including ongoing quality control checks by the FSA.

- Consideration being given to giving the Land Registry powers/duties to monitor the Advocates registering of sales/purchases, to act as a further check and balance to Highlight if a client or related clients are selling/purchasing multiple properties using multiple firms, as an individual Advocate or even firm would not have visibility on what another Advocate or firm are dealing with on behalf of a specific client, but the Land Registry would see the full picture.

### Registered Legal Practitioners

There are 6 RLP firms in the IOM registered under the DBROA, half of this cohort have been subject to a supervisory inspection in recent years. RLPs provide Legal services but are not qualified to advise on areas of IOM Law and do not have a right of audience before the IOM's Courts. As RLPs cannot undertake conveyancing, they do not hold client money. They predominantly conduct work for HNWI's and overseas clients, but services are confined to lower risk activities.

A full risk assessment of this sector has not been conducted at this time, as there is not sufficient data to put the sector through the World Bank Model. ›

## MONEYLENDING

### Overall Sector ML Risk

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium Low | Medium | Medium Low | Medium Low |

The overall assessment of the sector in respect of ML risk has remained the same since the 2020 NRA and is assessed as **Medium Low**. Common inherent risks faced by the sector in relation to ML include early repayments of loans using criminal proceeds, creating a facade of legitimate income, fast re-payment of a loan and quickly taking out another loan to launder the proceeds of crime. Consideration of these factors results in a Medium vulnerability rating to ML. The threat rating for the sector has been assessed as **Medium Low.**

Overall, within the sector, compliance with AML/CFT/CPF requirements is good and controls are rated as **Medium**. Although there are a significant number of registered Moneylenders in the IOM, the volume and level of transactions dealt with are low compared to many other sectors. The majority of customers are domestic with a sizeable proportion known to the lenders and met face-to-face.

### Background to the Sector

Moneylending is essentially the provision of credit to individuals or businesses with the expectation of repayment, often with interest. In the IOM the activity of moneylending specifically includes:

- The activity of Moneylending which is defined as: consumer credit; mortgage credit; factoring; and the financing of commercial transactions,[82]
- A business which provides financial leasing arrangements in respect of products other than consumer products for and on behalf of customers, and
- A business which provides financial guarantees and commitments in respect of products other than consumer products for and on behalf of customers.[83]

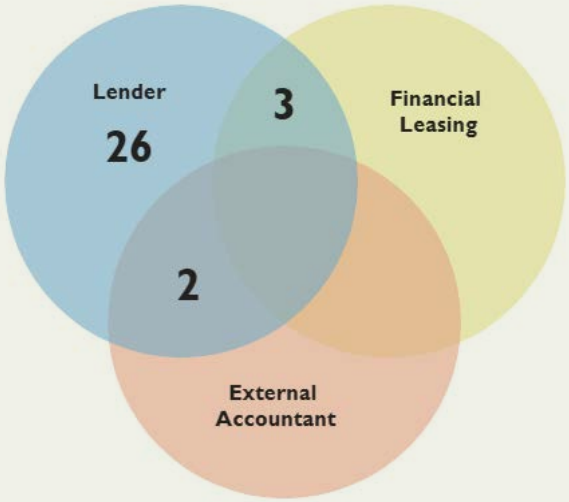
Moneylenders are covered by the Moneylenders Act 1991; anyone other than a Bank or other exempt organisation who runs a business of lending money in the IOM must be registered with the OFT[84] as must anyone who collects money on behalf of a lender.

Those providing moneylending, financial leasing and financial guarantees must also register as a designated business with the FSA under the DBROA and be subject to oversight in respect of compliance with the AML/CFT Code.›

Size and Materiality

## Figure 49: Breakdown of Money Lending Businesses (December 2025)

| Lender | Count |
|---|---|
| External Accountant & Lender | 2 |
| Financial Leasing & Lender | 3 |
| Lender | 26 |
| Total | 31 |




Source: FSA

For the purposes of this risk assessment as there are multiple crossovers between each category of registered person, the activities are generally assessed collectively, with any nuances being drawn out in the narrative below.

There are around 80 staff across these entities and approximately 9,500 customers within the sector.[85] As of 31 December 2023 the total value of finance outstanding on all existing customers across 37 moneylenders at the time was approximately GBP£938 million.[86]

### Threats

As an IFC, the IOM faces threats from both overseas and domestic criminal groups. The national threat landscape is explained elsewhere in this NRA. There is heightened exposure from foreign predicate offences, including fraud, bribery, corruption, and tax evasion with loan products vulnerable during the layering and integration stages. In the IOM, lending products may be misused to introduce illicit funds into the financial system via loan repayments funded from criminal proceeds. They could also be used to disguise beneficial ownership, particularly where corporate borrowers, nominee arrangements, or offshore structures are involved. Further, lending products could facilitate cross-border movement of value through loan disbursements, inter-company lending, or complex financing arrangements typical of IFC settings. It is important to note that there have been no recent recorded ML investigations or prosecutions featuring the sector. The assessed level of threat in this sector is **Medium Low**.

### Vulnerabilities

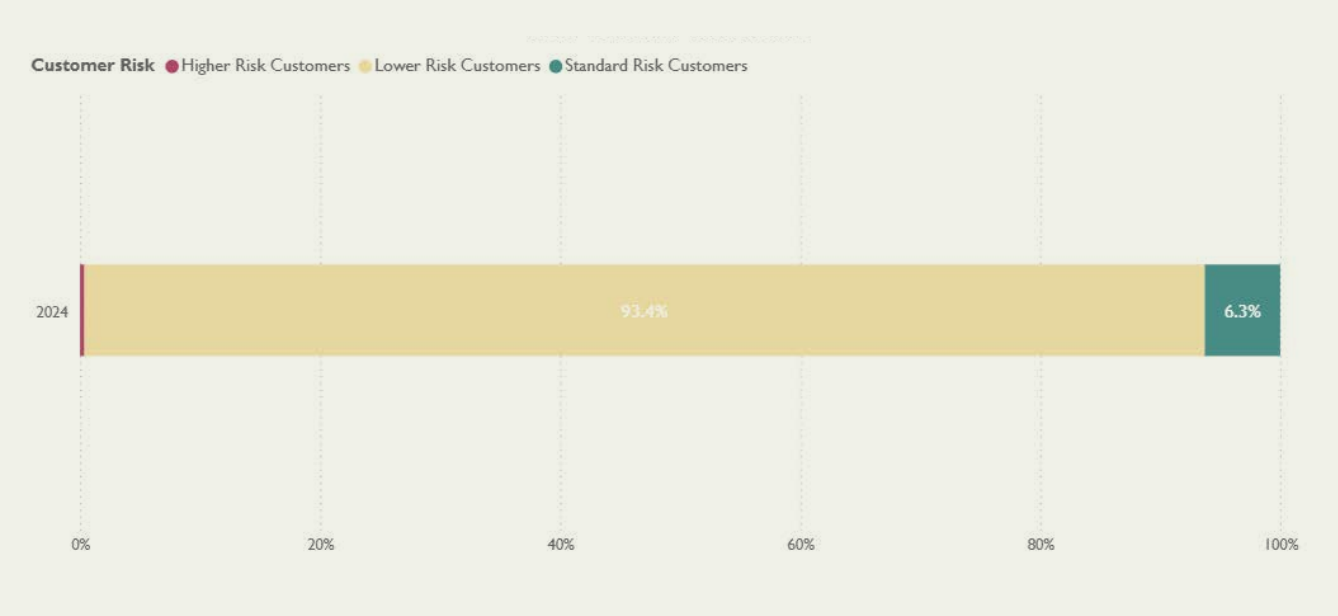
Moneylending may present different vulnerabilities, the most common being where a loan is drawn down from the lender and then repaid with the proceeds of crime, possibly in cash, either very quickly after or in a short repayment period. This allows for the exchange of criminal proceeds with clean money from the loan provider and provides the criminal with documented evidence of a seemingly legitimate source of funds. However, where it is a cash repayment it can be more difficult to verify the source of the cash. ›

Early repayments carry a risk that the funds have emanated from a criminal lifestyle. This is likely to be more of a risk for smaller loans, in respect of larger loans (e.g. corporate lending) there would typically be more paperwork and documentation. Similarly, early repayment of loans followed by the taking out of another loan soon afterwards is also a recognised ML typology, as is the overpayment of loans and requesting reimbursement. The overall sector ML vulnerability has been assessed as **Medium**, which reflects some inherent vulnerabilities prevalent in the services identified above.

### Customer Profile

There are a number of mitigants to some of the aforementioned vulnerabilities when considering the customer base. Those operating in the Moneylending sector generally act for IOM (**79%**) or UK (20%) resident customers which may reduce the risk of products and services being abused for ML as reliable CDD information is more accessible with nearly **90%** of business being conducted on a face-to-face basis. Overall numbers of PEPs are low (less than **1%**) and **96%** of PEPs present within the customer base are IOM resident. Considering risk ratings of customers, **0.36%** are rated as Higher risk, **93%** as lower and **6%** as standard risk. The acceptance of cash was also considered, specifically due to the risk of repayment of cash, **89%** of firms do not accept cash.

## Figure 50: Customer Risk Profile of the Sector




Source: FSA

### Supervision

Since the previous NRA, the sector has been subject to targeted supervision from the FSA as part of a Moneylending thematic in 2024, which has taken place in parallel to any risk–based cycle of engagement relating to firms in the sector. The thematic review combined both information gathering through a sector specific questionnaire and inspections work, which allowed the FSA to gather further data, assisting in risk assessing both the firms and sector itself, as well as building knowledge and findings to feed back into the AML/CFT Handbook and the AML/CFT/CPF sector-specific guidance documents. ›

This thematic focused on how firms had met their obligations in relation to CDD requirements, EDD requirements and also source of funds and wealth requirements. 20 Moneylenders were subject to inspections and the overall findings in relation to these areas of the Code were generally positive. Detailed findings of the sector were included in the published report[87] and firm-specific findings were provided in entity level reports.

## NON-PROFIT ORGANISATIONS ("NPOS")

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Low | Medium | Low | Low |

The overall risk of ML to the Non-Profit Organisations (NPO) sector is assessed as **Low.** The risk level is a product of the low threat facing the NPO sector, and a low residual vulnerability to ML (i.e. after considering mitigating controls). This overall NPO risk level has remained unchanged from low since the 2020 NRA.

### Background to the Sector

The IOM's Non-Profit sector consists of a range of organisations dedicated to charitable, religious, cultural, educational, and social purposes. There are a limited number of active entities and financial throughput is relatively modest. The sector is subject to appropriate oversight via the AGC in all cases and the FSA for a small number of Specified Non-Profit Organisations ("SNPOs") regarding AML, CFT and CPF. A recently published NPO TF NRA provides greater detail on the sector.

### Size and Materiality

As of July 2024, there were 624 active NPOs in the IOM that met the FATF definition. The sector is relatively small, both by the number of organisations and the volume of funds handled. Most NPOs are registered charities overseen by the AGC and listed on the public Charity Register.

The majority of NPOs operate locally, with only a small fraction involved in international activities or Higher-risk jurisdictions. Most are small in terms of annual turnover, with 62% reporting less than GBP £25,000 per year.

The AG is the regulator for all registered charities in the IOM. (The scope of NPOs that fall within the FATF definition almost entirely coincides with the population of registered charities). Acknowledging the various risk factors within the NPO sector, the IOM Authorities have established a two-tier, risk-based oversight framework for NPOs. At a broad level, all NPOs registered as a charity are overseen by the AGC, ensuring transparency, financial accountability, and sound governance across the sector. The second-level oversight (above that provided by the AG) is conducted by the FSA with regard to SNPOs, which, following the determination in 2019, were identified as a Higher-risk category based on specific criteria, and thus subject to AML/CFT/CPF oversight.

The DBROA[88] requires businesses and professions carrying out activities that fall under the definition of a 'designated business' to register with the FSA; Schedule 1 includes SNPOs. SNPOs are also defined in Schedule 4 of the POCA.[89] The SNPO population provides the FSA with data for the AML/CFT annual return. This covers a smaller number of areas than for regulated entities and ›

includes training, showing the staff training topics undertaken in the year.

During the reporting period 2020 to 2024, there has been one AML inspection of an SNPO as part of the FSA's risk-based supervisory plan. In addition to this, each of the registered SNPOs has undergone an AML/CFT compliance business meeting with the FSA between 2023 and 2025.
The principal Act providing for the registration and regulation of charities is the Charities Registration and Regulation Act 2019 ("Charities Act").[90] It creates a public register and provides the AGC with powers to inquire into Charities and their management and administration, and to act for the protection of Charities. In order to be a Charity, the organisation needs to benefit the public. Charitable purposes are defined in Section 6 of the Charities Act.

**Figure 1** shows the split by gross income, as measured by the requirements for annual accounts that have to be submitted to the AGC, for those with a domestic (IOM only) focus in raising and disbursing funds, and those that have some exposure to other countries, with the UK being the largest. This Highlights the small, domestic nature of the sector, and hence the low threat that the sector carries for money laundering.

## Figure 51: NPO Distribution by Gross Income, Split by Domestic and Overseas Exposure




Source: FSA

### Threats

The main ML threats faced by IOM NPOs include:

- Diversion of funds at the point of delivery, especially when operating in conflict or High-risk zones, where resources may be misappropriated for illicit purposes.
- Establishment of sham or front organisations, set up as fake charities to disguise illicit fundraising and ML activities.
- Cash dependency and challenges accessing banking services, which can drive untraceable financial flows and create monitoring gaps.

While there are no recorded cases of NPOs in the IOM being prosecuted for ML, cases have occurred of fraud and misleading representation; such cases Highlight how weak oversight can facilitate misappropriation of funds. The threat rating for this sector is **Low.** ›

### Vulnerabilities

Several vulnerabilities could exist within the sector:

- Weak governance and internal controls, especially among small or under-resourced NPOs, which may lack robust financial oversight, proper staff vetting, and detailed record-keeping.
- Reliance on cash due to Banking de-risking or lack of access to formal financial systems, increasing exposure to untraceable financial movements.
- Potential for misuse by insiders or intermediaries where oversight is insufficient.
- Complex international operations can make it difficult to monitor the end use of funds, particularly in High-risk jurisdictions.

Therefore, the overall sector ML vulnerability has been assessed as **Medium.**

### Risks

The ML risks are deemed to be Low, especially for NPOs with a domestic focus. They are moderately Higher for those that operate overseas, especially in Higher risk (List B) jurisdictions, where management control by IOM based trustees is more difficult (**99.6%** of trustees are based in the IOM/UK/Crown Dependencies or Ireland).

Mitigation measures include legal and regulatory frameworks, risk-based oversight by the AGC and FSA, High governance standards, a small number of Higher value NPOs are administered/managed by TCSPs and enforcement actions against breaches. Sector-wide guidance and outreach further support good governance and compliance. Ongoing NRAs continue to monitor and address emerging threats.

### Recommended Actions

From the recently published NPO TF NRA, TF has been identified as presenting a low inherent risk for all but **5%** of the NPOs, which were rated in the NPO TF NRA as having **Medium Low** inherent risk. ML is assessed as presenting a low risk. The recommended actions in the NPO TF NRA are designed to enhance the resilience of the NPO sector against TF, and, by extension, to strengthen its defences against ML.

## TRUST AND CORPORATE SERVICES PROVIDERS ("TCSPS")

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| High | Medium High | Medium High | Medium High |

### Overall ML Risk Rating

The money laundering risk for the TCSP sector is assessed as Medium-High. This rating reflects the combination of a High threat environment, and a **Medium-High** level of residual vulnerability once AML/CFT/CPF controls are taken into account. The risk continues to be driven by the High threats facing the sector relating to a large international client base, widespread use of complex and multi-jurisdictional arrangements, exposure to foreign PEPs, and the provision of services to Higher-risk customers and jurisdictions. The rating remains unchanged from 2020, which is not because of any deterioration in AML/CFT/CPF controls, but due to an increasing threat landscape. ›

## Background to the Sector

The TCSP sector is a significant part of the Isle of Man economy and is fully regulated by FSA (as a FI rather than a Designated Business); regulation is not limited to compliance only with AML/CFT/CFP requirements but also extends to prudential matters and conduct of business.

TCSPs have a crucial role in attracting international business but are also important gatekeepers of the financial system. TCSPs provide the formation, administration, and management of legal persons and arrangements, including companies, trusts, and foundations, acting as vital gatekeepers to the Island's financial system. The FSA licenses only TCSPs which offer a full range of regulated services, including provision of directors and/or trustees, as opposed to purely acting as company formation agents. The sector has undergone consolidation in recent years, including increased private-equity ownership, and continues to operate with a Highly international footprint. Strong links with jurisdictions such as the UK, United States, South Africa, and Ireland contribute the sector's exposure to cross-border ML threats.

## Size and Materiality

As at 31 December 2025, 91 licensed firms operated within the TCSP sector, employing an estimated 2,000 staff members individuals and contributing **3%** to national income. Assets under administration were estimated at £67 billion (2024). TCSPs provide services to approximately 17,000 companies (with around 80% incorporated locally) and over 10,700 trusts. Consistent with the Island's IFC profile, the majority of customers are non-resident, with concentrations linked to the UK and other overseas jurisdictions. The scale and international nature of the sector position it among the Higher-risk areas within the Island's financial services framework.

## Threats

The overall threat level facing the sector is assessed as High. TCSPs may be used to facilitate international layering and complex structuring linked to fraud, theft, tax evasion, bribery and corruption, and organised crime. Cross-sectoral threats are also relevant such as the growth of cross-border business servicing non-resident customers. There is also increasing exposure to technology-related risks (including emerging AI-enabled threats and developing alternative payment methods).

SAR reporting by TCSPs remains consistent and of improving quality, with clear narratives and strong use of legislative references. Over **60%** of SARs provide intelligence that is disseminated either domestically or internationally. The main predicate suspicions relate to tax offences, fraud, and corruption, mirroring the sector's international exposure profile. TCSPs remain one of the most referenced sectors in mutual legal assistance requests after banking.

## Vulnerabilities

The sector's overall ML vulnerability is assessed as medium-High
Key inherent vulnerability drivers include:

- the scale and value of business undertaken
- provision of registered agent / office business as a limited service
- international and non-face-to-face delivery models
- the involvement of introducers (including those based in higher-risk jurisdictions)
- the prevalence of multi-jurisdictional and complex or seemingly complex structures
- complexity of international sanctions regimes
- customer profiles involving potentially higher risk customers such as foreign PEPs, CEPs and a concentration of non-natural persons
- increasing exposure to technology-related risks (including emerging AI-enabled threats)

## Inherent Vulnerabilites

The inherent vulnerability assessment looks at a range of factors from the World Bank model for example size, value of the sector, customer profile etc) which are summarised below.
As part of the assessment the ownership profile of TCSPs was also considered, although this does not form part of the World Bank model.

- **Ownership of TCSPs**
  Approximately **10%** are private equity owned which has added further dynamism which may result in the potential for increased risk taking by entities.

- **Customer profile**
  Generally in the sector, customers are assessed as posing a Higher inherent risk than in other sectors, which, to ›

some extent, reflects the IOM business model. This reflects involvement with different jurisdictions, also that customers that may be PEPs or CEPs and reflecting the high level of non face-to-face business.

- **Fully managed companies and trust boards**
  These form the core of the sector's service offering with most relationships structured in this way. This service is generally considered to present lower inherent vulnerability, given the High degree of control and ongoing oversight by TCSPs.

- **Mixed boards, joint trusteeships, and registered office/ agent-only services**
  These areas carry higher inherent vulnerability due to potential reduced visibility and influence over customer activity, external decision-makers, and incomplete access to records. There are minimal TCSPs that actively service this market.

- **Introducers and non-face-to-face onboarding**
  Introductions continue to play a significant role in new business (approximately one-third of customers are introduced). While reliance on eligible introducers has declined, the use of introducers more broadly maintains a **Medium High** vulnerability particularly where introducers are located off-Island or in Higher-risk jurisdictions.

- **Complex structures**
  Layered, multi-jurisdictional structures—especially those involving several TCSPs—make it difficult to maintain full line-of-sight on assets, activity, and beneficial ownership. Legacy acquisitions may introduce vulnerabilities where institutional knowledge has not fully transferred.

- **Sector touchpoints (eGaming, exempt schemes)**
  Specialist involvement with eGaming operators and administration of exempt schemes may present additional vulnerabilities where it must be ensured an appropriate level of knowledge is within the firm to provide these areas of specialism.

- **Cash activity**
  Cash use is minimal – only around **5%** of firms permit cash handling on an exceptional basis – resulting in low vulnerability from cash.

### AML/CFT/CPF Controls

The sector benefits from a comprehensive legal and regulatory framework, with mostly High scores relating to effectiveness of supervision, use of administrative sanctions, and BO information availability. CDD and Beneficial Ownership requirements are well-embedded within the sector, and access to the Island's BO register has strengthened data accuracy and timeliness. Generally, progress has been observed in regard to TCSPs strengthening their controls.

The sector continues to face a number of challenges which are not uncommon to other sectors, including resource pressures for experienced compliance staff, which can impact the ability of firms to maintain robust oversight in relation to AML/CFT/CPF matters. There is also variability in the use of independent audits, resulting in differing levels of assurance across organisations. Ensuring alignment between the expectations of TCSPs and banks regarding customer information remains an area where further exploration is required. The sector must also manage emerging risks associated with technology advancements and evolving complexity of sanctions, which require ongoing adaptation and vigilance to safeguard against financial crime.

### Recommended Actions

The TCSP ML Risk Assessment identifies a number of areas for improvement. All the proposed actions are set out in detail in the TCSP Sectoral Report, and a number of key actions are included in the Recommended Actions in **Chapter 13** below. The Legal Persons and Arrangements risk assessment is also Highly relevant to the TCSPs as are many of its recommended actions and these should also be considered by the sector. By addressing these areas, the sector and the authorities can continue to strengthen the framework. ›

## SAFE CUSTODY

**Overall Sector ML Risk**

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Low | Medium | - | Low |

Over the last five years, the FSA has supervised no more than 5 entities that solely provide Safe Custody services. The 2020 ML/TF NRA assessed elements of Safe Custody within broader regulated sectors (primarily Banking and TCSP services). Risks Highlighted included potential misuse of Safe Custody boxes for placement or storage of physical assets linked to foreign predicate offences, consistent with the IOM's broader exposure to international ML threats. The threat rating for this sector is **Low.**

The risks in this sector remain similar to 2020, although there could be exposure to foreign criminality, and potential for concealment this is offset by the fact it is a very small sector with robust supervision and limited evidence of misuse therefore this sector has been rated as posing a low risk of ML, of which there is no change to the 2020 NRA risk rating.

### Background to the Sector

In the IOM, "Safe Custody"[91] is defined as a business that it is providing safe custody facilities for cash or liquid securities, deposit boxes or other secure storage facilities suitable for High-value physical items or assets, jewelry, precious metals, stones, bullion or documents of title.[92] The IOM's Safe Custody sector is small and specialised, primarily comprising providers that secure storage and transportation for Highvalue physical assets (e.g. documents of title, precious metals, jewelry).

The service is typically offered by regulated financial institutions or licensed TCSPs who offer this under their existing license permissions where applicable. There may however be firms who offer this as a sole service, and such firms must register with the FSA as a designated business under the DBROA and would be subject to the requirements of the AML/CFT Code.

### Size and Materiality

As of December 2025, there are 4 firms registered in this sector with approximately 1200 customers across these firms.

### Threat

Considering the threats in the sector, the greatest ML threat arises not from domestic crime (which remains **Low**), but from foreign criminality involving High value portable assets, which may be stored in Safe Custody to obscure their origin. Crossborder movement of assets may use Safe Custody as a temporary placement or layering mechanism. There have not been any ML investigations in the period, nor has there been any supervisory action taken by the FSA in this sector.

### Vulnerabilities

Safe Custody could be used to store High-value goods (further information is provided in this NRA in relation to HVGDs) as part of an approach to obscure their origin, the following vulnerabilities should be considered by the sector:

- Nature of Assets – High value, easily portable assets could be stored to conceal beneficial ownership.
- Crossborder Client Base – International clients may present elevated ML risk from Higher corruption jurisdictions for example.
- Limited Transparency – Firms do not inspect box contents, reducing visibility unless compelled legally for example, by Competent Authorities.
- Temporary Storage During Layering – Offshore storage of documentation or bearer instruments is a known global typology. ›

The above factors are examples which highlight why it is imperative that firms in this sector closely monitor customer behavior and activity. Although these vulnerabilities have been identified the IOM benefits from strong mitigants such as:

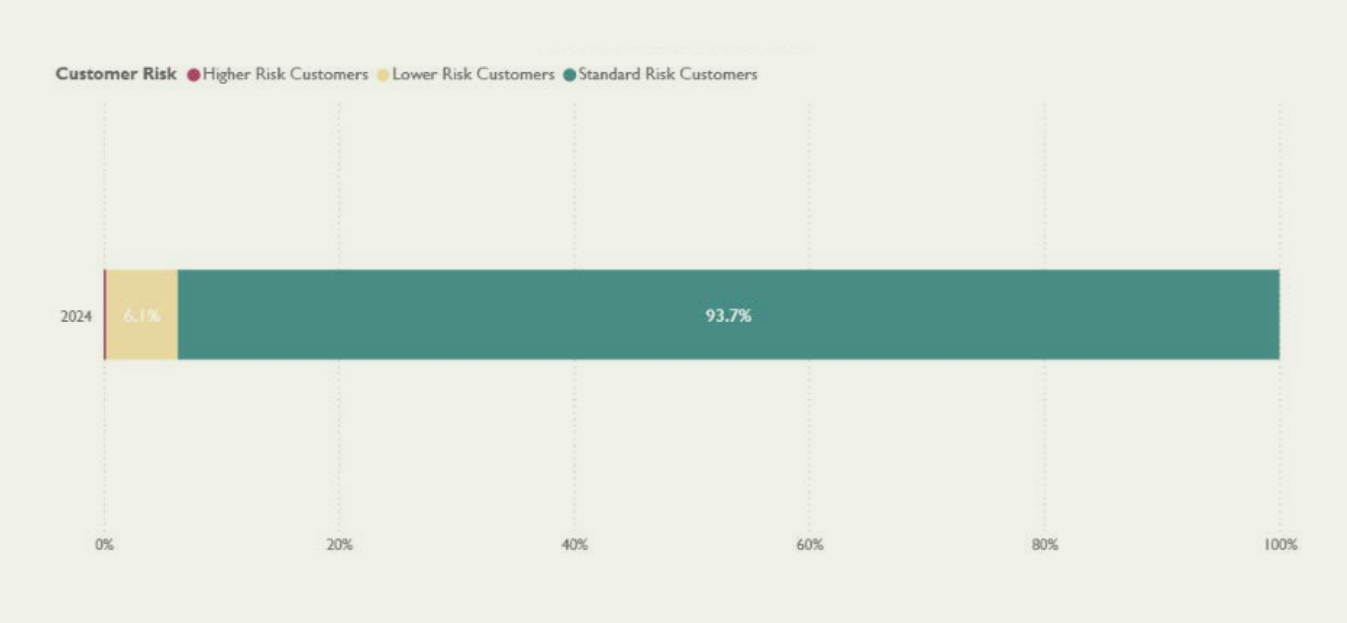
- A comprehensive AML/CFT/CPF regulatory framework.
- Strong supervisory culture;
- In-person access reducing anonymity with **90%** of customers met face to face;
- Low domestic crime; and coordinated intelligence structures.

Therefore, the overall sector ML vulnerability has been assessed as **Medium.**

### Customer Profile

It is also important to consider the customer base of this sector, approximately **70%** of customers are located in the IOM, and **20%** in the UK. Those located outside of the IOM are connected to 2 firms who hold a Safe Custody registration connected to their TCSP/Legal permissions already held, these countries include BVI (**1.5%**) and USA (**1.6%**). Across the customer base most are natural persons, there are very few High-risk customers, and no customers are associated with foreign PEPs.›

## Figure 52: Total Customer Risk Profile of the Sector




Source: FSA

# VIRTUAL ASSETS ("VA") AND VIRTUAL ASSET SERVICE PROVIDERS ("VASPS")

Overall Sector ML Risk

| Threat | Vulnerability | ML Risk Rating 2020 | ML Risk Rating 2025 |
|---|---|---|---|
| Medium High | Medium | Medium High | Medium |

As part of the 2026 NRA, a standalone NRA assessing the risk of both the exposure of VAs (as a product) and VASPs (as a sector) has been developed using the revised World Bank methodology specifically tailored to VA and VASPs. This incorporates improved data, new threat intelligence, and considers the enhanced supervisory methodology implemented by the FSA.

The overall ML risk for both the exposure to VAs and the VASP sector has been assessed as **Medium,** which has decreased from **Medium High** since the last NRA in 2020. PF and TF risks are assessed as very low. It is important to note that since the previous assessment there are fewer active VASPs in the Island. The threat environment has however become more complex in recent years resulting in a **Medium High** threat level. Supervisory enhancements, a deeper understanding of sectoral risk by Competent Authorities, introduction of the "Travel Rule" and increased industry knowledge and awareness have helped mitigate the overall risks. Additional improvements in law enforcement capability, data collection, and blockchain analytics capacity are underway, helping to strengthen the Island's response to evolving VA risks.

The risk is mostly driven by international threat exposure including cyber enabled fraud such as investment/romance scams and money laundering linked to illicit gambling or the purchase (in both international and domestic cases) of illicit goods including drugs using VAs. The sector's international, and often non face-to-face, operating model, combined with the complexity and speed of transactions, creates opportunities for misuse by individuals seeking to conceal the proceeds of crime. Also, most Isle of Man VASPs use brokerage or OTC models, which do carry some Higher inherent risks than centralised exchange platforms.

## Background to the Sector

Undertaking VASP activity in the IOM has been classed as a designated business since 2018. VASPs must therefore register with the FSA under the DBROA. The activities of VASPs are included within Schedule 4 to POCA 2008 as business in the regulated sector; as such they are required to comply with the AML/CFT Code and are supervised by the FSA in respect of compliance with AML/CFT/CPF requirements. The definitions of both "VA" and "VASP" mirror those included in the FATF standards.

Supervision of VASPs in the IOM aligns closely with FATF Standards and includes a robust registration process, fit and proper checks, the application of comprehensive AML/CFT/CPF standards, and compliance with the "Travel Rule" Code.[93] The main services offered by VASPs in the IOM include custody and administration of VAs, exchange of VAs for other VAs and exchange of VAs for fiat and receive or transmit orders for VAs.

The are no global exchanges registered in the IOM. The registered firms operate a broker/dealer or over the counter (OTC) type model, using proprietary capital to execute bilateral trades with customers, and liquidity providers, focusing on the exchange of VAs to fiat, and vice versa. Services offered also include facilitating the acceptance of VAs and a means of payment for goods and services. One VASP reported to offer loans in fiat currency backed by Bitcoin as collateral.

## Materiality and Size

The IOM's VASP sector is relatively small in size but plays an important role within the Island's digital and finance services landscape. As at December 2025 there were 19 VASPs registered under the DBRO Act, of which 4 are currently active. These entities primarily offer brokerage or OTC services, and ›

none operate as global exchanges. The sector serves roughly 46,000 customers, of whom around **83%** are non-resident and predominantly UK-based, reflecting the Island's broader international profile. Other countries where customers are resident include Australia, Italy and France. This international footprint heightens exposure to foreign predicate crime and cross-border laundering risks.

### Threats

The overall ML threat to the use of VAs and the VASP sector is assessed as **Medium High**, reflecting the emerging risks driven by international and cyber-enabled criminality. Law enforcement data indicates a concentration of threats in areas such as cyber-enabled fraud including romance and investment scams, ransomware, payment for illicit products/services via VAs and the use of e.g. Bitcoin and stablecoins for layering, and exploitation of un-hosted wallets. These patterns broadly mirror typologies observed in other jurisdictions and Highlighted by FATF, INTERPOL, and blockchain analytics providers.

Most SARs filed by VASPs under POCA relate to international fraud typologies, with strong links to the UK. The number of VASP-submitted SARs has remained consistent over the period 2020-2025 with 80 received in 2025 (**7.91%** of the overall SARs submitted that year). Domestic offending exists but remains limited, mainly linked to drugs. Investigations cases involving VA and VASPs are primarily linked to organised crime groups and cyber-enabled fraud and are characterised by rapid international flows.

Indirect exposure to other sectors largely concerns online gambling. Operators using permitted VA models (convert-to-fiat prior to play) typically observe lower inherent exposure, with stablecoins forming the primary asset type. Banking, insurance and DNFBPs have very limited exposure, TCSPs maintain client relationships with VASPs and continue to play a role in corporate structuring.

### Vulnerabilities

The sector's main inherent vulnerabilities are assessed as **Medium.** This derives from key inherent risk factors (globally and in the IOM) including:

### Inherent vulnerabilities in VAs

- Disintermediated nature of VAs
- Non-face-to-face relationships
- Potential anonymity (even without privacy coins)
- Ease and speed of cross-border transactions
- Fragmented global regulatory frameworks
- Use of mixers and tumblers to obscure chains of transactions

The VAs most prevalent in the IOM are stablecoins, BTC, ETH which have inherent **Medium High** vulnerabilities.

### Inherent Vulnerabilities relating to VASP Services

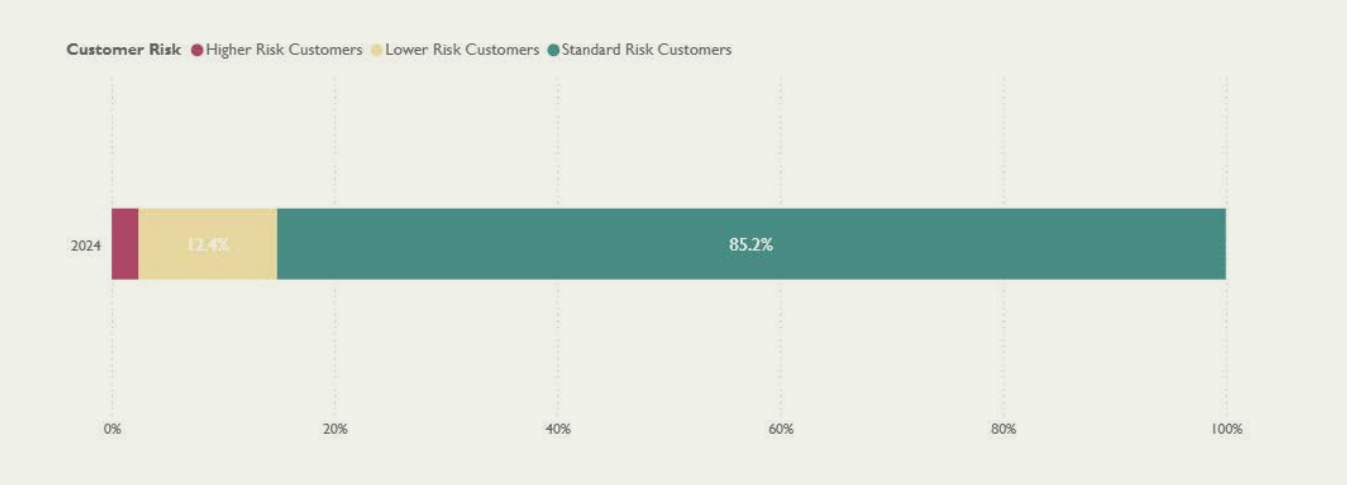
- VA exchange services (particularly OTC/broker models used in IOM) carry Higher intrinsic vulnerabilities due to their potential to be used for placement/layering
- Wallet/custody services carry **Medium Low** vulnerabilities
- The use of privacy coins and anonymity enhancing features, however these features are not present on the Island therefore significantly reducing risk
- Prevalence of non-face-to-face relationships

These vulnerabilities contribute to an increase in risks mainly driven by a prevalence of non-face-to-face relationships, inconsistent regulations/supervision of VASPs across countries, and the use of unhosted wallets. Approximately **25%** of registered VASPs permit or intend to permit transfers to unhosted wallets. Although privacy-enhancing tools are not offered by local VASPs, VAs with this feature remain a concern internationally.

### Customer Profile

As noted earlier, approximately **83%** of customers are located in the UK, and nearly **4%** in the IOM. Around **99.5%** of onboarding is non-face-to-face. Those located outside of the UK / IOM are connected with countries including Australia, Italy and France. Across the customer base most are natural persons (**98%**), there are few High-risk customers, and very few customers are associated with foreign PEPs (**0.05%**). ›

# Figure 53: Total Customer Risk Profile of the Sector




Source: FSA

### Recommended Actions

Identified recommended actions include strengthening data collection and intelligence sharing; enhancing oversight of inactive VASPs; expanding law enforcement technical capability; improving visibility of foreign VASP exposure; maintaining targeted outreach to industry; updating VA-related guidance; and exploring broader regulatory controls to address conduct, prudential and market integrity risks.

All the proposed actions are set out in detail in the VASP sectoral Report, and a number of key actions are included in the Recommended Actions in **Chapter 13** below. By addressing these areas, the sector and the authorities can continue to strengthen controls. ■

# 13. Recommended Actions to Address National and Sectoral Residual Vulnerability

# 13. Recommended Actions to Address National and Sectoral Residual Vulnerability

The recommendations identified below Highlight areas where delivering improvements will help to address threats and residual vulnerabilities identified during the ML NRA process. The list does not include all of the recommendations which have been made in other parts of the IOM NRA which have been published, for example the TF and LPA NRAs. However, where recommendations have been made in those reports which have a significant bearing on AML measures and are referred in this report, a reference has been made.

Where recommendations have been made in respect of the AML framework for FIs and DNFBPs (see **Chapter 12**) and are repeated across a number of sectors, these are summarised below. Sector specific recommendations are included.

Recommended actions across all parts of the NRA are being captured as part of a programme to develop a national action plan (NAP).

**Strategic aim: Public sector and industry work together to achieve a common goal of meeting international standards**

| | |
|---|---|
| **1** | Review new AML/CFT/CPF governance arrangements by April 2026 to ensure their completeness and effectiveness. Introduce outstanding MOUs and Codes of Practice (in particular, in relation to effective information-sharing among border law enforcement agencies).<br><br>Ref: ML Chapter 6 and Modules 1, 3, 9, 11, 14, and 21. Also see TF Report |
| **2** | Implement outstanding legislative provisions aimed at strengthening the Anti-Money Laundering Framework, including the review and updating of provisions in POCA to ensure that the framework is appropriate for the IOM.<br><br>Ref: ML and sectoral report |
| **3** | Deliver further changes to enhance the effectiveness of the beneficial ownership regime, as per the recommendations within the LPA NRA.<br><br>Ref: ML and LPA Report |
| **4** | Progress proposed legislative amendments seeking to reinforce risk-based supervision and align the GSC's framework with international standards.<br><br>Ref: Gambling sectoral report |

| | |
|---|---|
| **5** | Strengthen oversight of B2B operators should be strengthened.<br><br>Ref: Gambling sectoral report |
| **6** | Progress recommendations made in respect of amending legislation such as the Retirement Benefits Schemes (Amendment) Bill .<br><br>Ref: Pensions sectoral report |
| **7** | Take measures to ensure the AML/CFT Codes are compliant with FATF standards — e.g., extend the definition of "customer" in the AML/CFT Code to include both the buyer and the seller in respect of estate agency business.<br><br>Ref: Estate Agents sectoral report |
| **8** | Maintain ongoing engagement with industry to strengthen AML resilience. Embed the IOM Financial Crime Partnership and expand its remit, including the Online Gambling Strategic Working Group.<br><br>Ref: ML Report. Also see TF Report |
| **9** | Continue to progress Government-wide initiatives in respect of conducting CDD among Isle of Man Government agencies.<br><br>Ref: ML Report |

**Strategic aim: Actions are informed and driven by best practice and standards, both domestically and internationally**

| | |
|---|---|
| **10** | To further enhance the understanding of complex structures, any future data outreach requests to the TCSP sector should look at seeking further detail on these structures so that a deeper understanding of all jurisdictions and asset types and locations is captured in the national data.<br><br>Ref: TCSP sectoral report and LPA Report |
| **11** | Explore the viability of the Land Registry for proactive monitoring of registrations of property/land to identify typologies and escalate and additional triggers for registration of land/property.<br><br>Ref: Legal sectoral report |
| **12** | Enhance financial flow information and data to enable further analysis of risk, including from non-banking sources – in particular, VASPs, MTSs, EMIs, and overseas ATMs.<br><br>Ref: ML Report Chapter 8 and Modules 11, 13, and 20; VASP/MTS/Banking sectoral reports. Also see TF Report |
| **13** | Continue to develop a formal approach between the FSA and the FIU (and other relevant stakeholders) to document the analysis process for financial inflows and outflows, including for Higher-risk countries and IFCs.<br><br>Ref: TF Report and ML Report 8.1.9 |
| **14** | Formalise cross-agency intelligence sharing arrangements, including centralised border/route intelligence and appropriate visa information sharing, to strengthen detection and disruption.<br><br>Ref: ML Report. Also see TF Report |

| | |
|---|---|
| **15** | Continually monitor the entry control processes in order to ensure they remain relevant and appropriate in respect of emerging typologies and evolving international standards.<br><br>Ref: Sectoral reports |
| **16** | Develop and disseminate relevant typologies informed by current trends and emerging threats identified in each sector and regularly update in consultation with industry stakeholders. A structured approach to sharing these typologies, both domestically and with international partners, should be embedded within supervisory and outreach frameworks.<br><br>Ref: ML Report and sectoral reports |
| **17** | Taking into account the supervisory structure within the FSA and improvements in data systems and analytical capability that have been implemented, implement policies and procedures to document how the data is used and analysed, how frequently reports are produced and their scope and content, and to which parties such reporting is made (including outside the FSA: for example, to the FIU, banks, and the IOMFCP).<br><br>Ref: Sectoral reports. |
| **18** | As a responsible jurisdiction, continue to proactively engage with international bodies, develop and share typologies globally, and deepen cooperation with law enforcement to detect and disrupt criminal activity.<br><br>Ref: Gambling sectoral report |
| **19** | Continue work between the FSA and its sectors on ensuring the data the Authority receives is of good scope, quality, and accuracy, and if necessary, provide further guidance.<br><br>Ref: Sectoral reports |
| **20** | When pursuing new or expanded business opportunities, ensure that appropriate risk assessment procedures are implemented.<br><br>Ref: ML Report |

**Strategic aim: The Island is an active participant in the global fight against financial crime.**

| | |
|---|---|
| **21** | Following the publication of this ML NRA, refine and update the National Financial Crime Strategy when next published. The National Action Plan will be updated with the key recommended actions from this document.<br><br>Ref: ML Report Chapter 7; TF Report |
| **22** | Reviewed the NRAs every two years to identify if there are any material changes that need to be reflected in the NRA. The NRA will also be reviewed on a trigger event basis if there is a substantive local or domestic event that impacts the ML risk to the Island, or if the Island Strategy or National Financial Crime Strategy require an NRA to be reviewed.<br><br>Ref: ML Report; TF Report |
| **23** | All sectors should review the findings of this Money Laundering Risk Assessment (and other parts that make up the NRA) and ensure that identified actions are adopted into Business, Customer, and Technology Risk Assessments as appropriate.<br><br>Ref: Sectoral reports |
| **24** | Continue to develop strategic analytical capabilities, ensuring insights are effectively shared with internal and external stakeholders. Strengthen formal cooperation and enhance information exchange and operational efficiency.<br><br>Ref: ML Report Modules 4, 13, 14, and 20 |
| **25** | Undertake work to better understand and address areas identified through this assessment as presenting increasing vulnerability, notably the complexity of sanctions and technology risks, such as AI, and potential weaknesses in ongoing monitoring controls.<br><br>Ref: ML sectoral reports and cross-border threat analysis |

| | |
|---|---|
| **26** | To help protect customers in the IOM, continue to develop workstreams to help reduce fraud risks, not only from the ML perspective, but more generally.<br><br>Ref: Sectoral reports |
| **27** | Explore potential exposure to alternative banking systems, including Chinese underground banking networks and other informal value transfer mechanisms, and where Higher risk is identified, implement measures accordingly. These alternative banking systems pose elevated money laundering risks due to their opaque operations and limited regulatory oversight.<br><br>Ref: ML Report |

**Strategic aim: All stakeholders have the resources they need to effectively identify and respond to ML/TF/PF threats.**

| | |
|---|---|
| **28** | Further develop the ongoing screening of controlled function-holders. Although there are substantial vetting checks undertaken in relation to controlled function-holders at the time of an appointment, ongoing checks in relation to these role-holders could be enhanced.<br><br>Ref: Sectoral reports |
| **29** | Maintain and enhance risk-based supervision from the FSA across all sectors (including where a self-regulatory body is engaged) by integrating the findings of the NRA and ensuring alignment with international standards. This includes continued proactive engagement with all relevant sectors, particularly after thematic and risk-based supervisory activities, to foster greater knowledge-sharing, collaboration, and understanding of risks. The FSA should also update all AML/CFT/CPF sector-specific guidance in light of the latest NRA publication, ensuring that regulatory frameworks remain current and effective.<br><br>Ref: Sectoral reports |
| **30** | Review the effectiveness of new procedures for managing restrained and seized non-financial assets to ensure consistency and identify any required improvements by both the AGC and the Police.<br><br>Ref: ML Report |
| **31** | Seek to enhance the IOM's understanding of the materiality and risk of the non-licensed, non-regulated Software Supply sector.<br><br>Ref: Gambling sectoral report |
| **32** | Continue to monitor the perimeter and raise awareness particularly in respect of businesses susceptible to accepting €15,000 (or sterling equivalent) in cash.<br><br>Ref: Sectoral reports and ML Report |
| **33** | Conduct a joint agency review should be conducted to ensure that measures for bringing forward criminal sanctions for AML/CFT/CPF contraventions are effective and proportionate.<br><br>Ref: Sectoral reports |
| **34** | To equip stakeholders, implement advanced analytics for GSC risk-profiling, thematic inspections, and targeted training, supported by guidance on Technology Risk Assessments and corporate-level typologies.<br><br>Ref: Gambling sectoral report |
| **35** | In respect of both the private and public sectors, explore initiatives aimed at attracting and retaining staff in order to reduce key person risks. Efforts should continue to ensure that all relevant training is formalised and documented across private and public sectors.<br><br>Reference: Sectoral reports and Modules 4 and 6 |

# 14. How this NRA Should be Used

**In keeping with the objectives of the NRA, relevant persons on the IOM must comply with the IOM AML/CFT Code in having regard to relevant risk factors as part of their assessment of any ML risk exposure.**

Paragraph 5(3) (b) of the AML/CFT Code 2019 sets out that; "The business risk assessment must have regard to all relevant risk factors, including [….] any relevant findings of the most recent National Risk Assessment relating to the Island". This ensures that relevant persons must, as part of their risk framework, consider and assess the most recent ML trends and vulnerabilities as they relate to the IOM and the sector in which they operate.

One of the key inputs to the Island's NRAs is the risk data provided to the regulators from supervised entities via STRIX AML. Where published NRAs and industry sector reports include aggregated industry data, each firm should consider how their own data compares with the published data. This will assist them to better understand their risk profile compared to the national metrics, threats and vulnerabilities.

Businesses in the regulated sector are obliged by the FSA, GSC and SNPO Codes to undertake and update the BRA, which 'assists relevant persons to understand where, when, how and to what extent they are exposed to ML/TF risk and which areas of their business they should prioritise in combatting ML/TF.' The Code states that a BRA must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, Industry must be able to show how they have considered and mitigated the relevant risks identified in this NRA. Given a number of NRAs are being published over the course of several months, it is acceptable to consider each NRA as it is published, but update the overall BRA at its next formal review date. Consideration should also be given to the CRA and TRA and if these require updating.

In January 2024 the FSA published a thematic review of BRAs for the TCSP sector. The review considers paragraph 5(3)(b) of the Code which mandates the areas for consideration in a BRA. A report and accompanying webinar were published covering areas of good practice and where improvements can be made, this can be utilised by all sectors to assist developing a robust BRA. In addition to the Codes requiring consideration of the NRA in supervised entities' risk assessments, chapter 6.3 of the AML/CFT Handbook directs a relevant person to provide or arrange education and training regarding the BRA. Senior management should consider whether the NRA identifies matters which need to be brought to the attention of their colleagues and implement changes accordingly. ■

# 15. Updating the ML NRA

**It is recommended that the NRAs will be reviewed every two years, to identify if there are any significantly material changes that need to be reflected in the NRA. The NRA will also be reviewed on a trigger event basis if there is a substantive local or domestic event that impacts the TF risk to the Island or if the Island Plan/National Financial Crime Strategy require an NRA to be reviewed. Via the FCSB, recommendations will be made as to which sectors to be reviewed or existing risk assessments that require to be refreshed (at least on a 5-year cycle).** ■



# 16. Appendices

# Appendix I

## Progression of Actions from the 2020 NRA Through the 2021 and 2024 Financial Crime Strategies – Key Themes

The progression from the 2020 National Risk Assessment (NRA) through the 2021–23 and 2024–26 Financial Crime Strategies reflects steady progress from identifying deficiencies to building capability, and ultimately towards evidencing maturity and effectiveness. The 2020 NRA largely diagnoses gaps across governance, data quality, supervisory consistency, and sector specific vulnerabilities, while noting the need for stronger legislative frameworks, deeper intelligence analysis, and greater scrutiny of complex ownership structures. It establishes the foundations for a more coordinated national response, a refreshed strategic direction and in particular improved utilisation of existing powers.

The 2021–23 Strategy translates identified deficiencies into structured actions. The focus is on strengthening legislative tools, deepening risk-based supervision, expanding data collection and analysis, and enhancing enforcement capability. Engagement with industry was evolving into more formalised partnerships with participation in international bodies becoming more deliberate and consistent. This Strategy works to embed processes, improve skills, and establish clear mechanisms for collaboration across agencies and sectors.

The emphasis for 2024–26, moves from establishing frameworks to demonstrating effectiveness aligned with international standards. Data and analytics are a strategic pillar, with expectations for comprehensive, consistent data systems to drive both supervision and operational decision making. Supervisory regimes have been maturing into fully risk based, intelligence-led models, and enforcement is becoming more integrated and technologically enabled. Industry engagement has evolved and international cooperation continues to be proactive.

| Theme | 2020 NRA | 2021-2023 FCS | 2024-2026 FCS |
|---|---|---|---|
| **Policy, legislation, and governance** | The 2020 NRA identifies the need for strengthened governance, new AML/CFT Codes, civil penalties, alignment with EU beneficial ownership systems, and improved accessibility of BO Registers. It calls for authorities to make effective use of new powers, address data gaps. and improve regulatory consistency. It also directs the Financial Crime Strategic Board to draft a new Financial Crime Strategy and report on its delivery. | The 2021–23 FCS turns those foundations into actions, including:<br>• using legislative powers and improving the POCA framework;<br>• maintaining compliance with FATF standards and preparing for MONEYVAL reviews; and<br>• contributing to international standards development. | The 2024–26 FCS has "Highest international standards" as Strategic Objective 1. Key actions include:<br>• providing compelling evidence of effectiveness for the next MONEYVAL evaluation;<br>• delivering an accessible Beneficial Ownership Register; and<br>• addressing misuse of legal persons, professional enablers, and kleptocracy risks. |

| Theme | 2020 NRA | 2021-2023 FCS | 2024-2026 FCS |
|---|---|---|---|
| **Risk Assessment, data, and analytics** | The 2020 NRA Highlights some data deficiencies, the need for analysis of financial inflows/outflows, improved border-related data, and better SAR utilisation. It calls for full analysis of new data for risk-based supervision and law enforcement, improving the quality and depth of intelligence analysis.<br><br>• Specific actions include:<br>• Eestablish a process to capture data on all cash seizures. | Actions include:<br><br>• Undertaking detailed data analysis and expanding datasets;<br>• Keeping the National Risk Assessment up-to-date; and<br>• improving financial crime data availability. | Data is formalised as a standalone strategic priority. Key actions include:<br><br>• Review and update the NRA;<br>• Introduce systems for comprehensive, consistent data collection; and<br>• Conduct regular strategic analysis to guide resource allocation. |
| **Supervision and regulatory compliance** | The NRA outlines extensive supervisory expectations, particularly for the FSA, including AML/CFT/CPF returns, DNFBP inspections, and sector-specific oversight. Regulators are to continue regular, risk-based AML/CFT/CPF supervision. Specific actions include:<br><br>• TCSPs and other sectors to implement strengthened introduced business rules (2019 Code);<br>• conduct supervisory inspections of High-risk DNFBPs;<br>• increased awareness in low reporting sectors (Estate Agents, Payroll, Non-Life Insurance);<br>• continued AML training for staff in multiple sectors;<br>• better understanding of TF typologies for industry;<br>• the FSA to review and potentially update the regulatory framework for exempt funds;<br>• banks to screen, monitor, and report on suspicious activity promptly;<br>• online gambling operators to verify identities before deposits/withdrawals;<br>• estate agents to conduct Risk Assessments on landlords and tenants;<br>• ensure SNPOs comply with the SNPO Code and register with the FSA; and<br>• corporate venture capital businesses to have at least 2 resident directors and management in the IOM. | Actions expand to:<br><br>• riskbased supervision, increased engagement with industry, and removing barriers to effectiveness; and<br>• establishing specialist skills through training programmes. | Supervisory strengthening is an entire strategic objective (SO4). Key actions include:<br><br>• ensure appropriate resourcing and capability for supervision;<br>• review legislation to support supervisory work;<br>• use full suite of proportional sanctions; and<br>• conduct risk-based inspections. |

| Theme | 2020 NRA | 2021-2023 FCS | 2024-2026 FCS |
|---|---|---|---|
| **Law enforcement, intelligence, and asset recovery** | Improvements are required in quality and depth of FIU intelligence analysis, examination of TF cases, and border intelligence.<br><br>Specific actions for the FIU and law enforcement include:<br>• continued focus on border controls quality, training, and declarations process;<br>• further analyse inflows/outflows to Higher-risk jurisdictions;<br>• develop ways to further collaborate with industry on TF risk;<br>• enhancements to:<br>○ joint border intelligence-sharing with the FIU;<br>○ training for port staff; and cooperation with courier services. | Actions include:<br>• cintelligence-gathering, investigation, prosecution, and asset recovery; and<br>• cenhancing public sector specialist training. | SO5 focuses entirely on empowering law enforcement, including:<br>• ensuring the FIU has access to the widest possible financial information;<br>• strengthening the sanctions regime, developing civil forfeiture powers, supporting PIMLIT; and<br>• enhancing international engagement and joint investigations. |
| **Industry engagement and public–private partnerships** | The NRA Highlights the need for increased industry awareness (especially in low reporting sectors), better TF cooperation, and clearer controls. | This becomes a structural element.<br>Actions include:<br>• work closely with industry, maintain fora. and develop public–private partnerships; and<br>• publication of typologies and guidance. | SO3 focuses on proactive knowledge sharing. Key actions include:<br>• engage early with industry on regulatory change;<br>• deliver comprehensive engagement programmes; and<br>• facilitate cooperation through MOUs, and data sharing agreements. |
| **International cooperation** | The NRA identifies an ongoing need to integrate with EU BO systems and respond to international recommendations. Authorities must also monitor the impact of UK's exit from the EU and act when needed. | This becomes:<br>• active participation in MONEYVAL, the GIFCS, Egmont, and CARIN; and<br>• maintaining awareness of international developments, responding where required. | Strategic Objectives 1 and 3 deepen this further. Key actions include:<br>• proactive participation internationally; and<br>• clear FATF Immediate Outcome measurement, global cooperation, and public BO transparency. |

| Theme | 2020 NRA | 2021-2023 FCS | 2024-2026 FCS |
|---|---|---|---|
| **Technology, digital systems, and innovation** | The NRA identifies gaps in cybercrime understanding and technology-related risks. Specific actions include:<br>• review accuracy and completeness of beneficial ownership identity/verification data;<br>• better use of SARs, international letter of request data, and annual regulatory returns;<br>• full exploitation of joint FSA/GSC data systems; and<br>• further analysis of financial flow risks, especially for TF and human trafficking. | The 2021–2023 FSC introduces the need for:<br>• awareness of new technologies and tools; and<br>• investment in technology and reporting on its impact. | Technology becomes integral across objectives, such as:<br>• data systems for strategic analysis; and<br>• digital innovation in obtaining financial information and evidence. |
| **Sector-specific risks** | The NRA Highlights High-risk sectors including:<br>• TCSPs and Corporate Venture Capital. Gaps/developing areas of potential risk include cybercrime and human trafficking. | Sectoral detail is less explicit, but actions are identified around developing typologies, skills, and partnership structures (PPPs). | Sectoral responses are present implicitly through risk-based supervision, data-driven targeting, and TF/PF NPO-related actions. |

# Appendix II: Mutual Evaluation Report 2016 (IO1) and Recommended Actions

**The 2016 Fifth Round Mutual Evaluation of the Isle of Man rated 'National AML/CFT Policies and Coordination' (IO1) as 'substantial'. The Recommended Actions identified in the MER specific to IO1 have been fully addressed.**

The Island was required to report on progress three times since the last MER regarding implementation of any remaining technical deficiencies in the FATF Recommendations. Moneyval published their 4th Enhanced Follow-Up Report (FUR) and Technical Compliance Re-Rating in November 2022. The Isle of Man is Compliant or Largely Compliant with 39 of the 40 Recommendation and Partially Compliant with Recommendation 23 - DNFBP's Other Measures.

The deficiencies noted for Recommendation 23 were (i) no specific requirement in the AML/CFT Code or Gambling Code in relation to having an independent audit function; and (ii) no specific requirement in the AML/CFT Code for groups to have group-wide programmes against ML/TF.

The Isle of Man has taken steps to address these deficiencies as noted by the FUR, however to date R23 has not been re-rated. Further consideration is being given to the remaining areas identified as requiring attention.

| Recommended Action | Progress |
|---|---|
| As identified in the NRA, the authorities should take steps to collect statistics on outgoing and incoming flows of funds in the financial sector. The IOM should then conduct a reassessment of those areas which would have benefitted from these statistics, mainly cross-border ML and TF threats. | Banking financial flow data has been available since 2018. This data and other detailed industry data collected by the regulators since 2022 has provided the authorities with a greater understanding of the exposure of the Island to potential and actual cross-border ML, PF, and TF threats. |
| The authorities should seek to understand where the beneficial owners of assets managed or held by regulated entities in the IOM are from and consider this information in the next iteration of the NRA. | Industry data collected by the regulators since 2017, has provided the authorities with a clear picture of the nationality and the place of residence of beneficial owners, which is used to inform the NRA. Detailed information collected for a Risk Assessment concerning legal persons and arrangements is further adding to that understanding and will further inform risk mitigation measures. |

| Recommended Action | Progress |
|---|---|
| The IOM should undertake a more detailed assessment of the risk resulting from the use by banks of CDD information provided by TCSPs that have collected this information in turn from a professional intermediary. The authorities should also consider reassessing the risk posed by lawyers, the Real Estate sector, and the threat posed by cash entering and exiting the IOM. | The Anti-Money Laundering and Countering the Financing of Terrorism Code 2019 included an updated "Introduced Business" paragraph which mandated that, when a customer is introduced by one entity (the introducer) to another (such as a bank), and elements of customer due diligence are provided by the introducer, the bank must assess the risk associated with the introducer as part of the broader Customer Risk Assessment. This assessment should also consider internal mitigation factors, such as whether the customer has been met by staff of the receiving entity, and the way in which CDD was obtained by the introducer.<br><br>By increasing staffing resources at the borders, a greater understanding of the threat of cash entering and leaving the Island is being formed, which in turn informs law enforcement agencies of the risks and where to focus resources. The industry data now available to the FSA provides a more detailed understanding of DNFBs, including the Real Estate sector and the Legal sector, and informs the understanding of the risk profile of these sectors. |
| The IOM should consider whether the exemptions set out in the AML/CFT Code – Higher-risk scenarios and lower-risk scenarios which support the application of enhanced and simplified measures respectively – are consistent with the ML/TF risks present in the country. | A Risk Assessment of simplified measures relating to the regulatory framework from a ML/TF/PF perspective has been undertaken. This risk assessment is an internal document; however, further information at a High level can be found under Chapter 6 of this NRA. |
| Going forward, it should be ensured that the objectives and activities of the FIU and LEAs are consistent with AML/CFT policies and identified ML/TF risks. | The authorities have made significant efforts to ensure alignment between the objectives and activities of the FIU and LEAs and AML/CFT policies and identified risks. All authorities contribute to the Financial Crime Strategy; all authorities are represented at political, strategic, and operational level, and activities are monitored and reported upon. As part of a revised governance framework, a Multi-Agency Cooperation Working Group was established. |
| The authorities should introduce (or strengthen existing ones, as the case may be) cooperation mechanisms in those areas which are identified as missing in this report, including a formal PF policy. | The authorities published a formal PF policy in 2018 and have proactively provided outreach to industry in relation to PF, including webinars, factsheets, and presentations. The Isle of Man is currently conducting a multi-agency PF risk assessment. Measures to strengthen cooperation have been introduced, including, but not limited to, new arrangements at the borders and a revised national governance structure for AML/CFT. In addition, a Sanctions Operational Group has been formed to strengthen cooperation mechanisms between agencies on sanctions matters. |

# Appendix III: Legislation

The table below identifies the key legislative changes that have been introduced since the 2016 MER.

## PRIMARY LEGISLATION (ACTS OF TYNWALD)

These create or amend the core AML/CFT/CPF legal framework and institutional powers.

Note: The Isle of Man will be holding a General Election in September 2026. Given that legislative time for the current Administration is now restricted, several pieces of legislation that have been in development will not be able to progress within the parliamentary time available. Where relevant, this has been indicated in the table below.

| Act | Key changes/purpose | Date |
|---|---|---|
| Beneficial Ownership Act 2017 | Established a central Beneficial Ownership Database for corporate/legal entities<br><br>Amended by the Beneficial Ownership (Amendment) Act 2021, which included the recommendations of the Committee of Experts on the Evaluation of Anti-Money Laundering Measures and Financing of Terrorism by separating the requirement to submit an annual statement of compliance from the requirement to submit an annual return under other specified Acts | 21 June 2017<br><br>Received Royal Assent on 15 June 2021 |
| Fraud Act 2017 | Introduced standalone fraud offences and dishonest obtaining of services | 1 November 2017 |
| Casino (Amendment) Act 2018 | Strengthened AML/CFT/CPF compliance powers for casinos, including licence revocation | 24 January 2018 |
| Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Act 2018 | Empowers the Gambling Supervision Commission to enforce AML/CFT/CPF duties | 24 January 2018 |
| Customs and Excise Act 2018 | Allowed Treasury to delegate powers to bodies combatting financial crime; added the FIU as a report recipient | 1 March 2018 |
| Anti-Money Laundering and Other Financial Crime (Miscellaneous Amendments) Act 2018 | Amended core financial crime laws (Companies, Foundations, Partnerships, Criminal Justice, Financial Services) to improve AML/CFT/CPF regulation | 21 June 2018 |
| AML/CFT (Specified Non-Profit Organisations) Code 2026 | Replaces and revokes the AML/CFT (Specified Non-Profit Organisations) Code 2019; intends to widen the cohort of SNPOs whilst introducing a more risk-based approach to compliance | Drafting in progress |
| Companies (Amendment) Act 2021 | Amends the Companies Act 1931 and the Companies Act 2006 in accordance with recommendations specified in the Fifth Round Mutual Evaluation Report of the Committee of Experts on the Evaluation of Anti-Money Laundering Measures and the Financing of Terrorism | 15 June 2021 |
| Sanctions Act 2024 | Provides for the implementation in the Island of United Kingdom sanctions provisions and amends the Terrorism and Other Crime (Financial Restrictions) Act 2014 to align certain provisions more closely with equivalent provisions of United Kingdom law. | 16 April 2024 |

## PRIMARY LEGISLATION (PENDING)

| Act | Key changes/purpose | Date |
|---|---|---|
| Extradition Bill 2025 | Provides an up-to-date framework in Manx primary legislation for extradition to and from the Island. | Third Reading in the Legislative Council on 27 January 2026 |
| Gambling Legislation (Amendment) Bill 2025 | Enhances and harmonises the Gambling Supervision Commission's regulatory powers across the legislative framework and aligns the Island's gambling regulatory framework with evolving international expectations. | Second reading approved by the House of Keys on 4 November 2025; clauses Sstages in the House of Keys on February 2026. |
| Financial Services (Miscellaneous Amendments) Bill | Amendments to clarify and enhance the Isle of Man's regulatory and oversight frameworks, reflect changes to international standards, and safeguard the Island's reputation as a well-regulated jurisdiction for financial services | Public consultation closed on 1 September 2025; intended to be introduced into Tynwald before the end of the current administration |
| Justice Reform (Amendment) Bill | Amendments to the Justice Reform Act 2021 and several other pieces of related legislation to enable effective implementation of the Justice Reform Act 2021 | Clauses to be debated in House of Keys in February 2026 |
| Retirement Benefit Schemes (Amendment) Bill | Amendments to the Retirement Benefits Schemes Act 2000 and the Financial Services Act 2008 to modernise and strengthen the Isle of Man's regulatory framework for pension schemes and pension service providers to help the Island continue to meet international standards and safeguard its reputation as a well-regulated jurisdiction for financial services | Public consultation closed on 1 September 2025; expected to be introduced into Tynwald before the end of the current administration |
| Companies (Miscellaneous) (Amendment) Bill | Makes amendments to various Companies Acts, including the Beneficial Ownership Act 2017, to better combat money laundering, the financing of terrorism, and the financing of the proliferation of weapons of mass destruction, along with any other form of financial or non-financial crime | Drafting in progress |
| Proceeds of Crime (Miscellaneous Amendments) Bill | Ensures law enforcement agencies have the full range of powers required to enable them to prevent money laundering or the financing of terrorism, and to ensure assets from such crimes are not connected to or deposited in the Island. | Public consultation closed on 27 March 2025; not being progressed at this time |
| Proceeds of Crime (Amendment) (Unexplained Wealth Orders) Bill 2025 | Inserts provisions relating to unexplained wealth orders paralleling those already found in the Proceeds of Crime Act 2002 (an Act of Parliament) | Public consultation closed on 27 March 2025; not being progressed at this time |
| Proceeds of Crime (Amendment) (Forfeiture of Money held in Bank and Building Society Accounts) Bill 2025 | Makes changes regarding the freezing and restraining of criminal assets in bank and building society accounts | Public consultation closed on 27 March 2025; not being progressed at this time |

## SECONDARY LEGISLATION (ORDERS, RULES, CODES ETC.)

These provide operational rules, technical details and enforcement mechanisms.

| Title | Key changes/purpose | Date |
|---|---|---|
| Anti-Terrorism and Crime Act 2003 (Cash-Specified Monetary Instruments) Order 2017 | Updates the definition of "cash" for cross-border declarations (€10,000+) | 1 June 2017 |
| European Union (Information Accompanying Transfers of Funds) Order 2016 | Applies Regulation (EU) 2015/847 of the European Parliament to the Isle of Man *[Continued by virtue of the European Union and Trade Act 2019]* | 26 June 2017 |
| Information Accompanying Transfers of Funds Regulations 2016 | Provides for the implementation of the above Order and makes the Isle of Man Financial Services Authority the competent authority for the purposes of the EU Regulation *[Continued by virtue of the European Union and Trade Act 2019]* | 26 June 2017 |
| European Union (Information Accompanying Transfers of Funds) (Amendment) Order 2017 | Amends the definition of "electronic money" to refer to a more recent definition of that term in EU legislation (before the original Order came into operation) | 23 June 2017 |
| Anti-Terrorism and Crime Act (Compliance with International Standards) Order 2017 | Amends the Anti-Terrorism and Crime Act 2003 by inserting –<br>(a) updated definitions; and<br>(b) offence provisions for financing travel (section 9A) and offences committed outside the island (10A) | 15 December 2017 |
| Proceeds of Crime Act (Compliance with International Standards) (Amendment) Order 2017 | Amends the Proceeds of Crime Act 2008 by inserting section 163A, which makes failure to comply with a production order an offence | 15 December 2017 |
| Financial Intelligence Unit (Tipping Off) Regulations 2018 | Defines "tipping off" as relating to the disclosure of information relating to a Financial Intelligence Unit request to any person that may prejudice an investigation; also makes tipping off an offence and provides for a defence against such an offence | 1 March 2018 |
| Terrorism and Other Crime (Financial Restrictions) Act 2014 (Amendment) Order 2018 | Amends Schedule 2 to the Terrorism and Other Crime (Financial Restrictions) Act 2014 to update references in relation to freezing orders and licences | 1 May 2018 |

| Title | Key changes/purpose | Date |
|---|---|---|
| Customs and Excise Acts (Application) (Amendment) (No.3) Order 2018 | Extends the powers of a customs officer to inspect, examine, and take account of goods at any premises outside of designated areas such as airports, ports, etc. | 1 May 2018 |
| Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Civil Penalties Order 2018 | Requires operators to pay a civil penalty for contraventions of the provisions of the Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Act 2018, AML/CFT/CPF legislation, or in relation to false, inaccurate, or misleading information provided to the Gambling Supervision Commission | 21 May 2018 |
| Anti-Money Laundering and Countering the Financing of Terrorism (Amendment) Code 2018 | Amends the Anti-Money Laundering and Countering the Financing of Terrorism Code 2015 to give effect to recommendations made in the Mutual Evaluation Report by MONEYVAL | 14 September 2018 |
| Anti-Money Laundering and Countering the Financing of Terrorism (Unregulated Trustees) Code 2018 | Contains provisions to prevent money laundering and the financing of terrorism by unregulated trustees (whether domestic or foreign) and contains an offence provision | 14 September 2018 |
| Anti-Money Laundering and Countering the Financing of Terrorism (Specified Non-Profit Organisations) Code 2019 | To specify requirements in relation to Specified Non-Profit Organisations that are separate to the Island's Anti-Money Laundering and Countering the Financing of Terrorism Code | 1 June 2019 |
| Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Code 2019 | Sets out detailed AML/CFT/CPF obligations for gambling operators licensed by the IOM Gambling Supervision Commission: failure to comply with the Code is an offence and the Code contains the penalties for such an offence. | 1 June 2019 |
| Proceeds of Crime Act (Compliance with International Standards) Order 2019 | Amends Section 157 of the Proceeds of Crime Act 2008 by introducing an ability to impose a civil penalty in the case of a contravention; also makes consequential amendments to section 5(b) of the Designated Businesses (Registration and Oversight) Act 2015 | 18 June 2019 |
| Proceeds of Crime Act (Compliance with International Standards) (No.2) Order 2019 | Amends the Proceeds of Crime Act 2008 to implement recommendations made in the Fifth Round Mutal Evaluation Report of the Committee of Experts on the Evaluation of Anti-Money Laundering Measures & the Financing of Terrorism | 18 July 2019 |
| Terrorism and other Crime (Financial Restrictions) Act (Section 69A) Order 2019 | Amends the Terrorism and Other Crime (Financial Restrictions) Act 2014 to implement recommendations made in the Fifth Round Mutal Evaluation Report of the Committee of Experts on the Evaluation of Anti-Money Laundering Measures & the Financing of Terrorism | 18 June 2019 |

| Title | Key changes/purpose | Date |
|---|---|---|
| Anti-Money Laundering and Countering the Financing of Terrorism (Civil Penalties) Regulations 2019 | Specifies the circumstances in which the Isle of Man Financial Services Authority may impose a civil penalty on a relevant person for contravention of the AML/CFT Code 2019, and the amount of penalty that may be imposed | 19 June 2019 |
| Proceeds of Crime Act (Compliance with International Standards) (No.3) Order 2019 | Amends the Proceeds of Crime Act by making explicit the offence of "tipping off" in Section 145. It also provides for an Order to be created specifying the meaning of "financial institution" and adds a reference to "approved country or territory" and removes the reference to "credit institution" in these sections | 19 November 2019 |
| Anti-Money Laundering and Countering the Financing of Terrorism (General and Gambling) (Amendment) Code 2019 | Amended both codes to address grammatical errors, clarify and substitute wording, and correct incorrect references to satisfy the requirements set out in the FATF recommendation | 10 December 2019 |
| Proceeds of Crime (Financial Institution) Order 2019 | Specifies the meaning given to "financial institution" within Sections 145 to 148 of the Proceeds of Crime Act 2008 | 10 December 2019 |
| Proceeds of Crime (Meaning of Group) Order 2019 | Specifies the meaning given to "group" within Section 146(2) of the Proceeds of Crime Act 2008 | 10 December 2019 |
| Charities Regulations 2020 | Regulation 19(2)(d) allows the Attorney General to request a registered charity furnish them with a description of policies which the charity has for identifying and reducing the risk of money laundering activities or financing terrorism | 1 April 2020 |
| Corporate Governance Code of Practice for Insurers 2021 | Guidance Note 70 places a requirement on an insurer to ensure that its measures in relation to AML/CFT/CPF form an integral part of the insurer's risk management system, including being taken account of in an insurer's internal audit programme | 30 June 2022 |
| Beneficial Ownership (Civil Penalties) Regulations 2022 | Specifies the circumstances wherein the Authority may impose a civil penalty on a relevant person for contravening the Beneficial Ownership Act 2017 in lieu of criminal proceedings | 31 July 2022 |
| Proceeds of Crime (Business in the Regulated Sector) (Amendment) Order 2024 | The most recent Amendment Order that replaces Schedule 4 to the Proceeds of Crime Act 2008, introduces several revised sector definitions, and updated terminology to better align the Isle of Man's AML/CFT/CPF framework with globally recognised international standards | 25 October 2024 |
| Terrorism and Other Crime (Financial Restrictions) (Compliance with International Standards) Order 2024 | Widens the power of the Department of Home Affairs to include (in a code made under Section 68 of the Terrorism and Other Crime (Financial Restrictions) Act 2014) the power to compel persons carrying on a business in the regulated sector to take prescribed measures and make provisions about which information can be used and the persons to whom it may be disclosed | 18 July 2024 |
| Travel Rule (Transfer of Virtual Assets) Code 2024 | Obliges relevant persons acting as virtual asset providers to retain specified information for AML/CFT/CPF purposes | 28 October 2024 |

| Title | Key changes/purpose | Date |
|---|---|---|
| Designated Businesses (Amendment) Order 2024 | Replaces Schedule 1 to the Designated Businesses (Registration and Oversight) Act 2015 to include updated, more detailed definitions and exemptions | 17 October 2024 |
| Beneficial Ownership (Obliged Entities Access) Order 2024 | Amends Section 26 to add obliged entities to the list of persons or bodies who may access the IOM database of beneficial ownership, and inserts a definition of obliged entities (namely, a person or body carrying out a business or activity to which either the Anti-Money Laundering & Countering the Financing of Terrorism Code 2019 or the Gambling (Anti-Money Laundering & Countering the Financing of Terrorism) Code 2019 applies) | 11 December 2024 |
| Financial Intelligence (Definition of Financial Crime) Order 2025 | Amends the Financial Intelligence Unit Act 2016 by expanding the definition and legal scope of "financial crime" | 24 April 2025 |
| Beneficial Ownership Act 2017 (Amendment) Order 2025 | Amends the definition of "beneficial owner" | Drafting in progress |
| AML/CFT (Specified Non-Profit Organisations) Code 2026 | Replaces and revokes the AML/CFT (Specified Non-Profit Organisations) Code 2019; intends to widen the cohort of SNPOs whilst introducing a more risk-based approach to compliance | Drafting in progress |

# Appendix IV: Countries That Pose or May Pose a Higher Risk and Countries to which the IOM has a Higher Exposure

The Isle of Man identifies countries by the risk they pose:

- 'List A' is a list specifying jurisdictions which the FATF has made a call on its members and other jurisdictions to apply countermeasures to protect the international financial system from the ongoing and substantial risks of ML/TF emanating from the jurisdiction. List A currently comprises 3 jurisdictions.

- "List B' is a list specifying jurisdictions with strategic AML/CFT deficiencies or those considered may pose a higher risk of ML/TF. List B is made up of two lists:

  - List Bi – consists of countries that FATF has identified as having strategic AML/ CFT deficiencies for which they have developed an action plan with the FATF. It also identifies jurisdictions that have not made sufficient progress on their action plans agreed with the FATF

  - List Bii – this section specifies additional jurisdictions that have also been identified as those that may pose a higher risk of ML or TF by the IOM Government. The list is prepared, in accordance with an established methodology, using data gathered from various commercial intelligence sources that cover ML, TF, crime, transparency and bribery/corruption risk.

The June 2025 (3 July 2025) published lists were used for this document with the exception of payment flows, which used the November 2024 list (effective as at 31 December 2024).

## NON-HIGHER RISK JURISDICTIONS:

- 'List C' is a list specifying countries which are considered to have an AML/CFT regime of approximately equivalent standard to that of the IOM

- 'List D' – Disclosures within a "Group" List

- 'Lists C&D are referred to as 'other' in some tables

These lists are published by Department of Home Affairs and updated whenever changes occur. Industry is accustomed to updating their own systems and relevant procedures and controls using these Lists. ›

The following table provides summary details of relevant AML matters for countries with which the Isle of Man has a higher exposure due to financial flows and/or larger numbers of natural or non-natural customers. The information is taken from the latest Mutual Evaluation Report, or the countries own National Risk Assessment. The countries identified are:

| Country* | Top 10 financial inflows and/or top 10 financial ouflows | Top 10 personal resident customers | Top 10 resident ultimate beneficial owners |
|---|---|---|---|
| Argentina | | ✔ | |
| Belgium | ✔ | | |
| Brazil | | ✔ | |
| Hong Kong, China | | ✔ | ✔ |
| France | ✔ | | |
| Germany | ✔ | | |
| Gibraltar | | | ✔ |
| Guernsey | ✔ | | ✔ |
| India | ✔ | ✔ | |
| Ireland | ✔ | | ✔ |
| Japan | | ✔ | ✔ |
| Jersey | ✔ | | ✔ |
| Kenya* | | ✔ | |
| Luxembourg | ✔ | | |
| Malta | | | ✔ |
| Mauritius | ✔ | | |
| Mexico | | ✔ | |
| Singapore | ✔ | | |
| South Africa | ✔ | ✔ | ✔ |
| Switzerland | ✔ | | |
| UAE | | ✔ | ✔ |
| UK | ✔ | ✔ | |
| USA | ✔ | | ✔ |

List B(i) ongoing

| Jurisdiction | Risk profile |
|---|---|
| Argentina | • Some external OCGs from neighbouring jurisdictions use Argentina's financial system to launder the funds gained from drug trafficking and other predicate offences. (Section 3, p. 7)<br>• LPAs present a weakness in Argentina's AML regime, as BO information is not always supplied accurately or adequately to law enforcement upon request, and the identity checks required on trustees of foreign-established trusts do not meet FATF requirements. (Section 1(k), p. 6) |
| Brazil | • As the most populous country and largest economy in South America, and with a long, porous border and coastline, Brazil is inherently exposed to financial crime. An informal economy and a regulated sector that is frequently subject to abuse put Brazil at significant risk of being utilised for ML. (Section 2, p. 5) |
| France | • France's primary ML threats originate from fraud relating to tax, social security, and customs duties; other predicate offences affecting the country include human trafficking and corruption by domestic and foreign PEPs. (Section 3, p. 5)<br>• France's most recent MER commended the country on its robust legal framework for tackling ML which translates into an effective enforcement regime. Supervision of DNFBPs and due diligence regulations regarding PEPs were identified as areas for improvement (Sections 5–6, p. 6) |
| Gibraltar | • Gibraltar's risk of ML derives from its border with Spain, where OCGs engaging in the trafficking of drugs and tobacco may wish to launder their funds through a jurisdiction with certain vulnerable sectors, (§ 2, p. 7) including e-money and TCSPs. (Section 3, p. 7) |
| Guernsey | • Guernsey's ML risk primarily derives from its use as a transit hub for illicit funds originating from larger jurisdictions and sometimes being directed through multiple IFCs including the Bailiwick. (Section 2, p. 9) |
| Hong Kong, China | • HKC is a major continental and global financial centre for a number of financial sectors, including securities, insurance, and wealth management (Section 2, p. 5) – a status which puts it at significant threat to the laundering of the proceeds of (primarily external) crime. (Section 3, p. 5)<br>• Smaller FIs and DNFBPs operating exclusively in HKC have an insufficient understanding of ML risks, as do certain minor supervisory bodies. The FATF expressed concern that Dealers in Precious Metals and Stones and certain financial leasing firms are not subject to any AML regulations. (Section 1(e), p. 4) |
| India | • India faces a high risk of ML, in large part due to its status as a global centre for fraud factories, the revenue from which is either laundered locally or externally before being reintegrated into the Indian economy. (Section 2, p. 4)<br>• Law enforcement also lacks the resources to effectively detect and prevent human trafficking and drug smuggling, two other common predicate offences for ML. (Section 1, p. 3)<br>• Customer background checks for criminality are inadequate among DNFBPs, particularly for Dealers in Precious Metals and Stones. (Section 1, p. 4) |
| Ireland | • Domestic organised crime organisations, including former paramilitary groups, constitute Ireland's main ML threat; their activities include drug smuggling, human trafficking, and fraud operations. (Section 3, p. 5) A large number of PSPs – a sector warranting enhanced supervision due to its risk nature – use Ireland a base for their EU activities. (Section 4, p. 5) |
| Japan | • Organised crime groups are active in Japan and launder the proceeds from a variety of predicate offences, including fraud and drug trafficking. There is also a high rate of illegal money transfers from foreign actors. (Section 2, p. 6) |
| Jersey | • Jersey has a sizeable wealth management sector with an international clientele, which leaves it exposed to ML by foreign criminals. The variety of financial services offered by Jersey requires stringent regulation, (Section 2, p. 8) and the FATF were satisfied with the cooperation between agencies to enforce this regulation. (Section 1(a), p. 5)<br>• Requirements for CDD checks by firms were noted as a weakness in Jersey's AML regime as they relied too heavily on self-declarations by potential clients, and such checks had only recently been introduced for DNFBPs and VASPs at the time of Jersey's MER in 2024. (Section 1(h), p. 7) |

| Jurisdiction | Risk profile |
|---|---|
| Kenya | • The FATF assessed Kenya as having high exposure to ML and the transit of drugs and illegal wildlife, (Section 2, p. 10)<br>• Customs officials did not detect as many undeclared cash transmissions as would be expected from a jurisdiction with Kenya's regional financial significance. (Section 1(g), p. 9)<br>• DNFBPs and other non-bank FIs are not adequately supervised or regulated for AML compliance, and inspections fail to consider the effectiveness of FIs' compliance systems. (Section 1(i), p. 9) VASPs are not regulated by Kenyan authorities, and the jurisdiction has not carried out an NRA to gauge the ML threat posed by VAs. (Section 1(m), p. 9) |
| Luxembourg | • 23% of Luxembourg's GDP derives from the finance/insurance sector, it has the largest investment fund market in Europe, and it is a continental centre for the hosting of payment and e-money institutions. (Section 2, p. 5) This international-facing nature of Luxembourg's finance sector leaves it exposed to the threat of ML for the proceeds of foreign predicate offences. (Section 3, p. 6)<br>• DNFBPs, particularly real estate agents and Dealers in Precious Metals and Stones, lack a detailed understanding of their AML obligations, reflected in the low number of suspicious transactions reports filed by the sector. (Section 1(9), p. 4) |
| Malta | • Remote gaming is a significant contributor to the Maltese economy. This is an industry with a high vulnerability to ML due to its non-face-to-face nature and the frequent use of prepaid cards for transactions. Malta's banking and TCSP sectors primarily service non-residents, and OCGs are active in the country, all factors which raise Malta's threat exposure. (Sections 2–4, p. 9)<br>• Outside of banks and casinos, FIs were rarely able to demonstrate to the FATF their understanding of ML typologies, casting a negative light on the integrity of Malta's Suspicious Transaction Reporting procedure. (Section 1, p. 7) |
| Mexico | • Drug smuggling and human trafficking, among other predicate offences, generate a very high volume of revenue in Mexico; (Section 2, p. 5) when combined with a large cash-based, informal economy (Section 4, p. 5) and a significant flow of cash across the border with the US, this puts Mexican banks at high risk of ML. (Section 3, p. 5)<br>• Understanding of complex ML threats is limited among Mexican DNFBPs, and the wider financial sector fails to fully recognise corruption as a predicate offence for ML. (Section 1, p. 3)<br>• The CDD conducted by FIs on the beneficial owners of potential customers is inadequate and rarely scrutinises the declarations made by customers themselves, and FIs typically do not know the controlling personnel of their customers beyond the surface level of legal ownership. (Section 1, p. 4) |
| Singapore | • 77% of funds managed by Singaporean firms originate externally, mostly from the Asia-Pacific region. This is a region with a high volume of organised crime activity, thus Singapore is vulnerable to the laundering of the proceeds of illicit activity. (Section 3, p. 5)<br>• The FATF praised Singapore in its most recent MER for its sophisticated AML regime and powerful law enforcement network but noted some gaps in detailed understanding among supervisory authorities of the jurisdiction's transnational ML threat; this gap in understanding was also observed in DNFBPs. (Section 1, pp. 3–4)<br>• Singapore's NRA did not analyse the risk level for LPAs beyond acknowledging that they could be used to obscure the origins of illicit funds, and DNFBPs struggle to meet requirements for ascertaining BO. (Section 1, p. 4) |
| South Africa | • With a high volume of domestic proceeds-generating crime, and as the regional hub for finance in sub-Saharan Africa, South Africa has an inherent vulnerability to financial crime. (Section 2, p. 5) These factors, combined with widespread corruption in law enforcement, (Section 3, p. 5) put the jurisdiction's financial system at significant threat of ML.<br>• Though the institutions responsible for combatting financial crime in South Africa understand the risks and threats of ML, (Section 1(a), p. 3) their powers to combat it have been undermined by a prolonged period of state corruption, from which the country was slowly recovering at the time of the FATF's most recent assessment in 2021. (Section 1(b), p. 3)<br>• South Africa has a substantial informal economy and struggles to detect and confiscate undeclared cross-border cash moved into the country. (Section 1(f), p. 4)<br>• TCSPs are regularly exploited due to inadequate transparency requirements for registering BO. (Section 3, p. 5) |

| Jurisdiction | Risk profile |
|---|---|
| United Arab Emirates | • While the UAE exercises its wide confiscation powers against the proceeds of domestic crime, the jurisdiction could not demonstrate that an adequate quantity of assets generated from foreign predicate offences are seized. The cross-border movement of cash and precious metals is not effectively monitored. ((Section 1(e), p. 4) |
| United Kingdom | • The United Kingdom is exposed to a high risk of money laundering as a result of its openness to international business and a sizeable professional services sector. 2% of UK firms surveyed in 2024 reported experiencing known or suspected ML in the preceding 12 months. (Section 3.1, pp. 20–21)<br>• The UK's 2025 ML/TF NRA highlighted the jurisdiction's exposure to both traditional, cash-based ML (Section 3.5, p. 21) and the risks posed by emerging financial technologies, such as online payment service providers, cryptoassets, and the use of AI to evade fraud detection software. (Section 3.4, p. 20)<br>• The UK's previous NRA, published in 2020, identified the jurisdiction's ML/TF risk to be particularly significant in the following sectors: banking and financial services; real estate; legal and accountancy services; trust and company service providers; and cryptoassets. (Section 2.9, pp. 12–13) |
| United States | • As the world's largest economy, and with the dollar as the predominant currency of international finance, (p. 3) the United States is exposed to a number of high-level ML threats, and its risk landscape for ML has evolved significantly due to technological and geopolitical developments. (p. 96)<br>• The US' 2024 NRA attributes much of its ML risk to foreign actors, including Mexican drug trafficking organisations, Chinese organised crime groups, and cybercrime groups linked to Russia and the Democratic People's Republic of Korea. (p. 3)<br>• Among the ML vulnerabilities identified in the US' NRA are:<br>a. the bulk smuggling by OCGs of cash into and out of the US, particularly across the border with Mexico, to evade reporting requirements for high-value transactions; (pp. 43–44)<br>b. the exploitation of exemptions to recently implemented legislation on the reporting of beneficial ownership information; (pp. 54–55)<br>c. noted delays in banks resolving identified AML deficiencies or filing SARs. (p. 66) |

# Appendix V: Vulnerabilities by Fund Types

| Type of scheme | Scheme | Description | Vulnerability | Mitigant |
|---|---|---|---|---|
| Retail | Authorised | • Formally authorised by the FSA; most highly regulated scheme type; significant compliance infrastructure. Can be sold directly to the general public in the IOM<br>• Must appoint an Isle of Man Regulated Manager<br>• Must appoint a regulated Fiduciary Custodian/Trustee<br>• Must have appropriate arrangements for asset management<br>• Must appoint an auditor<br>• Assets are predominantly listed on major exchanges, with daily trading and transparent pricing | High volume of investors with varying risk profiles<br>Potential for anonymous or misrepresented investors<br>Use of online platforms and intermediaries<br>Exposure to high-risk jurisdictions | Mandatory CDD and risk-based profiling for all investors<br>Verification of identity, source of funds, and beneficial ownership<br>Distributor due diligence and oversight; reliance on regulated introducers only<br>Jurisdictional risk assessments and enhanced due diligence |
| | Regulated | • Regulated IOM fund subject to FSA pre-approvals<br>• Must appoint an Isle of Man Regulated Manager<br>• Must appoint a Fiduciary Custodian, Trustee, or Custodian<br>• Aimed at retail investors or markets requiring a Fiduciary Custodian, Trustee, or Custodian; no restrictions on type of investor<br>• May be open-ended or closed-ended<br>• Flexibility on investment advisory/asset management requirements<br>• Normally sold through independent financial advisors<br>• Must appoint auditor<br>• Assets are predominantly listed on major exchanges, with daily trading and transparent pricing. | Limited investor financial literacy | Clear disclosures, simplified due diligence for low-risk investors, and investor education |

*Retail-facing funds generally present the lowest level of money laundering risk. They can face vulnerabilities due to their broad investor base, Higher transaction volumes, and potential reliance on intermediaries. The Isle of Man mitigates these risks through rigorous regulatory oversight, customer due diligence, and distributor oversight, ensuring transparency and compliance across all touchpoints.* ›

| Type of scheme | Scheme | Description | Vulnerability | Mitigant |
|---|---|---|---|---|
| Professional | Qualifying | • No regulatory pre-approval, post-event notifications to the FSA<br>• Not retail: minimum initial investment level determined jointly by the governing body and the manager; investors must be "qualifying investors"<br>• Must appoint an IOM manager<br>• Must appoint a Custodian<br>• Flexibility on investment advisory/asset management requirements<br>• Normally sold through Regulated Independent Financial Advisors<br>• Regulated Promoter controlled distribution through acceptable financial advisors<br>• Must appoint auditor | Complex fund structures and instruments<br>High-value transactions and cross-border flows<br>Use of nominee shareholders or offshore entities<br>Reliance on intermediaries<br>Exposure to politically exposed persons<br>Exemptions: Specialist funds may appoint an exempt manager/asset manager. | Enhanced scrutiny of fund design and underlying assets: the licence-holder risk assesses the fund as its customer.<br>EDD on source of wealth and funds; transaction monitoring<br>Beneficial ownership transparency requirements where applicable and periodic verification<br>Enhanced due diligence, contractual controls, regulatory oversight, and ongoing monitoring<br>Mandatory PEP screening and senior management approval for onboarding<br>Exemption subject to Isle of Man-licensed administrator taking on various responsibilities. |
| | Specialist | • No regulatory pre-approval, post-event notifications to the FSA<br>• Not retail: minimum initial investment level determined jointly by the governing body and the manager; Investors must be "qualifying investors"<br>• Must appoint an IOM Manager<br>• Must appoint a CustodianFlexibility on investment advisory/ asset management requirements<br>• Distributed through Regulated Independent Financial Advisors<br>• Regulated Promoter controlled distribution through acceptable financial advisors<br>• Must appoint an auditor | | |

*Sophisticated/professional investor funds can be exposed to risks stemming from complex structures, high-value cross-border flows, and potential involvement of politically exposed persons. These are addressed through enhanced due diligence, strict licensing of service providers, and robust governance standards tailored to the complexity of these schemes.*

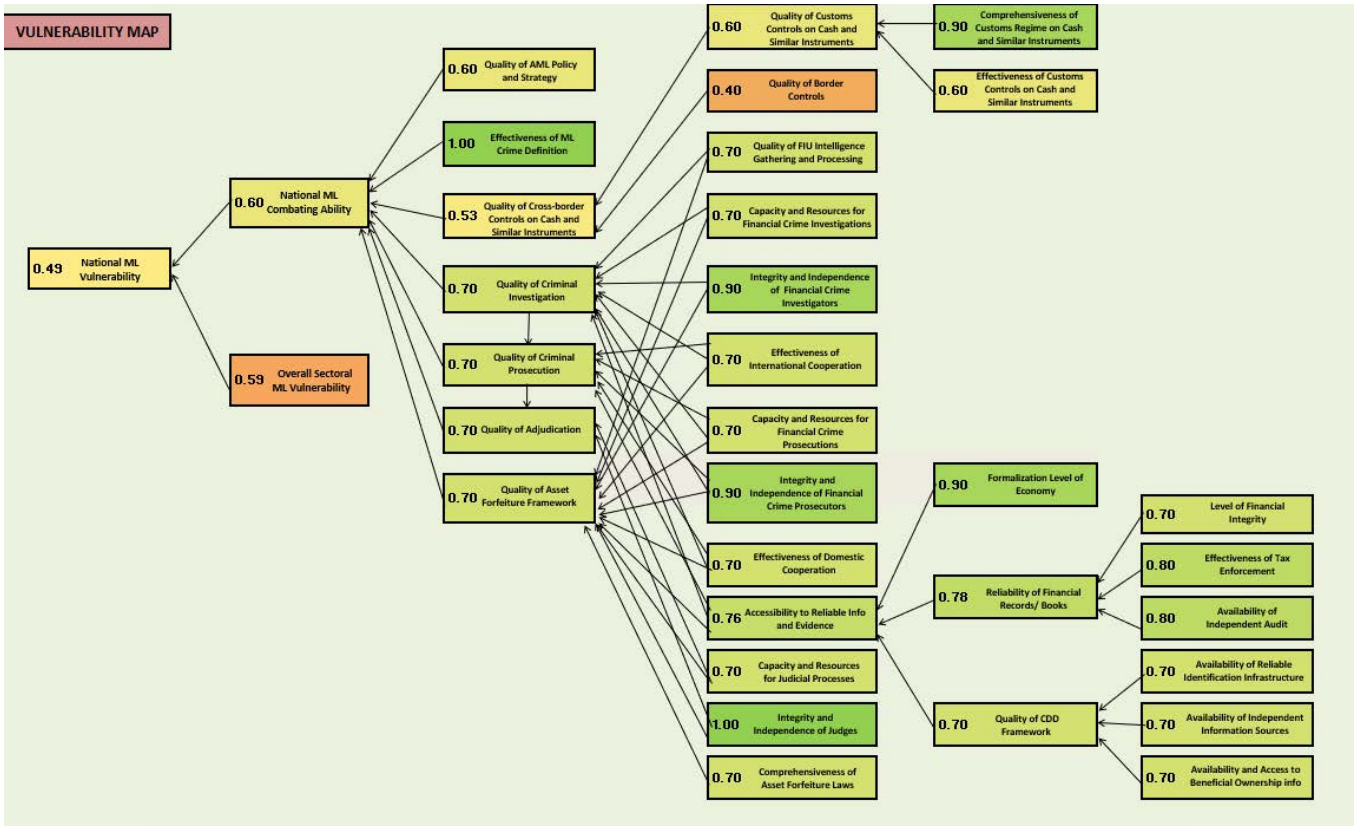
*The Island has had five high-profile scheme failures over the last decade that used the Qualifying Fund structure. These funds can use layered legal entities and offshore vehicles, sometimes across multiple jurisdictions, making it easier to obfuscate activities being undertaken. Without clear visibility, it is harder to assess the legitimacy of a fund's activities. This caused significant investor losses and reputational damage to the Island as a jurisdiction.* ›

| Type of scheme | Scheme | Description | Vulnerability | Mitigant |
|---|---|---|---|---|
| Private | Exempt | • Private arrangements: exempt scheme<br>• Not directly subject to regulation<br>• Must have fewer than 50 investors<br>• No invitation to become a participant can be made to the public or any section of it in any part of the world<br>• No requirement for auditor<br>• No requirement for licensed administrator or manager | Regulatory risk<br>Light-touch regulation with limited registration or oversight of exempt schemes; where appointed, administrators/managers bear primary responsibility.<br><br>Exemptions –<br>exist that allow for individual exempt schemes to be managed without requiring a licence.<br><br>Complex structures –<br>Flexible, multi-jurisdictional structures with limited public disclosure and informal offering documents increase opacity.<br><br>Dominant investors –<br>Small investor base (often 1–2 investors) may lead to undue influence or pressure on governance and compliance.<br><br>Complex, higher-risk assets –<br>Use of illiquid or opaque assets (e.g., iintellectual property, real estate, luxury goods) increases valuation and transparency risks.<br><br>Ancillary Licence Permissions –<br>TCSPs may not act for exempt schemes under Class 4 licences; past thematic review found widespread non-compliance. | Enhanced scrutiny of fund design and underlying assets: the licence-holder risk assesses the fund as its customer.<br><br>EDD on source of wealth and funds; transaction monitoring<br><br>Beneficial ownership transparency requirements where applicable and periodic verification<br><br>Enhanced due diligence, contractual controls, regulatory oversight, and ongoing monitoring<br><br>Mandatory PEP screening and senior management approval for onboarding<br><br>Exemption subject to Isle of Man-licensed administrator taking on various responsibilities.<br><br>Requirement to understand and document asset provenance.<br><br>Thematic feedback was issued in 2023 following a series of inspections on exempt schemes.<br><br>Updated exempt scheme guidance was published. |

*Private funds, while limited in investor numbers, carry risks related to informal governance, opacity, and potential misuse for asset shielding. The Isle of Man counters these vulnerabilities with full CDD requirements, registration obligations, and transparency measures — even for exempt or bespoke structures.*

*There are only 2 qualifying funds currently remaining on the Island.* ■

# Appendix VI: National Anti-Money Laundering Controls




| Module 1 | Quality of AML Policy & Strategy | 0.6 | Medium High |
|---|---|---|---|

The IOM Government has a robust AML framework and upholds international standards, with increased resources and a restructured approach since the last NRA which is being embedded. A National Financial Crime Strategy (2024–2026), approved in Tynwald, is in place as are targeted preventive measures. Cross-Government collaboration supports a unified approach under 'Our Island Plan'. A forthcoming National Action Plan (2026) will detail actions for authorities. The Financial Crime Strategic Board (FCSB) steers policy and resource allocation, aligning activities with the National Strategy and enhancing risk management through thematic groups. The AML/CFT Policy Office oversees international engagement and analysis of effectiveness. Regulated entities must update risk assessments, integrating NRA findings and jurisdictional guidance. Legislative measures to align the AML framework with FCSB objectives have seen delays and, while a number are progressing, some will require prioritisation following the 2026 General Election.

| Module 2 | Effectiveness of ML Crime Definition | 1.0 | Excellent |
|---|---|---|---|

Money laundering (ML) is criminalised under the Proceeds of Crime Act 2008 (POCA), with a definition in section 158(11) that aligns with international standards. Tax crimes and self-laundering are included; a conviction for the predicate offence is not required. There are no specific sentencing guidelines within the Manx courts, the judiciary refer to the UK sentencing guidelines for ML. Penalties for ML range from fines to up to fourteen years' imprisonment. Non-compliance with AML regulations can result in up to two years' imprisonment, unlimited fines, or both. All parties involved, including those who fail to disclose, can be prosecuted.

| Module 3 | Comprehensiveness of Asset Forfeiture Laws | 0.7 | High |
|---|---|---|---|

The IOM has comprehensive confiscation measures for investigating, tracing, and seizing property suspected of being crime proceeds. Existing asset forfeiture legislation in POCA (and other Acts) covers the proceeds and instrumentalities of money laundering and its predicate offences, including profits derived from criminality and property of corresponding value. Foreign non-conviction-based confiscation orders can also be enforced, regardless of proceedings abroad. The AGC can apply for High Court property freezing orders to secure assets for recovery and Customs and Immigration can seize cash and BNIs linked to money laundering, predicate offences, or false declarations. Confiscated assets have included cryptocurrency and properties, with proceeds placed into a seized asset fund managed by the FIU Board. Legislative updates are being considered to better reflect the changing landscape regarding technological advancements and the AGC is developing systems for more effective seized asset management, including written procedures and tracking of Restraint Orders to monitor total values.

| Module 4 | Quality of FIU Intelligence Gathering and Processing | 0.7 | High |
|---|---|---|---|

The FIU created under the 2016 FIU Act, has a staff of 25 and operates independently, reporting directly to an FIU Board. It is a member of the Egmont Group since 2000. Its Strategic Objectives & Annual Plan 2023/24 outline recent restructuring. Every FIU team member receives specialised training in AML and financial crime prevention, supported by both external and internal programs. Despite these initiatives, staff retention has remained challenging. The Themis online platform streamlines reporting for regulated entities and facilitates communication. Standardised feedback for MLROs and updated guidance aim to improve the quality of disclosures, though more feedback on intelligence use is needed. International feedback, particularly via the Egmont network, is improving. The FIU collaborates with the FSA and can access financial flow data to inform strategic projects; it also hosts a co-located PIMLIT Case Development Unit (CDU). Further cooperation with tax is being explored to help educate and inform and to identify any gaps that can be addressed. The FIU is currently working to improve its operational case committee process; further development is needed for strategic analysis, intelligence handling, and database management policies.

| Module 5 | Capacity & Resources for Financial Crime Investigation (including Asset Forfeiture) | 0.7 | High |
|---|---|---|---|

Significant investment has enhanced financial crime enforcement, including the creation of the Proactive International Money Laundering Investigation Team (PIMLIT) in 2022, to handle complex, cross-border cases with a dedicated team of 31. This includes analysts, a prosecuting lawyer, and industry specialists. Investigations have increased, with 10 active international money laundering cases involving large proceeds, and three major multi-agency operations in 2024-25 resulting in the seizure of around £300 million and substantial digital and physical evidence. PIMLIT has developed cryptocurrency tracing capabilities, leading to its first civil recovery of $1.2 million USD in crypto. Most ongoing operations involve cryptocurrencies such as USD Tether and Ethereum. Successful domestic prosecutions are mainly linked to drug trafficking, associated ML and OCG offending, with the Serious & Organised Crime Unit leading high-level cases.

The International Cooperation and Asset Recovery Unit (ICART) deals with international asset matters. All domestic civil asset recovery has been merged into prosecutions into a newly formed Financial Crime Asset Recovery Unit (FCARU). ICART recovered $41,189.17 and £989,033.41 in 2024 and is adopting advanced tools and training for VAs. Notably, ICART enforced 12 search and seizure warrants, issued the Island's first production order for detained cash investigation, and supported a US conviction for fraud and tax evasion totalling $4.8M. Challenges remain in international cooperation, especially with large or cryptocurrency-related cases, but new processes are being implemented to improve the use of incoming Letters of Request for asset identification and intelligence.

| Module 6 | Independence and Integrity of Financial Crime Investigators (including Asset Forfeiture) | 0.9 | Close to Excellent |
|---|---|---|---|

The IOM upholds strong standards of integrity in law enforcement, evidenced by the prosecution of high-profile individuals and staff, including police officers and civilian staff, for offences such as bribery and theft. No cases of corruption related to ML offences have been identified. The Bribery Act 2013 is the relevant legislation, supported by the ABC Strategy 2022-2027. Concerns can be reported via the Themis system. While not rated by Transparency International, the IOM generally compares to the UK (ranked 20th in the 2024 Corruptions Perception Index). The Police Act 1993 guarantees independence from political influence, and the Proceeds of Crime Act 2008 empowers police and civilian staff, all of whom must pass Security Clearance and follow the Civil Service Code. Complaint handling independence is enhanced through the Police Complaints Commissioner, who oversees investigations and can refer cases for disciplinary action.

| Module 7 | Capacity and Resources of Financial Crime Prosecutors (including Asset Forfeiture) | 0.7 | High |
|---|---|---|---|

The Prosecutions Division advises the IOMC and public authorities on potential criminal charges, with prosecutors making decisions on behalf of the AG. A rota system ensures year-round out-of-hours coverage for charging decisions. Responsibilities are split between a general team and a dedicated Financial Crime Asset Recovery Unit (FCARU), to improve specialisation, which automatically handles PIMLIT and ECU matters (with guidelines for other agency referrals). A senior legal officer has been seconded to the police to support PIMLIT and ECU. Financial crime is a core focus. The FCARU works closely with ICART to identify where parallel civil investigations may be appropriate. While ML prosecutions show success in convictions and confiscations, these primarily relate to drug trafficking; international ML convictions are still developing. The Prosecution team can seek support from King's Counsel (KC) in the UK for complex cases. The 2020 NRA noted a lack of specialised ML prosecution training; this has since been addressed. There have been several cases where a variety of assets have been seized and effectively managed. Formalisation of tools and procedures for managing restrained and seized assets outside of financial products, whether under the control of the AGC or the Police need to be reviewed and any identified improvements implemented.

| Module 8 | Independence and Integrity of Financial Crime Prosecutors (including Asset Forfeiture) | 0.9 | Close to Excellent |
|---|---|---|---|

All criminal prosecutions, including economic crimes, are managed by the AGC, with the AG and Solicitor General appointed and removable only by the monarch. Complaints against law officers can be escalated to the Tynwald Commissioner for Administration (Ombudsman) if unresolved internally. The Financial Crime Asset Recovery Unit, supported by the AG, determines high level money laundering prosecutions. Processes incorporate checks and balances, including Crown Officer reviews and the possibility of judicial review, as exemplified in Bell vs HM Solicitor General & Others (May 2024). The code for Prosecutors under the Criminal Procedures and Investigations Act 2016 guides impartial and evidence-based decisions. Clear separation exists between the judiciary, AGC, police, and executive, with standards enforced by Advocate Practice Rules and the Advocates Disciplinary Tribunal. Past high-profile prosecutions, such as that of a former Attorney General for perjury and acts against public justice and a former prosecuting advocate for a speeding charge, demonstrate prosecutorial independence.

| Module 9 | Capacity and Resource for Judicial Processes (Including Asset Forfeiture) | 0.7 | High |
|---|---|---|---|

The IOM operates as a separate legal jurisdiction from the UK, with a legal system based on English common law and Acts of Tynwald. Manx Courts are guided by English precedents unless local law applies. The judiciary comprises Deemsters (judges), with the First Deemster as President of the High Court, plus Summary Court High Bailiff/Deputy High Bailiff, part-time judges, and lay magistrates. Serious criminal cases are dealt with by the Court of General Gaol Delivery, while appeals go to the Staff of Government Division and, ultimately, the Judicial Committee of the Privy Council in London. Additional Deemsters or judicial officers may be appointed as needed, and Judges from England and Wales, senior UK Barristers, and local senior advocates serve as Panel Deemsters for complex cases.

Financial crime cases are heard by specialist judges, and urgent court orders may be granted by any High Court Judge or Panel Deemster. Recent legal reforms allow judge-only trials for complex fraud cases, aiming to boost court capacity. The IOM Law Society regulates the legal profession, with advocates fulfilling both solicitor and barrister roles. Training has improved through collaboration with the Judicial College of England and Wales, and digital capabilities are increasing. However, manual processes, limited space, and recruitment challenges persist, especially for large or high-profile trials. Planned updates to the Justice Reform Act and resource allocation for major money laundering trials are intended to address these limitations.

| Module 10 | Independence and Integrity of Judges | 1.0 | Excellent |
|---|---|---|---|

Judicial appointments are made transparently and independently, with all judges appointed by the King based on panel recommendations. Judges are not politically appointed and must retire at 75, ensuring impartiality and integrity. ML trials and related offences offences proceed without interference, political or social pressure, corruption, intimidation, or abuse of office. All proceedings are recorded, judgments are published with reasons, and complaints follow a set process; appeals can ultimately be heard by the UK Judicial Committee of the Privy Council.

The First Deemster manages judicial work allocation, including specialist cases. Recent asset forfeiture actions demonstrate the system's effectiveness and independence. Judicial conduct is regulated by a Code of Conduct based on the Bangalore Principles, supported by anti-corruption strategies and an online reporting system. Ongoing legal service reforms stem from Lord Garnier KC's 2023 independent review, addressing advocate training, Law Society roles, and disciplinary procedures.

| Module 11 | Quality of Border Controls | 0.4 | Medium Low |
|---|---|---|---|

Judicial appointments are made transparently and independently, with all judges appointed by the King based on panel recommendations. Judges are not politically appointed and must retire at 75, ensuring impartiality and integrity. ML trials and related offences offences proceed without interference, political or social pressure, corruption, intimidation, or abuse of office. All proceedings are recorded, judgments are published with reasons, and complaints follow a set process; appeals can ultimately be heard by the UK Judicial Committee of the Privy Council.

The First Deemster manages judicial work allocation, including specialist cases. Recent asset forfeiture actions demonstrate the system's effectiveness and independence. Judicial conduct is regulated by a Code of Conduct based on the Bangalore Principles, supported by anti-corruption strategies and an online reporting system. Ongoing legal service reforms stem from Lord Garnier KC's 2023 independent review, addressing advocate training, Law Society roles, and disciplinary procedures.

| Module 13 | Comprehensiveness of the Customs Regime on Cash and Similar Instruments | 0.9 | Close to Excellent |
|---|---|---|---|

Most passenger and freight traffic into the IOM passes through a single airport and ferry terminal, simplifying enforcement. While there are a few small airstrips, the coastline is susceptible to illegal entry by small vessels. Airlines require ID checks for flights where baggage is checked in and for flights to the Republic of Ireland, but ID checks are not required for sailings within the CTA. Agencies closely monitor foreign parcels at the Post Office in coordination with UK counterparts. The non-cash-based economy limits large-scale cash generation, with most smuggled cash tied to drug trafficking from UK-based OCGs; authorities have documented attempts to import and remove such cash. Controls on cash and similar instruments are generally robust, with improved cooperation between customs, police, and port security reflected in cash declarations and ML arrests at ports. Criminals are increasingly using luxury goods to move value out of the IOM as enforcement tightens. Locally issued notes moved into the UK are eventually returned to the IOM, however tracking this flow remains a challenge, which other Crown Dependencies who also issue their own notes, have identified. Ongoing measures include enhancing C&I training and strengthening intelligence-sharing with partner agencies to support targeted operations.

| Module 15 | Effectiveness of International Cooperation | 0.7 | High |
|---|---|---|---|

The IOM possesses a robust legal framework for mutual legal assistance (MLA) in money laundering, related offences, and terrorist financing, including civil recovery. International cooperation is assured by legislation and is not generally contingent on reciprocity or treaties. Dual criminality is required for certain coercive measures (such as restraint and confiscation) but IOM case law confirms that this is not dependent upon the categorisation or wording of the offence that is required. In Sejeroe-Olsen v HMAG [2019] MLR 233 the Staff of Government Division stated that it was not necessary for an offence in the IOM to be on "all fours" with the offences in the requesting jurisdiction, rather that "what is required… is whether the essence of the conduct would constitute an offence here, and not, with respect, proven conduct (i.e. guilt)." The AGC centrally coordinates MLA requests, using a prioritisation system for urgent matters such as asset restraint. ICART provides timely and effective MLA, actively participating in international networks and supporting asset recovery, extradition, and information sharing. The IOM maintains a central beneficial ownership register in line with global standards, with its authorities exchanging information internationally through established channels such as the Egmont Group.

An upgraded case management system has recently been introduced. ICART has faced key person risk due to reliance on a few specialists; expertise within the team has benefitted from specialist training provided by the City of London Police Economic Crime Academy and other international experts. Extension of the Proceeds of Crime Act 2008 to include external orders enforcement to foreign civil forfeiture orders which was identified as a gap in the previous NRA has been addressed (Part 2A Article 55).

| Module 16 | Availability of Independent Audit | 0.8 | Very High |
|---|---|---|---|

There have been no changes to audit laws under the Companies Act 1982 and 2006 since the last NRA. Independent audits follow UK & Ireland International Standards, with oversight by the UK FRC for market-traded companies. Most non-public companies under the 2006 Act are not required to have audits, while those under the 1931 Act must be audited unless exempted based on size and staffing criteria. FSA and GSC-regulated entities must submit annual audited accounts, except for certain DNFBPs, and license holders or those handling client money need independent auditor assurance. Regulated entities generally file audited returns within four months, with exceptions for some foreign firms. Insurers and professional administrators of Retirement Benefit Schemes also have specific audit and reporting requirements.

| Module 17 | Level of Financial Integrity | 0.7 | High |
|---|---|---|---|

The IOM enjoys strong membership in professional bodies, with high CPD engagement and a strong emphasis on ethics. Criminal and civil proceedings involving professionals are reported in the press, social media, and trade journals, with regulatory actions published by authorities and the FSA posting enforcement notices and penalties on its website. Judgments are made publicly accessible on the IOM Courts of Justice website, which offers comprehensive search capabilities. The Registrar General, acting as Registrar of Companies, publishes dissolved company lists. The tax system requires detailed financial disclosures on income and assets from individuals and legal entities, and authorities have robust enforcement powers. Civil penalties apply to non-compliance for both direct and indirect taxes. Investigators use financial records for tracing in money laundering cases, and regulated entities typically cooperate well.

| Module 18 | Tax Enforcement | 0.8 | Very High |
|---|---|---|---|

Direct and indirect taxes come under the authority of the Treasury. Responsibility for IOM income tax and National Insurance lies with the Assessor of Income Tax, the head of the Income Tax Division (ITD). For international direct taxation purposes, the Assessor is the competent authority. Four Deputy Assessors have full delegated powers. Responsibility for indirect tax administration, compliance and enforcement is delegated to the Customs and Immigration Division; the head of the Division is 'the Collector'. Staff in both Divisions must sign the Official Secrets Act, follow Civil Service Regulations, and complete yearly security training. New employees are vetted, only qualified officers handle high-risk cases, and regular audits occur. Conflicts of interest must be declared, and all staff adhere to the Bribery Act 2013 and the Government Whistleblowing Policy.

**Direct Tax:** ITD operates under strict confidentiality and statutory rules as pursuant to section 106 of the Income Tax Act 1970 every person having any official duty under the Income Tax Acts has a duty of confidentiality in relation to all income tax documents and information. That said, the Income Tax Act (sections 106A – 106F) also provides for the sharing of such confidential information with other authorities, including law enforcement and the regulators, where it is appropriate to do so. All casework is graded by risk, with high-risk cases reserved for experienced officers. The Division has strong legal powers to deter non-compliance, charging civil penalties for late or missing returns, escalating to public legal proceedings if necessary. Serious and complex cases are handled by an investigation team and anonymised appeal summaries published with the Commissioners' consent. Tax compliance is generally good.

| Accounting year | No. of cases | Tax charged | National Insurance | Penalties | Interest | Total |
|---|---|---|---|---|---|---|
| 2022/23 | 154 | £1,636,536 | £14,086 | £221,07 | £59,991 | £1,931,68 |
| 2023/24 | 209 | £1,010,57 | £70,307 | £145,915 | £52,934 | £1,279,72 |
| 2024/25 | 79 | £716,263 | £795 | £143,310 | £50,0114 | £910,482 |

**Indirect Tax:** The Collector oversees a team responsible for indirect tax administration, compliance, and enforcement. C&I undergoes regular inspection by the UK National Audit Office (NAO) to assess compliance with the Customs and Excise Agreement. HM Revenue & Customs (HMRC) in the UK provides training under the Revenue Sharing Agreement and C&I also coordinates with HMRC regarding policy matters. The Indirect Tax audit team is responsible for setting its own targets; it alone determines which traders require audits based on the level of risk identified by the Division. The Customs and Excise Management Act 1986 (sections 174B and 174C) enables information to be shared in relation to all the assigned matters the Division is responsible for, and also the power to be able to obtain information from authorities relating to the functions and assigned matters of the Division ("assigned matters" is defined in section 184(1)). Most indirect tax court cases involve deliberate VAT fraud. In 2020, one couple was jailed for evading £4.65 million in VAT. In 2022, a conviction was secured for £190,000 in VAT fraud. In 2023, an individual received a prison sentence of over three years for evading £1.1 million in VAT and in 2024, eight businesses were fined more than £10,000 each for failing to pay income tax and National Insurance.

| Module 19 | Formalisation of the Economy | 0.9 | Close to Excellent |
|---|---|---|---|

The IOM has a formal, services-based economy with limited informal activity. Informal contributions to GDP are low, partly due to very high employment rates and support schemes such as Jobseeker's Allowance. There is extensive public data available regarding the island's economy and demography. It is assessed that the GDP share relating to the informal economy amounts to less than 10%. The Department for Enterprise's 2022 report highlights a move toward digital payments, with cash use declining further. Residents must participate in the financial system to access utilities and government services, with strict regulations and VAT registration required for most business activities. Laws are well enforced by authorities. Recent increases in drug and cash seizures, as well as rising immigration crime and cases of labour exploitation, suggest a potential for growth in the shadow economy which will need to be monitored.

| Module 20 | Availability of Reliable Identification Infrastructurey | 0.7 | High |
|---|---|---|---|

The IOM Government issues various photographic identification documents, including passports and driving licences; there is no requirement to carry identity cards. The Island acts as an issuing authority for British Passports, with the IOM variant being processed locally and printed securely in the UK by HM Passport Office. New applicants undergo ID checks and an interview. Driving licences are issued by IOM Post, acting as a licencing agent for the DOI. The Island keeps an Electoral Register. Within the Common Travel Area, there are no formal border controls between the IOM the UK, Channel Islands, and ROI and therefore no mandatory ID checks; this can allow some to avoid identification. Enhanced data collection and sharing between police, customs, and immigration is being developed. Concerns have been raised about the robustness of the IOM driving licence as ID. While procedures and checks are in place, its primary purpose is not as a national ID card, although it is used by banks along with proof of address. Closer working between the DoI Highway Services, the police, immigration and potentially other departments/agencies need to be explored. Electronic billing and ID methods pose new risks, but there have been no known fraud cases. Staff at businesses are trained to identify fraudulent documents, and extra precautions are taken for non face-to-face transactions.

| Module 21 | Availability of Independent Information | 0.7 | High |
|---|---|---|---|

Government and industry rely on internationally recognised credit and identification services, with FIs and DNFBPs having significant expertise in sourcing external data for non-resident customers. Industry uses robust customer, transaction and staff screening processes using a combination of in-house, group, or purchased tools such as World Check, Riskscreen, LexisNexis and other international databases to screen customers for PEPs, sanctions, and adverse media, all of which are globally accessible. Most residents' addresses and phone numbers can be found via IsleofMan.com, and reliable information is accessible from sources like credit bureaus, electoral rolls, and Companies House. Court judgements. Regulatory notices are also available online including published information regarding disqualified Directors. Banks and businesses use independent sources to verify details about individuals and entities in other jurisdictions. The AML/CFT Handbook offers guidance regarding the use of electronic sources and approved providers. Isle of Man companies generally aren't required to file accounts with the registry, so accounts are usually obtained directly. While there's no local credit bureau, agencies like Experian are widely used, and use of comprehensive transaction monitoring systems is standard.

| Module 22 | Availability of Independent Information | 0.7 | High |
|---|---|---|---|

Beneficial ownership information is held in several locations and readily available to law enforcement. Figure 54 shows where law enforcement can access this information, as well as the materiality for each entity type. Sections 3(1) and 15(3) of the BOA allow access to the database by the competent authorities. These are defined as: the FIU; the AG; the Assessor of Income Tax; the FSA; Chief Constable; and the Collector of Customs and Excise. Access is for purposes such as:

- preventing, detecting, investigating, or prosecuting criminal offences; or
- regulatory enforcement and financial crime prevention.

Subject to initial authorisation by Companies Registry, the Beneficial Ownership Database is accessible electronically. Only designated individuals (currently 146 in total) within the competent authorities have access to the database. An audit log is in place. The competent authorities can extract on an individual or receive a bulk download.

Where information is not held on the central Beneficial Ownership Database owned by Companies Registry, it is held by ITD or the TCSP (or another regulated entity that has the entity as its customer, such as a bank).

## Figure 54: Locations of Where (Registrable) Beneficial Ownership Information Is Available to Law Enforcement

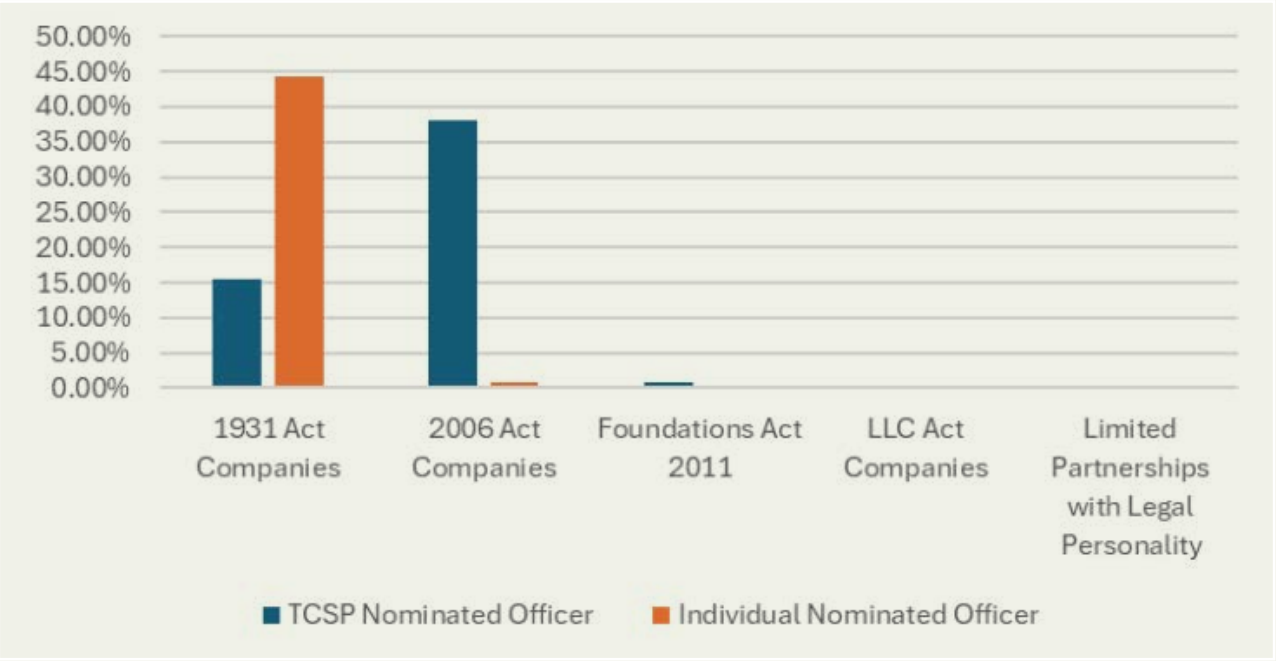
| Control | Domestic Legal Persons | | | | | | | Foreign Legal Persons | | | Legal Arrangements | Partnerships | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 1931 Act Companies | 2006 Act Companies | Foundations Act 2011 | LLC Act Companies | Limited Partnerships with Legal Personality | Industrial & Building Societies | Credit Union | Foreign-Registered Companies | Foreign Companies-IOM tax resident | Foreign Companies | Trusts | Limited Partnerships without Legal Personality | General Partnerships |
| Number of entities as at 31/12/2024 | 15143 | 9831 | 211 | 91 | 107 | 6 | 1 | 484 | 847 | 2332 | 10596 | 89 | 404 |
| Materiality: % of total | 37.72% | 24.49% | 0.53% | 0.23% | 0.27% | 0.01% | 0.00% | 1.21% | 2.11% | 5.81% | 26.40% | 0.22% | 1.01% |
| IOM Beneficial Ownership Database | ✓ | ✓ | ✓ | ✓ | ✓ | × | × | × | × | × | × | × | × |
| Beneficial Ownership details with Income Tax Division | partial | partial | partial | partial | partial | partial | partial | ✓ | ✓ | × | partial | partial | ✓ |
| TCSP - hold where they administer client | held for clients | ✓ | ✓ | held for clients | ✓ | held for clients | held for clients | ✓ | ✓ | ✓ | ✓ | held for clients | held for clients |

Source: Companies Registry and Income Tax Divisioni

The Beneficial Ownership Act 2017 places IOM corporate and legal entities under the same legislation regarding registrable beneficial ownership (RBO). It created a central database for the recording of RBO of legal persons. The central database went live in July 2017. The BOA requires each legal entity to which the Act applies to appoint a Nominated Officer who is a natural person ordinarily resident in the IOM. Where the legal entity is in receipt of corporate services comprising Class 4 regulated

activity provided by a person licensed by the FSA, that person may undertake the responsibilities of the Nominated Officer, and in practice, this will typically be a TCSP. Overall, TCSPs are the Nominated Officer for 54.8% of all companies to which the Act applies (see Figure 55).

## Figure 55: Comparison of TCSP versus Individual Nominated Officers, as a Percentage of the Total Where the Beneficial Ownership Act Applies




Source: Companies Registtry

Mitigation measures are strong in many areas and include:

- The central BOA database is supported by verification mechanisms and both civil and criminal penalties for non-compliance, with reporting required at incorporation, upon changes, and annually.
- Companies Registry validates all non-TCSP RBO submissions and 25% of TCSP submissions, raising queries with Nominated Officers when inconsistencies arise, placing responsibility on them to act.
- Obliged entities must notify the Registry within one week of discovering incorrect entries; failure to do

so is an offence, and the FSA oversees compliance and imposes penalties, including fixed civil fines since 2024.

- Multiple agencies have access to RBO information; the IOM Companies Registry provides online access, and since January 2025, obliged entities can request information for AML/CFT/CPF purposes.
- Not all legal persons and arrangements are centrally recorded on the IOM database; TCSPs retain information for foreign entities and trusts, and they supply it to authorities when required.
- A significant proportion of companies, especially those administered by TCSPs, lack central RBO records, often due to discretionary trusts in their structure.
- Bearer shares are banned and Directors have fiduciary duties, but nominee shareholder arrangements remain a minor risk outside regulated sectors.
- Controls and resources at Companies Registry have improved since 2020, with effective domestic cooperation and robust international information exchange supporting transparency.

Beneficial ownership has been considered in detail as part of the wider LPA NRA, further to which several recommendations for strengthening the framework have been identified. These relate to the following areas which are summarised below and set out in detail in the LPA report:

- 1931 Act companies not administered by a TCSP (Chapter 4.1.4);
- high-risk entities not managed by a TCSP (Chapter 3.3.3);
- foreign legal persons administered by TCSPs (Chapter 5.1);
- updating RBO definition and natures of interest (Chapter x.x); and
- review scope of Beneficial Ownership Act (Chapter x.x).

# Appendix VII: Methodology

The National Financial Crime Strategy states its "Strategic Objective 2" to be: to "use a risk-based approach to identify risk, coordinate appropriate actions and apply resources to ensure identified risk is addressed and mitigated." WB methodology was used for the 2015 and 2020 ML/TF NRAs. It has been used to provide consistency with previously published NRAs. The WB approach is consistent with FATF guidance published in 2025.

In the WB methodology for risk assessment, the tool treats ML risk as a product of two main components: threat and vulnerability. The consequences are integrated into those two components through weights, preconditions, and network structure, and are not assessed separately. This approach is adopted at both national and sectoral levels for the IOM.

While the WB methodology is not solely a statistical model approach, as often there is insufficient data in many jurisdictions, the data available to the IOM authorities has improved significantly since the last NRA was conducted. The Island's experts have decided on the ratings using the qualitative and quantitative data together and making an expert judgement which is supported by evidence as much as possible. WB methodology uses both qualitative and quantitative information. This Risk Assessment uses the best available data covering the period since the publication of the last NRA. There are several sources, with the main ones being:

- quarterly inflow and outflow data of payments submitted by banks to the FSA, categorised by country;
- annual AML/CFT/CPF returns submitted to the FSA (and quarterly to the GSC) and any other ad hoc data returns;
- the FSA central back-office supervisory system;
- requests to industry for the purpose of this Risk Assessment;
- the Financial Intelligence Unit;
- the International Cooperation and Asset Recovery Team (on mutual legal assistance);
- Prosecutorial Attorney General's AML;
- the Proactive International Money Laundering Team;
- the Customs and Immigration Division;
- Tax; and
- the Economic Crime Unit.

Where available, this Risk Assessment uses data from the years 2020 to 2024 inclusive. These four years represent the period since publication of the last NRA. Some data, due to its sensitivity, is not included in this document.

The WB ML assessment tool follows five steps, which this report follows in Chapters 8, 9, 10, 11, and 12.

- **Step 1**: Identify ML Threats
- **Step 2:** Assess National ML Threat Level
- **Step 3**: Sectoral ML Risk Analysis
- **Step 4:** Assessment of National Vulnerability
- **Step 5:** Calculation of National ML Risk

Each step is supported by WB Excel spreadsheets. Step 3 is underpinned by four detailed sectoral reports on Banking, Insurance, Gambling, and Trust and Corporate Service Providers, and a sectoral report on Virtual Assets and Virtual Asset Service Providers that considers ML (and TF and PF risks). These reports have been published. Step 4 is underpinned by a detailed, unpublished workbook which provides the summary narrative for this document. ›

## QUALITATIVE WORK

Three workshops were held with participation from across all the agencies, Government, regulators and law enforcement. The workshops considered cross-border and national threats and national vulnerabilities, and agreed key points and, where applicable, ratings for the WB model. The expert judgement of those in attendance, plus several follow-up meetings, were included. In addition, various externally published documents have been referenced, including a number of NRAs from other countries. A summary of the work undertaken by the authorities on national threat and vulnerability is included in this ML NRA.

The regulators led sectoral engagement to inform the WB national vulnerabilities modules. These workshops, most of which were also attended by representatives from the FIU and the AML/CFT Policy Office, involved around 100 meetings (including those with the TCSP sector to inform the LPA Risk Assessment). Several sectors, notably Banking, Insurance, and TCSPs, were met with several times and provided significant levels of expert knowledge to the process. A full list of the engagement that took place is available.

Sectoral assessments used the financial centres part of the WB model where applicable and analysed the products and services provided by that sector. While there was sufficient data and information on most sectors to use the model, this was not the case for a small number where, for example, there was only one firm, or in the case of HVGDs, none are currently registered. The NRA has taken this into account.

For the purposes of the model, each sector is assigned a rating for threat and a 'weighting' which reflects factors specific to the Isle of Man. The vulnerability score is a direct product of the engagement between regulators and the relevant sectoral representatives.

## DISCLAIMER

The National ML Risk Assessment of the IOM has been conducted as a self-assessment by the IOM authorities, using the National ML Risk Assessment Tool that has been developed and provided by the World Bank Group. Data, statistics, and information used for completing the National ML Risk Assessment Tool modules as well as findings, interpretation, and judgement under the scope of the National ML Risk Assessment completely belong to the IOM authorities and do not reflect the views of the World Bank Group. ■

# Appendix VIII: List of Agencies/Bodies Engaged in the NRA Process

## AGENCIES

AML/CFT/CPF Policy Office

Attorney General's Chambers: Prosecution and ICART

Central Registry

Customs & Immigration Division, Treasury

Financial Intelligence Unit

Financial Services Authority

Gambling Supervision Commission

General Registry, IOM Courts of Justice

Income Tax Division, Treasury

Isle of Man Constabulary: PIMLIT and SIU

Isle of Man Financial Crime Partnership

Isle of Man Treasury, Government

## INDUSTRY BODIES

Association of Corporate Service Providers

EGSAB (E-Gaming Strategic Advisory Board) which includes service providers

GSC AML Forum which incorporates industry representatives

IOM Bankers Association

IOM Insurance Association

IOM Law Society

IOM Society of Chartered Accountants

IOM Wealth and Fund Services Association

IOM Financial Planners and Insurance Brokers Association

IOM Association of Pension Service Providers

NB: Entities with no professional bodies were also engaged.

# 17. Glossary and Abbrieviations

| Key Agency/Term/Acronym | Meaning |
|---|---|
| ABC | Anti-Bribery and Corruption Strategy |
| AEOI | Automatic Exchange of Information |
| AGC | Attorney General's Chambers |
| AI | Artificial Intelligence |
| ATM | Automated Teller Machine |
| AUM | Asset Under Management |
| B2B | Business-to-Business |
| BDC | Bureau de Change |
| BO | Beneficial Ownership |
| BOA | Beneficial Ownership Act 2017 |
| BRA | Business Risk Assessment |
| CARIN | Camden Asset Recovery Interagency Network |
| CBI | Citizenship by Investment |
| CDD | customer due diligence |
| Cebr | Centre for Economics and Business Research |
| CEP | commercially exposed person |
| CIS | collective investment scheme |
| CoCG | Code of Conduct Group on Business Taxation |
| CRA | Customer Risk Assessment |
| CRS | Common Reporting Standard |
| CTA | Common Travel Area |
| DBROA | Designated Businesses (Registration and Oversight) Act 2015 |
| DHA | Department of Home Affairs |
| E-money | Electronic Money |
| ECU | Economic Crime Unit |
| EDD | Enhanced Due Diligence |

| Key Agency/Term/Acronym | Meaning |
|---|---|
| EFIPPP | Europol Financial Intelligence Public Private Partnership |
| EMI | Electronic Money Institution |
| ENSB | Economic and National Strategy Board |
| EOIR | Exchange of Information on Request |
| EU | European Union |
| FA | Financial Advisor |
| FATF | Financial Action Task Force |
| FCARU | Financial Crime Asset Recovery Unit |
| FCS | Financial Crime Strategy |
| FCSB | Financial Crime Strategic Board |
| FHTP | Forum on Harmful Tax Practices |
| FI | Financial Institution |
| FIU | Financial Intelligence Unit |
| FRC | Financial Reporting Council |
| FSA | Financial Services Authority |
| FSA08 | Financial Services Act 2008 |
| FUR | Follow-Up Report |
| FX | Foreign Exchange |
| GDP | Gross Domestic Product |
| GIFCS | Group of International Financial Centre Supervisors |
| GSC | His Majesty's Revenue and Customs |
| HMRC | His Majesty's Revenue and Customs |
| HNWI | High-Net-worth Individual |
| HVGD | High-Value Goods Dealer |
| IACCC | International Anti-Corruption Coordination Centre |
| IB | Investment Business |
| IBAN | International Bank Account Number |
| ICART | International Cooperation and Asset Recovery Unit |
| IFC | International Finance Centre |
| IOM | Isle of Man |

| Key Agency/Term/Acronym | Meaning |
|---|---|
| IOMFCP | Isle of Man Financial Crime Partnership |
| IOMPO | Isle of Man Post Office |
| ITD | Income Tax Division |
| IWT | Illegal Wildlife Trade |
| LEA | Law Enforcement Agency |
| LPA | Legal Persons and Arrangements |
| MCAA | Multilateral Competent Authority Agreement |
| MER | Mutual Evaluation Report |
| ML | Money Laundering |
| MLA | Mutual Legal Assistance |
| MLRO | Money Laundering Reporting Officer |
| MOU | Memorandum of Understanding |
| MSB | Money Service Business |
| MTS | Money Transmission Service |
| MVTS | Money or Value Transfer Service |
| NPO | Non-Profit Organisation |
| NRA | National Risk Assessment |
| OCG | Organised Crime Group |
| OFS | Office of Financial Sanctions Implementation |
| OFT | Office of Fair Trading |
| OTC | Over-The-Counter |
| PE | Private Equity |
| PEP | Political Exposed Person |
| PF | Proliferation Financing |
| PIMLIT | Pro-Active International Money Laundering Investigation Team |
| POCA | Proceeds of Crime Act 2008 |
| PSP | Payment Service Provider |
| RBO | Registrable Beneficial Ownership |
| RBSA | Retirement Benefits Schemes Act 2000 |
| RLP | Registered Legal Practitioners |

| Key Agency/Term/Acronym | Meaning |
|---|---|
| SAR | Suspicious Activity Report |
| SNPO | Specified Non-Profit Organisation |
| TCSP | Trust and Corporate Service Provider |
| TF | Terrorist Financing |
| UAE | United Arab Emirates |
| UBO | Ultimate Beneficial Owner |
| UK | United Kingdom |
| UNODC | United Nations Office of Drugs and Crime |
| US | United States |
| VA | Virtual Asset |
| VASP | Virtual Asset Service Provider |
| VAT | Value-Added Tax |
| VPN | Virtual Private Network |
| WB | World Bank |

# Endnotes

1 Data, statistics, and information used for completing the Risk Assessment Tool modules, as well as findings, interpretation, and judgment under the scope of the Risk Assessment, completely belong to the IoM authorities and do not reflect the views of the World Bank Group.

2 Money Laundering National Risk Assessment Guidance: www.fatf-gafi.org/en/publications/Methodsandtrends/Money-Laundering-National-Risk-Assessment-Guidance.html

3 COVID-19 Risk Assessment - Public: https://www.fiu.im/media/1085/covid19-risk-assessment-public.pdf

4 https://www.iomfsa.im/fsa-news/2022/mar/letter-from-the-financial-services-authority-regarding-sanctions/

5 Inflection_Point_2025.pdf: https://www.unodc.org/roseap/uploads/documents/Publications/2025/Inflection_Point_2025.pdf

6 Immigration Gap analayis: https://www.gov.im/media/1388930/immigration-gap-analysis-1-may-2025-final-with-cover-v2_compressed.pdf

7 For further details on the Isle of Man see: https://www.gov.im/

8 National Income report: https://www.gov.im/media/1391286/national-income-2023-24-report-updated-jan-26.pdf

9 Legally enforced by the Customs and Excise (1979 Agreement) Order 2022

10 Set out in section 1(3) of the UK Immigration Act 1971, extended by an Order in Council to the Isle of Man.

11 https://assets.publishing.service.gov.uk/media/6913480d2017198896ad7fa6/isle-of-man-trade-and-investment-factsheet-2025-10-31.pdf

12 Centre for Economics and Business Research (Cebr) (2021). Jersey's Contribution to Global Value Chains. Report commissioned by Jersey Finance. London: Cebr. Available at: https://www.jerseyfinance.com/wp-content/uploads/2022/12/Jerseys-Contribution-to-Global-Value-Chains-1.pd

13 Frontier Economics (2024). The Value of Guernsey's Funds Industry to the UK's Growth Ambitions. Report commissioned by Guernsey Finance. Available at: https://www.frontier-economics.com/media/x5sfweh3/the-value-of-guernseys-funds-industry-to-the-uks-growth-ambitions.pdf

14 https://islandplan.im/media/hjwimg0d/our-island-our-future-isle-of-man-economic-strategy-november-2022.pdf

15 Isle of Man Government - Chief Minister announces new oversight body to seize opportunities of AI

16 The sector includes regulated online gambling, terrestrial businesses, and other gambling-related companies with offices on the Island, some of which choose to be regulated under the GSC's elective software supply regime.

17 As referenced (page 7) in the Group of International Finance Centre Supervisors First Round Mutual Evaluation Report Isle of Man, January 2024. https://www.Isle of Manfsa.im/media/3223/gifcs-evaluation-report-isle-of-man.pdf

18 Public Reports: Z/Yen: https://www.zyen.com/publications/public-reports/the-global-financial-centres-index-37/

19 https://www.gov.im/media/1391091/2025-isle-of-man-in-numbers-uploaded-151225_compressed.pdf

20 https://www.gov.im/media/1391286/national-income-2023-24-report-updated-jan-26.pdf

21 Income Tax (Substance Requirements and Related Provisions) Order 2023

22 https://www.gov.im/news/2025/may/27/isle-of-man-treasury-minister-holds-discussions-with-the-uk-exchequer-secretary-to-the-treasury/

23 Appendix 2 of the LPA Report includes details of the process where the Nominated Officer is a TCSP or an Individual.

24 a legal entity to which this Act applies; (b) a nominated officer; (c) a legal owner; (d a beneficial owner; (e) an intermediate owner (see section 10); and (f) a registrable beneficial owner (a) a legal entity to which this Act applies; (b) a nominated officer; (c) a legal owner; (d) a beneficial owner; (e) an intermediate owner (see section 10); and (f) a registrable beneficial owner

25 https://www.gov.im/news/2025/sep/04/countering-financial-crime-conference-attended-by-more-than-600/

26 Member agencies are the Department of Justice and Home Affairs (Chair), IOM Constabulary, FIU, FSA, GSC, Customs & Immigration, HM Attorney General's Chambers, DfE, Central Registry and the AML/CFT Policy Office.

27 https://www.iomfsa.im/media/3144/supervisory-methodology-framework.pdf

28 https://www.isleofmangsc.com/gambling/enforcement/policy-guidance/

29 dmp-final.pdf: https://www.iomfsa.im/media/2653/dmp-final.pdf

30 Each of the above penalties would have been higher but each was subject to a 30% discount as a result of cooperation and remedial actions.

31 Including within the Isle of Man

32 List Date is November 2024: Includes A, Bi and Bii ML and excludes Bii countries which are only TF.

33 List Date is November 2024: Includes A, Bi and Bii ML and excludes Bii countries which are only TF.

34 Introduced business is set out in Paragraph 9 of the AML/CFT Code and Section 3.4.3 of the AML/CFT Handbook. It should be noted this is not referring to eligibly introduced business which is covered at 19 of the AML/CFT Code which covers where reliance is placed on another entity to hold the CDD on the relevant person's behalf.

35 https://www.weforum.org/publications/global-risks-report-2025/in-full/

36 https://www.transparency.org/en/press/new-index-reveals-alarming-opacity-and-money-laundering-vulnerabilities-global-real-estate

37 https://unctad.org/system/files/official-document/osgmisc_2022d4.pdf

38 https://www.unodc.org/unodc/en/organized-crime/intro/UNTOC.html

39 https://www.gov.im/media/1390170/final-annual-report-24-25-compressed.pdf

40 PIMLIT, Economic Crime Unit, Serious Organised Crime Unit, Public Protection Unit and the Criminal Investigation Department

41 Interpol's Global Financial Fraud Report: https://www.interpol.int/content/download/21096/file/24COM005563-01%20-%20CAS_Global%20Financial%20Fraud%20Assessment_Public%20version_2024-03_EN_v3.pdf

42 Inflection Point: Global Implications of Scam Centres https://www.unodc.org/roseap/uploads/documents/Publications/2025/Inflection_Point_2025.pdf

43 Office of Public Affairs | Chairman of Prince Group Indicted for Operating Cambodian Forced Labor Scam Compounds Engaged in Cryptocurrency Fraud Schemes | United States Department of Justice: https://www.justice.gov/opa/pr/chairman-prince-group-indicted-operating-cambodian-forced-labor-scam-compounds-engaged

44 https://www.manxradio.com/news/isle-of-man-news/bid-to-overturn-freezing-order-on-funds-linked-with-international-fraud-case-dismissed/

45 https://www.iomtoday.co.im/news/999/jailed-vat-fraud-couple-lose-appeal-241012

46 Douglas man jailed for more than three years over £1.1m VAT evasion: https://www.bbc.co.uk/news/world-europe-isle-of-man-65139298

**47** Immigration: https://www.gov.im/categories/travel-traffic-and-motoring/immigration/immigration-offences-and-prevention-of-illegal-working/

**48** Recent UNODC Report: https://www.unodc.org/unodc/data-and-analysis/world-drug-report-2025.html

**49** Disrupting Illegal Wildlife Trade: Have We Followed the Money? | Royal United Services Institute: https://www.rusi.org/explore-our-research/publications/commentary/disrupting-illegal-wildlife-trade-have-we-followed-money

**50** Environmental Crime Typology: https://www.fiu.im/media/1251/environmental-crime-typology-december-2025.pdf

**51** Financial Services Threat Assessment:2025: https://www.regulationtomorrow.com/2025/02/ofsi-publishes-financial-services-threat-assessment-report/

**52** In September 2021 an individual pleaded guilty to a £50,000 benefits fraud: https://www.manxradio.com/news/isle-of-man-news/ramsey-woman-admits-50k-benefit-fraud/#:~:text=Thursday%2C%202%20September%202021%2014,coroner%20of%20Ayre%20and%20Garff.

**53** https://www.gov.im/news/2025/may/30/1-million-worth-of-criminal-assets-seized-at-island-ports/

**54** Isle of Man and UK Gap Analysis https://www.gov.im/media/1388930/immigration-gap-analysis-1-may-2025-final-with-cover-v2_compressed.pdf

**55** Man Facing Deportation: https://www.iomtoday.co.im/news/man-facing-deportation-after-charging-victim-ps25000-for-visa-in-fake-job-offer-scam-843808

**56** Anti-Bribery and Corruption Framework and Strategy: https://www.gov.im/media/1377163/2022-gd-0055.pdf

**57** https://www.gov.im/

**58** LPA report: https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/ML%20and%20TF%20vulnerabilities%20legal%20professionals.pdf

**59** https://www.gov.im/categories/business-and-industries/anti-money-laundering-and-countering-the-financing-of-terrorism-amlcft/trade-based-money-laundering/

**60** This refers to sectoral meetings only. In total around 50 meetings were held with 100 firms for the NRA process.

**61** The Banking Sectoral Report published 2025 has the 2022/23 figure which was 7.6%).

**62** Credit Union Act 1993 s6(2)

**63** Credit Union Act 1993 s11(2)

**64** This sector includes both Financial Advisors and Independent Financial Advisors. The narrative regarding General Insurance Intermediaries is covered in the Insurance NRA however some data may span both sectoral NRAs.

**65** As well as relevant rules in the Financial Services Rule Book 2016.

**66** It should be noted this figure includes firms that have multi-permissions, for example those that are licensed as General Insurance Intermediaries and may do more business non face to face than FAs by virtue of the nature of business.

**67** The Insurance Sectoral Report published in 2025 has the 2022/23 National Insurance figure of 17%

**68** There are currently no providers of cheque cashing services in addition to the Isle of Man Post Office (only IOM Government issued cheques)

**69** A customer may have registered on the PSP / EMI platform and may have provided CDD/ EDD and been accepted, however the customer may not transact on the account for a long time period at which point CDD/EDD and the associated financial crime risk rating may not be up to date. This was discussed with the sector where it was agreed that further guidance in this area would be useful to determine at what point a person becomes a customer during the lifecycle of the service.

**70** There is an exemption in place in relation to the Isle of Man Government Pension Scheme for Government staff as it is guaranteed by the Government.

**71** The regulatory framework applying to pension scheme trustees and managers is currently in the process of being updated. It is proposed that the existing regulatory requirements under the RBSA applying to these pension officials to be revoked and be replaced by the regulatory provisions operating under the Financial Services Act 2008 (as amended). This will mean that the more extensive suite of powers and sanctions available under that Act would apply in respect of pension scheme trustees and administrators.

**72** Where an exemption under the Financial Services (Exemptions) Regulations applies the requirements of the AML/CFT Code continue to apply in full.

**73** There are a small number of other licenceholders that may hold limited Class 3 permissions relating to the provision of services to exempt schemes only.

**74** Firms in the IoM that provide asset or investment management services to funds are covered in the NRA under asset and investment management.

**75** https://www.iomfsa.im/media/2777/exempt-schemes-feedback1.pdf

**76** https://www.iomfsa.im/media/2734/guidanceexemptschemes.pdf

**77** These terms are all defined in full in Schedule 4 to the Proceeds of Crime Act 2008 and explained further in the AML/CFT Sector Guidance for Accountants.

**78** Though FSA have delegations with these professional bodies, there are occasions where no registered person has selected one of these professional bodies and therefore would fall under the FSA's oversight.

**79** https://www.iomfsa.im/media/3317/accounting-profession-cra-thematic-report-july-2024.pdf

**80** https://www.iomfsa.im/media/3147/aml-pep-thematic-report-05-05-2023.pdf

**81** https://www.iomfsa.im/media/3494/estate-agents-thematic-phase-2-july-2025pdf.pdf

**82** Lending does not include those facilitating lending between a lender and a borrower in cases such as a car dealership arranging the finance between a lender and the consumer. The relationship in this instance would be between the customer and the lender.

**83** These activities are set out in Schedule 4 to the Proceeds of Crime Act 2008, and the relevant terminology is explained further in the AML/CFT Sector Guidance for Moneylenders

**84** The OFT operates a registration regime relating to the activity of moneylenders, it is however the FSA that supervises moneylenders in respect of AML/CFT.

**85** Customer numbers in the NRA may vary to any quoted in the FSA Moneylender thematic report as the thematic report just focussed on moneylenders, whereas the NRA is all encompassing. The customers are mainly focussed on the moneylending and financial guarantees parts of the sector.

**86** Moneylenders Thematic Report – September 2024 (FSA)

**87** https://www.iomfsa.im/media/3503/moneylenders-thematic-report-phase-2-august-2025.pdf

**88** https://www.legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2015/2015-0009/2015-0009_12.pdf

**89** https://www.legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2008/2008-0013/2008-0013_27.pdf

**90** https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2019/2019-0007/2019-0007_4.pdf

**91** Schedule 4 to the Proceeds of Crime Act 2008

**92** Safe custody does not apply where the facilities provided are — (a) the storage of goods such as luggage, household items or motor vehicles; (b) the storage of non-physical property such as computer data; (c) the secure transportation of high value items; (d)the offering of safe custody on an occasional or very limited basis, such as hotels providing a safe for use by guests; or legal professionals storing legal documents other than documents of title.

**93** Travel Rule (Transfer of Virtual Assets) Code 2024